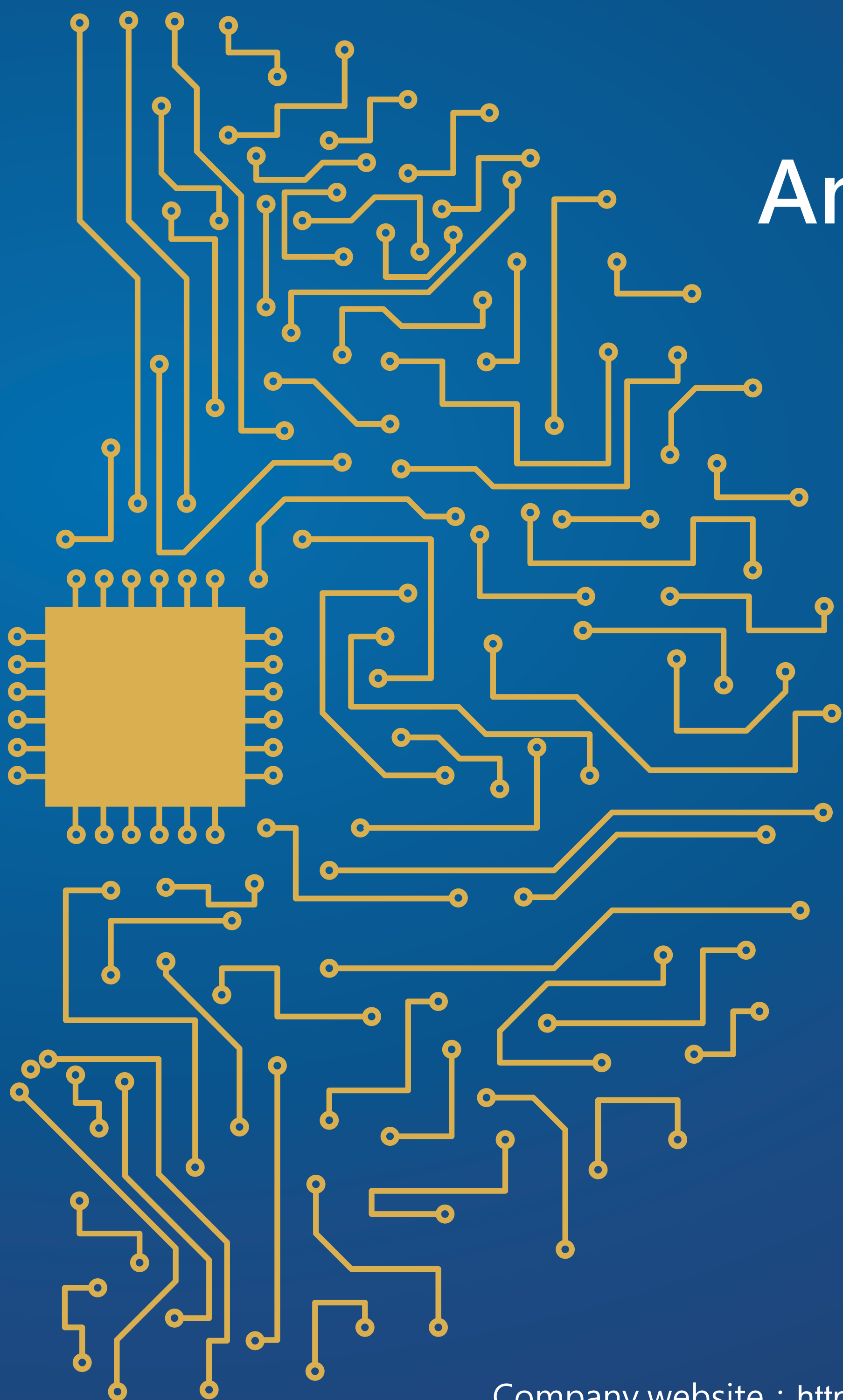
臻鼎科技控股
Zhen Ding Tech. Holding

Stock Code：4958

2025 Annual Report



Company website：https://www.zdtco.com
Market Observation Post System：https://mops.twse.com.tw
Publication Date： March 31, 2026

THIS IS A TRANSLATION OF THE 2025 ANNUAL REPORT (THE "ANNUAL REPORT") OF ZHEN DING TECHNOLOGY HOLDING LIMITED (THE "COMPANY"). THIS TRANSLATION IS INTENDED FOR REFERENCE ONLY AND NOTHING ELSE, THE COMPANY HEREBY DISCLAIMS ANY AND ALL LIABILITIES WHATSOEVER FOR THE TRANSLATION. THE CHINESE TEXT OF THE ANNUAL REPORT SHALL GOVERN ANY AND ALL MATTERS RELATED TO THE INTERPRETATION OF THE SUBJECT MATTER STATED HEREIN.

Designated Domestic Agent
Name: Chang-Fang Shen
Title: Chairman
Telephone: (03)383-5678
Email: zdt-ir@zdtco.com

Spokesperson
Name: Duen Ling
Title: Senior Manager
Telephone: (03)383-5678
Email:zdt-ir@zdtco.com

Deputy Spokesperson
Name: Mei-Yu Huang
Title: Manager
Telephone: (03)383-5678
Email: zdt-ir@zdtco.com

Stock Transfer Handling Agency
Name: Stock Affairs Department, Grand Fortune Securities Co., Ltd.
Address: 6F, No. 6, Section 1, Zhongxiao West Road, Zhongzheng District, Taipei City, Taiwan 100405
Telephone: (02)2371-1658
URL: https://www.gfortune.com.tw

Auditors
Name: Sheng-Chung Hsu, CPA and Chieh-Ju Hsu, CPA
Name of Firm: PricewaterhouseCoopers Taiwan
Address: 27F, No. 333, Section 1, Keelung Road, Xinyi District, Taipei City, Taiwan 110208
Telephone: (02)2729-6666
URL: https://www.pwc.tw

Trading venue/inquiry method for listing and trading of overseas securities:
Singapore Exchange website: https://www.sgx.com
Shenzhen Stock Exchange website: https://www.szse.cn

Corporate Website
URL: https://www.zdtco.com

Addresses and telephone numbers of the head office, main areas of operation, subsidiary companies, and branch companies:

Head Office:

Zhen Ding Technology Holding Limited

Address: P.O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205 Cayman Islands

Telephone: (886)3-383-5678

Subsidiary companies in Taiwan:

- **Zhen Ding Technology Co., Ltd.**

  Address: No.6, Lane 28, Sanho Road, Sanshi Village, Dayuan District, Taoyuan City, Taiwan, R.O.C.

  Telephone: (886)3-383-5678

- **Garuda Technology Co., Ltd.**

  Address: 8F, No. 8, Baoqiang Road, Xindian District, New Taipei City, Taiwan

  Telephone: (886)2-2912-6999

- **Boardtek Electronics Corporation**

  Address: No. 16, Jingjian 1st Road, Guanyin Industrial Park, Guanyin District, Taoyuan City, Taiwan

  Telephone: (886)3-483-9611

- **BRAI Technology Co., Ltd.**

  Address: No.6, Lane 28, Sanho Road, Sanshi Village, Dayuan District, Taoyuan City, Taiwan, R.O.C.

  Telephone: (886)3-383-5678

Subsidiary companies in China:

- **Avary Holding (Shenzhen) Co., Limited**

  Address: 27F, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province

  Telephone: (86)755-3381-0388

- **Fu Bo Industry (Shenzhen) Co., Ltd.**

  Address: AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China

  Telephone: (86)755-3381-0388

- **Kui Sheng Technology (Shenzhen) Co., Ltd.**

  Address: AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China

  Telephone: (86)755-3381-0388

- **Avary Holding Investment (Shenzhen) Co., Ltd.**

  Address: AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China

  Telephone: (86)755-3381-0388

- **Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.**
  Address: SL11 No. 8, Langdong Road, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China
  Telephone: (86)755-3386-8888
- **Avary Property Management Service (Shenzhen) Co., Ltd.**
  Address: 1F, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province
  Telephone: (86)755-3323-4596
- **Yaoding Environmental Energy Technology (Shenzhen) Limited**
  Address: 604, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province
  Telephone: (86)755-3381-0388
- **Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.**
  Address: No.168, Fushikang Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China
  Telephone: (86)517-8351-6888
- **Qing Ding Precision Electronics (Huaian) Co., Ltd.:**
  Address: No. 8, Pengding Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China
  Telephone: (86)517-8351-6888
- **Huaian Jia Wei Industrial Development Co., Ltd.**
  Address: Room A306, Building 2, No. 111, Yingbin Avenue, Huai'an Economic and Technological Development Zone, Huai'an, Jiangsu Province, China
  Telephone: (886)3-383-5678
- **Huaian ChengXin Park Management Co., Ltd.**
  Address: No. 8, Pengding Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China
  Telephone: (86)517-8351-6888
- **Yaoding Environmental Energy Technology (Huaian) Limited**
  Address: No. 5, Kaixiang Rd., Nanmachang St., Huai'an Economic and Technological Development Zone, Jiangsu Province, China
  Telephone: (86)517-8351-6888
- **Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.**
  Address: No.18, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Hebei Province, China
  Telephone: (86)335-5308-888
- **Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.**
  Address: No.18-8, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Hebei Province, China
  Telephone: (86)335-8578-888

- **Yaoding Environmental Energy Technology (Qinhuangdao) Limited**

  Address: Room 202, Building QA11, No.18, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Qinhuangdao, Hebei Province, China

  Telephone: (86)335-5308-888

- **Zhuhai Hengqin Avary Investment Limited Partnership**

  Address: Room 105, No. 6, Baohua Road, Hengqin New District, Zhuhai, Guangdong Province, China

  Telephone: (86)755-3381-0388

- **Wuxi Huayang Science and Technology Co., Ltd.**

  Address: No. 089, Area C, Wuxi Yangming High & New Technology Industrial park,Wuxi,Jiangsu, China

  Telephone: (86)510-8100-1013

- **Jiangsu Turnsor Technology Co., Ltd.**

  Address: No. 128 Liangdong Road, Yangming Street, Liangxi District, Wuxi City, Jiangsu, China

  Telephone: (86)510-8100-1013

Subsidiary companies in other regions:

- **Monterey Park Finance Limited**

  Address: Vistra Corporate Services Centre, Wickhams Cay ll, Road Town, Tortola, VG1110, British Virgin Islands

  Telephone: (886)3-383-5678

- **Coppertone Enterprises Limited**

  Address: Vistra Corporate Services Centre, Wickhams Cay ll, Road Town, Tortola,VG1110, British Virgin Islands

  Telephone: (886)3-383-5678

- **FAT Holdings Limited**

  Address: P.O. Box 31119, Grand Pavilion Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205 Cayman Islands

  Telephone: (886)3-383-5678

- **Leading Interconnect Semiconductor Technology Limited**

  Address: P.O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205 Cayman Islands

  Telephone: (886)3-383-5678

- **GAEEA Technology Limited**

  Address: P.O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1-1205 Cayman Islands

  Telephone: (886)3-383-5678

- **Pacific Fair International Limited**

  Address: Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong

  Telephone: (886)3-383-5678

- **Mayco Industrial Limited**

  Address: Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong

  Telephone: (886)3-383-5678

- **Leading Interconnect International Limited**

  Address: Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong

  Telephone: (886)3-383-5678

- **Garuda International Limited**

  Address: Unit B,26/F., CKK Commercial Centre, 289 Hennessy Road, WanChai, Hong Kong

  Telephone: (886)3-383-5678

- **Avary Singapore Private Limited**

  Address: 9 Raffles Place, #26-01, Republic Plaza, Singapore (048619)

  Telephone: (886)3-383-5678

- **Zhen Ding Technology Singapore Private Limited**

  Address: 9 Raffles Place, #26-01, Republic Plaza, Singapore (048619)

  Telephone: (886)3-383-5678

- **Avary Technology (India) Private Limited**

  Address: No.28, Padur Road, Kuthambakkam Village, Poonamalle Taluk, Thiruvallur District, Tamil Nadu 600124, India

  Telephone: (91)9176-999-602

- **Zhen Ding Technology India Private Limited**

  Address: Unit No.01, 3rd Floor, No.27 Kamaraj Colony, 3rd Street, Kodambakkam, Chennai, TN 600024, India.

  Telephone: (91)9176-999-602

- **Zhen Ding Developer India Private Limited**

  Address: Unit No.02, 3rd Floor, No.27 Kamaraj Colony, 3rd Street, Kodambakkam, Chennai, TN 600024, India.

  Telephone: (91)9176-999-602

- **Peng Shen Technology (Thailand) Co., Ltd.**

  Address: 288 Moo 5, Nonsi Sub-district, Kabin Buri District, Prachin Buri Province 25110, Thailand

  Telephone: (886)3-383-5678

List of Board Members

Title	Name	Nationality	Selected Education & Work Experiences
Chairman	Chang-Fang Shen	REPUBLIC OF CHINA	Honorary Doctor of Management, National Central University Honorary Doctor of Science of Chung Yuan Christian University Bachelor of Department of Business Administration, Chinese Culture University President, Unicap Electronics Industrial Corp. President, Hualien Promisedland Resort Executive Vice President, Pacific Securities Vice President of Underwriting, Asia Securities Section Chief, Export-Import Bank of the Republic of China
Director	Foxconn (Far East) Limited Representative: Che-Hung Yu	REPUBLIC OF CHINA	Master in Law, American University, United States Supervisor of Zhen Ding Tech. Group
Director	Ting-Chuan Lee	REPUBLIC OF CHINA	EMBA, National Taiwan University Master of Chemical Engineering, National Central University General Manager, Subtron Technology Co., Ltd. Vice President, Unimicron Technology Corp. Manager, Compeq Manufacturing Company Limited
Independent Director	Shin-Cheng Yeh	REPUBLIC OF CHINA	PhD in Civil and Environmental Engineering, Cornell University, USA Master of Environmental Engineering, National Taiwan University Minister of State of the Executive Yuan CEO of the National Sustainable Development Committee, Executive Yuan Political Deputy Minister of the Environmental Protection Administration, Executive Yuan Professor/Dean of the Graduate Institute of Environmental Education, National Kaohsiung Normal University
Independent Director	Gin-Ing Hu	REPUBLIC OF CHINA	MBA, Florida International University Master of Computer Science, Barry University, USA Supervisor of Powerchip Semiconductor Manufacturing Corporation CFO and Spokesperson, Acer Inc. President and Vice Chairman of Videoland Television Network Chief Executive Officer of Asia Television Limited, Hong Kong Director of CA & CTA Ltd., Hong Kong
Independent Director	Chun-Chung Chen	REPUBLIC OF CHINA	PhD in International Business Administration, University of Texas at Dallas (UTD), USA Master of International Business Administration, City University of New York, USA Associate Professor of International Business, Yuan Ze University

Honors and Recognitions:

Scored 88 in the ITC Electronic Equipment, Instruments & Components category of the S&P Global Corporate Sustainability Assessment (CSA) and featured in the S&P Global Sustainability Yearbook for four consecutive years	Selected as a constituent stock of the FTSE4-Good TIP Taiwan ESG Index for six consecutive years
The Company ranked in the top 6% to 20% of the Corporate Governance Evaluation of Listed Companies, and it was once again selected as a TWSE Corporate Governance 100 Index constituent stock.	Received low-risk rating of 16.13 points in Sustainalytics ESG Risk Assessment
Received an MSCI ESG rating of "BBB", indicating no involvement in any ESG controversies listed by MSCI.	The ISS ESG rating "C+", obtaining the "Prime" grade.
Received A's, the highest rating, in Water Safety Rating and Climate Change Rating of CDP.	The subsidiary Avary Holding received the Wind ESG Rating of AA, ranking tenth in the industry.
CATI rating ranked 7th in the IT/ICT industry. Ranked sixth in the Green Supply Chain CITI Index for the IT/ICT industry	Received a 4.5 out of 5 rating from FTSE Russell ESG, the No. 1 PCB company in Taiwan

Zhen Ding Technology Holding Limited

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CHAPTER 1. LETTER TO SHAREHOLDERS

Though the global political and economic situation remained volatile in 2025, the rapid growth of AI brought forth structural changes to the electronics industry, and the PCB industry ushered in an unprecedented opportunity. Faced with a complex and rapidly changing market environment, Zhen Ding Tech. Group has always adhered to the spirit of prudent operations. With the joint efforts of all employees and the long-term support of our customers, strategic partners and shareholders, the consolidated revenue in 2025 reached NT$182.522 billion, setting a new record and helping us to maintain our leading position in the global PCB industry for the ninth consecutive year. Looking ahead, 2026 will mark the start to a new round of high-speed growth. AI applications will continue to flourish and edge computing will drive demand for diverse terminals. Zhen Ding has made progress in key products and important customers, and related deployments are expected to gradually transform into growth drivers that will propel our operations to new heights.

I. Revenue Overview

In 2025, our consolidated revenue was NT$182.522 billion, increasing by 6.33% compared to 2024. Our consolidated net profit after tax was NT$10.605 billion (the consolidated net profit after tax attributable to the parent company was NT$6.791 billion), decreasing by 19.02% compared to 2024. The earnings per share (EPS) of the consolidated net profit after tax attributable to the parent company was NT$6.91.

II. A Comprehensive Approach to AI, Paving a Solid Foundation for the Future

In response to the AI trend, Zhen Ding has established corresponding product and process capabilities for "cloud, network, and edge computing". We provide solutions for high-end IC substrates and advanced packaging for IC and computing power-related applications. In cloud and data center infrastructure, we supply high layer count circuit (HLC PCB) AI server motherboards and high-speed transmission-related products to support high-frequency and high-speed signal requirements. In terms of end-user applications, we are also a key supplier for many important customers, helping to accelerate the implementation of AI applications. With this comprehensive strategy, Zhen Ding's revenue from AI cloud, network, and terminal application-related products have already accounted for nearly 70% in 2025. We have also seized the next-generation business opportunities and are optimistic that AI will continue to drive the growth in PCB demand, which will become the core growth driver for the Group's operations for reaching even greater heights.

In response to the continued demand growth going forward, Zhen Ding is currently undergoing the largest capacity expansion since our inception, with 10 plants under construction simultaneously worldwide. On top of fulfilling the growing number of orders, this expansion will also build a highly resilient global production capacity and lay a solid foundation for our sustainable operation. Among them, as an important production base in Southeast Asia, our Thailand plant has completed customer verification and entered mass production. The Kaohsiung site is positioned as an important hub for advanced processes and high-end products, focusing on the research and development and manufacturing of advanced flexible PCB (FPCB), high-end PCBs and high-end substrates. Both bases will formally join the ranks of our revenue contributors this year.

In terms of product development strategy, Zhen Ding continues to strengthen R&D and manufacturing capabilities across four major product lines: flexible printed circuit boards (FPCBs), rigid printed circuit boards (RPCBs), high density interconnect (HDI), and IC substrates. Benefiting from the strong demand for AI servers, switches and optical modules, rigid PCBs are evolving towards high-multilayer, thick high-level circuit (HLC) PCB, and HDI is also developing towards higher-end intelligent HDI (iHDI). IC substrates play a key role in AI computing architecture. Meanwhile, AI-enabled smart terminal applications, such as AR/VR, smart glasses, and humanoid robots, continue to raise the technical thresholds for miniaturization, flexual strength, and high reliability in the FPCB. By continuously improving our manufacturing processes and optimizing production capacity layout, Zhen Ding strives to provide customers with comprehensive solutions. Through working closely with customers, we will steadily enhance the operational scale of the Group, and continue to fortify our leading position in the industry.

III. Shoulder Social Responsibility and Achieve Sustainable Development

With a commitment to social responsibility and sustainable development, Zhen Ding has long been committed to implementing environmental, social and governance (ESG) standards at a higher level and continues to improve them through institutionalized approaches. In 2025, having scored 88 points, Zhen Ding was included in S&P Global Sustainability Yearbook for the fourth consecutive year. We also received a score of 4.5 in the FTSE Russell ESG rating. In terms of water resource management, we achieved the highest rating of "A" in the CDP water security questionnaire. We were also selected as one of Business Weekly's "Top 100 Carbon Competitive Companies of 2025".

In addition, talent is the key to driving innovation. Zhen Ding continues to optimize our training mechanisms and organizational skill-building, and expand our talent sources and strengthen our professional development through industry-academia cooperation. We maintain cooperation with more than 23 colleges and universities across the Taiwan Strait, thereby achieving comprehensive cross-regional recruitment, training and succession planning. At the same time, we enhance governance transparency and operational efficiency through systems and data management to ensure that strategies are effectively implemented. Going forward, Zhen Ding will further improve resource utilization efficiency, work with supply chain partners to strengthen sustainable management, steadily promote sustainable governance, and enhance operational resilience and long-term competitiveness.

IV. Continue to Promote the One ZDT Core Strategy

To meet the challenges of rapid technological iteration, Zhen Ding adheres to the core strategy of "One ZDT" to create a "one-stop shop platform" that is difficult to replicate in the industry, and is committed to providing customers with comprehensive technology solutions. In 2025, we achieved outstanding results in R&D and innovation, with the number of our patents exceeding 2,000. This not only symbolizes Zhen Ding's leading position in terms of technological value, but also provides us with a solid foundation to ensure our market share in high-end orders and maintain long-term competitiveness.

To meet the demands of AI computing power, Zhen Ding has successfully entered the AI server supply chain through our high-layer, large-size HLC and high-end iHDI. At the same time, in line with the needs of high-speed transmission and high-performance computing, optical modules and high-end IC substrates are also gradually increasing in volume. In the area of edge AI devices, we leveraged the miniaturization advantages of flexible printed circuit boards (FPCB) and substrate-like PCB (SLP) to continuously improve and achieve breakthroughs in applications such as foldable phones and AR/VR smart glasses. These high-margin, high-end products will become the main drivers of the Group's revenue and profit growth.

To ensure the perfect delivery of high-end products, Zhen Ding has thoroughly cultivated our digital transformation and smart manufacturing. Through AI data analysis and smart monitoring, we have accurately improved both yield and quality, significantly shortened the ramp-up of new product mass production, and significantly improved overall production efficiency and per capita output. We are committed to pushing the boundaries of manufacturing processes. Having transformed the Company from simple manufacturing to high-value-added smart manufacturing services, we have become the preferred partner for top global clients with the highest standards of productivity and quality.

V. Future Prospects

Looking ahead, although the global political and economic situation remains volatile and market competition is also becoming increasingly fierce, the full implementation of artificial intelligence has brought structural growth opportunities to the PCB industry. Zhen Ding is fully prepared to deal with a new era filled with both opportunities and challenges. We are confident in taking the initiative amidst change, moving steadily forward despite risks, and expanding our leading advantages in the AI boom. We will work hand in hand with all our employees, shareholders, customers, and supply chain partners to create an even more brilliant chapter for Zhen Ding.

Chairman

Chang-Fang Shen

CHAPTER 2. Company Introduction

I. Company and Group Profile:

Zhen Ding Technology Holding Limited was established in 2006. Its subsidiaries include Avary Holding (Shenzhen) Co., Ltd. (Avary Holding 002938.SZ), Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd., and BoardTek Electronics Corp. The companies actively develop flexible circuit boards (FPC), substrate-like PCB (SLP), high-density interconnection (HDI), rigid printed circuit boards (RPCB), IC substrates (ICS), rigid-flex printed circuit boards (Rigid Flex), and modules, as well as semiconductor-related advanced technologies and high-end products, which are widely used in end products such as AI phones, AI wearable devices, network equipment, tablet computers, laptop computers, AI servers, base stations, smart appliances, automobiles, medical devices, and aerospace products.

Under the leadership of Chairman Chang-Fang Shen, Zhen Ding Tech Group has fostered a management team with extensive experience. The Company cooperates with leading global customers and uses advanced technologies to establish a comprehensive manufacturing base with high efficiency and low costs. This base is designed to develop an efficient, reasonable, automated, and unmanned modern manufacturing process. According to Prismark Printed Circuit, the Company was rated as the largest PCB manufacturing company in the world for nine consecutive years since 2017.

While pursuing innovation, the pollution prevention and resources recycling are the Company's social responsibilities and the foundation of sustainable development. Therefore, our investee companies and subsidiary companies have taken on the responsibility of establishing new production sites that meet environmental protection standards and implement pollution prevention and wastewater treatment standards that are superior to government regulations.

Currently, the investee companies and all subsidiaries have passed clean production reviews and they continue to implement greenhouse gas inventory and other carbon emissions reduction management to promote ideals of green environmental protection and establish a green corporate culture. Environmental protection is the most important responsibility and mission of the Company. The Companies uphold the ideas of "One ZDT" (one-stop shopping service), continue to develop advanced production process technology and high-performance and cost-effective products. The Company will continue to lead industry developments, strengthen its core competitiveness, and promote its core values of "Integrity, Responsibility, Innovation, Excellence, and Altruism." Through talent recruitment, the Company will elevate its overall management standard and meet international standards for research and development, production, sales, and operational management. Furthermore, environmental protection and work safety management will be continuously improved to uphold the principles of fair treatment towards employees, the environment, and suppliers. As the Company continues to grow with its strategic partners and innovate and develop, it will move towards the mission of "developing technology, benefiting humanity, protecting the environment, and making the world a better place".

All employees of the Group shall maintain a positive and aggressive attitude and focus on their production and operations to create a comprehensive industry platform and develop related industry. The ultimate goal is continuously promote the Company's leading position in the industry and maximize profits of the Company and Shareholders.

II. Group Structure:please refer to page 182 of the Annual Report for more information.

III. Risk Matters:please refer to pages 148 to 166 of the Annual Report for more information.

CHAPTER 3. Corporate Governance

I. Information Regarding Directors, President, Vice Presidents, Assistant Vice Presidents, and Heads of Departments and Subsidiaries

(I) Director Information

1. Board Members:

March 31, 2026

Title	Nationality or Registry	Name	Gender Age	On-board Date	Term	Date first elected	Shares Held When Elected		Shares Currently Held		Shares Held by Spouse & Minors		Shares Held by Nominee Arrangement		Selected Education & Work Experiences	Concurrent position in the Company and/or other companies	Board Members who has a spouse or relative within two degrees of consanguinity serving as a manager or director at ZDT			Footnote (Note 3)
							Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage			Title	Name	relationship	
Chairman	Republic of China	Chang-Fang Shen	Male 71~80	2023.05.30	3	2006.06.05	4,588,000	0.48%	4,688,000	0.44%	–	–	–	–	Honorary Doctor of Management, National Central University Honorary Doctor of Science of Chung Yuan Christian University Bachelor of Department of Business Administration, Chinese Culture University President, Unicap Electronics Industrial Corp. President, Hualien Promisedland Resort Executive Vice President, Pacific Securities Vice President of Underwriting, Asia Securities Section Chief, Export-Import Bank of the Republic of China	Note 2	–	–	–	
Director	CAYMAN ISLANDS	Foxconn (Far East) Limited	–	2023.05.30	3	2008.02.18	305,515,627	32.26%	305,515,627	28.54%	–	–	–	–	–	–	–	–	–	
Director Representative	Republic of China	CHE-HUNG YU	Male 61~70 age	–	–	–	–	–	–	–	–	–	–	–	Master in Law, American University, United States Supervisor of Zhen Ding Tech. Group	Note 2	–	–	–	
Director	Republic of China	Ting-Chuan Lee	Male 51~60	2023.05.30	3	2020.06.19	80,000	0.01%	200,000	0.02%	–	–	–	–	EMBA, National Taiwan University Master of Chemical Engineering, National Central University General Manager, Subtron Technology Co., Ltd. Vice President, Unimicron Technology Corp. Manager, Compeq Manufacturing Company Limited	Note 2	–	–	–	

Title	Nationality or Registry	Name	Gender Age	On-board Date	Term	Date first elected	Shares Held When Elected		Shares Currently Held		Shares Held by Spouse & Minors		Shares Held by Nominee Arrangement		Selected Education & Work Experiences	Concurrent position in the Company and/or other companies	Board Members who has a spouse or relative within two degrees of consanguinity serving as a manager or director at ZDT			Footnote (Note 3)
							Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage			Title	Name	relationship	
Independent Director	Republic of China	Shin-Cheng Yeh	Male 51~60	2023.05.30	3	2023.05.30	–	–	–	–	–	–	–	–	PhD in Civil and Environmental Engineering, Cornell University, USA Master of Environmental Engineering, National Taiwan University Minister of State of the Executive Yuan CEO of the National Sustainable Development Committee, Executive Yuan Political Deputy Minister of the Environmental Protection Administration, Executive Yuan Professor/Dean of the Graduate Institute of Environmental Education, National Kaohsiung Normal University	Note 2	–	–	–	
Independent Director	Republic of China	Gin-Ing Hu	Female 61~70	2023.05.30	3	2023.05.30	–	–	–	–	–	–	–	–	MBA, Florida International University Master of Computer Science, Barry University, USA Supervisor of Powerchip Semiconductor Manufacturing Corporation CFO and Spokesperson, Acer Inc. President and Vice Chairman of Videoland Television Network Chief Executive Officer of Asia Television Limited, Hong Kong Director of CA & CTA Ltd., Hong Kong	Note 2	–	–	–	
Independent Director	Republic of China	Chun-Chung Chen	Male 51~60	2023.05.30	3	2023.05.30	–	–	–	–	–	–	–	–	PhD in International Business Administration, University of Texas at Dallas (UTD), USA Master of International Business Administration, City University of New York, USA Associate Professor of International Business, Yuan Ze University	Note 2	–	–	–	

Note 1: Independent Director Chen-Fu Chien resigned from the position of independent director and various functional committees on February 27, 2025.

Note 2: Directors' concurrent duties in the company and in other companies are summarized in the table below:

Title	Name	Concurrent position in the Company and/or other companies
Chairman	Chang-Fang Shen	CSO, Zhen Ding Technology Holding Limited Chairman, Zhen Ding Technology Co., Ltd. Chairman, Avary Holding (Shenzhen) Co., Ltd. Director of Monterey Park Finance Limited Director of FAT Holdings Limited Director of Pacific Fair International Limited Director of Mayco Industrial Limited Director of Coppertone Enterprises Limited
Director Representative	Che-Hung Yu	Director, Avary Holding (Shenzhen) Co., Ltd. Supervisor, Garuda Technology Co., Ltd. Senior Assistant Vice President of Hon Hai Precision Industry Co., Ltd. Representative of Institutional Director of Syntrend Creative Park Co., Ltd.
Director	Ting-Chuan Lee	Executive Director, Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd. Executive Director of Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd. Director of Leading Interconnect International Limited Director of Leading Interconnect Semiconductor Technology Limited
Independent Director	Shin-Cheng Yeh	Distinguished Professor of the Graduate Institute of Sustainability Management and Environmental Education, National Taiwan Normal University
Independent Director	Gin-Ing Hu	Chairman of Invista Investment Co., Ltd. Chairman of He Mei Industrial Co., Ltd. Chairman of COWealth Medical Science & Biotechnology (Shanghai) Co., Ltd. Independent Director of Acer Synergy Tech Co., Ltd. Independent Director, ADATA Technology Co., Ltd. Independent Director of Brim Biotechnology, Inc. Director of BeneLife Management Ltd. Director, Zhongxing Agriculture and Forestry Development Co., Ltd. Director of BENEPET Co., Ltd. Director of Horam Technology Limited Supervisor, SmartBee Intelligence Co., Ltd.
Independent Director	Chun-Chung Chen	Associate Professor of International Business, National Taiwan University Independent Director of ATEN International Co., Ltd.

Note 3: Where the Chairman of the Board of Directors and the President or person of an equivalent post (most senior manager) are the same person, spouses, or relatives within the first degree of kinship, an explanation shall be given of the reason for, reasonableness, necessity thereof, and the measures adopted in response thereto: None

2. Major shareholders of Institutional Director:

March 31, 2026

Name of Institutional Director	Major shareholders of Institutional Director
Foxconn (Far East) Limited	Hon Hai Precision Industry Co., Ltd.

3. Major Shareholder of Institutional Shareholder that is an Institutional Shareholder and Percentage of Shares Held (Top 10 Shareholders):

March 31, 2026

Major Shareholder of Institutional Director	Major Institutional Shareholders	Shares Held (shares)	Shares Held (%)
Hon Hai Precision Industry Co., Ltd.	Terry Gou	1,739,698,518	12.40%
	Bureau of Labor Funds	248,786,271	1.77%
	ChinaTrust in custody for Yuanta Taiwan Excellence 50	235,117,654	1.68%
	Standard Chartered Bank in custody for LGT Bank Investment Account	182,237,055	1.30%
	Standard Chartered Bank in custody for Vanguard Total International Stock Index Fund, a series of Vanguard Star Funds	177,305,135	1.26%
	JPMorgan Chase Bank N.A. in custody for Vanguard Emerging Markets Stock Index Fund, a series of Vanguard International Equity Index Funds	168,157,761	1.20%
	Citibank (Taiwan) in custody for iShares Emerging Markets ETF Investment Account	139,122,928	0.99%
	Citibank in custody for Norges Bank Investment Account	134,110,951	0.96%
	Citibank in custody for Government of Singapore Investment Account	130,669,419	0.93%
	Investment account of Total International Stock Market Index Trust II of Vanguard under the custody of Standard Chartered Bank Business Department	88,929,000	0.63%

4. Professional qualifications and experience of Directors and independence information disclosure of Independent Directors:

Criteria / Name and title	Professional qualifications and experience	Independence	Number of positions as an independent director in other public companies
Chang-Fang Shen (Chairman)	1. Has experience in business, corporate governance, finance, accounting, and work experience necessary for the business of the Company. 2. Once held the positions of President of Unicap Electronics Industrial Corp., President of Hualien Promisedland Resort, Executive Vice President of Pacific Securities, and Vice President of Underwriting of Asia Securities. 3. Does not contain matters related to all paragraphs of Article 30 and Article 27 of the Company Act.	N/A	None

Criteria / Name and title	Professional qualifications and experience	Independence	Number of positions as an independent director in other public companies
Foxconn (Far East) Limited Representative: Che-Hung Yu (director representative)	1. Has experience in law and work experience necessary for the business of the Company. 2. Currently serving as Senior Assistant Vice President of Hon Hai Precision Industry Co., Ltd., and Representative of Institutional Director of Syntrend Creative Park Co., Ltd. 3. Does not contain matters related to all paragraphs of Article 30 of the Company Act.		None
Ting-Chuan Lee (Director)	1. Have experience in information technology and work experience necessary for the business of the Company. 2. Served as Vice President of Subtron Technology Co., Ltd. And Unimicron Technology Corp. 3. Does not contain matters related to all paragraphs of Article 30 and Article 27 of the Company Act.		None
Shin-Cheng Yeh (Independent Director)	1. Has experience in sustainable development, risk management, and work experience necessary for the business of the Company. 2. Currently serving as Professor of the Graduate Institute of Sustainability Management and Environmental Education, National Taiwan Normal University. 3. Does not contain matters related to all paragraphs of Article 30 and Article 27 of the Company Act.	1. The Independent Directors of the Company are in compliance with the independence criteria. 2. Including, but not limited to, whether the independent director, their spouse, or their relatives within the second degree of kinship have not served as directors, supervisors, or employees of the Company or its affiliates, do not hold shares of the Company, and are not acting as directors, supervisors, or employees of companies that have specific	None
Gin-Ing Hu (Independent Director)	1. Has experience in finance, accounting, audits, corporate governance, information technology, and work experience necessary for the business of the Company, as well as CPA certification in the United States and Hong Kong. 2. Currently serving as Chairman of Ing-Da Investment Co., Ltd., and independent director of Acer Synergy Tech Corp., ADATA Technology Co., Ltd. and Kinpo Electronics, Inc. 3. Does not contain matters related to all paragraphs of Article 30 and Article 27 of the Company Act.		3

Criteria / Name and title	Professional qualifications and experience	Independence	Number of positions as an independent director in other public companies
Chun-Chung Chen (Independent Director)	1. Has experience in business, corporate governance, finance, and work experience necessary for the business of the Company. 2. Currently serving as Associate Professor of International Business, National Taiwan University, and independent director of ATEN International Co., Ltd.. 3. Does not contain matters related to all paragraphs of Article 30 and Article 27 of the Company Act.	relationships with the Company. 3. Has not received remuneration for providing business, legal, financial, or accounting services to the Company or its affiliated enterprises in the most recent 2 years.	1

5. Diversity and Independence of the Board of Directors

(1) Board Diversity:

- The Company has stipulated in the Corporate Governance Best Practice Principles that diversity shall be considered in the composition of board members. Directors who are also managers in the Company may not take up more than one-third of all seats. In addition, appropriate diversity policies shall be stipulated reflective of the Company's operation status, operational pattern, and developmental needs, which shall include, without limitation, the following two major aspects:
  1. Basic qualifications and values: Gender, age, nationality, culture, etc. Among the Board, female directors account for one third of all directors.
  2. Professional knowledge and skills: professional background (e.g., law, accounting, industry, finance, marketing, or technology), professional skills, and industry experience.
- Each board member shall have the necessary knowledge, skill, and experience to perform their duties. To achieve an ideal level of corporate governance, the Board of Directors should be equipped with the following abilities:
  1. Ability to make sound business judgments.
  2. Ability to perform accounting and financial analyses.
  3. Business management skills.
  4. Crisis management skills.
  5. Industrial knowledge.
  6. An international market perspective.
  7. Leadership skills.
  8. Decision-making capabilities.

- The Board's specific management goals and implementation of director diversification policies are as follows:

Management objectives	Achievement status (Note)
Increase the percentage of female directors	Achieved. One female director has been added, resulting in a female directorship ratio of 14%
Directors who serve as managers of the Company concurrently shall not exceed one third of the Board of Directors	Achieved. The percentage of directors serving as managers of the Company is 29%
Percentage of independent directors exceeds one-third	Achieved. The percentage of independent directors is 43%
Independent directors serve for a maximum of three consecutive terms	Achieved
Possess diverse industry experiences, professional knowledge and skills	Achieved

Note: The calculation is based on the number of seats (7) held by incumbent directors on the date of publication of the Annual Report.

- Board Diversification Implementation:

Diversification items / Name	Basic Composition		Number of Years Acting as Independent Director of the Company			Professional knowledge and industry experience										
	Nationality and Gender	Age	Below 3 years	3 to 9 years	9 years or more	Employee of the Company	Banks	Securities	Business Management	Asset Management	Finance	Accounting	Law	Information Technology	Risk Management	Sustainable Development
Chang-Fang Shen	Republic of China (Male)	71~80				✓	✓	✓	✓	✓	✓	✓		✓	✓	
Che-Hung Yu	Republic of China (Male)	61~70							✓				✓		✓	
Ting-Chuan Lee	Republic of China (Male)	51~60				✓			✓					✓	✓	
Shin-Cheng Yeh	Republic of China (Male)	51~60	✓						✓						✓	✓
Gin-Ing Hu	Republic of China (Female)	61~70	✓						✓	✓	✓	✓		✓	✓	
Chun-Chung Chen	Republic of China (Male)	51~60	✓						✓		✓	✓			✓	

Name \ Diversification items	Professional Capability							
	Ability to make sound business judgments	Ability to perform accounting and financial analyses	Ability to manage a business	Ability to handle crisis	Industrial knowledge	An international market perspective	Leadership ability	Decision-making capabilities
Chang-Fang Shen	✓	✓	✓	✓	✓	✓	✓	✓
Che-Hung Yu	✓		✓	✓		✓	✓	✓
Ting-Chuan Lee	✓		✓	✓	✓	✓	✓	✓
Shin-Cheng Yeh	✓		✓	✓		✓	✓	✓
Gin-Ing Hu	✓	✓	✓	✓		✓	✓	✓
Chun-Chung Chen	✓	✓	✓	✓		✓	✓	✓

The percentage of directors serving as employees of the Company is 29%. Three directors are 51 to 60 years old, two directors are 61 to 70 years old, and one director is 71 to 80 years old. In order to increase the ratio of female directors, the Company has added a female director during the 5th-term election of directors in 2023. Due to the nature of the industry in which the Company operates, the proportion of female professionals is relatively low. However, to continue promoting gender equality in the composition of the Board of Directors, the Company will actively seek qualified female professionals who meet its expertise and skill requirements to achieve the goal of having at least one-third representation for either gender on the Board.

(2) Independence of the Board of Directors:
The Company's current Board of Directors consists of 6 members, including 3 directors and 3 independent directors. The percentage of independent directors to the current nominated Board members (7 seats) is 43%. All independent directors of the Company comply with the regulations of the "Regulations Governing Appointment of Independent Directors and Compliance Matters for Public Companies". There are no situations falling under Subparagraphs 3 and 4 of Article 26-3 of the Securities and Exchange Act among the directors and independent directors. The Board of Directors of the Company is independent, and information on the professional qualifications and experience of the directors and the independence of the independent directors can be found on pages 8 to 10 of the Annual Report.

6. Succession Planning and Implementation of Members of the Board of Director

(1) Regarding the succession planning for the Board of Directors, the Company has proactively cultivated senior executives to join the Board of Directors. The executives are well-versed in the operations of the Board of Directors and the business of the units in the Group. Currently, there are several senior management experts in the Group, providing a rich pool of talent for director selection. Besides considerations related to diversity, directors who also serve as managers of the Company shall not exceed one third of the Board of Directors. The Company will focus on gender equality and the directors must have the knowledge, skills, and competency to carry out their duties.

(2) The Company continues to implement director succession planning, and establishes the director candidate database according to the following standards:

- Integrity, responsibility, innovation, and decision-making ability. The standards comply with the core values of the Company and improves the professional knowledge and abilities related to management of the Company.
- Possesses industry experience related to the business of the Company.
- The participation of the member is expected to provide an effective and diverse Board of Directors that complies with the requirements of the Company.
- The Company’s Corporate Governance, Sustainability, and Nominating Committee shall conduct qualification reviews for the nomination and selection of directors and independent director candidates, in order to feffectively select a suitable director candidate when there is a vacancy in the Board or if new director positions are added.

(II) Information Regarding President, Vice Presidents, Assistant Vice Presidents, and Heads of Departments and Subsidiaries

March 31, 2026

Title	Nationality	Name	Gender	On-board Date	Number of shares held		Spouse & Minor Children Shareholding		Shares Held by Nominee Arrangement		Selected Education & Work Experiences	Current Position at Other Companies	Managers who has a spouse or relative within two degrees of consanguinity serving as a manager at ZDT			Footnote
					Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage			Title	Name	relationship	
President	Republic of China	Chen-Fu Chien	Male	2025.03.01	5,000	–	5,000	–	–	–	Ph.D of Decision Science and Operations, University of Wisconsin - Madison, USA Master of Industrial Engineering, University of Wisconsin - Madison, USA Dual Degree from the Department of Industrial Engineering and the Department of Electrical Engineering, National Tsing Hua University (Honorary Member of Phi Tau Phi Scholastic Honor Society of the Republic of China) Independent Director, Zhen Ding Technology Holding Ltd. Lecture Professor and Executive Vice President, National Tsing Hua University Director of the Ministry of Science and Technology “IC Industry Alliance” program and the "Tsinghua-TSMC Manufacturing Center of Excellence" Chairman, Chinese Institute of Industrial Engineers	Independent Director, Airoha Technology Co., Ltd. Independent Director, ASPEED Technology Inc. Director of Artificial Intelligence for Intelligent Manufacturing Systems (AIMS) Research Center	–	–	–	Note
Vice President	Republic of China	Jing-Hsien Hsieh	Male	2021.08.30	–	–	–	–	–	–	Masters, Department of Administration Police, Central Police University Deputy Commissioner, Criminal Investigation Bureau, National Police Agency, Ministry of the Interior mmissioner, Yilan County Police Bureau	–	–	–	–	
Senior Manager (Corporate Governance Officer)	Republic of China	Duen Ling	Female	2021.05.07	10,000	0.001%	–	–	–	–	Bachelor's degree, Tatung University Department of Underwriting, Asia Securities President, Apex Investment Consulting Co., Ltd. Supervisor, Ways Technical Corp., Ltd.	–	–	–	–	
Assistant Vice President (Financial Officer)	Republic of China	Eddie Chiang	Male	2023.08.09	–	–	–	–	–	–	MBA, University of Illinois Bachelor of Department of Information Management, National Central University Director, ANZ Banking Group Taipei Branch Vice President, Fubon Bank (Hong Kong) Limited Deputy General Manager, ABN AMRO Taipei Branch	–	–	–	–	
Manager (Accounting Officer)	Republic of China	Shih-Te Chou	Male	2024.03.12	71	–	–	–	–	–	Masters, Accounting and Public Finance, Feng Chia University Deputy Manager, Lucky-Brand Industrial Co., Ltd.	–	–	–	–	

Note: Chairman Chang-Fang Shen was dismissed from his concurrent position of President on March 1, 2025. Upon resolution of the Board of Directors, Chen-Fu Chien was appointed to the position of President.

(III) Remunerations to directors, president, and vice presidents in the most recent year

1. Remuneration Paid to Directors and Independent Directors

December 31, 2025; Unit: NT$ thousand

Title	Name	Remunerations Paid to Directors: Remuneration (A) The Company	Remuneration (A) Consolidated Entities	Pension (B) The Company	Pension (B) Consolidated Entities	Remuneration (C) The Company	Remuneration (C) Consolidated Entities	Allowances (D) The Company	Allowances (D) Consolidated Entities	Amount and Ratio of Total A, B, C and D to Net Income (Note 1) The Company	Amount and Ratio of Total A, B, C and D to Net Income (Note 1) Consolidated Entities	Compensation Earned as an Employee of the Company or of the Company's Consolidated Entities: Salary, Bonus and etc. (E) The Company	Salary, Bonus and etc. (E) Consolidated Entities	Pension (F) The Company	Pension (F) Consolidated Entities	Employees' Remuneration (G) The Company Cash	Employees' Remuneration (G) The Company Stock	Employees' Remuneration (G) Consolidated Entities Cash	Employees' Remuneration (G) Consolidated Entities Stock	Amount and Ratio of Total A, B, C, D, E, F and G to Net Income (Note 1) The Company	Amount and Ratio of Total A, B, C, D, E, F and G to Net Income (Note 1) Consolidated Entities	Compensation from Non-consolidated Affiliates or Parent Company
Chairman	Chang-Fang Shen	56	56	–	–	40,426	40,426	–	–	40,482 0.60%	40,482 0.60%	33,151	33,151	–	–	174,181	–	174,181	–	247,814 3.65%	247,814 3.65%	–
Director	Foxconn(Far East) Limited																					
Representative	Che-Hung Yu																					
Director	Ting-Chuan Lee																					
Independent Director	Chen-Fu Chien (Note 2)	2,280	2,280	–	–	7,917	7,917	–	–	10,197 0.15%	10,197 0.15%	–	–	–	–	–	–	–	–	10,197 0.15%	10,197 0.15%	–
Independent Director	Shin-Cheng Yeh																					
Independent Director	Gin-Ing Hu																					
Independent Director	Chun-Chung Chen																					

(1) Please describe the policies, structure, systems, standards, and structures for the payment of independent director remuneration, and the relationship of the remuneration amount according to the associated responsibilities, risks, and investment time:
Director remuneration is determined in accordance with Article 13.5 of the Articles of Association, following the Company's "Regulations Governing the Evaluation of the Performance of the Board of Directors and Functional Committees." Evaluation criteria include individual director involvement in company operations, understanding of director responsibilities, interaction with the management team, internal controls, enhancement of decision-making quality, and contribution to company performance (net profit after tax, earnings per share, and return on equity), along with consideration of future industry risks and trends. Remuneration is set reasonably by the Board of Directors based on the advice of the Remuneration Committee and industry benchmarks. The Company reviews and adjusts remuneration annually based on actual operating conditions and relevant regulations to achieve a balance between sustainable operation and risk management.

(2) In addition to the table above, in the most recent fiscal year, compensation for services provided by directors of the company (including as a non-employee advisor for all companies/investees under the parent company/in the Financial Report) is as follows: None.

Note 1: Net income after tax refers to the net profit attributable to owners of the parent company as stated in the Company's consolidated financial statements for 2025.

Note 2: Independent Director Chen-Fu Chien resigned from the position of independent director and various functional committees on February 27, 2025.

Table of Remunerations Paid to Directors

<table>
<tr><th rowspan="3">Remuneration Range</th><th colspan="4">Name of Directors</th></tr>
<tr><th colspan="2">Total amount for the preceding four remunerations (A+B+C+D)</th><th colspan="2">Total amount for the preceding seven remunerations (A+B+C+D+E+F+G)</th></tr>
<tr><th>The Company</th><th>Consolidated Entities</th><th>The Company</th><th>Consolidated Entities</th></tr>
<tr><td>Less than NT$1,000,000</td><td>Legal representative: Che-Hung Yu, Chen-Fu Chien</td><td>Legal representative: Che-Hung Yu, Chen-Fu Chien</td><td>Legal representative: Che-Hung Yu, Chen-Fu Chien</td><td>Legal representative: Che-Hung Yu, Chen-Fu Chien</td></tr>
<tr><td>NT$1,000,000 to NT$2,000,000</td><td>—</td><td>—</td><td>—</td><td>—</td></tr>
<tr><td>NT$2,000,000 to NT$3,500,000</td><td>Foxconn, Ting-Chuan Lee, Shin-Cheng Yeh, Gin-Ing Hu, and Chun-Chung Chen</td><td>Foxconn, Ting-Chuan Lee, Shin-Cheng Yeh, Gin-Ing Hu, and Chun-Chung Chen</td><td>Foxconn, Shin-Cheng Yeh, Gin-Ing Hu, and Chun-Chung Chen</td><td>Foxconn, Shin-Cheng Yeh, Gin-Ing Hu, and Chun-Chung Chen</td></tr>
<tr><td>NT$3,500,000 to NT$5,000,000</td><td>—</td><td>—</td><td>—</td><td>—</td></tr>
<tr><td>NT$5,000,000 to NT$10,000,000</td><td>—</td><td>—</td><td>—</td><td>—</td></tr>
<tr><td>NT$10,000,000 to NT$15,000,000</td><td>—</td><td>—</td><td>—</td><td>—</td></tr>
<tr><td>NT$15,000,000 to NT$30,000,000</td><td>—</td><td>—</td><td>—</td><td>—</td></tr>
<tr><td>NT$30,000,000 to NT$50,000,000</td><td>Chang-Fang Shen</td><td>Chang-Fang Shen</td><td>—</td><td>—</td></tr>
<tr><td>NT$50,000,000 to NT$100,000,000</td><td>—</td><td>—</td><td>Ting-Chuan Lee</td><td>Ting-Chuan Lee</td></tr>
<tr><td>Above NT$100,000,000</td><td>—</td><td>—</td><td>Chang-Fang Shen</td><td>Chang-Fang Shen</td></tr>
<tr><td>Total</td><td>8 persons</td><td>8 persons</td><td>8 persons</td><td>8 persons</td></tr>
</table>

2. Remunerations of the President and Vice Presidents

December 31, 2025; Unit: NT$ thousand

<table>
<tr><th rowspan="3">Title</th><th rowspan="3">Name</th><th colspan="2">Remuneration (A)</th><th colspan="2">Pension (B)</th><th colspan="2">Bonus and allowance (C)</th><th colspan="4">Employee Bonus (D)</th><th colspan="2">Amount and Ratio of Total A, B, C and D to Net Income (%) (Note 1)</th><th rowspan="3">Compensation from Non-consolidated Affiliates or Parent Company</th></tr>
<tr><th rowspan="2">The Company</th><th rowspan="2">Consolidated Entities</th><th rowspan="2">The Company</th><th rowspan="2">Consolidated Entities</th><th rowspan="2">The Company</th><th rowspan="2">Consolidated Entities</th><th colspan="2">The Company</th><th colspan="2">Consolidated Entities</th><th rowspan="2">The Company</th><th rowspan="2">Consolidated Entities</th></tr>
<tr><th>Cash</th><th>Stock</th><th>Cash</th><th>Stock</th></tr>
<tr><td>President</td><td>Chang-Fang Shen (Note 2)</td><td rowspan="3">10,200</td><td rowspan="3">10,200</td><td rowspan="3">—</td><td rowspan="3">—</td><td rowspan="3">17,209</td><td rowspan="3">17,209</td><td rowspan="3">143,480</td><td rowspan="3">—</td><td rowspan="3">143,480</td><td rowspan="3">—</td><td rowspan="3">170,889
2.52%</td><td rowspan="3">170,889
2.52%</td><td rowspan="3">—</td></tr>
<tr><td>President</td><td>Chen-Fu Chien (Note 2)</td></tr>
<tr><td>Vice President</td><td>Jing-Hsien Hsieh</td></tr>
</table>

Note 1: Net income after tax refers to the net profit attributable to owners of the parent company as stated in the Company's consolidated financial statements for 2025.

Note 2: Chairman Chang-Fang Shen was dismissed from his concurrent position of President on March 1, 2025. Upon resolution of the Board of Directors, Chen-Fu Chien was appointed to the position of President.

Table of Remunerations Paid to Directors

Compensation Range	Name of President and Vice Presidents	
	The Company	Consolidated Entities E=(A+B+C+D)
Less than NT$1,000,000	—	—
NT$1,000,000 to NT$2,000,000	—	—
NT$2,000,000 to NT$3,500,000	—	—
NT$3,500,000 to NT$5,000,000	—	—
NT$5,000,000 to NT$10,000,000	Jing-Hsien Hsieh	Jing-Hsien Hsieh
NT$10,000,000 to NT$15,000,000	—	—
NT$15,000,000 to NT$30,000,000	Chen-Fu Chien	Chen-Fu Chien
NT$30,000,000 to NT$50,000,000	—	—
NT$50,000,000 to NT$100,000,000	—	—
Above NT$100,000,000	Chang-Fang Shen	Chang-Fang Shen
Total	3 persons	3 persons

3. Managerial Officer's Name and the Distribution of Employee Bonus

Unit: NT$ thousand

	Title	Name	Stock	Cash	Total	Total as percent of net income after tax (%) (Note)
Officers	President	Chang-Fang Shen	—	150,580	150,580	2.22%
	President	Chen-Fu Chien				
	Vice President	Jing-Hsien Hsieh				
	Assistant Vice President	Eddie Chiang				
	Senior Manager	Duen Ling				

Note: Net income after tax refers to the net profit attributable to owners of the parent company as stated in the Company's consolidated financial statements for 2025.

(IV) Includes the analysis results for the ratios of the net incomes to individual and each financial report, and that all of the Company's total remuneration amounts paid to the Company's directors, President, and Vice Presidents in the last 2 years; and specify the relevance between the payment remuneration policies, standards and combinations, remuneration setting procedures, operating performances, and future risks:

1. Analysis of the ratio of remuneration paid by the Company and by all companies included in the consolidated financial statements for the most recent two fiscal years to directors, the president, and vice presidents of the Company to the net profit after taxes:

Unit: NT$ thousand

Item	2024		2025	
	Amount	%	Amount	%
Directors. President and Vice Presidents	247,704	2.70%	279,524	4.12%
Net profit attributable to owners of the parent company	9,179,689	100.00%	6,790,508	100.00%

2. The Company's policies and standards of paying remunerations, and packages of remuneration; the procedure for making such decisions; and relation to business performance and future risks:
    (1) Director remuneration is determined in accordance with Article 13.5 of the Articles of Association. The Company may set aside no more than half percent (0.5%) of the profit for the current year as remuneration for directors. Based on the Company's Regulations Governing the Evaluation of the Performance of the Board of Directors and Functional Committees, evaluation criteria include individual director involvement in company operations, understanding of director responsibilities, interaction with the management team, internal controls, enhancement of decision-making quality, and contribution to company performance (net profit after tax, earnings per share, and return on equity), along with consideration of future industry risks and trends. Remuneration is set reasonably by the Board of Directors based on the advice of the Remuneration Committee and industry benchmarks. The Company reviews and adjusts remuneration annually based on actual operating conditions and relevant regulations to achieve a balance between sustainable operation and risk management.
    (2) The performance evaluation and remuneration policies, systems, standards, and structures of senior managers are stipulated by the Remuneration Committee. By integrating the ESG sustainability framework covering Environmental, Social, and Governance aspects, the senior management team is entrusted with the responsibility and commitment to promote corporate sustainability. Through the performance incentive mechanism for senior management, ESG performance is included in the annual compensation adjustment evaluation criteria, which combines the interests of the Company with the senior management and makes corporate sustainability a common goal. Starting in 2024, the long-term incentive plan for senior managers is implemented through a stock ownership trust. The plan includes a 10-year holding period and a clawback clause, ensuring alignment with the Company's long-term performance and shareholder interests.

<table>
<tr><th>Variable remuneration</th><th>Percentage</th><th colspan="2">Evaluation criteria</th></tr>
<tr><td>Financial indicators of the Company</td><td>70%</td><td colspan="2">Net profit after tax, earnings per share, and shareholders' return on equity (ROE).</td></tr>
<tr><td rowspan="3">ESG performance indicators</td><td rowspan="3">30%</td><td>Governance</td><td>Prohibiting the use of conflict minerals; The ratio of our recycled material usage, etc..</td></tr>
<tr><td>Environmental</td><td>Total amount of recycled water; Total green energy usage, etc..</td></tr>
<tr><td>Social</td><td>Human rights training coverage; Annual average training hours per person, etc..</td></tr>
</table>

II. Implementation of Corporate Governance

(I) Operations of the Board of Directors

The Company convened a total of 8 meetings of the Board of Directors in 2025 and the details of attendance are as follows:

Title	Name	Attendance in Person	Attendance by Proxy	Attendance rate (%)	Footnote
Chairman	Chang-Fang Shen	8	0	100%	
Director	Foxconn(Far East) Limited Representative: Che-Hung Yu	7	1	87.50%	
Director	Ting-Chuan Lee	8	0	100%	
Independent Director	Chen-Fu Chien	1	0	100%	Resigned on February 27, 2025
Independent Director	Shin-Cheng Yeh	8	0	100%	
Independent Director	Gin-Ing Hu	8	0	100%	
Independent Director	Chun-Chung Chen	8	0	100%	

Other items that shall be recorded:

I. Should any of the following take place in a board meeting, the date and number of the meeting, the content of proposal, independent director's opinions, and the Company's response to such opinions should be recorded:

(I) Conditions listed in Article 14-3 of the Securities and Exchange Act: The Company has established the Audit and Risk Committee, and therefore, is not subject to the regulations stipulated in Article 14-3 of the Securities and Exchange Act. Please refer to Section (II) Audit and Risk Committee Operations of this chapter for relevant information.

(II) Aside from the above matters, other resolutions adopted by the Board of Directors to which an independent director has expressed objections or qualified opinions on record or in writing: None.

II. When a director recuses himself/herself from proposals involving the conflict of interest, the director's name, the proposal, cause for the conflict of interest, and the voting shall be specified:

(I) On February 27, 2025, the 12th meeting of the 5th Board of Directors passed the proposal for the appointment and remuneration for the President: As Chairman Chang-Fang Shen was a stakeholder in this matter, he voluntarily abstained from the discussion and voting process, and designated Ms. Gin-Ing Hu, an independent director, as the Acting Chairman. Passed as proposed after the Acting Chairman consulted all attending directors.

(II) On March 11, 2025, the 13th meeting of the 5th Board of Directors passed the proposal for the appointment and remuneration for the Chiefi Strategy Officer: As Chairman Chang-Fang Shen was a stakeholder in this matter, he voluntarily abstained from the discussion and voting process, and designated Ms. Gin-Ing Hu, an independent director, as the Acting Chairman. Passed as proposed after the Acting Chairman consulted all attending directors.

(III) On August 12, 2025, the 16th meeting of the 5th Board of Directors passed the 2024 remuneration distribution proposal for directors: As Chairman Chang-Fang Shen was a stakeholder in this matter, he voluntarily abstained from the discussion and voting process, and designated Ms. Gin-Ing Hu, an independent director, as the Acting Chairman. Passed as proposed after the Acting Chairman consulted all attending directors.

(IV) On December 29, 2025, the 18th meeting of the 5th Board of Directors passed the principles for the Company's 2025 performance evaluation and year-end bonus distribution and list of managerial officers (including Assistant Vice President and above) for distribution: As Chairman Chang-Fang Shen was a stakeholder in this matter, he voluntarily abstained from the discussion and voting process, and designated Ms. Gin-Ing Hu, an independent director, as the Acting Chairman. Passed as proposed after the Acting Chairman consulted all attending directors.

III. The frequency and period, scope, method and content of evaluation of the Company’s Board of Directors' self (or peer) evaluation. The implementation of the Board of Directors evaluation is as shown in the table below:

Evaluation Cycle	Evaluation Period	Scope of Evaluation	Evaluation Method	Evaluation Measures
Once a year and completed before the end of the first quarter of the following year.	2025.01.01~ 2025.12.31	Board Meetings	Self-evaluation of the Chairman	1. Level of participation in the Company's operations. 2. Improvement of the quality of the Board of Directors' decision making. 3. Composition and structure of the Board of Directors. 4. Election and continuing education of the directors. 5. Internal controls.
		Individual board members	Board member self-assessment	1. Familiarity with the Company’s goals and mission. 2. Understanding of the role and responsibilities of directors. 3. Level of participation in the Company's operations. 4. Internal relations management and communication. 5. Professionalism and continuing education of directors. 6. Internal controls.
		Audit and Risk Committee	Self-evaluation of the Committee Convener	1. Level of participation in the Company's operations. 2. Understanding of the Audit and Risk Committee's role and

				responsibilities. 3. Improvement in the quality of decision-making by the Audit and Risk Committee. 4. The composition of the Audit and Risk Committee and the election of its members. 5. Internal controls.
		Remuneration Committee	Self-evaluation of the Committee Convener	1. Level of participation in the Company's operations. 2. Understanding of the Remuneration Committee's role and responsibilities. 3. Improvement in the quality of decision-making by the Remuneration Committee. 4. The composition of the Remuneration Committee and the election of its members. 5. Internal controls.
		Corporate Governance, Sustainability, and Nominating Committee	Self-evaluation of the Committee Convener	1. Level of participation in the Company's operations. 2. Understanding of the Corporate Governance, Sustainability, and Nominating Committee's role and responsibilities. 3. Improvement in the quality of decision-making by the Corporate Governance, Sustainability, and Nominating Committee. 4. The composition of the Corporate Governance, Sustainability, and Nominating

				Committee and the election of its members. 5. Internal controls.

(I) The 2025 Board of Directors and Functional Committees Performance Evaluations of the Company were reported to the Board of Directors on March 12, 2026. The description is as follows:

1. Average score of the Board of Directors self evaluation: 4.98 points (out of 5).
2. Average score of the Board member self evaluation: 4.99 points (out of 5).
3. Average score of the self evaluation from the Audit and Risk Committee: 5 points (out of 5).
4. Average score of the Remuneration Committee self evaluation: 5 points (out of 5).
5. Average score of the self evaluation from the Corporate Governance, Sustainability, and Nominating Committee: 4.95 points (out of 5).

The Board of Directors and Functional Committees are well-operated, fulfilling supervision, and strengthening management functions, enhancing corporate governance performance.

(II) In 2024, the Company engaged the independent and non-affiliated external organization, Taiwan Corporate Governance Association, to conduct an evaluation of the Board's performance for the period of November 1, 2023 to October 31, 2024. The assessment covered the five key dimensions of board composition and division of labor, guidance and supervision, delegation and risk management, communication and collaboration, and self-discipline and improvement. The evaluation was carried out through questionnaires and virtual interviews. The organization issued a Board of Directors performance evaluation report on January 10, 2025. The Company reported the suggestions and future improvement plans to the Board of Directors on March 11, 2025.

(III) The Company’s Rules for Evaluating Board of Directors and Functional Committee Performance and evaluation results have been disclosed on the Company’s website.

IV. Programs this year and in the most recent year for strengthening the functionality of the Board and the evaluation of such measures:

(I) The Company has established the Audit and Risk Committee, Remuneration Committee, Nomination Committee, Corporate Governance, and Sustainability, and Nominating Committee to assist the Board of Directors in fulfilling its oversight responsibilities.

(II) Improving Information Transparency: After each board meeting, the Company promptly posts important board resolutions on the Market Observation Post System to safeguard shareholder rights. We also hold corporate briefings from time to time to enhance investor understanding of the Company's financial and business information.

(II) Operations of the Audit and Risk Committee

The Company has established an Audit and Risk Committee composed of all independent directors, which meets at least once per quarter.

The term of the committee members is from May 30, 2023 to May 29, 2026. A total of 6 meetings were held in 2025. The attendance of independent directors is as follows:

Title	Name	Attendance in Person	Attendance by Proxy	Attendance rate (%)	Footnote
Independent Director and Convener	Chen-Fu Chien	1	0	100%	Resigned on February 27, 2025
Independent Director	Shin-Cheng Yeh	6	0	100%	
Independent Director	Gin-Ing Hu	6	0	100%	
Independent Director	Chun-Chung Chen	6	0	100%	

Other items that shall be recorded:

I. The date of the Audit and Risk Committee meeting, the term, contents of the proposals, dissenting or qualified opinions given by independent directors or contents of major proposed items, resolutions of the Audit and Risk Committee, and the Company's handling of the resolutions of the Audit and Risk Committee shall be recorded under any of the following circumstances in the operations of the Audit and Risk Committee meeting:

(I) Items listed in Article 14-5 of the Securities and Exchange Act.

Meeting date and period	Key Resolutions and the Company's follow-up implementation
2025.01.15 (9th meeting of the 5th term)	1. Passed the establishment of a Taiwan subsidiary through indirect investment and equipment investment by the Company’s wholly-owned subsidiary company, Monterey Park Finance Limited. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.
2025.03.11 (10th meeting of the 5th term)	1. Passed the 2024 Internal Control System Statement. 2. Passed the Company's 2024 Business Report. 3. Passed the 2024 Consolidated Financial Statements. 4. Passed the distribution of earnings and cash dividends for 2024. 5. Passed the proposal for the appointment and remuneration for the certifying CPAs. 6. Passed the amendments to the Procedures for Extending Loans to Others. 7. Passed the amendments to the Company's Procedures for Acquisition and Disposal of Assets, Procedures for Engaging in Transactions of Derivative Products, and Procedures for Making Endorsements and Guarantees. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.

	2025.05.13 (11th meeting of the 5th term)	1. Passed the Company's first quarter consolidated financial statements for 2025. 2. Passed the adjustment of the limit on the amount of endorsements/guarantee made by the Company to a wholly-owned subsidiary of the Company. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.
	2025.08.12 (12th meeting of the 5th term)	1. Passed the Company's second quarter consolidated financial statements for 2025. 2. Passed the publication of the Company's fifth issue of foreign non-guaranteed convertible corporate bonds. 3. Passed the Company's capital increase for the wholly-owned subsidiary, Zhen Ding Technology Co., Ltd. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.
	2025.11.11 (13th meeting of the 5th term)	1. Passed the Company's third quarter consolidated financial statements for 2025. 2. Passed the non-assurance services that the CPA's accounting firm and its affiliates are allowed to provide to the Company and its subsidiaries. 3. Passed the Company's 2026 Audit Plan. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.
	2025.12.29 (14th meeting of the 5th term)	1. Passed the amendments to the Company's Sustainable Information Management Measures. 2. Passed the proposal for the Company's issuance of restricted stock awards. Opinions of Independent Directors: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Committee: All proposals were presented in the board meeting and passed by all attending directors.

(II) Aside from the above matters, other resolutions that are passed by a two-thirds majority or more of the Board of Directors but without being passed by the Audit and Risk Committee: No such situations occurred this year.

II. When an independent director recuses himself/herself from proposals involving the conflict of interest, the independent director's name, the proposal, cause for the conflict of interest, and the voting shall be specified: The Company had no independent director who recused himself/herself from proposals involving the conflict of interest.

III. The Audit and Risk Committee assists the Board of Directors in performing its duty to oversee the accounting, auditing, and financial reporting processes in the Company and the quality of financial management, as well as risk management. Matters reviewed include:

1. Financial statement audit and accounting policies and procedures.
2. Evaluation of the effectiveness of internal control systems and related policies and procedures.
3. Matters concerning the personal interests of Directors.
4. Material asset or derivatives transactions.
5. Material loans, endorsements, or guarantees.
6. Offering or issuance of securities.
7. Derivative financial products and cash investments.
8. Legal compliance.
9. Grievance reports.
10. Fraud prevention program and fraud investigation report.
11. Enterprise information security.
12. Enterprise risk management.
13. CPA qualification, independence, and performance assessment.
14. Appointment, dismissal and compensation of CPAs.
15. Appointments and dismissal of finance, accounting and internal audit managers.
16. Other material items required by the Company or competent authorities.

IV. Communication Between Independent Directors and Head of Internal Audit Office and CPAs:

(I) Records of communication between independent directors and accountants:

Date	Communication subject	Guidance comments
2025.03.07 (Preparatory meeting for Audit and Risk Committee meeting)	Verbal Communication: 1. CPAs reported the 2024 company business performance and financial analysis. 2. 2024 Audit Report: The type of audit report issued by CPAs, materiality for the current period, major audit items, material adjusting entries and unadjusted entries, related party transactions, group financial report auditing, fraudulent and non-compliance events, quality of accounting practices, post-event matters, and customer declarations. 3. Verification of CPA independence. 4. CPAs communicated and discussed independent directors' inquiry.	The Audit and Risk Committee approved the financial report and presented it to the Board of Directors for approval, and announced and submitted it to the competent authority as scheduled.
2025.08.08 (Preparatory meeting for Audit and Risk Committee meeting)	Verbal Communication: 1. CPAs reported the company business performance and financial analysis for the first half of 2025. 2. Audit Report for the first half of 2025: The type of audit report issued by CPAs, materiality for the current period, major audit items, material adjusting entries and unadjusted entries, related party transactions, group financial report auditing, fraudulent and non-compliance events, quality of accounting practices, post-event matters, and customer declarations. 3. Verification of CPA independence. 4. CPAs communicated and discussed independent directors' inquiry.	The Audit and Risk Committee approved the financial report and presented it to the Board of Directors for approval, and announced and submitted it to the competent authority as scheduled.

(II) Records of communication between independent directors and internal auditors:

Date	Communication subject	Guidance comments
2025.03.11 (Audit and Risk Committee)	1. Implementation results of the audit plan for the fourth quarter of 2024 and improvements to defect tracking. 2. Discussion of the Company's 2024 Effectiveness Statement of Internal Control System.	The Audit and Risk Committee has no opinions on this report.
2025.05.13 (Audit and Risk Committee)	Implementation results of the audit plan for the first quarter of 2025 and improvements to defect tracking	The Audit and Risk Committee has no opinions on this report.
2025.08.12 (Audit and Risk Committee)	Implementation results of the audit plan for the second quarter of 2025 and improvements to defect tracking.	The Audit and Risk Committee has no opinions on this report.
2025.11.11 (Separate communication meeting with independent directors before Audit and Risk Committee meeting)	1. Execution of internal audits in the first three quarters of 2025. 2. Improvement of deficiencies in the last two years. 3. Discussion of the Company's 2026 Audit Plan.	The 2026 Audit Plan has been adjusted based on the recommendations of the independent directors. There are no opinions on other issues.
2025.11.11 (Audit and Risk Committee)	1. Implementation results of the audit plan for the third quarter of 2025 and improvements to defect tracking. 2. Discussion of the Company's 2026 Audit Plan.	The Audit and Risk Committee has no opinions on this report.

(III) Corporate governance practice and compliance with the Corporate Governance Best-Practice Principles for TWSE/GTSM Listed Companies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
I. Does the Company abide by the Corporate Governance Best Practice Principles for TWSE/GTSM Listed Companies when establishing and disclosing its corporate governance code of conduct?	✓		The Company stipulated and disclosed best practice principles for corporate governance according to the Corporate Governance Best Practice Principles for TWSE/TPEx Listed Companies on the Company's website and in the annual report.	No discrepancies
II. Shareholding structure and shareholders' equity of the Company (I) Does the Company have the internal operating procedure for handling shareholders' suggestions, questions, disputes, or legal action in place and abide by it?	✓		(I) To protect shareholders' rights and interests, the Company has established the "Corporate Governance Best Practice Principles" and assigned a spokesperson to process shareholders' recommendations and questions. Disputes and litigation are processed by the Legal Affairs Division in accordance with the Corporate Governance Best Practice Principles.	No discrepancies
(II) Does the Company possess the list of its major shareholders as well as the ultimate owners of those shares?	✓		(II) The Company reports changes in the number of shares held by insiders each month on the Market Observation Post System (MOPS) designated by the Financial Supervisory Commission in accordance with regulations. We also possess the list of major shareholders of the Company and individuals with ultimate control over main shareholders.	No discrepancies
(III) Does the Company establish and carry out risk management and firewall mechanism within affiliated companies?	✓		(III) The assets and financial management duties of affiliated companies are independent from one another and the implementation of risk management and firewall mechanism are processed	No discrepancies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
(IV) Does the Company have internal regulations in place to prevent its people from trading securities based on information yet to be public on the market?	✓		in accordance with the internal control system of the Company to prevent irregular transactions. (IV) The Company has established the "Procedures for the Prevention of Insider Trading" to prevent the Company's insiders and employees from using information that has not been disclosed on the market to purchase and sell securities.	No discrepancies
III. Composition and responsibilities of the Board of Directors (I) Has the Board of Directors devised and implemented a plan for a more diverse composition of the board with concrete management goals?	✓		(I) Article 20 of the Company's "Corporate Governance Best Practice Principles" stipulates that the composition of the Board of Directors should consider diversity. Our current Board of Directors consists of six members, including three directors and three independent directors. The members possess leadership decision-making abilities, industry knowledge, international perspectives, and professional skills, and are experienced in leadership, operational judgment, management, and professional knowledge. To continue to improve gender equality in the composition of the Board of Directors, the Company has added a female director in the comprehensive 5th-term board election in 2023. Please refer to pages 10 to 12 of the Annual Report for the board diversification implementation.	No discrepancies
(II) Besides the Remuneration Committee and the Audit Committee set up according to law, does the Company have other types of	✓		(II) The Company has voluntarily set up the Corporate Governance, Sustainability, and Nominating Committee and the Ethical Corporate Management	No discrepancies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
functional committees in place that it spontaneously set up?			Work Group to separately supervise the Board in fulfilling its functions. For information on the exercise of related functions and their operating status, please refer to pages 41 to 42 of the Annual Report.	
(III) Has the company established and implemented methods for assessing the performance of the Board of Directors, conducted performance evaluation annually, presented the performance evaluation results to the Board of Directors, and used the results as reference for individual director remuneration and re-election nomination?	✓		(III) The Company has established the "Regulations Governing the Evaluation of the Performance of the Board of Directors and Functional Committees" and its amendment was approved by the Board of Directors on March 11, 2025. The Rules require an internal evaluation every year. An evaluation shall be conducted by an external professional institution or expert team at least once every 3 years. In 2024, the Company commissioned the external organization Taiwan Corporate Governance Association to conduct a performance evaluation of the Board of Directors for the period from November 1, 2023 to October 31, 2024. The organization issued the Board of Directors performance evaluation report on January 10, 2025, and the suggestions and future improvement plans were reported to the Board of Directors on March 11, 2025. The internal performance evaluation results of the Board of Directors for 2025 have been submitted to the Board of Directors on March 12, 2026, and will be used as a reference for individual director's remuneration and nomination for reappointment. Please refer to pages 20 to 22 of the Annual Report for more details.	No discrepancies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
(IV) Does the Company regularly evaluate the independence of its certified public accountant (CPA)?	✓		(IV) 1. Every year, based on the Company's "CPA Evaluation and Audit Assessment Measures" and by referencing the Audit Quality Indicators (AQIs, including five dimensions: profession, quality control, independence, monitoring, and innovation, along with thirteen indicators), we confirm that the CPAs have no other financial interests or business relationships besides the fees for attestation and taxation cases. This confirms that they meet the evaluation criteria for independence and suitability of the Company. After approval by the Audit and Risk Committee and the Board of Directors, the Company conducted reviews of the appointment and fees. 2. The most recent 2 years were discussed by the Audit and Risk Committee on March 11, 2025 and March 12, 2026 respectively, and have been reported to and approved by the Board of Directors. The items of the CPA independence evaluation are shown in Note 1 below.	No discrepancies
IV. Does the Company have a suitable number of competent corporate governance personnel? Has it appointed a chief governance officer responsible for corporate governance matters (including but not limited to providing information for directors to perform their duties, assisting directors with regulatory compliance, and preparing meeting minutes	✓		The Board of Directors' meeting on May 7, 2021, appointed a corporate governance supervisor to protect shareholders' rights and strengthen the functions of the Board of Directors. The supervisor has rich experience in finance and other aspects. The supervisor's main responsibilities are to handle matters related to the Board of Directors and shareholders' meetings, prepare minutes of the Board of Directors' and shareholders'	No discrepancies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
for Board meetings and shareholders' meetings)?			meetings, assisting directors to take office and continue their education, providing directors with materials necessary for business execution, and assisting directors in complying with laws and regulations.	
V. Does the Company have a communication channel in place with stakeholders (including but not limited to shareholders, employees, customers, and suppliers) and set up a stakeholders only section on its website to properly address stakeholders' concerns such important corporate social responsibilities?	✓		The Company has set up channels of communication for stakeholders (including but not limited to shareholders, employees, customers and suppliers) and it uses telephone, email, or meetings to adequately respond to stakeholders' inquiries on significant corporate social responsibility issues. The communication status was reported to the Board of Directors on May 29, 2025.	No discrepancies
VI. Does the Company appoint a professional shareholder services agency to handle affairs related to General Shareholders' Meetings?	✓		The Company has engaged Grand Fortune Securities to handle affairs related to General Shareholders' Meetings and ex-dividend matters.	No discrepancies
VII. Disclosure of information (I) Has the Company established a corporate website to disclose information regarding the Company's financial, business and corporate governance status?	✓		(I) The Company discloses information related to financing, business and corporate governance on its English and Chinese website, https://www.zdtco.com.	No discrepancies
(II) Has the Company adopted other means of information disclosure (such as establishing a website in English, appointing specific personnel to collect and disclose company information, implementing a spokesperson system, and disclosing the process of investor conferences on the company's website)?	✓		(II) The Company has established a company website in Chinese and English. The Corporate Governance and Investor Relations Division, along with the spokesperson, is responsible for the collection and disclosure of company information in Chinese and English, implementing the spokesperson system, and providing related information for corporate briefings on the MOPS and company website at least one day before the corporate briefing.	No discrepancies
(III) Does the company publicly disclose its		✓		The Company handles it in

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
annual financial report at the end of the accounting year within the prescribed time limit, and publicly disclose its Q1, Q2, and Q3 financial reports and monthly operation status ahead of the prescribed time limit?				accordance with the financial report announcement and reporting period specified in Article 36 of the Securities and Exchange Act of the place where the company is listed.
VIII. Does the Company disclose other information to facilitate a better understanding of its corporate governance (Including but not limited to employee's rights, employee care, investor relations, supplier relations, stakeholders' rights, further studies of directors, implementation of risk management policies and measurement standards, implementation of customer policies and purchase of liability insurance for the directors of the Company)?	✓		1. Employee rights and benefits: To mitigate employees' risks of excessively long working hours, the Company has established regulations on working hours and regularly inspected and managed employees' attendance to protect their legal rights. 2. Investor relations: The Company values investors' interest. In addition to publishing related information on MOPS and the sustainability responsibility section of the company website in accordance with regulations, it also assigned dedicated personnel to process shareholders' recommendations. 3. Supplier relations: Supplier relations are processed in accordance with the Company's regulations for operations. Partners perform their obligations in accordance with contracts to protect the rights of both parties. The Company maintains good relations with suppliers. 4. Rights of stakeholders: Where necessary, stakeholders may communicate and provide recommendations to the Company through the telephone or mail. The Company has established	No discrepancies

Assessment items	Implementation Status			Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons
	Yes	No	Summary	
			the "Contact Us" section on company website to collect relevant messages from stakeholders and properly respond to corporate social responsibility issues of concern to the stakeholders to protect their legal rights and interests. 5. Implementation of risk management policies and risk assessment standards: The Company has established various internal control systems and internal management regulations for risk management and assessment. The Company analyzes, tracks, and responds to high-risk incidents that may affect operations to improve risk management mechanisms. 6. Implementation of customer relations policies: The One ZDT one-stop shop ideal of the Company continues to develop advanced production technologies and high performance and cost effective products. We continue to lead industry developments and strengthen our core competitiveness. We select the right customers and established a classification system. The Company is building good upstream, midstream, and downstream relationships and finding new product development opportunities. We establish good, stable relationships with customers and create company profits together. We will achieve world class R&D, manufacturing, sales, and operation management for Zhen Ding. Please refer to Notes 2 to 5 below for other important information.	

<table>
<tr><th rowspan="2">Assessment items</th><th colspan="3">Implementation Status</th><th rowspan="2">Deviate from Corporate Governance Best-Practice Principles for TWSE/TPEx Listed Companies and Reasons</th></tr>
<tr><th>Yes</th><th>No</th><th>Summary</th></tr>
<tr><td colspan="5">IX. Describe the status of improvements, priority for improvement, and measures based on the most recent corporate governance evaluation results published by the Corporate Governance Center of Taiwan Stock Exchange:
As of the publication of the annual report, the 2025 Corporate Governance Evaluation results have not been announced. Only the 2024 evaluation results have been disclosed.
(1) A total of 976 listed companies and 773 listed and OTC companies have undergone corporate governance evaluation in 2024, totaling 1,749 companies. The Company scored 101 points in the corporate governance evaluation. The range of our ranking by listed companies: 6%~20%; Ranking among electronics companies with a market value of more than NT$10 billion: 11%~20%.
(2) The Company has numerous improvement measures in place to address the items which failed the 2024 evaluation. These measures include: The convener of the Company’s Audit and Risk Committee has personally attend the 2025 Annual Shareholders' Meeting. On February 27, 2025, the Board of Directors appointed a new President. The roles of the Chairman and the President are not concurrently served by the same person.</td></tr>
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Note 1: Assessment of CPA independence

The CPA performs self-assessment using the Company's CPA Assessment and Performance Evaluation sheet, and submits the assessment result to the Audit and Risk Committee for evaluation and review. The evaluation standards are as follows:

Item	Specific Criteria	Evaluation Results	Compliance with Independence
1	The CPA does not have significant financial interest in his/her trustor.	None	Yes
2	The CPA and the trustor do not have any inappropriate relationship.	None	Yes
3	The CPA and assistants regularly participate in evaluations conducted by the industry association or other related organizations maintain their honesty, fairness and independence.	Yes	Yes
4	The CPA may not perform audit and assurance services on the financial statements of companies he/she has served within two (2) years before practicing.	None	Yes
5	The CPA may not permit others to practice under his/her name.	None	Yes
6	The CPA may not hold shares of the trustor.	None	Yes
7	The CPA may not engage in lending and borrowing of money with the trustor except for regular transactions in the finance industry.	None	Yes
8	The CPA may not engage in joint investments or benefit sharing with the trustor.	None	Yes
9	The CPA may not concurrently serve as a regular employee of the trustor and receive a fixed salary.	None	Yes
10	The CPA may not collect any commission related to his/her service.	None	Yes
11	Has any CPA's tenure lasted for more than seven consecutive years, or is any CPA's reappointment less than two years from replacement?	None	Yes
12	Does the CPA have experience in audits in related to the electronics industry?	Yes	Yes
13	Does the CPA communicate appropriately with the Audit and Risk Committee before the audit planning process and maintained records of such communication?	Yes	Yes
14	Does the CPA communicate with the Audit and Risk Committee frequently (e.g. before submitting audit reports) and maintained records of such communication? (At least twice each year)	Yes	Yes
15	Has the CPA proposed recommendations regarding the Company's internal controls or business management to the Audit and Risk Committee?	None	Yes
16	Whether the CPA received letters from the competent authority for securities regarding adjustments and improvements for the quality of audits.	None	Yes
17	Can the CPA control the implementation of overseas audits to ensure consistency and validity of audits across the world?	Yes	Yes

Note 2: Status of Directors' Continuing Education in 2025

Title	Name	Date	Course Title	Number of hours
Chairman	Chang-Fang Shen	2025.11.11	The Four Steps to Information Security	6 hours
Director Representative	Che-Hung Yu	2025.11.11	The Four Steps to Information Security	6 hours
Director	Ting-Chuan Lee	2025.11.11	The Four Steps to Information Security	6 hours
Independent Director	Shin-Cheng Yeh	2025.11.11	The Four Steps to Information Security	6 hours
Independent Director	Gin-Ing Hu	2025.11.13	Corporate Resilience Governance: Risk Management and Business Continuity Management	3 hours
		2025.10.18	The Principles of Stablecoins and the Development Trends of Blockchain Virtual Assets	3 hours
		2025.10.18	Corporate Governance and Management - BI&OKR	3 hours
		2025.08.15	Global Sustainability Regulations Trends and Climate-related Disclosures	3 hours
		2025.08.15	IFRS 18 Financial Statement Presentation and Disclosure and the Methods of Sustainable Innovation - Responding to Social Change and Establishing Differentiated Innovation Strategies	3 hours
		2025.08.14	Securities regulations and corporate governance	3 hours
		2025.08.14	Sustainable Development Performance and Senior Executive Compensation	3 hours
Independent Director	Chun-Chung Chen	2025.11.11	The Four Steps to Information Security	6 hours

Note 3: Continuing education of managers, the governance officer, and audit supervisor in 2025

Title	Name	Date	Course Title	Number of hours
General Manager	Chen-Fu Chien	2025.10.29	Sustainability, Risks, and Cybersecurity Issues in the AI Era	3 hours
		2025.11.11	The Four Steps to Information Security	6 hours
Financial Officer	Eddie Chiang	2025.11.11	The Four Steps to Information Security	6 hours
Accounting Officer	Shih-Te Chou	2025.04.15~2025.04.16	Ongoing Education for Securities Issuers, Securities Firms, and TWSE Chief Accounting Officer	12 hours
		2025.11.11	The Four Steps to Information Security	6 hours
Corporate Governance Officer	Duen Ling	2025.02.21	Corporate Sustainability - From Anxiety to Strategy	3 hours
		2025.03.25	How Can Enterprises Navigate the AI Revolution and Cybersecurity Risks and Embrace a New Era?	3 hours
		2025.04.23	Taiwan's Future Under the Changing Global Order	3 hours

Title	Name	Date	Course Title	Number of hours
		2025.07.09	2025 Cathay Sustainable Finance and Climate Change Summit	6 hours
		2025.08.13	"Green and Transition Finance: Green Securities: Policy, Practice and Future" Forum	2 hours
		2025.11.11	The Four Steps to Information Security	6 hours
Audit Officer	Ching-Rong Yen	2025.04.09	Key Elements and Key Audit Matters for Establishing a Sustainable Information Management Internal Control System	6 hours
		2025.05.07	Key Practices of "Sustainable Information Management" and Internal Control and Auditing	6 hours

Note 4: The Company purchases liability insurance for all Directors (including Independent Directors)

Insured Individuals	Insurance Company	Insurance Amount (NT$)	Insurance Period (start and expiry)	Insurance Status
All directors and key manager	Ace American Insurance Company	655,700,000	2025.01.01~2026.01.01	Renewed

* Starting in 2012, the Company has purchased liability insurance for directors (including independent directors) and key managers. Key contents including that the premium purchased for directors (including independent directors) reached US$20,000,000 in 2025, insurance coverage, and insurance rates were reported to the Board meeting on March 11, 2025.

Note 5: Regarding the intellectual property rights management plan and results

Improving how an enterprise manages its intellectual property rights enables the enterprise to reinforce its independent innovation capability. The Company has proposed four major strategies for intellectual property rights management, which are "accumulation", "focus", "innovation", and "increased benefits". Six major directions for intellectual property management have also been stipulated, including "Building a Professional Team," "Establishing Management Systems," "Managing Certifications and Branding," "Focusing on Core Technologies," "Deploying High-Quality Patents," and "Implementing Management Systems," and the effectiveness of their implementation have been monitored. In response, the Company proactively implements technical investigations before the development of new products and new processes to avoid infringing on the intellectual property rights of others. In the new technology development stage, it investigates market applications and advanced technology conditions, introduces risk assessments, and implements confidentiality management. The documents, equipment, and areas of the company are controlled to avoid the risk of leakage. For the research and development results of independent core key technologies, various intellectual property rights are actively deployed.

(1) Management system results:
In order to provide complete and effective patent, trade secret, and other intellectual property management, the Company has established and implemented the "Intellectual Property Rights Management Manual", the "Intellectual Property Rights Application Procedures" and the "Intellectual Property Rights Policies and Investigation Operation Measures for Third-Party Manufacturers", the "Confidentiality Management Operating System" and other related regulations for management.

(2) Intellectual property achievements:
Patent deployment - Mainly includes Taiwan, Mainland China, and the United States, strengthening its competitive advantages. In 2025, the Company proposed 189 patent applications and received approval for 230 patents. As of December 31, 2025, the Company has cumulatively submitted 4,055 patent applications and has cumulatively obtained 2,098 patents. To better protect the results of self-developed technological advancements, the Company is expected to propose 200 patent applications in 2026. In addition, research and development technology secrets are crucial technological achievements for the Company and are essential intellectual assets that influence the Company's competitive advantage. They also serve as the driving force behind the culture of sustainable innovation. As of December 31, 2025, new research and development technology secrets totaled 1,025. The Company continues to build smart production plants, apply cutting-edge technologies to enhance smart production capabilities, and as of December 31, 2025, has accumulated 33 software copyright registrations in order to fully protect its independently developed core program source code. The implementation status and results in 2025 have been reported to the Board of Directors on March 12, 2026.

(3) Attained certification
The Company is an important legal representative in China. According to the local intellectual property management policies, we have competed the implementation of the intellectual property regulations and obtained the certification.

- Qing Ding Precision Electronics (Huaian) Co., Ltd.:
  Initially passed the “Enterprise Intellectual Property Compliance Management System GBT-29490” certification on June 18, 2020, and passed recertification on June 10, 2023. The certification is valid until June 17, 2026.
- Avary Holding (Shenzhen) Co., Limited:
  Initially passed the “Enterprise Intellectual Property Compliance Management System GBT-29490” certification on June 16, 2021, and passed recertification on August 29, 2024. The certification is valid until August 28, 2027.
- Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.:
  Initially passed the “Enterprise Intellectual Property Compliance Management System GBT-29490” certification on July 4, 2022, and passed recertification on July 8, 2025. The certification is valid until July 3, 2028.
- Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.:
  Initially passed the “Enterprise Intellectual Property Compliance Management System GBT-29490” certification on December 18, 2024. The certification is valid until December 17, 2027.
- Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.:
  Initially passed the “Enterprise Intellectual Property Compliance Management System GBT-29490” certification on October 23, 2025. The certification is valid until October 22, 2028.

(IV) If the Company has a remuneration committee or nominating committee, disclose its composition and operations

1. Information on members of the Remuneration Committee:

December 31, 2025

<table>
<tr><th>Category</th><th>Criteria
Name</th><th>Professional qualifications and experience</th><th>Independence</th><th>Number of other public companies in which the member also serves as a member of their remuneration committee</th></tr>
<tr><td>Independent Director and Convener</td><td>Gin-Ing Hu</td><td rowspan="2">Please refer to the "Professional qualifications of Directors and independence information disclosure of Independent Directors" table on pages 8 to 10 of the Annual Report.</td><td rowspan="3">1. Independence of the Remuneration Committee members of the Company.
2. Including, but not limited to, whether the person, person's spouse, or their relatives within the second degree of kinship have not served as directors, supervisors, or employees of the Company or its affiliates, do not hold shares of the Company, and are not acting as directors, supervisors, or employees of companies that have specific relationships with the Company.
3. Has not received remuneration for providing business, legal, financial, or accounting services to the Company or its affiliated enterprises in the most recent 2 years.</td><td>3</td></tr>
<tr><td>Independent Director</td><td>Chun-Chung Chen (Note)</td><td>1</td></tr>
<tr><td>Other</td><td>Cheng-En Ko</td><td>1. Work experience in business, finance, accounting, and other areas relevant to the business of the Company.
2. He currently serves as the Director of Avary Holding (Shenzhen), Independent Director and Remuneration Committee Member of CHANG TYPE Industrial Co., Ltd., Independent Director and Remuneration Committee Member of ITEQ Corp., Remuneration Committee Member of ATEN International Co., Ltd., and Remuneration Committee Member of Usun Technology Co., Ltd.
3. Does not contain matters related to all paragraphs of Article 30 of the Company Act.</td><td>4</td></tr>
</table>

Note: Former Independent Director Chen-Fu Chien resigned from the position of independent director and various functional committees on February 27, 2025. On the same day, the Board of Directors of the Company resolved to appoint Independent Director Chun-Chung Chen as a member of the committee.

2. Operation Status of the Remuneration Committee:

(I) The Company established the Remuneration Committee on July 20, 2011, which consists of 3 members. The Committee helps the Board of Directors stipulate and review the remuneration policies, systems, standards and structures, and performance of directors and managers regularly.

(II) Current term of office: From May 30, 2023 to May 29, 2026. A total of 4 meetings were held in 2025. The attendance of the committee members is as follows:

Title	Name	Attendance in Person	Attendance by Proxy	Attendance rate (%)	Footnote
Convener	Gin-Ing Hu	4	0	100%	
Committee member	Chun-Chung Chen	4	0	100%	
Committee member	Cheng-En Ko	4	0	100%	

Other items that shall be recorded:

I. If the Board of Directors did not adopt or revise the recommendations of the compensation committee, it should describe the date of the Board meeting, term of the Board, agenda item, resolutions adopted by the Board, and actions taken by the Company in response to the opinion of the compensation committee: The Company's Directors have fully expressed their opinions in the meeting and they did not fail to adopt or revise the remuneration committee's proposals.

II. If there are objections or reservations by the members that have been recorded in writing during the remuneration committee resolution, the remuneration committee meeting's date, period, motion content, the opinions of all of the members, and treatment of the member's opinions must be disclosed in detail: Members of the Company's Remuneration Committee have fully expressed their opinions in the meeting and there were no records or written statements of dissenting or qualified opinions.

III. Material Resolutions of the Remuneration Committee:

Date of Meeting	Key Resolutions and the Company's follow-up implementation
2025.02.27 (6th meeting of the 5th term)	1. Passed the remuneration for the Company's President. Opinions of Remuneration Committee members: None Resolution result: Approved by all members present at the meeting. The Company's handling of the opinions of the Remuneration Committee: All proposals were presented in the board meeting and passed by all attending directors.
2025.03.10 (7th meeting of the 5th term)	1. Passed 2024 remuneration distribution proposal for directors and employees. 2. Passed the remuneration proposal for the Company's Chief Strategy Officer. Opinions of Remuneration Committee members: None Resolution result: Approved by all members present at the meeting. The Company's handling of the opinions of the Remuneration Committee: All proposals were presented in the board meeting and passed by all attending directors.
2025.08.12 (8th meeting of the 5th term)	1. Passed 2024 remuneration distribution proposal for directors. 2. Passed the 2024 remuneration distribution proposal for managers (including ranks of Assistant Vice President and above). Opinions of Remuneration Committee members: None Resolution result: Approved by all members present at the meeting. The Company's handling of the opinions of the Remuneration Committee: All proposals were presented in the board meeting and passed by all attending directors.
2025.12.29 (9th meeting of the 5th term)	1. Passed the principles for the Company's 2025 performance evaluation and year-end bonus distribution and list of managerial officers (including ranks of Assistant Vice President and above) for distribution. Opinions of Remuneration Committee members: None Resolution result: Approved by all members present at the meeting. The Company's handling of the opinions of the Remuneration Committee: All proposals were presented in the board meeting and passed by all attending directors.

3. Profile of Corporate Governance, Sustainability, and Nominating Committee members and operating status information:

(I) The qualifications for appointment and the duties of the Corporate Governance, Sustainability, and Nominating Committee members:

1. Qualifications for appointment: The Committee reports to the Board of Directors. It is composed of at least 3 directors, with independent directors accounting for over half of the members, chosen by the Board of Directors. The term of the Audit Committee shall be the same as the term of the Board of Directors.
2. Responsibilities:
   (1) Stipulate the professional knowledge, skills, experience, gender, age, nationality, culture, and other diverse backgrounds and independence standards required for directors. Based on these requirements, it seeks, reviews, and nominates director candidates.
   (2) Review the Company's Corporate Governance Best Practice Principles.
   (3) Stipulate, implement, and enhance the Company's sustainable development policy, annual plan, and strategy.
   (4) Review, track, and revise the implementation status and results of sustainable developments.
   (5) Supervise the disclosure of sustainable information and review the ESG Report.
   (6) Supervise operations related to the Company's Sustainable Development Best Practice Principles.
   (7) Other matter to be handled by the Committee according to Board of Directors' resolutions.

(II) Professional qualifications, experience, and operating status of the Corporate Governance, Sustainability, and Nominating Committee members:

1. On December 26, 2024, the Company's Board of Directors approved the merger of the Nomination Committee with the Sustainability Committee. , and duties related to reviewing corporate governance were added. The new name of the committee is the Corporate Governance, Sustainability, and Nominating Committee. New committee members were also appointed. The term of office of the committee members is from December 26, 2024, to May 29, 2026.
2. Profile of Corporate Governance, Sustainability, and Nominating Committee members:

December 31, 2025

Identity	Name	Professional qualifications and experience
Chairman (Convener)	Chang-Fang Shen	Please refer to the "Professional qualifications of Directors and independence information disclosure of Independent Directors" table on Pages 8 to 10 of the Annual Report.
Independent Director	Shin-Cheng Yeh	
Independent Director	Chun-Chung Chen (Note)	

Note: Former Independent Director Chen-Fu Chien resigned from the position of independent director and various functional committees on February 27, 2025. On the same day, the Board of Directors of the Company resolved to appoint Independent Director Chun-Chung Chen as a member of the committee.

3. A total of 2 meetings were held in 2025. The attendance of the committee members is as follows:

Title	Name	Attendance in Person	Attendance by Proxy	Attendance rate (%)	Footnote
Convener	Chang-Fang Shen	2	0	100%	
Committee member	Shin-Cheng Yeh	2	0	100%	
Committee member	Chun-Chung Chen	2	0	100%	

Other items that shall be recorded:

I. If the Board of Directors did not adopt or revise the recommendations of the Corporate Governance, Sustainability, and Nominating Committee, it should describe the date of the Board meeting, term of the Board, agenda item, resolutions adopted by the Board, and actions taken by the Company in response to the opinion of the Corporate Governance, Sustainability, and Nominating Committee: The Company's Directors have fully expressed their opinions in the meeting and they did not fail to adopt or revise the Corporate Governance, Sustainability, and Nominating Committee's proposals.

II. If there are objections or reservations by the members that have been recorded in writing during the Corporate Governance, Sustainability, and Nominating Committee's resolution, the Corporate Governance, Sustainability, and Nominating Committee meeting's date, period, motion content, the opinions of all of the members, and treatment of the member's opinions must be disclosed in detail: Members of the Company's Corporate Governance, Sustainability, and Nominating Committee have fully expressed their opinions in the meeting and there were no records or written statements of dissenting or qualified opinions.

III. Material Resolutions of the Corporate Governance, Sustainability, and Nominating Committee:

Date of Meeting	Key Resolutions and the Company's follow-up implementation
2025.05.29 (1st meeting of the 1st term)	1. Passed the Company’s 2024 ESG Report. Opinion of the Corporate Governance, Sustainability, and Nominating Committee: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Corporate Governance, Sustainability, and Nominating Committee: Proposal presented in the board meeting and passed by all attending directors.
2025.12.29 (2nd meeting of the 1st term)	1. Passed the outline for the compilation of the Company’s 2025 ESG Report. Opinion of the Corporate Governance, Sustainability, and Nominating Committee: None Resolution result: Approved by all members present at the meeting. Actions taken by the Company in response to the opinion of the Corporate Governance, Sustainability, and Nominating Committee: Proposal presented in the board meeting and passed by all attending directors.

(V) Promotion status of sustainable development and discrepancy with industry standards in sustainable development practices and reasons, as well as implementation status of climate-relate information

1. Promotion status of sustainable development and discrepancy with industry standards in sustainable development practices and reasons

<table>
<tr><th rowspan="2">Promoted items</th><th colspan="3">Implementation status</th><th rowspan="2">Discrepancy with industry standards in sustainable development practices and reasons for listed companies</th></tr>
<tr><th>Yes</th><th>No</th><th>Summary</th></tr>
<tr><td>I. Does the Company have a governance structure for promoting sustainable developments and exclusively (or concurrently) dedicated units to be in charge of proposing and enforcing sustainable development, and let the Board of Directors entrust the high-ranking management with the implementation and supervise the status?</td><td>✓</td><td></td><td>I. Composed of the Chairman and two independent directors, the Sustainability Committee was established on December 28, 2021. It reports to the Board of Directors and oversees the ESG Execution Committee and four major working groups: Environmental Sustainability Group, Green Product and Value Chain Group, Governance and Compliance Group, and Diversity and Social Inclusion Group. The Chairman serves as the Chairman of the ESG Execution Committee. The Chairman is responsible for supervising the four main execution groups consisting of the Company’s senior team, convening quarterly meetings, formulating short, medium, and long-term sustainability management goals, tracking implementation progress, and compiling an annual ESG Report. This report is submitted to the Board of Directors for approval upon decision by the Corporate Governance, Sustainability, and Nominating Committee.
II. The implementation statuses of the organizations within the Company include, but are not limited to:
(I) The Sustainability Office shall act as the responsible unit for promoting sustainable development. The execution of tasks relating to resolutions adopted by the Corporate Governance, Sustainability, and Nominating Committee may be delegated to the</td><td>No discrepancies</td></tr>
</table>

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			convener or other Committee members for follow-up, with a written report to be presented to the Committee during the implementation period. When necessary, the matter shall be presented for ratification or a report made at the next meeting of the Corporate Governance, Sustainability, and Nominating Committee. (II) The implementation status of the current year shall be reported to the Board of Directors at least once a year. In 2025, a total of two committee meetings were convened. For the important resolutions, please refer to page 42 of the Annual Report. III. Sustainable development supervision status of the Board of Directors: (I) Each implementation team shall provide their annual plan, management approach and goals, and implementation status to the Sustainability Office every year. (II) Each implementation team shall convene an implementation committee meeting each quarter to discuss the latest developments and future direction of related sustainable management policy stipulation and matters. The meeting minutes and related information shall be compiled and provided to the Sustainability Office within 20 days of the end of the quarter. (III) Resolutions of the Committee shall be divided according to the division of duties amongst the organization and implemented by appropriate units.	

<table>
<tr><th rowspan="2">Promoted items</th><th colspan="3">Implementation status</th><th rowspan="2">Discrepancy with industry standards in sustainable development practices and reasons for listed companies</th></tr>
<tr><th>Yes</th><th>No</th><th>Summary</th></tr>
<tr><td></td><td></td><td></td><td>(IV) The Sustainability Office is responsible for handling the following matters:
1. Responsible for the meeting agenda, meeting minutes, follow up on resolutions, and attendance data and sign in.
2. Collect and compile the meeting minutes and implementation results of each implementation center, and compile the information for discussion.
3. Facilitating communication and coordination between various promotion units and integration of related activities.
4. Responsible for the formulation and compilation of the report structure.
5. Other matters that assist the Committee to fulfill its duties.</td><td></td></tr>
<tr><td>II. Does the Company conduct risk assessment of environment, society, and corporate governance issues related to company operations, and establish applicable risk management policy or strategy in accordance with principles of materiality?</td><td>✓</td><td></td><td>The Company’s risk management policy is to uphold corporate sustainable development ideals, introduce international trends, and actively promote and strengthen the Company's sustainable management to lower the potential risks from operations. The Company stipulated the "Risk Management Policy" through a Board of Directors' resolution on December 28, 2021. The Policy is to be used for reference during the formulation of business strategies, in order to ensure the long-term stable development of the Company's business and overall operations. The Company established the Risk Management Committee under the Board of Directors on December 18, 2023. On December 26, 2024, the Board of Directors approved the merger of the original Risk</td><td>No discrepancies</td></tr>
</table>

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			Management Committee with the Audit Committee in order to improve the operational efficiency of the functional committees and strengthen their powers. The Company's risk identification includes major issues related to the environment, society, and corporate governance.The scope of risk assessment covers all companies of the Group. For relevant information, please refer to pages 148 to 160 of the Annual Report.	
III. Environmental Issues (I) Does the company endeavor to utilize all resources more efficiently and use renewable materials which have low impact on the environment?	✓		(I) Based on the characteristics of the PCB industry, the Company has introduced ISO14001 Environmental Management Systems, ISO50001 Energy Management Systems, ISO14064-1 Greenhouse Gas Inventory, and ISO14067 Product Carbon Footprint Inventory etc. We implemented wastewater and sewage management system at production sites and we also established comprehensive exhaust gas management regulations and implemented waste management projects throughout the process to minimize the impact of wastewater, exhaust gas, and waste on the environment. In addition, the procurement departments conduct environmental protection and energy conservation evaluation when purchasing equipment to learn about water/electricity consumption, greenhouse gas emissions, and pollutant emissions. For the major plants that have received environmental management system certification, please refer to page 171 of the Annual Report for more information.	No discrepancies
(II) Does the Company endeavor to improve energy usage efficiency and	✓		(II) The Company introduced innovative energy-saving technologies. It is committed to increasing the efficiency	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
use renewable materials which have a low impact on the environment?			of the use of various resources and using renewable materials with lower impact on the environment. The resource recycling rate of waste in 2025 reached 93.5%. In 2025, multiple waste reduction projects were implemented, resulting in an estimated reduction of about 25,100 metric tons, and an introduction of recycled gold salt (65.1%), recycled solder paste (85.4%), and recycled copper foil (94%). Subsequently, we will continue to introduce green circular economy projects that involve electrolysis, various resource conservation, energy saving, and waste reduction. Please refer to pages 128 to 129 of the Annual Report for more information.	
(III) Does the Company evaluate potential risks and opportunities brought by climate change, and take related response measures?	✓		(III) The Company assessed the current and future potential risks and opportunities of climate change for the company and took the following measures to address climate-related issues: • Risk 1 - Extreme cold/heat: Severe cold weather may cause personnel to suffer from frostbite or shortages in operation, abnormal equipment, frozen explosions of fire and other fuel transportation pipelines. High temperature may cause heat stroke or food poisoning among personnel, abnormal equipment, and there is also a risk of spontaneous combustion of materials. Each department timely activates emergency preparedness work based on the forecast from weather channels. During hot weather, we use air conditioning to reduce the amount of time of high temperature operations and to cool down equipment. During extremely cold weather, we use heating through air	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			conditioning to reduce the amount of time for low temperature operations. We prepare adequate anti-freezing agents, and the facilities department prepares anti-freezing bedding and coats, while the mechanical and electrical department ensures that equipment and management insulation measures are in place. • Risk 2 - Flood and drought: Floods may affect employee attendance and wastewater treatment systems, as well as cause interruptions in water supply, power supply, logistics, and transportation, leading to production stoppage or reduction and resource losses. Droughts may result in inadequate process, daily, and fire-fighting water supply, which may affect production. We have prepared emergency plans and will take protective measures at the first sign of warning. In the event of heavy rainfall or flooding, we will take measures to prevent flooding, including building flood prevention facilities such as flood control stations and gates in each plant area. During prolonged high temperatures or periods of significant decrease in precipitation, we store water, check the water levels of all water tanks, and strengthen water conservation efforts. • Risk 3 - Regulations and low-carbon requirements of customers: To ensure global sustainable development, countries and customers around the world are joining the carbon neutrality movement. In the initial stages, companies will face enormous pressures due to significant changes in energy structure. We actively	

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			monitor global trends, improve energy efficiency in production, continuously introduce high-efficiency equipment and advanced energy-saving technologies, and proactively deploy renewable energy sources and forest restoration for ecological protection. • Opportunity 1 - New product and service development and innovation: Given the increasing demand in the market for low-carbon and high-efficiency products, using recycled materials and introducing renewable energy sources in production can enhance product competitiveness, meet market demands, and increase the Company's accounts receivable. • Opportunity 2 - Green building design: The new plant uses green building designs and smart building technology to reduce energy consumption, lower operating costs, increase asset value, and improve operational energy efficiency. • Opportunity 3 - Renewable energy usage: We actively participate in the development of low-carbon technology, invest in renewable energy generation and energy storage development, improve the overall revenue performance of the Company, establish the Company's brand, and meet the expectations of stakeholders. As of 2025, the Company's self-built solar power generation capacity is 5.07 MW, with an annual electricity output of 6,237 MWh, resulting in a reduction of approximately 3,340 tons of carbon emissions. Hong Qi Sheng Precision Electronics newly built a generation capacity of 11.18MW, and	

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			the Kaohsiung plant has also built a capacity of 1.65MW, reaching an estimated annual power generation of 11,555 MWh. The Company is promoting the use of renewable energy, purchasing green energy, developing energy storage, and promoting carbon reduction in the supply chain. We are striving to achieve carbon neutrality as soon as possible.	
(IV) Does the Company take inventory of its greenhouse gas emissions, water consumption, and total weight of waste in the last two years, and implement policies on energy efficiency and carbon reduction, greenhouse gas reduction, water reduction, or waste management?	✓		(IV) The Company actively promoted a series of energy conservation and carbon emissions reduction measures to reduce greenhouse gas emissions: 1. The production departments and peripheral units shall establish energy and water conservation targets based on actual water and electricity consumption. 2. In 2025, the Company continued to implement ISO14064 certification to control carbon emissions more precisely. We establish reduction strategies based on business activities to respond to the impact of climate change on operations. In addition, the Company continues to request our main suppliers to obtain environmental management system certification to create a green supply chain and promote environmental protection ideals. 3. In 2025, the Company was given both A rating in the CDP Climate Change Assessment and CDP Water Security Assessment. We shall continue to advance green upgrade and reforms and accelerate our efforts in becoming a company dedicated to the circular economy and green development.	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			4. The Company continues to refine our management system. We were the first in the industry to introduce and pass Alliance for Water Stewardship (AWS) platinum certification. In 2025, the Company's main plants all continued to pass and obtain AWS platinum certification. 5. In order to promote the recycling of waste, we continue to increase the waste recycling ratio. We have banned landfilling to protect the natural environment. We were the first to obtain the UL 2799 Zero Waste to Landfill certification. In 2025, our main plants continued to pass the UL 2799 Zero Waste to Landfill Platinum-level certification audits. 6. For the Company's greenhouse gas emissions, water usage, and total weight of waste generated over the past two years, please refer to Page 76 and Pages 128 to 131.	
IV. Social Issues (I) Does the Company comply with relevant laws and regulations and internationally recognized covenants on human rights, and have related management policies and procedures in place?	✓		(I) 1. The Company also actively joined the international non-profit organization, Business for Social Responsibility (BSR) in 2021. Self-evaluation of human rights was conducted internally by the Company. The Company is dedicated to realizing its educational and social responsibilities, identifying potential risks, and completing alleviation and compensation measures, in order to further provide protections for employee labor and human rights. To mitigate human rights risks and ensure that the work environment, labor health and safety, and compliance	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			with relevant laws and regulations are maintained during the work process, the Company stipulates related management policies and conducts human rights protection-related training and promotion for employees in accordance with the concept corporate sustainable development. 2. The training and promotion of the Company are mainly conducted through online and offline courses, announcements, communication channels, posters, SER policy card promotion, and promotion meetings. In 2025, 100% of our employees have completed human rights-related training. Related education and training will continue to be promoted to raise awareness on human rights protection.	
(II) Does the company formulate and implement reasonable employee benefits measures (including compensation, leave, and other benefits), and appropriately reflect its business performance or achievement in employee compensation?	✓		(II) The Company declared a reasonable salary compensation policy, and integrates the employee performance evaluation system with its corporate social responsibility policy. We also established an effective reward and disciplinary system, a performance evaluation system, and promotion and salary adjustment system for implementation. We appropriately reflected our business performance or achievement in employees' compensation. The Company follows the principle of gender equality. In 2025, the proportion of female employees was 34.0%, and the proportion of female managers was 16.3%.	No discrepancies
(III) Does the Company provide its employees with safe and healthy workplaces, and organize training on safety and health for its employees on	✓		(III) The Company emphasizes source control and requires that all equipment, tools, and instruments purchased must have safety protection measures. For processes with occupational hazards, evaluations are conducted, and	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
a regular basis?			measures such as ventilation, sealing, and noise reduction are implemented at the source. Regular inspections and maintenance of facilities are conducted, and hazard factors are tested and improved. The Company strictly implements safety risk classification and management, organizes and formulates safety production education and training plans, and regularly conducts safety training for employees. Employees are required to wear protective equipment according to regulations before work. The Company's major plants in Taiwan, all major plants in China, and overseas operations have all obtained "Occupational Health and Safety Management System ISO 45001:2018" external certification (valid through 2025). The number of occupational accidents that occurred in 2025 was 16, involving 16 persons and accounting for 0.031% of the total number of employees. The accidents were mainly due to the lack of safety awareness among employees. There was one fire, and the number of deaths and injuries, as well as the ratio of deaths and injuries to the total number of employees, were both zero. The Company has formulated a detailed fire emergency plan, regularly organizes training, and conducts a fire emergency evacuation drill every six months to ensure rapid response and handling in the event of an emergency. The Company conducts a "Safety Knowledge and Skills Assessment" for employees every quarter. The assessment covers general knowledge, manufacturing, equipment/electromechanical safety knowledge, etc., and a total of 196,416 persons were	

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
(IV) Does the Company offer its employees effective occupational empowerment training programs?	✓		assessed in 2025. Apart from the education and training courses required by law, the Company has also added an "Occupational Safety" column to its internal publication, "Ding Shen Monthly." The safety videos are played on all televisions and advertising displays in all plants of the Company. The videos are played on a loop to convey safety related information and are changed regularly. Safety information is disseminated using the Company's WeChat account "Ding Ding" and the Ding Sheng E-Learning College app, thereby enhancing safety awareness and emergency response among employees. (IV) The Company understands market trends, corporate development strategies, and functional differences in departmental business needs. By focusing on core talent competencies and embedding organizational cultural values, we nurture future talent and empower overseas business expansion. We aim to support the achievement of strategic goals and advancement of sustainable organizational growth. The Company established a talent training system and designed talent development education and training contents for corresponding job levels and departments to effectively integrate internal and external resources while systematically fostering all types of professionals required for organizational operations and development. By strengthening resource planning and implementation, system optimization, and talent assessment, the Company builds the most valuable talent supply chain for the organization. This approach ensures the effectiveness of training, enhances employee	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			knowledge and skills, and reinforces core competitiveness.	
(V) Does the Company comply with relevant laws and international standards in relation to customer health and safety, customer privacy, marketing, and labeling of products and services, and has it established relevant consumer or customer protection policies and grievance procedures?	✓		(V) 1. The Company takes responsibility for their products and services, and takes marketing ethics seriously. The R&D, procurement, production, operating, and service processes all ensure the transparency and security of product and service information. A "Code of Business Ethics" and ethical guidelines have been established, which include: fairness and impartiality, integrity and honesty, customer satisfaction, and public accountability. These principles are implemented in business operations to prevent products or services from harming consumer rights, health, and safety. 2. The Company adheres to the concept of fulfilling and practicing corporate social responsibility. In addition to joining RBA as a member and complying with the RBA Code of Conduct in 2021, the Company has established management systems including ISO 14001, ISO 45001, and obtained valid certifications (which can be viewed on the Company's official website) to ensure that our global operations comply with requirements related to labor, health and safety, environment, ethical norms, and management systems. The Company also places great emphasis on privacy and personal data protection, strictly follows policies and relevant laws and regulations related to privacy and personal data management, and ensures the security of personal data of customers and	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			employees. 3. Exceeding customer expectation is one of the strategic goals in the Company's development. We provide excellent customized manufacturing services, continue to upgrade our manufacturing facilities, and actively participate in the early research, development, and designing of customers' products so that customers will rely on our products and services. In addition, we attach importance to customer satisfaction ratings. We hope to bolster our competitiveness through continuous improvement of product quality and service contents, thereby becoming customers' long-term strategic partners. Furthermore, the Company strictly follows production control and quality management processes to manufacture physical PCBs according to the materials, electronic components, and design data provided by customers. When shipping products, we provide customers with information on the name of materials, ingredients, environmental test report (compliance with RoHS, HF, and REACH), and safety regulation documents. Relevant labels are attached to the outer box for customer identification. In 2025, the Company clearly labeled 100% of its products based on actual testing results and customer requirements. Any issues during the process can be addressed by contacting the "Contact Us - Business Services" section on the Company's website or by emailing zdt@zdtco.com.	
(VI) Does the Company formulate supplier	✓		(VI) 1. The Company has established a comprehensive supply	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
management policies and request its suppliers to comply with applicable regulations regarding environmental protection, occupational safety and health or labor rights and to describe their implementation status?			chain management system, which includes a department in charge of supplier management. By using the Supplier (Contractor) Management System, we systematically and comprehensively manage the quality, delivery, technical support, and prices of goods supplied. The Company also established the Supplier Corporate Social Responsibility Management Regulations, Supplier Conflict Minerals Management Regulations, and other documents to conduct integrity, honesty, and supplier social responsibility management training for internal procurement staff, extending our social responsibility ideals to the supply chain and establish partnerships with suppliers for joint management. We require suppliers to adhere and commit to such regulations and ensure that all of their operations meet the applicable environmental laws, labor laws, and international corporate social responsibility regulations. We have required our production suppliers to either provide a "Supplier's Declaration of Commitment" or sign a "Special Agreement for Procurement Orders," and the contents of which are formulated in accordance with international standards such as the Responsible Business Alliance (RBA) Code of Conduct. In particular, the "Supplier Social Responsibility Code of Conduct" includes: Ethical conduct (ethical business management, no taking/receiving improper gains, etc.), human rights (prohibition of child labor, freedom of employment, etc.), and environment	

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			(biodiversity, no deforestation, land protection, etc.). It also includes clauses that allow the Company to terminate or cancel a supplier's contracts at any time if it violates the Company's corporate social responsibility policy and poses a significant impact on the environment and society. In 2025, 100% of the production suppliers have completed signing, ensuring that relevant requirements are met by all partner suppliers. In 2025, no human rights-related disputes, such as the use of child labor, forced labor, or compulsory labor, occurred among the production suppliers we have business dealings with. 2. The Company's contracts with primary suppliers contain immediate termination clause for cases where the supplier violates corporate social responsibility and poses significant impacts to the environment and the society. 3. According to management requirements, annual audits are conducted on qualified suppliers to drive improvement initiatives. This process continues until all relevant issues are addressed and resolved.	
V. Does the Company adopt internationally widely recognized standards or guidelines when producing ESG Reports and reports disclosing the Company's non-financial information? Does the company obtain a third-party assurance or verification for such reports?	✓		The Company’s ESG Report was prepared according to the GRI Standards and CDP, TCFD, SASB, and RBA international initiatives and has obtained a limited assurance report issued by PricewaterhouseCoopers Taiwan on the selected subject matter information in accordance with the Assurance Standard No. 1 “Assurance Engagement of Examinations or Audits of Non-Historical Financial Information” of the Republic of China Accounting Research	No discrepancies

Promoted items	Implementation status			Discrepancy with industry standards in sustainable development practices and reasons for listed companies
	Yes	No	Summary	
			and Development Foundation, which is based on the International Standard on Assurance Engagement ISAE 3000. In the 2025 report, eight items obtained assurance. The sustainable development performance results are disclosed in the report and sustainability section of the website each year.	
VI. If the Company has established sustainable development principles based on Sustainable Development Best Practice Principles for TWSE/TPEx Listed Companies, please describe any discrepancy between the principles and their implementation: The Company has established the "Sustainable Development Best Practice Principles", formulated related policies, and regularly reviews results. There are no deviations between actual operations and the "Sustainable Development Best Practice Principles for TWSE/TPEx Listed Companies".				
VII. Other key information useful for understanding the status of sustainable development implementation: For further details, please refer to the note and Chapter 7 Corporate Sustainable Development in the Annual Report.				

Note: (I) For information on the Company's systems and measures and implementation status with respect to environmental protection, community involvement, social contribution, social service, public interest, safety and health, and other social responsibility activities, please refer to the Company's website, https://www.zdtco.com, and related content in the Annual Report.

(II) The Company has received the following certifications: ISO 9001, ISO 14001, ISO 14064-1, ISO 14067, ISO 22301, ISO/IEC27001, ISO 31000, ISO 37301, ISO 45001, ISO 50001, ISO 9001, IASE 3410, QC080000, IATF 16949, TL9000, Alliance for Water Stewardship (AWS), UL2799 Zero Waste to Landfill, GBT-29490, and AS 9100. For relevant certificates, please refer to our company website https://www.zdtco.com/en/csr/list/ESGData/ESGCertificationandVerification.

(III) The Company places great emphasis on human rights issues and regularly discloses the following information regarding related risks:
Human rights policies and regulations, and specific management solutions:

The Company strictly abides by Taiwan's Labor Standards Act and the laws and regulations of People's Republic of China, including the Labor Law, Employment Contracts Law, Social Insurance Law and Provisions on the Prohibition of Using Child Labor. The Company constructs a human resource management system that collectively applies to Taiwan, Shenzhen, Hua'an, Qinghuangdao, India, and Thailand to ensure that employees have reasonable working conditions and a safe and healthy work environment. The Company also supports international human rights standards. In compliance with the basic human rights principles such as the "United Nations Universal Declaration of Human Rights", the "United Nations Global Compact", the "United Nations Guiding Principles on Business and Human Rights", and the "Responsible Business Alliance Code of Conduct", the "United Nations Guiding Principles on Business and Human Rights", the International Labour Organization's (ILO) "Fundamental Conventions", including instruments such as "Right to Organize and Collective Bargaining Convention", "Abolition of Forced Labour Convention", "Worst Forms of Child Labour Convention", and "Discrimination (Employment and Occupation) Convention", as well as the laws and regulations of each location where we operate worldwide, we have established the "Human Rights Policy of Zhen Ding Tech. Group" to protect the rights and interests of our employees. Aside from the establishment the "Supplier Corporate Social Responsibility Management Regulations" to ensure that supply chain partners (including contractors) collectively uphold human rights, the Company also voluntarily complies with, regularly collects information on, and assesses the social laws of competent authorities and customer requirements to ensure the legitimacy and appropriateness of these laws and requirements. In addition to holding ourselves accountable, the Company requires all operational regions to comply with applicable labor and employment laws, making every effort to uphold the human rights of all stakeholders while ensuring the ongoing identification, monitoring, and management of all human rights risks.

The Company complies with the "Responsible Business Alliance (RBA)" and internationally recognized labor and human rights principles, the Human Resources Division is the unit responsible for human rights-related issues within the Group. The Business for Social Responsibility (BSR) organization assists the Company in conducting internal human rights evaluations and stipulating related internal management policies. In terms of human rights concerns such as labor, equal pay for equal work, child labor, discrimination/harassment, forced labor, human trafficking, freedom of association, provision of a safe working environment, and corporate culture building, we ensure that labor and human rights are protected through measures such as awareness-raising and regular risk assessment.

Zhen Ding Tech. Group adopts a PDCA cycle for quality management and conducts regular human rights due diligence investigations to assess human rights risks and potential impacts. If any human rights risks, potential impacts, or violations are identified during the due diligence process, proactive mitigation measures or remedial actions will be promptly taken. By assessing and identifying human rights risks, potential impacts or violations through human rights due diligence investigations, and evaluating the effectiveness of human rights governance, Zhen Ding Tech. Group will review its human rights policy, regulations or procedures to ensure a more comprehensive implementation of human rights protection.

The mitigation and remedial measures for all major human rights issues mentioned below apply to all manufacturing sites of Zhen Ding Tech. Group:

Target	Major Human Rights Issues	Mitigation Measures	Remedial Measures
Employees	Occupational health, safety, and environment	1. Each manufacturing site implements the ISO 45001 Occupational Health and Safety Management System, establishing the Company's occupational health and safety policy and system in accordance with RBA and relevant occupational health laws and regulations. 2. Provide multiple channels for education and training. 3. The Safety Committee reviews work safety incidents occurring within the Company's premises on a monthly basis, while monthly meetings at each plant analyze the causes and improvement measures for any work safety incidents that occurred in that specific month. 4. Regularly test occupational hazard factors in employee work areas.	1. Establish protocols for reporting and investigating occupational injuries. 2. Regularly conduct various drills and subsequent review of their outcomes. 3. Provide appropriate and legally compliant personal protective equipment for employees in various operational environments. 4. Enhance the promotion and enforcement of wearing personal protective equipment by employees on-site, with rigorous checks by site management. 5. Regularly provide occupational health examinations for employees in positions exposed to occupational hazards.

Target	Major Human Rights Issues	Mitigation Measures	Remedial Measures
	Work hour management Anti-harassment Equal pay and benefits Forced labor and human trafficking Discrimination and tolerance Freedom of occupational choice Personal freedom and safety Freedom of association and channels for filing complaints	In compliance with the basic human rights principles such as the "United Nations Universal Declaration of Human Rights", the "United Nations Global Compact", the "United Nations Guiding Principles on Business and Human Rights", and the "Responsible Business Alliance Code of Conduct", as well as the laws and regulations of each location where we operate worldwide, the Company regularly reviews the implementation status of its human rights policy to ensure the effective protection of human rights. **[Work hour management]** As required by the "Working Hours and Employee Overtime Regulations" and RBA, the Company strictly controls the working hours system and its implementation. **[Anti-harassment]** Formulated the “Sexual Harassment and Discrimination Prevention Management Measures” to prevent sexual harassment. Annual regular training assessments at all levels and monthly on-site audits through random visits or telephone interviews. **[Equal pay and benefits]** Implement a remuneration management system and benefits that are externally competitive and internally equitable. In addition to paying monthly salary, the Company also gives out various types of monetary rewards, including year-end performance bonuses, bonuses for continuous services, employee bonus, and monetary rewards for innovative research and development and for proposing improvement ideas. In addition, the Company also provides various welfare policies in accordance with applicable laws. **[Forced labor and human trafficking]** Formulated the "Humane Management Rules" SOP. Conduct annual training on the prohibition of forced labor and human trafficking for recruiters and employees. Set up	1. The Company formulated the "Human Rights Policy Statement". 2. Review and revise various management regulations to continuously improve systems and processes. 3. Conduct annual internal and external audits, including customer audits and RBA VAP audits, to optimize and enhance the Company's performance based on audit findings. 4. Through "identity verification of applicants in recruitment operations" and facial recognition and card swiping through the personnel system, employees' identities are confirmed to prevent child labor. 5. Use the early warning system to promptly remind and prevent employees from working overtime. Implement working hours monitoring. 6. Pay employees' remuneration in accordance with all remuneration-related laws, including minimum wage and overtime pay. 7. To keep the Company's general salary offers competitive and according to external economic changes, the Company plans and reviews remuneration policies of the Company's manufacturing sites. Utilizing salary survey reports from professional consulting firms, we also draft salary adjustment plans as needed by measuring the salary levels of the local market where the manufacturing site is located. The Company provides employees with paid annual leaves in accordance with applicable laws. To promote physical and mental health and work-life balance, we regularly track leave usage through the human resources system to remind employees to take leaves on time and to avoid long-term accumulation of leaves. 8. The Company values diversity and inclusion, pays attention to issues concerning female employees, respects employees’ self-pursuit, and welcomes more

Target	Major Human Rights Issues	Mitigation Measures	Remedial Measures
		a working hour early warning function in the attendance system to review and control employees' working hours on a daily basis. Annual regular training assessments at all levels and monthly on-site audits through random visits or telephone interviews. **[Discrimination, diversity, and tolerance]** The Company respects diversity and inclusivity, strictly adhering to equal treatment principles, and is committed to creating and providing equal employment opportunities. No discrimination or differential treatment based on nationality, race, ethnicity, skin color, age, gender, gender identity, disability, pregnancy, marital status, religion, political affiliation, union membership, or any other factor shall be tolerated. The Company formulated the Regulations for the Protection of Special Groups to ensure fair treatment for female workers and provide women with human rights, health, and welfare protection in accordance with the law. **[Freedom of occupational choice]** Formulated the "Humane Management Rules" SOP to ensure that the principle of voluntary work is upheld in the hiring process for all employees. **[Personal freedom and safety]** Formulated the "Humane Management Rules", and the "Employee Safety Management Rules" to explicitly prohibit the implementation of any form of physical or movement restrictions and to ensure the safety of employees in their work operations. **[Freedom of association and channels for filing complaints]** The Company stipulated the “Management Regulations for the Right to Join Trade Unions and Collective Bargaining” and established diverse communication channels to protect the rights and interests of employees.	women to join our ranks. To care for women through their trimesters, nutritional meals for pregnant employees are provided, and pregnancy care certificates are issued to offer thoughtful services. Each production plant in the park is equipped with a breastfeeding room. Employees can leave work one hour earlier every day during the breastfeeding period to balance work and family. Childbirth incentives are provided for multiple pregnancies. In addition to the statutory maternity leave, an extra day of newborn childcare paid leave is provided to assist in providing better care to the newborn and to congratulate both the mother and the baby. When female employees return to work after childbirth, they can receive a gift from the Company. 9. The Company formulated the "Employee Handbook" that clearly protects employees' freedom of association and collective bargaining rights, along with other relevant company regulations, and ensures that daily operations are conducted in compliance with the law. 10. The Company has established multiple communication channels for employees to lodge complaints, and investigations and resolutions are conducted promptly based on feedback received. In 2025, there were zero reported cases of harassment and discrimination.

Target	Major Human Rights Issues	Mitigation Measures	Remedial Measures
Suppliers/ Contractors	Occupational health and safety	1. Established the "Supplier Corporate Social Responsibility Management Regulations" to identify the risk levels of suppliers and conduct audits and controls based on their risk levels, aiming to mitigate SER risks. 2. Signed the "Safety and Health Commitment Agreement" with suppliers to communicate the Company's occupational health management requirements.	1. Conduct annual audits on suppliers, track and monitor continuous improvement. 2. Provide relevant education and training to suppliers.
	Work hour management Freedom of occupational choice Equal pay and benefits	1. To address human rights risks in the supply chain, conduct annual audits of suppliers to prevent the occurrence of risks. 2. To mitigate human rights risks, educate and train suppliers on the importance of labor rights and practical implementation methods.	1. Conduct periodic spot checks and RBA SAQ assessments on suppliers. 2. Require suppliers to implement improvement measures for human rights risks and continuously monitor their progress. 3. Demand that suppliers provide compensation measures such as counseling or policy amendments for employees who have suffered human rights violations.
Customer	Data privacy and security	1. Adhere to Taiwan's Personal Data Protection Act and other relevant data protection regulations in operational areas to ensure compliance among company employees and their collaborating partners, collectively striving to uphold data security and safeguard the rights of customers and other data subjects. 2. Established the "Information Security Management Policy" as a management basis to protect the security of business-related information assets and operational data. 3. Strengthen awareness of relevant regulations among company employees and suppliers involved in customer transactions through privacy, data protection, and information security management guidelines and advocacy efforts.	1. Conduct annual information security audits and internal reviews to ensure that information systems and network environments comply with security implementation standards. Strictly enforce information security policies and customer privacy protection measures to prevent leakage of company trade secrets and customer data. 2. If investigations reveal company employees or suppliers engaging in violations of privacy rights, data protection policies, or applicable privacy and data protection regulations, promptly review and improve management measures. Communicate with customers to assess compensation measures on a case-by-case basis. 3. Take disciplinary actions against individuals involved in violations according to applicable disciplinary regulations.

Target	Major Human Rights Issues	Mitigation Measures	Remedial Measures
Communities	Air pollution and noise	**[Air pollution]** The Company reduces air pollutant emissions through the installation of waste gas scrubbers, dust collectors, and the use of activated carbon adsorption and innovative technologies. Regular independent and outsourced testing is conducted annually to track pollutant data and ensure compliance with regulations for all emissions, even significantly below the emission control standards. **[Noise]** The Company conducts boundary noise monitoring at each manufacturing site according to local regulations.	**[Air pollution]** The Company focuses on reducing and preventing atmospheric pollution from manufacturing, prevention, and detection aspects. Manufacturing aspect: Clean raw materials, intensive pollution source collection, and process optimization are used to reduce the generation of air pollutants. Prevention aspect: End-of-pipe pollution treatment technologies such as scrubbers, dust collectors, and activated carbon adsorption are employed for pollution control. Detention aspect: Regular outsourced testing is conducted to ensure compliance with air pollution emission standards. **[Noise]** The Company identifies sources of noise and implements improvements for specific noise sources by installing sound insulation facilities to reduce noise levels.

(1) Human Rights Protection Promotion and Training:

To mitigate human rights risks and ensure that the work environment, labor health and safety, and compliance with relevant laws and regulations are maintained during the work process, the Company conducts human rights protection-related training and promotion for employees in accordance with the concept corporate social responsibility. The training and promotion are mainly conducted through online and offline courses, announcements, communication channels, posters, the Ding+ app, and promotion meetings. In 2025, the total number of training hours for human rights protection exceeded 700,000 hours, and 100% of employees have completed human rights-related training. The Company will continue to promote related education and training to raise awareness on human rights protection.

- Provide employees with awareness on compliance with relevant laws and regulations: The content includes prohibition of forced labor, prohibition of human trafficking, prohibition of child labor, equal pay for equal work, anti-discrimination, anti-harassment, management of working hours, wages and benefits, freedom of association, humane treatment, communication channels, occupational safety, and management systems.
- Implementation of promotion through communication channels: assist employees in resolving issues in work and life, and create a harmonious working environment where they are happy to communicate with each other.
- Provide complete occupational safety training: we provide different safety training for different workplace situations, such as new employee safety training, fire-fighting training, emergency first aid training, and on-the-job safety training.

(2) Communication and complaint channels:

The Company values the opinions and rights of employees and advocates that everyone has the right to participate in the management of the company on an equal footing. All employees are welcome to give their opinions and suggestions on the management of the company or to complain about the unreasonable aspects of the company and its management level. In 2025, in order to better understand the needs of entry-level employees and listen to their voices, the Company has carried out the comprehensive promotion and upgrade of existing communication channels, such as employee communication hotlines, mailboxes, suggestion boxes and the employee service center. The Company has conducted diversified promotion of these measures through online, offline and multimedia methods. The online promotion methods include the internal corporate communication app (Ding+), Ding Sheng E-Learning College app, Ding Ding Daming Applet, and announcements on the company website. The offline promotion methods include orientation speeches for new employees, pocket-sized cards on social and environmental responsibilities, bulletin boards, and posters displayed around the living areas, workshops, cafeterias, and dorm entrances. The multimedia promotion methods include LED screens in living areas, garages, and displays and PA systems in the public areas of the dormitories. In addition to a number of channels for employee feedback, the identity of the complainants is kept confidential, and the complaint records are kept by dedicated personnel. The complaints are handled and responded to immediately to effectively increase employee satisfaction. In addition to the proactive feedback from employees mentioned above, the Company also regularly organizes forums and meetings for employees, teachers, elite management, and young management. As of 2025, a total of 177 sessions have been held.

The Company believes that the successful fulfillment of the Company’s operation targets relies on employees’ dedication and contributions. A harmonious relationship between labor and management is therefore necessary to achieve solidarity among employees. We uphold the ideals of caring for employees and creating mutual prosperity. All policies are designed in ways to benefit employees and simultaneously create a positive work environment, so that both employers and employees can advance toward the common goal of pursing growth for the Company. For this reason, the Company’s internal control system and management regulations specify the duties and interest of employees. To protect the rights and interests of our employees, we also specify Work Rules in the Employee Handbook, which is made known to new employees and also available to employees at all times on the human resource digital platform.

(3) Employee Welfare Committee and Union:

The Company has established the Employee Welfare Committee to implement various welfare activities in its manufacturing sites in Taiwan and India. In both Taiwan and India sites, 100% of employees are covered by collective agreements. Manufacturing sites in Taiwan convene labor-management meetings each quarter according to the law while the India site holds such meetings annually from January to March, to facilitate bidirectional communication and coordination on the Company's recent and future policies to reach a consensus. In addition, the Company has established Process for Employee Consultation and Complaint Management. Our employees can also use the Company's employee opinion box, digital platform, and other grievance channels to provide suggestions and feedback to the Human Resources Department or senior managers in order to ensure unrestricted communication.

A union has been established in the sites in China, in order to protect employee interests and provide various benefits. The labor union stipulates that all workers, regardless of ethnicity, race, gender, occupation, religious belief, and education level, can apply for membership through the employees' own will and approval by the grassroot trade union committees. At present, the percentage of employees covered by collective bargaining is 100% in each manufacturing site in China.

2. Implementation status of climate-related information

<table>
<tr><th>Item</th><th>Implementation status</th></tr>
<tr><td>1. Describe the Board of Directors' and management's oversight and governance of climate-related risks and opportunities.</td><td>(1) The Board of Directors oversees climate-related risks and opportunities and assigns the Corporate Governance, Sustainability, and Nominating Committee to organize personnel to supervise climate risk management.
(2) The Corporate Governance, Sustainability, and Nominating Committee is responsible for reviewing the progress of climate change-related issues, appointing project managers to report to the Board of Directors annually on climate change-related issue strategies and operational directions, monitoring risk events, reviewing energy-saving and carbon reduction targets and annual budgets, and implementing results.</td></tr>
<tr><td>2. Describe how the identified climate risks and opportunities affect the business, strategy, and finances of the business (short, medium, and long term).</td><td>The Company refers to the Financial Stability Board's (FSB) 2017 publication "Climate-Related Financial Disclosures (TCFD)" checklist to identify relevant risks and opportunities, and incorporates considerations of climate change risks into the Company's existing risk management framework for long-term tracking and ensuring governance outcomes.
Climate risk descriptions and response strategies are as follows:
<table>
<tr><th>Category</th><th>Climate-related Issues</th><th>Risks</th><th>Operational Impact</th><th>Impact Period</th><th>Likelihood of Occurrence</th><th>Impact Severity</th><th>Risk Management Measures</th><th>Opportunities</th></tr>
<tr><td rowspan="2">Policies and regulations</td><td>Renewable energy related regulations</td><td>National policies and regulations are becoming more rigorous for the ratio of renewable energy usage and equipment energy efficiency. To comply with regulations, there may be requirements to replace old equipment or mandatory purchase of a certain proportion of renewable energy. In the future, shortages in the supply of renewable energy and rising energy prices may occur, leading to increased operational costs and expenditures.</td><td>1. Increase in operating costs
2. Increased expenditures</td><td>Short-term</td><td>Medium and High</td><td>High</td><td>1. Proactively adjust energy structure and collaborate with electricity suppliers in the market to sign long-term cooperation agreements in advance to ensure the supply of renewable energy
2. Research renewable energy development projects and initiate cooperation discussions in advance</td><td>Actively participate in renewable energy programs, purchase green electricity, increase the proportion of renewable energy use, meet the expectations of external stakeholders, gain customer recognition, and win the market</td></tr>
<tr><td>GHG related regulations</td><td>The Shenzhen plant is under the management of the Shenzhen trial carbon trading market and is mandated to participate in inventory and carbon trading. Emission</td><td>Increased expenditures</td><td>Medium-term</td><td>High</td><td>Medium and High</td><td>1. Continuously conduct ISO 14064 verification, obtain certification, and establish reasonable carbon management objectives</td><td>Establish a sound carbon management system, control carbon management objectives, reduce costs associated with</td></tr>
</table></td></tr>
</table>

Item	Implementation status								
			limits (per unit of industrial value-added emissions) have been set. In the future, if carbon quotas are not met, additional carbon emissions quotas may need to be purchased, potentially increasing operating costs					2. Study development trends, collaborate with international organizations, and develop carbon management plans 3. Actively participate in carbon trading markets	exceeding carbon emissions, win government policy support incentives, meet the expectations of external stakeholders, gain customer recognition, and win the market with good energy management. Based on current market developments, carbon can be transformed into corporate carbon assets.
		Water resource related regulations	Currently, there are no regulations governing water usage or recycling. The competent authority currently adopts an encouraging approach, allowing voluntary management by enterprises.	1. Increase in operating costs 2. Operational disruptions	Long-term	Low	Medium	1. Implement water-saving measures, including wastewater reuse, workshop recycling, and process water conservation measures 2. Implement advanced management systems and standards, such as the Clean Water Program and AWS, collectively promoted with customers. 3. Monitor water usage indicators, conduct regular reviews, avoid waste, and continuously improve water resource utilization efficiency	Enhance water resource management performance, strengthen resilience to climate change, promote water resource efficiency improvement and diversification, reduce production costs, ensure business continuity, gain customer recognition, and increase customer trust
		Energy saving (electricity limitation) related regulations	Currently, there are no energy-saving or electricity limitation regulations in the industry to which our Company belongs. However, in the future, there might be electricity shortages, leading	1. Increase in operating costs 2. Operational disruptions	Long-term	Low	Medium	1. Implement energy-saving measures, including energy-efficient production equipment and automatic power and water cutoff systems	Enhance the Company's electricity usage efficiency, reduce production costs, develop energy storage solutions, ensure business

Item	Implementation status								
			to restricted electricity consumption during production, such as restricting electricity usage for units with low energy consumption per unit of output.					2. Utilize advanced energy-saving equipment, such as permanent magnet motors and magnetic levitation chillers 3. Promote an energy management platform to monitor equipment activation and automatically analyze energy consumption rationality 4. Monitor electricity usage indicators, conduct regular reviews, and continuously improve energy efficiency	continuity, gain customer recognition, and capture market opportunities
	Market	Upstream - Raw material supply interruption or cost increases	Increased investment in green energy development and regulations requiring the use of new energy vehicles have led to a surge in copper demand, causing supply-demand imbalances and significant increases in copper prices. Extreme weather events, market supply and demand fluctuations, and other integrated factors can lead to shortages in upstream chemical raw materials, resulting in increased prices and transportation disruptions, leading to delays in raw material shipments and subsequent production	1. Increase in operating costs 2. Decrease in revenue	Long-term	High	Low	1. Establish secondary suppliers to mitigate risks associated with single-source suppliers, ensuring smooth supply and enhancing bargaining power and service 2. Provide timely trends and material price increase information to customers and propose price adjustments	Diversify sources of raw materials to reduce the risk of material shortages. During supply shortages, customers prioritize suppliers with reliable deliveries
		Upstream - Poor adaptability of the supply chain	To address global climate change, upstream supply chains are investing more in energy conservation and emissions reduction, leading	Decrease in revenue	Medium-term	High	Medium		

Item	Implementation status								
			to increased operating costs, which may affect sales						
		Downstream - low-carbon environmental requirements for products	Product environmental regulations are becoming increasingly stringent, such as RoHS 2.0, REACH, and California Proposition 65. Certain customers may have environmental material requirements (e.g., halogen-free materials) that exceed regulatory standards, leading to additional costs to control risks of exceeding hazardous substance limits	Increase in operating costs	Short-term	High	Medium	1. According to ST-2B0-006 "Regulatory and Other Requirements Compliance Assessment Control Operations System," assess newly added or amended laws and regulations, and promptly improve any non-compliant items. 2. Strictly adhere to the Company's "Five Nos" principle for controlling hazardous substances to enhance the Company’s testing standards for hazardous substances and prevent their inflow and outflow. 3. Introduce green recycling manufacturing technologies and the use of recycled materials, and develop low-carbon green products through the concepts of low-carbon and circular economy.	Reduce hazardous substances in products to comply with most national environmental regulations. Develop low-carbon green products to enhance market competitiveness and establish long-term cooperation with customers
		Investment - ESG rating	Currently included in the FTSE4-Good TIP Taiwan ESG Index and Taiwan Corporate Governance 100 Index constituents. Failure to continuously improve ESG performance may affect the Company's reputation and consequently its fundraising capabilities.	Difficulty in financing	Short-term	High	Low	1. Continue to monitor goals and strategies, impact of execution, benefits and sustainability, performance results and leadership to enhance ESG actions. 2. Enhance the quality of report content, including its	Obtain partner vendor accreditation, so that investors can decide whether to invest or borrow based on the Group's ESG performance to stabilize the Group’s capital sources and stock prices.

Item	Implementation status								
								completeness, credibility, and communicativeness. 3. Strengthen external disclosure channels, including multimedia design and interactive features, stakeholder communication and feedback channels, management of sustainability sections on the website, and electronic versions of reports.	
		Technology investment risk	In response to climate change transformation trends, the Company continues to promote the research, development, and introduction of low-carbon processes, automation, and related new technologies. However, related technology investments typically involve high capital investment and technological uncertainty. The results of research and development may face risks such as insufficient technological maturity, lower-than-expected cost-effectiveness, or uncertain market acceptance. Amid accelerated climate transitions, if the development progress or effectiveness of related technologies fails to meet market and customer expectations, it may affect customer orders and revenue performance, increase operating costs, and place pressure on the Company's	1. Increase in operating 2. Leads to asset loss	Long-term	Medium	Medium	1. An innovative technology sharing platform that provides one-stop service covering customer demand alignment, supplier collaboration, product technology development, iterative design optimization, analog testing, and reliability validation. 2. Strengthen the risk assessment mechanism for the technology research and development stage to identify potential failure points in advance and reduce investment risks.	None

Item	Implementation status								
			long-term competitiveness.						
	Physical	Extreme Heat/ Drought	Extreme heat may cause heat stroke or food poisoning among personnel, equipment abnormalities, and the risk of spontaneous combustion of materials Prolonged high temperatures can lead to drought, resulting in insufficient water supply for production, life, and firefighting needs, thereby affecting production	1. Increase in operating costs 2. Operational disruptions	Long-term	Medium and Low	Low	1. According to the meteorological forecast from the weather bureau, promptly notify all departments and supervise them to make emergency preparations 2. Lower the temperature with air conditioning, reduce the duration of high-temperature operations, and prepare anti-heatstroke and cooling drugs at health stations 3. Increase the frequency of equipment inspection and maintenance in the equipment department and ensure equipment cooling 4. Prepare for drought conditions, check the water storage in fire pools and domestic water tanks, enhance water storage, and strengthen water-saving advocacy	Strengthen the emergency response mechanism to enhance the Company's operational resilience
		Extreme cold	May cause personnel frostbite or food shortages, equipment abnormalities, freezing or bursting of firefighting and other fuel transportation pipelines, and raw material supply interruptions.	1. Increase in operating costs 2. Operational disruptions	Long-term	Medium and Low	Low	1. According to the meteorological forecast from the weather bureau, promptly notify all departments and supervise them to make emergency preparations 2. Raise the temperature with air conditioning, reduce the duration of low-temperature operations, and prepare antifreeze medication at	

Item	Implementation status								
								health stations 3. The accommodation department should prepare antifreeze blankets to meet the needs of employees who are unable to return home 4. The mechanical and electrical department should implement insulation measures for machinery, equipment, and pipelines	
		Heavy rainfall/Floods	Floods may affect employee attendance and wastewater treatment systems, as well as cause interruptions in water supply, power supply, logistics, and transportation, leading to production stoppage or reduction and resource losses	1. Increase in operating costs 2. Operational disruptions	Long-term	Medium and Low	Low	1. Before heavy rainfall arrives, disseminate typhoon warnings from the local meteorological office. Upon receiving announcements of heavy rainfall, relevant departments should immediately prepare for storms 2. Activate contingency plans. The mechanical and electrical department should prepare drainage pumps and conduct comprehensive system checks. The environmental engineering department should inspect sewage pipes for blockages, and all departments should inspect drainage outlets for blockages. If necessary, contact government agencies for assistance 3. Each manufacturing site has flood	None

Item	Implementation status
	prevention facilities such as drainage stations, floodgates, drainage pumps, and flood prevention facilities at entrances
3. Describe the financial impact of extreme weather events and transformative actions.	Please refer to the above “climate risk descriptions and response strategies".
4. Describe how climate risk identification, assessment, and management processes are integrated into the overall risk management system.	In order to strengthen the risk management functions, the Group's risk management is based on (1) risk identification, (2) risk assessment, (3) risk control, (4) risk supervision, and communication. The Company clearly understands the scope of all risks and continues to effectively improve and control the risk factors through PDCA (Plan, Do, Check, Act). This will decrease the probability and severity of losses caused by the risks. The Company adopts appropriate measures to effectively implement risk management.
5. If scenario analysis is used to assess resilience to climate change risks, the scenarios, parameters, assumptions, analysis factors and major financial impacts used should be	To further assess the impact of climate change on the Company, we conducted climate scenario analysis on the most significant physical risks and transition risks in 2025. We quantified the potential financial impact of climate risks to incorporate them into future decision-making. Water resource issues were chosen as the primary focus for physical risk scenario analysis, considering that extreme weather events will increasingly affect business operations due to climate change. Therefore, the Company selected "heavy rainfall and flood disasters", currently assessed to post the most significant impact, as the event for quantifying the potential financial impact of physical risks under future scenarios of global environmental warming. By analyzing the results of the scenario analysis, we can proactively prepare and plan for future operations and contingencies. (1) For physical risks, the Company analyzed two scenarios: SSP5-8.5 and SSP1-2.6. These scenarios represent the worst-case scenario (SSP5-8.5) and a scenario where temperature increases align with the goals of the Paris Agreement (SSP1-2.6). We assessed the potential financial impact under these scenarios. For transition risks, the Company selected carbon pricing as the focus of climate scenario analysis. We evaluated the actual carbon fees and emissions costs that the Company may incur in Taiwan's carbon fee system and China's carbon emission trading system. We also considered the energy management costs incurred in response to carbon pricing and the increase in electricity costs in future operational

Item	Implementation status
described.	environments due to adjustments in the power generation structure. (2) Targeting the carbon pricing issue mentioned above, the Company used the Nationally Determined Contributions (NDCs) and Net Zero 2050 scenarios defined by the Network for Greening the Financial System (NGFS) to analyze the potential financial impacts of our operations under current climate conditions and under the consensus goal of limiting global warming to 1.5°C by the end of the century as outlined in the Paris Agreement. (3) Regarding carbon pricing, the Company referred to the NGFS model and the Taiwan government's assessment of possible carbon fee prices. After comprehensive consideration, we have incorporated these factors into our modeling evaluation. For China's carbon pricing, we integrated the NGFS model and the prices in the China carbon trading market as the basis for assessing the costs of carbon emissions trading in China. The Company currently uses the Sea Level Rise Map assessment tool from the U.S. nonprofit climate organization Climate Central to evaluate sea level rise heights under different warming scenarios. We also analyze factors such as site terrain, altitude, factory elevation, and ground level differences to assess the risks at each operating site. Overall, the risk assessment results for all operating sites are categorized as low risk. (1) Simulation scenarios: Climate temperature rises leading to sea level rise scenarios. (2) If sea level rise causes seawater backflow, it may lead to poor drainage and increase the likelihood of localized flooding, resulting in additional operating costs for flood management. Although the sea level rise assessment for each manufacturing site is categorized as low risk, each site has constructed flood prevention facilities such as drainage stations, floodgates, drainage pumps, and flood prevention devices at entrances to mitigate potential extreme weather conditions such as heavy rainfall.
6. If there is a transition plan for managing climate-related risks, describe the content of the plan, and the indicators and targets used to identify and manage physical risks and transition risks.	(1) Plan for medium to long-term climate change adaptation measures and strengthen climate risk assessment and physical risk prevention. (2) Continuously develop renewable energy projects, expand the scope of solar energy projects, and strive to increase the proportion of green electricity usage. (3) Continuously promote the introduction of energy-saving and emission-reduction technologies and equipment, create energy-saving and carbon reduction achievements, and improve energy utilization efficiency. (4) Continuously conserve resources and promote recycling, develop waste reduction technologies, achieve 100% recycling of valuable metals, and evaluate recycling initiatives. (5) Achieve a wastewater recycling rate of over 50% by 2025, maintaining industry leadership. (6) Strengthen the green supply chain, continue to promote supplier risk assessment, advance environmental protection projects, and enhance the overall green value of the supply chain.
7. If internal carbon pricing is used as a planning tool, the basis for	Internal carbon pricing: To effectively manage climate-related risks and seize low-carbon opportunities, the Company has established an Internal Carbon Pricing (ICP) mechanism, incorporating the external costs of greenhouse gas emissions into internal decision-making and driving deeper operational decarbonization. This mechanism currently applies to Scope 1 and Scope 2 emissions and is used in the form of a shadow price in the business and investment decision-making processes of various business units. Considering that Zhen Ding's subsidiary Avary has its primary production base in China, and that its Shenzhen Campus has been included in a carbon trading pilot program, the Company has adopted the

Item	Implementation status
setting the price should be stated.	Shenzhen carbon market price as its benchmark shadow price. Based on the ICP assessment, the internal carbon price for the year is set at RMB 44.4 (approximately NT$200) per ton of carbon dioxide equivalent (tCO_2e). In practical applications, when evaluating energy-saving, carbon reduction, and low-carbon investment projects, the Company monetizes decarbonization benefits through internal carbon pricing and incorporates them into project cost-benefit analyses and investment return assessments. This approach promotes energy efficiency improvements, guides low-carbon investments, and supports the development and achievement of climate-related policies and targets. It also serves as a key parameter in scenario analysis, helping the Company proactively address potential carbon pricing and regulatory risks.
8. If climate-related targets have been set, the activities covered, the scope of greenhouse gas emissions, the planning horizon, and the progress achieved each year should be specified. If carbon credits or renewable energy certificates (RECs) are used to achieve relevant targets, the source and quantity of carbon credits or RECs to be offset should be specified.	Since 2007, the Company has been conducting annual GHG inventory independently, monitoring the carbon emissions of various subsidiary companies. We integrate the requirements of local governments with the Company's sustainable development strategy to formulate climate change management strategies and green development goals. We actively engage in various GHG reduction activities, with our GHG reduction strategy referencing methods such as SBTi. We evaluate diverse emission reduction scenarios and aim to achieve 100% renewable energy, with the goal of achieving net-zero emissions by 2050. In 2025, we purchased 1,350,370 MWh of green energy, of which 658,996 MWh were solar energy and 691,374 MWh were wind energy.
9. Greenhouse gas inventory,	Filled out separately below in 2-1 and 2-2.

Item	Implementation status
assurance status, reduction targets, strategies and specific action plans.	

2-1. Recent two-year GHG inventory and assurance status of the Company

2-1-1 GHG inventory information

Description of the emission volume (tons CO_2e), intensity (tons CO_2e/million NTD), and scope of information of greenhouse gas emissions in the past two years.

Year	Scope of Review	Emissions (Metric tons CO_2e)			Intensity (Metric tons of CO_2e/million NTD)	Assurance Body	Description of Assurance
		Scope 1	Scope 2	Scope 3			
2025	Parent company	0	0	0	0	PwC	Limited assurance
	Subsidiary companies	98,907	301,957	35,266	2.20	PwC	Limited assurance
2024	Parent company	0	0	0	0	PwC	Limited assurance
	Subsidiary companies	109,237	401,904	56,624	2.98	PwC	Limited assurance

Note 1: Inventories and verifications on all consolidated entities included in the Zhen Ding Tech. Group have been copmleted for the past two years.
2: Intensity (Metric tons of CO_2e/million NTD) = (Scope 1 + Scope 2)/The Company's annual consolidated revenue

2-1-2 GHG assurance information

Description of the most recent two years' assurance status as of the printing date of the Annual Report, including the assurance scope, assurance body, assurance criteria, and assurance opinion.

Since January 1, 2023, the Company has adopted the ISAE 3410 standard for assurance, with limited assurance provided by the assurance body, PricewaterhouseCoopers, Taiwan.

2-2. Greenhouse gas reduction targets, strategies, and specific action plans

Description of the greenhouse gas reduction baseline year and its data, reduction targets, strategies, specific action plans, and achievement of reduction goals.

1. As the hardware construction was more complete in 2013, it is used as the baseline year for environmental data comparison. Baseline year 2013: Scope 1 emissions were 35,282 tons CO_2e, Scope 2 emissions were 593,025 tons CO_2e, Scope 3 emissions were 4,486 tons CO_2e, and the combined Scope 1 & 2 emission intensity was 9.74 tons CO_2e/million NTD.
2. The target for the reduction in carbon emission intensity by 2026 is 40%.
3. Strategies and specific action plans: Currently, the Company's GHG inventory for Scope 3 includes seven major categories: purchase of products or services, fuel and energy-related activities, upstream transportation and distribution, downstream transportation and distribution, waste disposal, business travel, and employee commuting. We plan to conduct inventory and disclosure for all categories of Scope 3 in the next two years.

(VI) Implementation of ethical corporate management and measures and departure from Ethical Corporate Management Best Practice Principles for TWSE/TPEx Listed Companies and reasons

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
I. Establishment of ethical corporate management policies and solutions				
(I) Does the Company formulate ethical corporate management policies that have been approved by the Board of Directors and declare its ethical corporate management policies and procedures in its guidelines and external documents, as well as the commitment from its Board of Directors and management team to implementing policies?	✓		(I) The Company has established the "Ethical Corporate Management Best Practice Principles", "Ethical Corporate Management Operating Procedures and Code of Conduct", and "Code of Ethical Conduct", which have been approved by the Board of Directors and details the specific content of ethical management, in order to implement ethical management policies. The Company's external standard contract documents require the counterparty of transactions to comply with ethical management policies. The Board of Directors and senior management are actively implementing the ethical management policies. The policies shall be implemented in the Company's internal management and business activities, including employment conditions requiring employees to comply with ethical management policies.	No discrepancies
(II) Does the company establish a mechanism for assessing the risk of unethical conduct, regularly analyze and evaluate business operations at a relatively high risk of unethical conduct, and accordingly formulate solutions to prevent unethical conducts, which covers at least preventive measures against conducts as indicated in Article 7 Paragraph 2 of the Ethical Corporate Management Best Practice Principles for TWSE/GTSM Listed Companies?	✓		(II) The Company has listed unethical behavior related to the “Ethical Corporate Management Best Practice Principles” in the “Code of Ethical Conduct” and “Ethical Corporate Management Operating Procedures and Code of Conduct”. Risk assessment measures have been formulated, including: Collect information through interviews, email tracking by the information unit, and other methods, identify higher risks through regular analyses and evaluations, and assist in the audit mechanism of the internal audit unit, in order to stipulate measures against unethical behavior, such as bribery, providing illegal political contributions or gains, infringing intellectual property rights, unfair	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			competition, etc. The Company must comply with laws and regulations when engaging in any activity. Before information is officially disclosed, participants must sign a confidentiality agreement and shall not disclose any important internal information of the Company to others. Information security is also rigorously controlled and protected.	
(III) Does the Company have any measures against unethical conducts? Are these measures supported by proper procedures, behavioral guidelines, disciplinary actions and complaint systems? Does the company implement and regularly review and revise such measures?	✓		(III) The Company abides by the "Ethical Corporate Management Operating Procedures and Code of Conduct" and the "Anti-Corruption, Integrity Promotion, Profit Optimization, and Malpractice Prevention Management Measures" to evaluate the legal compliance and unethical conduct records of its agents, suppliers, customers, or other transaction counterparties before conducting business transactions to prevent transactions with companies that have records of unethical conduct. The reporting of any illegal or unethical conduct shall be encouraged and the importance of ethical conduct shall be regularly promoted to directors and employees.	No discrepancies
II. Implementation of ethical management (I) Dose the Company evaluate the integrity records of its business partners, and specify ethical-related clauses in business contracts?	✓		(I) The Company shall take into consideration the legality of its agents, suppliers, clients, or other trading counterparties before conducting business and whether any of them have a history of unethical conduct, and shall avoid any dealings with persons so involved. When entering into contracts others, the Company includes in such contracts terms requiring compliance with ethical management policies. In the event that the trading counterparties are involved in unethical conduct, the Company may at any time terminate or rescind the contracts, ensuring the compliance of others with the Company's ethical management policies.	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
(II) Does the Company establish a dedicated unit supervised by the Board, to be in charge of corporate integrity, report its integrity policy and unethical conduct prevention solutions as well as supervision implementation status to the Board of Directors on a regular basis?	✓		(II) The Company's Chairman's Office, Human Resources Division, Legal Affairs Division, and Corporate Governance and Investor Relations Division jointly formed the "Ethical Corporate Management Work Group" under the Board of Directors. The Chairman's Office is responsible for the establishment, supervision, and execution of ethical corporate management policies and prevention solutions. The work group consists of an executive unit and related work groups. It is responsible for supervising ethical management operations and reporting on the implementation in the current year to the Board of Directors at least once a year. The 2026 report was submitted to the Board of Directors on March 12th and the ESG Execution Committee on January 20th. The implementation of ethical management in 2025 is as follows: 1. For the stipulation and review of ethical management related policies, the Company has established the "Ethical Corporate Management Best Practice Principles", "Code of Ethical Conduct", "Ethical Corporate Management Operating Procedures and Code of Conduct", and "Anti-Corruption, Integrity Promotion, Profit Optimization, and Malpractice Prevention Management Measures", which clearly stipulates that no improper gains shall be accepted and there should be no unethical or unlawful behavior. The above-mentioned internal regulations are reviewed, adjusted and revised from time to time with reference to changes in external regulations and the implementation of internal supervision. 2. The internal and external promotion of the Company's "Ethical Corporate Management Best Practice Principles", "Code of Ethical Conduct",	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			"Ethical Corporate Management Operating Procedures and Code of Conduct", "Anti-Corruption, Integrity Promotion, Profit Optimization, and Malpractice Prevention Management Measures", and relevant important policies have been announced on the Company's website and internal network for external parties or internal employees to view at any time. The content of the standard contract signed with the business transaction partner also contains the relevant clauses for compliance with the ethical management behaviors. 3. Whistleblowing channel, handling, and whistleblower protection: The Company shall internally establish and publicly announce an independent mailbox (zdt@zdtco.com) and hotline (03-3835678) for Company insiders and outsiders to submit complaints. The Company will keep the whistleblower's identity and contents of the report confidential, and protects the whistleblower from any retaliation. The responsible unit shall verify and handle the report. Anyone who violates the ethical management regulations will be dealt with appropriately according to the seriousness of the circumstances, and should be reported to the competent authority or transferred to the judicial authority for investigation if necessary. The handling method and subsequent review and improvements shall be reported to the Board of Directors.	
(III) Does the Company have policies that help prevent against conflict of interests and appropriate channels for filing related complaints in place and precisely enforce them?	✓		(III) The Company has stipulated policies that help prevent against conflict of interests, provided appropriate channels for filing related complaints, and precisely enforces them. The description is as follows:	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			1. The Company's "Code of Ethical Conduct" stipulates that personnel should handle business in an objective and efficient manner, and avoid using their positions to obtain improper gains for themselves, others, or other companies. The conflict of interest policy is to prevent conflicts of interest. In addition, the "Ethical Corporate Management Operating Procedures and Code of Conduct" specify in detail how stakeholders should avoid conflicts of interest with respect to various proposals of the Board of Directors. 2. Information shall be reported to the department head if involving general employees and to an independent director or Audit and Risk Committee if involving a director or a senior manager. When material violations or concerns involving material impairment to Company come to their awareness upon investigation, information shall be immediately prepared into a report and the independent directors or Audit and Risk Committee shall be informed in writing. 3. In 2025, the Company strengthened the promotion of ethical management through online and physical meetings. The emphasis on ethical management principles was included in the agendas of 522 supplier exchange meetings. 4. The Company advocates the Sunshine Policy of "fairness and impartiality, integrity and self-discipline, honesty and cooperation in building an environment that embraces honest and ethical purchasing", and emphasizes the nine prohibited behaviors listed on the Company's website: Prohibition of bribery towards Zhen Ding personnel, prohibition of engaging in related-party transactions	

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			with Zhen Din, prohibition of using blacklisted supplier, prohibition of transferring joint development projects with Zhen Ding to other clients without written consent, prohibition of violating PCN/ECN management, prohibition of circumventing procurement processes in business matters, prohibition of commercial fraud and violations of commercial standards, prohibition of unfair competition and dealing with non-compliant suppliers, prohibition of instigating or enticing Zhen Ding employees to resign. For 2025, more than 1,208 suppliers received the Sunshine Policy promotion, and commitment letters were signed with major suppliers.	
(IV) Has the Company implemented effective accounting and internal control systems for the purpose of maintaining business integrity? Does the internal audit unit establish applicable audit plans based on the results of unethical conduct risk assessment, and use the plans to audit unethical conduct prevention solutions or engage a CPA to carry out the audit?	✓		(IV) The Company has established the accounting system and internal control system, and implements the systems. The internal audit personnel shall establish applicable audit plans, which include the audit target, scope, items, and frequency, based on the results of unethical conduct risk assessment, and use the plans to audit unethical conduct prevention solutions. The audit results shall be presented to top management and the dedicated ethical corporate management unit and shall be produced into an audit report for the Board of Directors. In addition, in order to ensure the continuous and effective design and implementation of the system, the Company conducts annual inspections and revisions to establish good corporate governance and risk control mechanisms as the basis for evaluating the effectiveness of the overall internal control system and issuing internal control system declarations.	No discrepancies
(V) Does the Company organize internal and external educational trainings periodically to help enforce honest operations?	✓		(V) The Company has published important regulations, rules, and operating procedures related to ethical management on both the Company's public website and	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			the intranet for external stakeholders and internal employees to access and refer to at any time. The standard contract and external documents signed with the business transaction partner also contains the relevant clauses for compliance with the ethical management behaviors: The Board of Directors and senior management have signed written statements to guarantee the active implementation of ethical management policies. The internal and external education and training related to ethical management organized by the Company in 2025 include: 1. New employee training, quality management training, professional skill training, management talent training, ethical corporate management regulations, ethical conduct, material internal information, food safety and health management, accounting system, internal control system, insider trading, and anti-corruption, with cumulative learning hours exceeding 160,000 hours and over 100,000 participants in these courses. Among which, 100% of employees have completed ethical management, anti-corruption confidentiality and integrity education and training by passing the examination. 2. All directors complete courses on ethical corporate management. 3. The Company installed broadcasting platforms in living areas and workshops to showcase relevant promotional videos. Two themed videos are rotated monthly, with each video played four times a day in a continuous loop. The platform reaches and engages with over 1.8 million viewers every year. 4. The pass rate for new employees, both indirect and	

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
			direct, on the management rules, was 83%. 5. The ethical management education and training policy was incorporated into the annual performance evaluations of employees and aligned with remuneration incentives.	
III. Implementation status of the Company's reporting system (I) Does the Company have a substantial reporting and reward system as well as a convenient reporting channel in place with appropriate personnel to be assigned to assist the party being reported on?	✓		(I) The Company has indicated in its Ethical Corporate Management Operating Procedures and Code of Conduct the need to establish a reward/punishment system with a convenient and independent mailbox and hotline. We have also appointed dedicated units and personnel to take charge of investigations. The identity of the whistleblower and contents of the report are kept confidential, and the whistleblower is protected from inappropriate actions due to whistleblowing. The Company shall internally establish and publicly announce an independent mailbox (zdt@zdtco.com) and hotline (03-3835678) for Company insiders and outsiders to submit complaints.	No discrepancies
(II) Has the Company implemented any standard operating procedures, post-investigation measures, or confidentiality measures for handling reported matters?	✓		(II) 1. According to the Company's "Ethical Corporate Management Operating Procedures and Code of Conduct", it indicated the standard operating procedures for reported matters and the need to keep records of accepted cases, investigation process, investigation results, and related documents. 2. With respect to a confirmed report, the Company shall charge relevant units with the task of reviewing the internal control system and relevant procedures and proposing corrective measures to prevent	No discrepancies

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
(III) Has the Company provided proper whistleblower protection?	✓		recurrence. 3. The Company's dedicated unit shall establish a case for investigation within 7 days of receiving the report, and respond to the whistleblower in 15 to 30 days. It shall also report the whistleblowing case, actions taken, and subsequent reviews and corrective measures to the Board of Directors. 4. In 2025, no reported cases were received from the competent authority. (III) The Company handles the reporting cases in a confidential manner, and makes every effort to protect the whistleblower, whose identity will be kept strictly confidential, and will not be improperly handled due to the reporting situation. The personnel handling the report shall also issue a written statement declaring that the identity of the whistleblower and the contents of the report shall be kept confidential.	No discrepancies
IV. Enhance information disclosure Has the Company disclosed its integrity principles and progress onto its website and MOPS?	✓		The Ethical Corporate Management Best Practice Principles, approved by the Company's Board of Directors, and relevant regulations have been disclosed on the investor relations section of the company website. The Company fully discloses corporate governance information such as financial information, stock prices and dividends, organizational structure, and the Company's results in operations in quarterly reports, annual reports, and the Company's website to truthfully reflect the performance of business operations and allow stakeholders to obtain information on the Company's operations in a timely manner. The Company discloses the implementation and execution of ethical management in a dedicated chapter of the annual ESG Report.	No discrepancies
V. If the Company has established Ethical Corporate Management Principles in accordance with "Ethical Corporate Management Best Practice Principles for TWSE/GTSM Listed Companies", please describe any discrepancy between the principles and their implementation: None.				

Assessment items	Implementation Status			Reason for Non-implementation
	Yes	No	Summary	
VI. Other key information useful for explaining status of ethical management practices: (Such as the Company's review and revision of its Ethical Corporate Management Best Practice Principles): Please refer to the Company's website and Annual Report for related information.				

(VII)Other Important Information that Facilitates a Better Understanding of the Company's Corporate Governance Activities:

1. The Company has set up a corporate governance section on its website (https://www.zdtco.com/tw/investor/govern).
2. Important performance results of the Company's corporate governance: Selected as a constituent of the TIP Corporate Governance Index and Taiwan Sustainability Index for six consecutive years. Given a score of 16.13 in 2025 and rated as low risk in the ESG Risk Rating by the international evaluation agency Sustainalytics. Participated in the Dow Jones Sustainability Index (DJSI) Corporate Sustainability Assessment (CSA) for six consecutive years. Achieved a score of 88 in 2025, an improvement of 10 points compared to 2024, placing the Company among the top 10% of companies globally. Included in S&P Global Sustainability Yearbook for four consecutive years. In 2025, the Company received the highest rating of "A" in both the "Climate Change" and "Water Security" categories of CDP for the first time.

(VIII) Internal Control System Statement

1. Statement on Internal Control:

Zhen Ding Technology Holding Limited
Internal Control System Statement

Date: March 12, 2026

This Internal Control System Statement is issued based on the self-assessment results of the Company for the year 2025:

I. The Company acknowledges that the Company's Board of Directors and managers are responsible for the implementation and maintenance of the internal control system, and that the Company has already established such a system. The objectives of internal control system include achieving various objectives in business benefits and efficiency (including profitability, performance, and protection of assets and safety); ensuring the reliability, timeliness, transparency, and regulatory compliance of reporting; and providing reasonable assurance.

II. Internal control systems have their inherent limitations. No matter how well they are designed, an effective internal control system can only reasonably ensure achievement of the three above objectives. In addition, an internal control system's effectiveness may change as the environment and circumstances change. However, self-supervision measures were implemented within the Company's internal control policies to facilitate immediate rectification once procedural flaws have been identified.

III. The Company determines the effectiveness of the design and implementation of its internal control system in accordance with the items in "Regulations Governing Establishment of Internal Control Systems by Public Companies" (hereinafter referred to as "Governing Regulations") that are related to the effectiveness of internal control systems. The criteria adopted by the Governing Regulations are divided into 5 components in accordance with the procedure s of management control: 1. Control environment; 2. Risk assessment; 3. Control activities; 4. Information and communication; and 5. Monitoring activities. Each constituent element includes a number of categories. Please refer to "Governing Regulations" for details.

IV. This Company has already adopted the aforementioned internal control system assessment items to evaluate the effectiveness of internal control system design and implementation.

V. Based on the findings of the evaluation mentioned in the preceding paragraph, the Company believes that its internal control system (including its supervision and management of subsidiaries) on December 31, 2025, encompassing internal controls for knowledge of the degree of achievement of operational effectiveness and efficiency objectives, reliability of reporting, and compliance with applicable laws and regulations, is effectively designed and operated that reasonably assures the achievement of the above-stated objectives.

VI. This Statement of declaration shall be the primary content of the Company's Annual Report and prospectus, and shall be made available to the public. Falsehood, concealment, or other illegality in the content made public will entail legal liability under Articles 20, 32, 171, and 174 of the Securities and Exchange Act.

VII. This Statement was approved in the meeting of the Board of Directors on March 12, 2026 where all 6 attending Directors approved the content of this Statement.

Zhen Ding Technology Holding Limited

Chairman: Chang-Fang Shen **Signature**

President: Chen-Fu Chien **Signature**

2. Those who entrust an accountant to review the internal control system must disclose the accountant's review report: None.

(IX) Important resolutions adopted in the General Shareholders' Meeting and Board of Directors' meeting in the past year and up to the publication date of the Annual Report:

1. Key resolutions, attendance, and implementation status of the 2025 General Shareholders' Meeting:

   (1) Number and proportion of attending shares:
   The attendance and attendance by proxy in the General Shareholders' Meeting totaled 779,134,407 shares (including 740,112,003 votes exercised electronically), which accounted for 81.62% of all 954,559,099 outstanding shares (the 2,093,410 shares with no voting rights defined by Article 179 of the Company Act have been deducted).

   (2) List of attending directors:
   Chairman Chang-Fang Shen, Director Che-Hung Yu (Representative of Foxconn (Far East) Limited) (attended via video), Director Ting-Chuan Lee, Independent Director Shin-Cheng Yeh (attended via video), Independent Director Gin-Ing Hu (attended via video), and Independent Director Chun-Chung Chen.

   (3) Chairman to Preside over the Shareholders' Meeting: Chairman Chang-Fang Shen

No.	Agenda	Voting status	Voting results (including electronic votes)				
			Votes in favor	Votes against	Invalid votes	Waived votes/ uncast votes	Total voting rights of attending shareholders
1	Ratification of 2024 Business Report and Consolidated Financial Statements	Approved after voting	696,141,255 89.35%	96,622 0.01%	0 0%	82,862,530 10.63%	779,100,407 100%
2	Ratification of the 2024 earnings distribution	Approved after voting	696,872,092 89.44%	101,725 0.01%	0 0%	82,126,590 10.54%	779,100,407 100%
3	Amendments to the Company's "Articles of Incorporation"	Approved after voting	696,275,394 89.36%	84,740 0.01%	0 0%	82,740,273 10.61%	779,100,407 100%
4	Amendments to the Company's "Procedures for Lending Funds to Other Parties"	Approved after voting	666,194,286 85.50%	30,177,098 3.87%	0 0%	82,729,023 10.61%	779,100,407 100%
5	Amendments to the Company's "Procedures for Acquisition and Disposal of Assets," "Policies and Procedures for Financial Derivatives Transactions," and "Procedures for Endorsements and Guarantees"	Approved after voting	696,255,602 89.36%	129,380 0.01%	0 0%	82,715,425 10.61%	779,100,407 100%

(4) Implementation status of the proposals:

1. Ratification of 2024 Business Report and Consolidated Financial Statements: Published and filed in accordance with regulations.
2. Ratification of the 2024 earnings distribution: The Chairman has been authorized to make the decision according to the Articles of Association. The dividend base date was set as June 19, 2025, and distribution was completed on July 16, 2025. (Cash dividends of NT$4.8 per share)
3. Amendments to the Company's "Articles of Incorporation": The Company implemented measures in accordance with the "Articles of Incorporation" after the date of resolution in the shareholders' meeting and disclosed on the company's website.
4. Amendments to the Company's "Procedures for Lending Funds to Other Parties": The Company implemented measures in accordance with the "Procedures for Lending Funds to Other Parties" after the date of resolution in the Shareholders' Meeting and disclosed on the Company website.
5. Amendments to the Company's "Procedures for Acquisition and Disposal of Assets," "Policies and Procedures for Financial Derivatives Transactions," and "Procedures for Endorsements and Guarantees": The Company implemented measures in accordance with the "Procedures for Acquisition and Disposal of Assets," "Policies and Procedures for Financial Derivatives Transactions," and "Procedures for Endorsements and Guarantees" after the date of resolution in the Shareholders' Meeting and disclosed on the Company website.

(5) The Annual Shareholders' Meeting was adjourned at 9:21 AM.

2. Material Resolutions of the Board of Directors:

Date of Meeting	Key Resolutions and the Company's follow-up implementation
2025.01.15 (11th meeting of the 5th term)	1. Passed the establishment of a Taiwan subsidiary through indirect investment and equipment investment by the Company's wholly-owned subsidiary company, Monterey Park Finance Limited. Opinions of Independent Directors: None. The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.02.27 (12th meeting of the 5th term)	1. Passed the appointment of Remuneration Committee members to fill vacancies. 2. Passed the appointment of Corporate Governance, Sustainability, and Nominating Committee members to fill vacancies. 3. Passed the appointment and remuneration proposal for the Company's President. Opinions of Independent Directors: None. The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Except for proposal 3 where stakeholders voluntarily abstained from voting, all proposals were passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.03.11 (13th meeting of the 5th term)	1. Passed the 2024 Internal Control System Statement. 2. Passed the Company's 2024 Business Report. 3. Passed the 2024 Consolidated Financial Statements.

Date of Meeting	Key Resolutions and the Company's follow-up implementation
	4. Passed the distribution of earnings and cash dividends for 2024. 5. Passed 2024 remuneration distribution proposal for directors and employees. 6. Passed the proposal for the appointment and remuneration for the certifying CPAs. 7. Passed the formulation of the Group's Tax Policy and Management Measures. 8. Passed the proposal for the bank credit limit for the Company and subsidiary companies. 9. Passed the amendments to the Procedures for Extending Loans to Others. 10. Passed the amendments to the Company's Procedures for Acquisition and Disposal of Assets, Procedures for Engaging in Transactions of Derivative Products, and Procedures for Making Endorsements and Guarantees. 11. Passed the amendments to the "Regulations Governing the Evaluation of the Performance of the Board of Directors and Functional Committees". 12. Passed the amendments to the Company's Articles of Association. 13. Passed the proposal regarding the time, place, and related matters for the 2025 General Shareholders' Meeting. 14. Passed the appointment and remuneration proposal for the Company's Chief Strategy Officer Opinions of Independent Directors: None. The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Except for proposal 14 where stakeholders voluntarily abstained from voting, all proposals were passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.05.13 (14th meeting of the 5th term)	1. Passed the Company's first quarter consolidated financial statements for 2025. 2. Passed the proposal for the bank credit limit for the Company and subsidiary companies. 3. Passed the adjustment of the limit on the amount of endorsements/guarantee made by the Company to a wholly-owned subsidiary of the Company. 4. Passed the amendments to the Company's "Ethical Corporate Management Operating Procedures and Code of Conduct". Opinions of Independent Directors: None. The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.05.29 (15th meeting of the 5th term)	1. Passed the Company's 2024 ESG Report. Opinions of Independent Directors: None. The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.

Date of Meeting	Key Resolutions and the Company's follow-up implementation
2025.08.12 (16th meeting of the 5th term)	1. Passed the Company's second quarter consolidated financial statements for 2025. 2. Passed the proposal for publication of the fourth issue of foreign non-guaranteed convertible corporate bonds. 3. Passed the Company's capital increase for the wholly-owned subsidiary, Zhen Ding Technology Co., Ltd. 4. Passed the proposal for the bank credit limit for the Company and subsidiary companies. 5. Passed the proposal to donate to Zhen Ding Education Foundation. 6. Passed 2024 remuneration distribution proposal for directors. 7. Passed the 2024 remuneration distribution proposal for managers (including ranks of Assistant Vice President and above). Opinions of Independent Directors: None The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Except for proposals 6 to 7 where stakeholders voluntarily abstained from voting, all proposals were passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.11.11 (17th meeting of the 5th term)	1. Passed the Company's third quarter consolidated financial statements for 2025. 2. Passed the non-assurance services that the CPA's accounting firm and its affiliates are allowed to provide to the Company and its subsidiaries. 3. Passed the proposal for the bank credit limit for the Company and subsidiary companies. 4. Passed the Company's 2026 Audit Plan. Opinions of Independent Directors: None The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.
2025.12.29 (18th meeting of the 5th term)	1. Passed the appointment proposal for the Company's Chief Information Security Officer. 2. Passed the proposal for the Company's issuance of restricted stock awards. 3. Passed the proposal for the bank credit limit for the Company’s subsidiary. 4. Passed the outline for the compilation of the Company’s 2025 ESG Report. 5. Passed the amendments to the Company's Sustainable Information Management Measures. 6. Passed the donations to related parties. 7. Passed the principles for the Company's 2025 performance evaluation and year-end bonus distribution and list of managerial officers (including Assistant Vice President and above) for distribution. Opinions of Independent Directors: None The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Except for proposal 7 where stakeholders voluntarily abstained from voting, all proposals were passed by all Directors present at

Date of Meeting	Key Resolutions and the Company's follow-up implementation
	the meeting and implemented in accordance with the resolution and regulations.
2026.03.12 (19th meeting of the 5th term)	1. Passed the 2025 Internal Control System Statement. 2. Passed the Company's 2025 Business Report. 3. Passed the 2025 Consolidated Financial Statements. 4. Passed the distribution of earnings and cash dividends for 2025. 5. Passed 2025 remuneration distribution proposal for directors and employees. 6. Passed the proposal for the appointment and remuneration for the certifying CPAs. 7. Passed the proposal for the bank credit limit for the Company and subsidiary companies. 8. Passed the amendments to the Company's "Audit and Risk Committee Charter". 9. Passed the amendments to the Company's Articles of Association. 10. Passed the amendments to the Company's "Procedures for Acquisition and Disposal of Assets". 11. Passed the full re-election of Directors and Independent Directors. 12. Passed the proposal for nomination of director and independent director candidates. 13. Passed the proposal for the release of the non-competition restriction for new directors (including independent directors) and the juridical persons they represent. 14. Passed the proposal regarding the time, place, and related matters for the 2026 General Shareholders' Meeting. Opinions of Independent Directors: None The Company's response to the opinions of Independent Directors: Independent Directors had no opinions. Resolution result: Passed by all Directors present at the meeting and implemented in accordance with the resolution and regulations.

(X) Dissenting or qualified opinion of Directors or the Audit Committee against an important resolution passed by the Board of Directors that is on record or stated in a written statement in the past year and up to publication date of the Annual Report: None.

III. Information on CPA Fees

(I) The amount of audit fees and non-audit fees, as well as the nature of non-audit services provided to the CPA, their audit firm, and its related entities:

Name of the Accounting Firm	Name of CPA	Audit period	Audit fee	Non-audit fee (Note)	Total	Footnote
PricewaterhouseCoopers Taiwan	Sheng-Chung Hsu Chieh-Ju Hsu	2025.01.01~ 2025.12.31	8,000	25,464	33,464	

Note: (1) NT$5,505 thousand for corporate bond services.
(2) NT$13,945 thousand for ESG Report and the adoption services.
(3) NT$6,014 thousand for business registration and consulting services.

(II) The Company has switched accounting firms and the annual audit shared expenses are less than that of the previous year prior to the switch: None

(III) The audit fee is reduced by over 10% compared with the previous year: None

IV. Replacement of CPAs

(I) **About the previous CPA:** Not applicable.

(II) **About the succeeding CPA:** Not applicable.

(III) **Reply from the previous CPA:** Not applicable.

V. The Company's Chairman, President, Managerial Officers in Charge of Finance or Accounting Who Have Served in the CPA Firm or Its Affiliated Companies in the Most Recent Fiscal Year: None

VI. Equity Transfer or Changes to Equity Pledge of Directors, Managerial Officers, and Shareholders Holding More Than Ten Percent (10%) of Company Shares During the Year Prior to the Publication Date of the Annual Report:

(I) Equity transfer or changes to equity pledge of directors, managerial officers, and shareholders holding more than ten percent (10%) of company shares:

Unit: Shares

Title	Name	2025		As of March 31, 2026	
		Increases (decreases) of the number of shares held	Increases (decreases) of the number of pledged shares	Increases (decreases) of the number of shares held	Increases (decreases) of the number of pledged shares
Chairman	Chang-Fang Shen (Note 1)	–	–	–	–
Director	Foxconn (Far East) Limited	–	–	–	–
	Representative: Che-Hung Yu	–	–	–	–
Director	Ting-Chuan Lee	80,000	–	–	–
Independent Director	Shin-Cheng Yeh	–	–	–	–
Independent Director	Gin-Ing Hu	–	–	–	–
Independent Director	Chun-Chung Chen	–	–	–	–
President	Chen-Fu Chien (Note 2)	5,000	–	–	–
Vice President	Jing-Hsien Hsieh	–	–	–	–
Corporate Governance Officer	Duen Ling	–	–	–	–
Financial Officer	Eddie Chiang	–	–	–	–
Accounting Officer	Shih-Te Chou	–	–	–	–

Note 1: Chairman Chang-Fang Shen was dismissed from his concurrent position of President on March 1, 2025. Mr. Chen-Fu Chien was appointed to the position of President.

Note 2: He resigned as independent director on February 27, 2025, and was appointed as President on March 1, 2025, following the resolution of the Board of Directors.

(II) Equity transfer or equity pledge in which the counterparty is a related party: None.

VII. Shareholders Who Account for the Top Ten Shareholder, Who Are Related to Each Other or Relatives Within the Relationship of Spouse, Second Parent, Etc.:

March 31, 2026 Unit: Shares

Name	Current Shareholding		Spouse & Minor Children Shareholding		Shareholding in the name of others		The names or names and relationships of the top ten shareholders who have a relationship with each other or are relatives of a spouse or a second parent	
	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Number of shares	Shareholding percentage	Name	relationship
Representative Che-Hung Yu, Foxconn (Far East) Ltd.	305,515,627	28.54%	0	0.00%	0	0.00%	None	None
Taishin International Bank Co., Ltd. is entrusted with the Taiwan ESG Perpetual High Dividend ETF Securities Investment Trust Fund Special Account for the Cathay Pacific Taiwan High Dividend Umbrella Securities Investment Trust Fund	41,739,000	3.90%	0	0.00%	0	0.00%	None	None
Custodial Account (LGT Bank AG) Used by Standard Chartered	20,503,000	1.92%	0	0.00%	0	0.00%	None	None
Bureau of Labor Funds	18,490,625	1.73%	0	0.00%	0	0.00%	None	None
Standard Chartered Bank in custody for LGT Bank (Asia)	13,916,000	1.30%	0	0.00%	0	0.00%	None	None
HSBC Bank (Taiwan) Limited in custody for Mitsubishi UFJ Morgan Stanley Securities Co., Ltd. - Proprietary Trading Platform Tripartite SBL Transaction Investment Account under the Securities Trading Unit	12,135,000	1.13%	0	0.00%	0	0.00%	None	None
Morgan Stanley and Co. International Ltd. account under the custody of HSBC Bank (Taiwan) Limited	10,564,928	0.99%	0	0.00%	0	0.00%	None	None
Nan Shan Life Insurance Co., Ltd. Responsible Person Chong-Yao Yin	10,333,000	0.97%	0	0.00%	0	0.00%	None	None
Standard Chartered in custody for JP Morgan Fund Investment Account	10,282,000	0.96%	0	0.00%	0	0.00%	None	None
UBS Europe SE Investment Account under the trust of Citibank (Taiwan)	9,690,657	0.91%	0	0.00%	0	0.00%	None	None

VIII. Number of Shares Held by the Company, Its Directors, Supervisors, Managerial Officers and Directly or Indirectly Controlled Investment Companies in the Same Investment Companies, and the Combined Calculation of Shareholding Percentages:

December 31, 2025 Unit: Shares

Reinvestment Entities	Investment by the Company		Investments by the directors, supervisors, managerial officers, and companies directly or indirectly controlled by this Company		Combined investment	
	Number of shares	Ownership (%)	Number of shares	Ownership (%)	Number of shares	Ownership (%)
Monterey Park Finance Limited	976,250,000	100%	–	–	976,250,000	100%
Coppertone Enterprises Limited	102,785,806	100%	–	–	102,785,806	100%
Pacific Fair International Limited	2,133,300,000	100%	–	–	2,133,300,000	100%
Mayco Industrial Limited	9,321,841,932	100%	–	–	9,321,841,932	100%
FAT Holdings Limited	5,000	100%	–	–	5,000	100%
Zhen Ding Technology Singapore Private Limited	30,000,000	100%	–	–	30,000,000	100%
Zhen Ding Technology India Private Limited	10,000	100%	–	–	10,000	100%
Zhen Ding Developer India Private Limited	210,010,000	100%	–	–	210,010,000	100%
Zhen Ding Technology Co., Ltd.	12,548,800	100%	–	–	12,548,800	100%
Boardtek Electronics Corporation	215,918,453	100%	–	–	215,918,453	100%
Leading Interconnect Semiconductor Technology Limited	60,740,359	100%	–	–	60,740,359	100%
GAEEA Technology Limited	2,200,000	100%	–	–	2,200,000	100%
BRAI Technology Co., Ltd.	200,000,000	100%	–	–	200,000,000	100%
Leading Interconnect International Limited	1	65.90%	–	–	1	65.90%
Huaian Jia Wei Industrial Development Co., Ltd.	(Note 1)	100%	–	–	(Note 1)	100%
Avary Holding (Shenzhen) Co., Limited	1,672,745,444	72.16%	8,485,324	0.37%	1,681,230,768	72.53%
Garuda Technology Co., Ltd.	326,524,000	72.16%	–	–	326,524,000	72.16%
Garuda International Limited	332,080,320	72.16%	–	–	332,080,320	72.16%
Avary Singapore Private Limited	195,546,050	72.16%	–	–	195,546,050	72.16%
Avary Technology (India) Private Limited	330,237,722	72.16%	–	–	330,237,722	72.16%
Peng Shen Technology (Thailand) Co.,Ltd.	70,000,000	63.14%	–	–	70,000,000	63.14%
Fu Bo Industry (Shenzhen) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Kui Sheng Technology (Shenzhen) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%

Reinvestment Entities	Investment by the Company		Investments by the directors, supervisors, managerial officers, and companies directly or indirectly controlled by this Company		Combined investment	
	Number of shares	Ownership (%)	Number of shares	Ownership (%)	Number of shares	Ownership (%)
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Qing Ding Precision Electronics (Huaian) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Avary Holding Investment (Shenzhen) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Avary Property Management Service (Shenzhen) Co., Ltd.	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	(Note 1)	65.90%	–	–	(Note 1)	65.90%
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	(Note 1)	65.90%	–	–	(Note 1)	65.90%
Zhuhai Hengqin Avary Investment Limited Partnership	(Note 1)	72.16%	–	–	(Note 1)	72.16%
Huaian ChengXin Park Management Co., Ltd.	(Note 1)	85.25%	–	–	(Note 1)	85.25%
Yaoding Environmental Energy Technology (Shenzhen) Limited	(Note 1)	100%	–	–	(Note 1)	100%
Yaoding Environmental Energy Technology (Huaian) Limited	(Note 2)	–	–	–	(Note 2)	–
Yaoding Environmental Energy Technology (Qinhuangdao) Limited	(Note 2)	–	–	–	(Note 2)	–
Wuxi Huayang Science and Technology Co., Ltd.	(Note 1)	38.74%	–	–	(Note 1)	38.74%
Jiangsu Rotary Sensor Technology Co., Ltd.	(Note 1)	19.76%	–	–	(Note 1)	19.76%

Note 1: Except for Avary Holding (Shenzhen) Co., Ltd., all subsidiary companies in China are limited liability companies and not companies limited by shares.

Note 2: It is still in the preparatory stage and no actual funds have been invested.

CHAPTER 4. CAPITAL OVERVIEW

I. Capital and Shares

(I) Source of Share Capital

1. Source of Capital Shares

March 31, 2026; Unit: Shares; NT$

Year and month	Issued Price	Authorized Capital Stock		Paid-Up Capital		Footnote	
		Number of shares	Amount	Number of shares	Amount	Source of Capital Shares	Authorization Date and Document Number
2006.06	US$1	50,000	50,000	1	1	Capital stock at establishment	—
2006.09	-	500,000,000	500,000,000	-	-	Authorized capital increase	—
2006.10	US$1	500,000,000	500,000,000	70,000,000	70,000,000	Cash capital increase	—
2007.10	US$2	500,000,000	500,000,000	162,500,000	162,500,000	Cash capital increase	—
2009.10	US$2.15	500,000,000	500,000,000	202,000,000	202,000,000	Cash capital increase	—
2010.10	-	1,600,000,000	16,000,000,000	646,400,000	6,464,000,000	The nominal value was changed from US$1 to NT$10	2011.11.01 Tai-Zheng-Shang-2 No. 1000035056
2011.12	NT$52	1,600,000,000	16,000,000,000	669,929,000	6,699,290,000	Cash capital increase	2011.11.21 Jin-Guan-Zheng-Fa No. 1000056412
2012.08	NT$10	1,600,000,000	16,000,000,000	703,425,450	7,034,254,500	Recapitalization of retained earnings	2012.08.30 Tai-Zheng-Shang-2 No. 10100194981
2013.08	NT$10	1,600,000,000	16,000,000,000	738,596,722	7,385,967,220	Recapitalization of retained earnings	2013.08.09 Tai-Zheng-Shang-2 No.1020015935
2014.08	NT$10	1,600,000,000	16,000,000,000	738,631,065	7,386,310,650	Converted ECB to common shares	2014.08.07 Tai-Zheng-Shang-2 No. 10300161141
2015.03	NT$10	1,600,000,000	16,000,000,000	767,768,101	7,677,681,010	Converted ECB to common shares	2015.04.08 Tai-Zheng-Shang-2 No. 10400061361
2015.04	NT$10	1,600,000,000	16,000,000,000	804,748,359	8,047,483,590	Converted ECB to common shares	2015.07.06 Tai-Zheng-Shang-2 No. 1040013225
2019.03	NT$10	1,600,000,000	16,000,000,000	805,549,672	8,055,496,720	Converted ECB to common shares	2015.07.06 Tai-Zheng-Shang-2 No. 1040013225
2019.04	NT$10	1,600,000,000	16,000,000,000	902,229,887	9,022,298,870	Converted ECB to common shares	2015.07.06 Tai-Zheng-Shang-2 No. 1040013225
2020.11	NT$10	1,600,000,000	16,000,000,000	947,049,161	9,470,491,610	Share conversion to issue new shares	2020.09.15 Tai-Zheng-Shang-2-Zi No. 1091702976

Year and month	Issued Price	Authorized Capital Stock		Paid-Up Capital		Footnote	
		Number of shares	Amount	Number of shares	Amount	Source of Capital Shares	Authorization Date and Document Number
2024.07	NT$10	1,600,000,000	16,000,000,000	956,652,509	9,566,525,090	Converted ECB to common shares	2024.10.15 Taiwan Stock Exchange approved the case for filing
2025.08	NT$10	1,600,000,000	16,000,000,000	1,040,622,950	10,406,229,500	Converted ECB to common shares	2025.10.09 Taiwan Stock Exchange approved the case for filing
2025.10	NT$10	1,600,000,000	16,000,000,000	1,070,565,898	10,705,658,980	Converted ECB to common shares	2026.01.09 Taiwan Stock Exchange approved the case for filing
2026.03	NT$10	1,600,000,000	16,000,000,000	1,070,598,156	10,705,981,560	Converted ECB to common shares	2026.03.04 Taiwan Stock Exchange approved the case for filing

March 31, 2026; Unit: Shares; NT$

Type of Shares	Authorized Capital Stock			Footnote
	Outstanding Shares	Unissued Shares	Total	
Registered Common Shares	1,070,598,156	529,401,844	1,600,000,000	Listed on the Exchange
Total	1,070,598,156	529,401,844	1,600,000,000	Listed on the Exchange

2. Information regarding shelf registration: N/A

(II) List of Major Shareholders: Names, number, and percentage of shares held by shareholders with more than 5% of the shares or the top ten shareholders

March 31, 2026

Shares / Major Shareholder Name	Number of Shares Held	Ownership (%)
FOXCONN(FAR EAST)LTD.	305,515,627	28.54%
Taishin International Bank Co., Ltd. is entrusted with the Taiwan ESG Perpetual High Dividend ETF Securities Investment Trust Fund Special Account for the Cathay Pacific Taiwan High Dividend Umbrella Securities Investment Trust Fund	41,739,000	3.90%
Custodial Account (LGT Bank AG) Used by Standard Chartered	20,503,000	1.92%
Bureau of Labor Funds	18,490,625	1.73%
Standard Chartered Bank in custody for LGT Bank (Asia)	13,916,000	1.30%
HSBC Bank (Taiwan) Limited in custody for Mitsubishi UFJ Morgan Stanley Securities Co., Ltd. - Proprietary Trading Platform Tripartite SBL Transaction Investment Account under the Securities Trading Unit	12,135,000	1.13%
Morgan Stanley and Co. International Ltd. account under the custody of HSBC Bank (Taiwan) Limited	10,564,928	0.99%
Nan Shan Life Insurance Co., Ltd.	10,333,000	0.97%
Standard Chartered in custody for JP Morgan Fund Investment Account	10,282,000	0.96%
UBS Europe SE Investment Account under the trust of Citibank (Taiwan)	9,690,657	0.91%

(III) Dividend Policy and Implementation Status

1. Dividend policy:

   The Board of Directors, following an ordinary resolution in the General Shareholders' Meeting or under conditions specified in Article 11.4(a) of the Articles of Association, shall adopt a special resolution to distribute dividends to shareholders based on their shareholding percentage in compliance with the Articles of Association and the instructions of the General Shareholders' Meeting. The dividends can be partially or entirely distributed in cash, stocks, or various assets and the value of the assets shall be determined by the Board of Directors. No unpaid Dividend shall bear interest as against the Company. The cash dividends distributed to shareholders shall be no less than fifty percent (50%) of the total dividends. For the earnings distribution proposal of the Company, it shall be resolved by a majority of the Directors at a meeting attended by two-thirds or more of the total number of the Directors, and the distribution shall be reported to the nearest General Shareholders’ Meeting.

   Unless otherwise specified in laws, Article 11.4(a), Articles of Association, or rights attached to shares, the Company may distribute earnings based on the Board of Directors' earnings distribution proposal that is passed in an ordinary resolution in the General Shareholders' Meeting. Except for the Company's realized profits, premium share issuance account, mandatory reserves, reserves or other funds for paying dividends or other allocations, the Company may not distribute dividends or other allocations. All dividends and other allocations shall be calculated based on shareholders' shareholding ratios unless otherwise stated in the rights attached to shares. If the conditions for the issuance of shares requires the calculation of dividends to start from a specific date, the dividends for such shares shall be calculated accordingly.

   Based on Article 13.6 of the Articles of Association regarding the Company's decision on its dividend policy, the Board of Directors understands that the Company operates in a mature industry and the Company has stable revenues and healthy financial structure. Regarding the proposals for shareholders to approve dividends or other allocations (if any) in each fiscal year, the Board of Directors may:

   (1) take into consideration the earnings of the Company, overall development, financial planning, capital needs, industry outlook and future prospects of the Company in the relevant financial year, so as to ensure the protection of Members' rights and interests; and

   (2) The Company shall allocate dividends from the Company's surplus in each fiscal year for: (i) preparatory fund for payment of taxes during the related fiscal year, (ii) amount to make up for past losses, (iii) ten per cent (10%) as a general reserve, and (iv) a special surplus reserve as required by the applicable securities authority under the Applicable Public Company Rules or a reserve as determined by the Board pursuant to Article 14.1.

   Article 13.7 of the Articles of Association states subject to compliance with the law and after setting aside the amounts for Employees' Compensations and Directors' Remuneration in accordance with Article 13.5 and such amounts as the Board deems fit in accordance with the distribution policy set out in Article 13.6, the Board shall recommend to distribute no less than ten percent (10%) of the distributable amount as Dividend to the shareholders.

2. Implementation status:

   The Company's 2025 earnings distribution proposal was approved by the Board of Directors on March 12, 2026. The Company proposed to distribute NT$3.45 per share in cash dividends. The Chairman has been authorized to determine the dividend base date and distribution matters.

(IV) Impacts on the Company's Business Performance and Earnings Per Share of Any Stock Dividend Distribution Proposed or Adopted at the Most Recent Shareholders' Meeting: Not applicable.

(V) Employees' and directors' remuneration:

1. Percentage or range of remuneration for employees and directors as stipulated in the Company's Articles of Association:

   Upon the final settlement of the Company's accounts, if there is "surplus profit", the Company shall set aside zero point five per cent (0.5%) to twenty per cent (20%) as compensation to employees ("Employees' Compensations") and Employees' Compensations may be distributed to employees of the Company and its Subsidiaries, who meet certain qualifications. The Company may set aside no more than half percent (0.5%) of the aforementioned profit in the current year as remuneration for directors (Article 13.5 of the Articles of Association).

2. Information on the proposed employee compensation approved by the Board of Directors:

   (1) The Company's 2025 earnings distribution proposal was passed by the Board of Directors, which proposed the distribution of NT$48,342,763 in remuneration for directors and cash remuneration of NT$290,057,217 for employees.

   (2) For cash compensation and stock distributed to employees and remuneration for directors, if there is any discrepancy between an amount and estimated amount of recognized expenses for the current fiscal year, the amount, causes and treatment of such discrepancy shall be disclosed:

   The Company's undistributed surplus in the current period shall be determined within a certain percentage range in accordance with the Articles of Association after setting aside 10% for the regular reserve and other factors. The differences between the amounts approved in the General Shareholders' Meeting and the estimated amount, if any, are accounted for as changes in accounting estimate and are adjusted for accounting based on a resolution of the General Shareholders' Meeting.

   (3) The proposed employee stock remuneration allocation as a ratio of the net income for the period and the total employee remuneration: Not applicable.

   (4) Earnings per share after the proposed compensation/remuneration for employees and directors: NT$3.45.

3. Remuneration distributed to employees and directors in the previous year had no difference from the recognized remuneration for employees and directors.

   Actual status: NT$55,658,942 of remuneration for directors and NT$333,954,318 of compensation in cash for employees.

(VI) Buyback of the Company's stock: None.

II. Issuance of Corporate Bonds

(I) Domestic corporate bonds: None.

(II) Overseas corporate bonds:

1. The Company's fourth foreign non-guaranteed convertible corporate bonds have been issued on January 24, 2024, with a total issuance amount of US$ 400,000,000. The entirety of the aforesaid amount has been converted on December 29, 2025.
2. Unredeemed corporate bonds and corporate bonds undergoing private placement:

Type of corporate bond	Fifth foreign non-guaranteed convertible corporate bond
Date of issue (handling)	September 25, 2025
Denomination	The face value of each bond is USD200,000 or its integer multiples in the event of more than USD200,000.
Issuance and trading location	Singapore Exchange Limited
Issued Price	Issued at 100% of the denomination
Total value	USD400,000,000
Rate	0%
Term	5 years Maturity date: September 25, 2030
Guarantee agency	N/A
Trustee	Citicorp International Limited
Underwriting agency	Lead domestic underwriter: Grand Fortune Securities Co., Ltd. Lead foreign underwriter: Morgan Stanley Asia Limited and Citigroup Global Markets Limited
Certifying lawyer	Lee and Li Attorneys at Law
Certifying CPA	PricewaterhouseCoopers Taiwan Sheng-Chung Hsu, CPA and Chieh-Ju Hsu, CPA
Repayment method	Conversion into ordinary shares according to Article 13 of the Conversion Method or exercise the call option according to Article 11 and exercise the early redemption option according to Article 12 of the Conversion Method
Outstanding principal	USD399,800,000

<table>
<tr><th colspan="2">Type of corporate bond</th><th>Fifth foreign non-guaranteed convertible corporate bond</th></tr>
<tr><td colspan="2">Terms for redemption or early settlement</td><td>(I) Upon the third anniversary of issuance, if the closing price for 20 consecutive trading days of the issuing company’s ordinary stock on the Taiwan Stock Exchange (for ex-rights or ex-dividends, the closing price will be used between the ex-rights or ex-dividend trading date to the ex-rights or ex-dividend base date, and the price before ex-rights or ex-dividends should be calculated first) is 125% of the early redemption price multiplied by the current conversion price then divided by par value of the bond, the issuing company may redeem all or part of the Company’s bonds at the early redemption price upon the issuance of the bond redemption notice within five days.
(II) When more than 90% of the Company’s bonds have been redeemed, repurchased and retired, or converted by the bondholders, the issuing company may redeem the bonds in full at the early redemption price; and
(III) When the tax laws and regulations of the Republic of China, the British Cayman Islands or any other place where an issuing company is established or operates for tax purposes are changed, causing the tax burden, additional interest expenses, or cost of the issuing company to increase due to the Company’s bonds after the issuance date. the issuing company may redeem the bonds in full at the early redemption price.
(IV) When an event related to the Company’s bonds occurs, the “early redemption price” is calculated by the issuing company based on the face value of the Company’s bonds plus an annual interest rate of 1.75% (calculated semi-annually) from the date of issuance to the event related to the Company’s bonds occurred based on the actual number of days elapsed (calculated on the basis of 360 days per year and 30 days per month). The payment for the early redemption of the Company's bonds will be made by the Company in cash on the payment date as specified in the trust agreement.</td></tr>
<tr><td colspan="2">Restrictive Terms</td><td>The corporate bonds may not be directly offered, sold, or delivered in the Republic of China</td></tr>
<tr><td colspan="2">Credit rating agency name, rating date, company debt rating results</td><td>N/A</td></tr>
<tr><td rowspan="2">With other rights</td><td>Converted amount of common shares as of the date of publication</td><td>USD200,000</td></tr>
<tr><td>Issuance and Conversion Method</td><td>Issuance and Conversion Method of the Prospectus</td></tr>
</table>

Type of corporate bond	Fifth foreign non-guaranteed convertible corporate bond
Effects of the issuance and conversion, exchange, or subscription methods and issuance conditions on possible dilution of shares and equity of current shareholders	If all overseas unsecured convertible bonds issued this time are converted to ordinary shares at the price at issuance, the maximum dilution ratio for the original shareholders' equity will be approximately 6.04%.
Entrusted custodian of the exchange target	N/A

(III) Information on Converted Corporate Bonds:

Type of corporate bond		Fifth issuance of unsecured overseas convertible corporate bond (Singapore)	
Item / Year		2025	As of March 31, 2026
Converted corporate bond market price	Highest	106.106	125.796
	Lowest	98.842	99.847
	Average	101.963	111.352
Conversion price		NT$186.45	NT$186.45
Date of issue (handling) and conversion price at the time of issuance		Date of issue (handling): September 25, 2025 Conversion price at the time of issuance: NT$186.45	
Method of fulfilling the conversion obligation		Issue new shares	
Maturity date		September 25, 2030	

III. Issuance of Preferred Shares: None.

IV. Issuance of Overseas Depository Receipts: None.

V. Issuance of Employee Stock Options: None.

VI. Issuance of New Restricted Employee Shares: None.

VII. Issuance of New Shares for Merger or Acquisition: None.

VIII. Implementation of Capital Utilization Plans:

(I) As of the quarter preceding the publish date of the annual report, the fund utilization plan of previous offerings or private placements of securities has not been completed, or the fund utilization plan over the past three years has been completed but the expected benefits haven't been realized: None.

(II) As of the quarter preceding the publish date of the annual report, the fund utilization plan of previous offerings of securities has been completed by the Company.

CHAPTER 5. Operational Highlights

I. Business Activities

(I) usiness scope

1. Major business activities:

   Zhen Ding Technology Holding Limited's main investment in manufacturing companies includes Avary Holding (Shenzhen) Co., Ltd., BoardTek Electronics Corp., and Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd. Products are widely used in AI phones, AI wearable devices, network equipment, tablet computers, laptop computers, AI servers, storage devices, telecommunication equipment, and various consumer electronics products and equipment. The applications have been further extended to the automobile, industrial, medical, and aerospace sectors in recent years.

2. Operating proportion:

Unit: NT$ thousand; %

Products	2024		2025	
	Amount	% of Total Revenue	Amount	% of Total Revenue
Various PCBs	171,663,845	100%	182,521,620	100%
Total	171,663,845	100%	182,521,620	100%

3. Current products and services:

   - PCBs for mobile phones
   - PCBs for personal computers
   - PCBs for servers
   - PCBs for storage devices
   - PCBs for telecommunications base stations
   - PCBs for tablets
   - PCBs for gaming devices
   - PCBs for Bluetooth and Wi-Fi modules
   - PCBs for wireless communication products
   - PCBs for display modules
   - PCBs for lens modules
   - PCBs for memory modules
   - PCBs for wearable devices
   - PCBs for automotive electronics
   - PCBs for smart home products
   - PCBs for IC substrates
   - Various PCB products

4. Plans for new product development:
   - High-bandwidth antenna flexible printed circuit boards (FPC) development
   - Development of ultra-thin copper microvia forming and interconnection technology
   - Development of next-generation FPC small-pitch packaging interconnect technology
   - Development of a new flexurally resistant photosensitive CVL technology
   - Development of next-generation high-frequency high-speed flexible transmission technology
   - Development of electroplating filling technology for large blind holes
   - Development of high-frequency, low-loss hybrid HDI stacked structure
   - Development of smartphone antenna N M stacked structure
   - Development of embedded capacitor high density interconnect (HDI) products
   - Development of multi-layer high-flexibility HDI
   - Development of large-block through-fill electroplating heat dissipation HDI Technology
   - Development of high-precision interlayer circuitry and laser HDI technology
   - Development of multi-layer core high-precision alignment HDI products
   - Development of production process of high-end HDI product with embedded components and embedded circuitry
   - Development of high-end HDI structure with pre-wiring in open area
   - Development of multilayer ceramic capacitor (MLCC) embedded high-end HDI products
   - Development of 3.2T optical module products
   - Introduction of low-loss material evaluation
   - Development of advanced HDI technology with metal bonding
   - Development of high-end HDI products using glass materials
   - Development of high aspect ratio electroplated through-hole advanced HDI technology
   - Development of multi-layer Teflon, mixed-voltage high layer count (HLC) high-speed products
   - Development of thick copper HDI with cavity structure
   - Development of back-drilling 0-100um residual technology HLC products
   - Development of TLPS NNN multilayer board bonding technology
   - Development of deep-hole HLC product technology
   - Development of high-level parallel embedded trace substrate (ETS) technology
   - Development of micro-elliptical masking chain substrate technology
   - Development of acoustic micro motor system substrate product
   - Development of new substrate high-copper pillar interconnect PCB technology
   - Development of thin ultra-high-speed data storage substrate product
   - Development of large-size heterogeneous integrated chiplet flip chip-ball grid array (FC-BGA) substrates
   - Development of FC-BGA substrates for optical module applications

(II) Industry overview

1. Current state and development of the industry

   The Company is a professional company that specializes in the design, development, manufacturing, and sales of printed circuit boards (PCBs) for products such as mobile phones, tablet computers, personal computers, servers/storage devices, telecommunication equipment, and various consumer electronics products and equipment. Our products have been widely adopted in the automobile, industrial, medical, and aerospace sectors in recent years. The development of related end products is closely related to the Company's businesses. The current state of the industries for related applications of PCB products is described below:

   (1) Current status and development of the PCB industry

   A printed circuit board (PCB or PWB for printed wire board) is a board manufactured on general materials based on a predetermined design that forms connections between points and embedded with printed components. Its main function is to connect various electronic components to form connections between predetermined circuits and provide transmission functions. PCBs are key components in the assembly of electronic components. They provide electrical connections for electronic components and are responsible for the transmission of digital and analog signals, power supply, and sending and receiving radio frequency and microwave signals for electronic devices. They are necessary equipment for most electronic devices and products and they are therefore referred to as the "mother of electronic products".

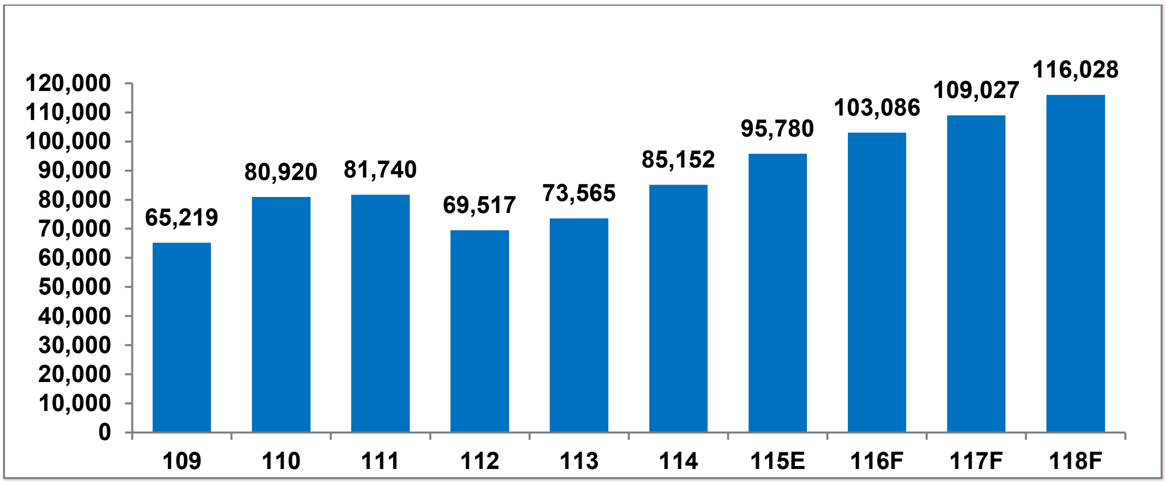
   5G, Internet of Things, Internet of Vehicles, Industrial Internet of Things, and Artificial Intelligence are leading current trends and development for electronic products, while the development of PCBs is advancing toward properties of light-weight, thin, short, small, high-frequency, high speed, low pollution, low loss, low power consumption, multi-functional, precision, aesthetics, refinement, and intelligence. Product applications include but not limited to consumer electronics such as smartphones, smart watches, communication electronics, tablet computers, new energy vehicles, base stations, cloud servers, wireless communications, and smart home and smart city hardware products.

   PCBs are key components for all electronic products and they are mainly used to mount electronic components and deliver information between various electronic components. Products are widely adopted in wearable devices, communications, tablet computers, automotive electronics, servers/storage devices, Internet communications, personal computers, and various consumer electronic products.

   According to the analysis by Prismark, due the recovery of consumer consumption and demand for AI servers, satellite communications, and other new applications, global PCB output value reached US$85.15 billion in 2025, showing a year-on-year increase of 15.8%. The PCB output value is expected to grow to US$95.78 billion in 2026, showing a year-on-year increase of 12.5%. Prismark predicts that the PCB industry value will grow by a compound annual rate of 6.6% between 2026 to 2029, exceeding US$100 billion and reaching US$103.1 billion by 2027. It will further reach US$116.02 billion by 2029.

Global PCB Market Revenue

Unit: US$ million



Source: Prismark (As of March 2026) [Note]: Data for 2027 to 2029 are estimates

Growth in PCB output is in close positive correlation with the global economic growth rate. Changes in the global economy would therefore directly impact growth in the entire industry. Regional economic growth reflects the local demand for end-user products and causes indirect impact on the purchase orders of suppliers of related upstream applications. Therefore, regional economic development causes more direct impacts on the operations of individual operators.

The upstream raw materials of PCBs consist mainly of copper foil, copper-clad laminates, process chemicals and copper balls. Copper-clad laminates are the most important direct raw materials for PCBs. Copper accounts for the highest proportion of the materials and the fluctuation of copper prices on the international market have a profound impact on cost. Recent increase in the price of raw materials on the international market has caused tremendous pressure on cost for PCB companies.

Downstream industries that use PCBs consist of applications and products for end users and are thus susceptible to changes in the macroeconomic environment, market, and purchasing power. In addition, different PCB products have different applications and varying levels of price sensitivity. For consumer electronics products with short product life cycles, the prices of new products begin their downward adjustments as soon as they are launched. PCBs therefore have weaker price bargaining power. However, PCBs for certain special applications, such as medical, industrial, or aerospace applications, are less sensitive to price. PCBs are widely used for mobile phones, mobile communications base stations, tablet computers, personal computers, industrial computers, servers/storage devices, digital cameras, TVs, wearable devices, game consoles, home appliances, automotive electronics, medical equipment, robots, aerospace equipment, defense, military, etc.

Taiwan occupies an important position in the global PCB industry. According to Prismark's data, in 2025, China, Japan, America, and Europe's production scale were 57.5%, 7.6%, 4.5%, and 2.2% of the global total, respectively. Production scale from other regions in Asia (excluding China and Japan) accounted for 28.2% of the market, with Taiwan, South Korea, and South East Asia as the main manufacturing areas. Currently, over 80% of PCBs in the world are produced in Asia. China is the biggest manufacturer, producing over half of the PCBs in the world. In recent years, due to geopolitical influences, the industry chain has started to diversify production bases, and the proportion of PCB production in other regions of Asia has been increasing year by year.

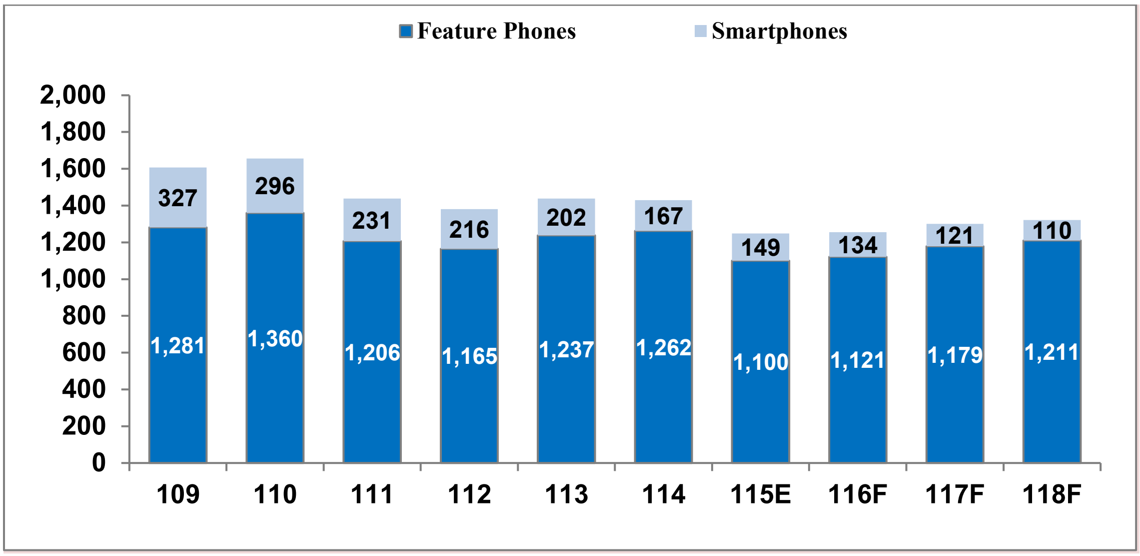
(2) Industrial development trends of main products

A. Mobile phone industry

The mobile phone industry consists of smartphones and feature phones. Compared to feature phones, smartphones have far superior computing power and functions. Smartphones have diverse functions such as data transmission, wireless Internet access, digital camera, voice assistant, audio and video playback, and biometrics which have become the mainstream trends in the development of mobile phone products. According to IDC's research, global smart phone shipment reached 1.26 billion units in 2025. Global smartphone shipment is projected to reach 1.21 billion units by 2029, showing a mild downturn over the next few years. With a weak macroeconomy and rising prices of key components such as memory, prices of end products have gone up as a result of the rising costs. This will impact the global smartphone sales and shipment, with mid-to-low-end phones being the most affected. In terms of demand structure, the key competition in the smartphone industry has shifted from pursuing shipment volume to a more value-oriented approach, giving much more attention to high-end models.

Global Mobile Phone Shipment

Unit: million units



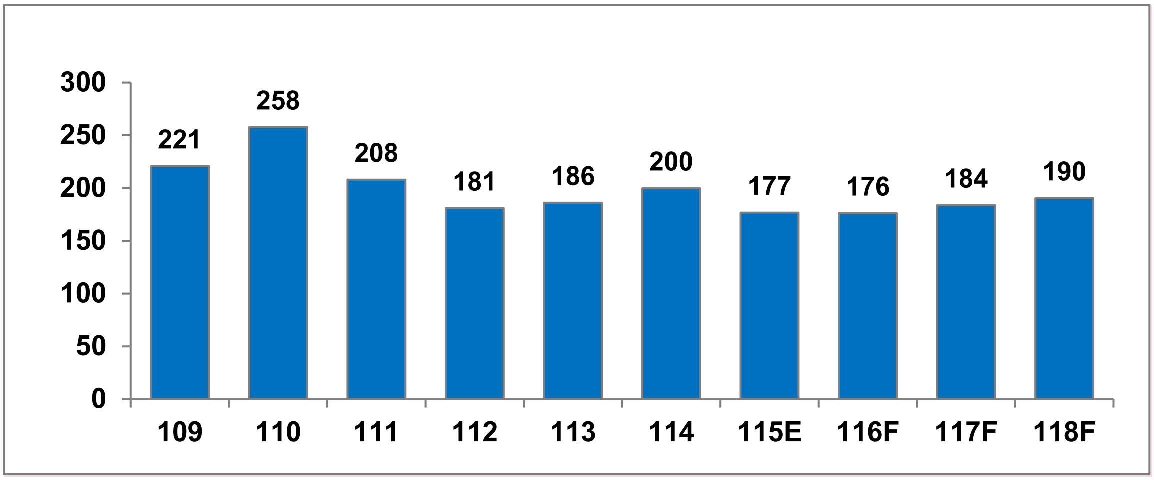
Source: IDC (March 2026) [Note]: Data for 2027 to 2029 are estimates

B. Notebook computer related industries

Due to the stable need for commercial and office use and educational learning use, sales volume for notebook computers (laptops) has increased to 250 million units since the global COVID-19 pandemic from 2020 to 2021 has driven the demands for working from home, online learning, and home entertainment. This has also indirectly driven the significant increase in output for related components, such as PCB and substrates. However, with the lifting of pandemic lockdowns, the demand generated by the stay-at-home economy has declined. According to IDC's surveys, global laptop shipments were 200 million units in 2025, showing an annual growth of 7.2%. Nevertheless, the overall consumer and commercial market demand momentum in 2026 is expected to be affected by the price increase of key components such as memory, which will lead to adjustments in the specifications of complete machines or price increases. It is estimated that market demand will be affected, with the total shipment estimated at 177 million units, a year-on-year decrease of 11.5%.

Global Notebook Computer Shipment Estimates

Unit: million units



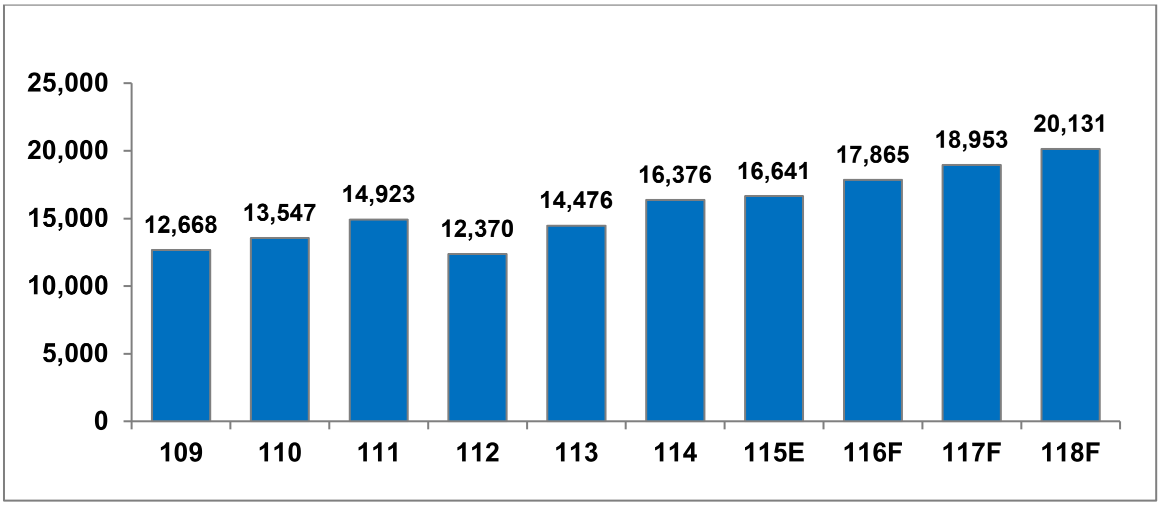
Source: IDC (March 2026) [Note]: Data for 2027 to 2029 are estimates

C. Server and related industries

The emergence of new applications such as IoT and 5G has boosted the demand for data storage and computation. In addition, the surge in generative AI has driven momentum in AI server shipments. In 2025, global server shipments increased annually by 13.1% to 16.37 million units. It is estimated that overall server shipments will continue to grow to 20.13 million units by 2029, showing a year-on-year increase of 5.3% With US policies and the four major CSP operators continuing to increase capital expenditures, the server shipment is expected to continue to grow in 2026. Furthermore, the significant increase in demand for AI computing power and the large-scale construction of AI data centers will lead to a continued increase in the ratio of AI servers.

Global Server Shipment

Unit: thousand units



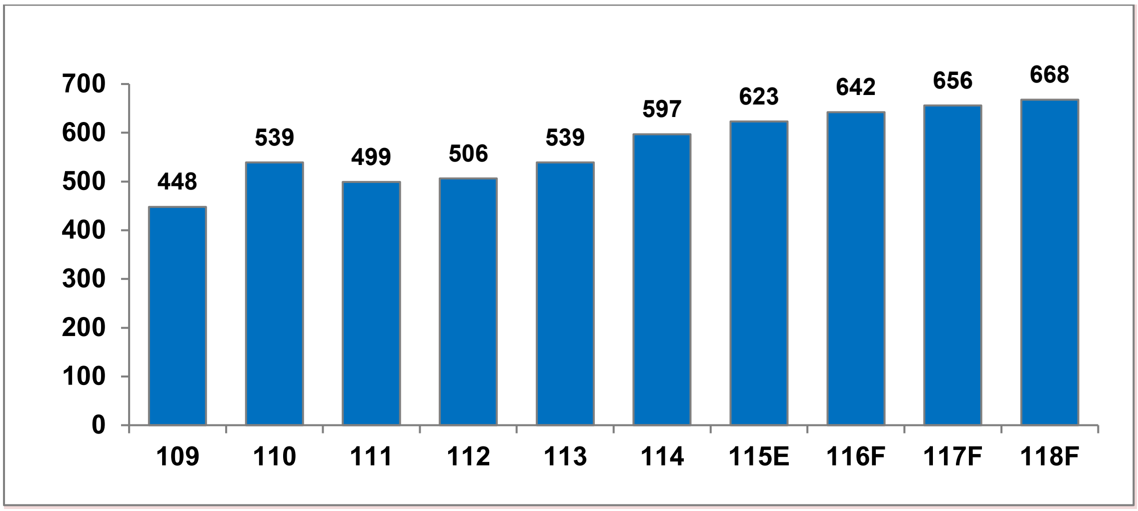
Source: IDC (March 2026) [Note]: Data for 2027 to 2029 are estimates

D. Wearable devices industry

As the development of wearable devices intensifies, the application markets gradually expanded. It started out from smart wristbands and now includes smart watches, smart clothing, head-mounted devices, earpieces, and various other products. Bluetooth earphones remain the primary application, with smart glasses showing the most significant growth. The potential for applications in the future healthcare sector is also highly anticipated. According to IDC data, the shipment of global smart wearable devices in 2025 reached 597 million units, representing a 10.8% growth. In 2026, the growth is expected to reach 4.3%, amounting to 620 million units. In the future, as wearable devices become increasingly diverse and their performance gradually improves, the market size is projected to grow to 668 million units by 2029, with a compound annual growth rate of 2.8%.

Global Wearable Devices Shipments

Unit: million units



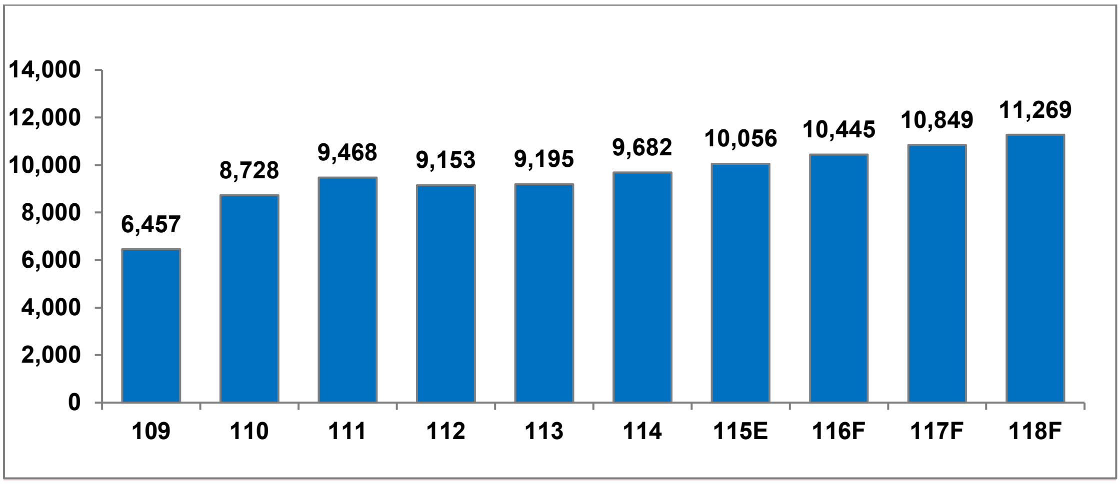
Source: IDC (March 2026) [Note]: Data for 2027 to 2029 are estimates

E. Automotive electronics industry

The global automotive industry is moving towards electrification, autonomous driving, and intelligence. This advancement drives the continuous growth of the automotive PCB market, with emerging applications such as battery modules, onboard computers, and smart cabins, as multiple PCB operators vied to invest in technologies to gain a share of the market. Although the application involves human safety and thus incurs long product certification schedules and high entry barriers, the products would generate stable growth in the Company's revenue once they are certified and shipped. According to the latest data from Prismark, the global automotive PCB market has reached $9.68 billion in 2025. However, the global automotive market is affected by tariffs and high costs, and its annual growth rate continues to slow down. It is estimated that the market will grow at a compound annual growth rate of 3.9% between 2026 and 2029, reaching a market size of US$11.27 billion in 2029.

Global PCB Market Revenue

Unit: US$ million



Source: Prismark (As of March 2026) [Note]: Data for 2027 to 2029 are estimates

(3) Competition

Continuous upgrade of electronics product applications and specifications accelerate advancements in PCB technology and intensify competition between large international PCB manufacturers in Taiwan, Japan, Korea, and China. The Company's existing and potential competitors leverage their advantages in finance, manufacturing, technology, marketing personnel, and marketing resources to enter the consumer electronics market while the Company focuses on a wide range of products and services as well as partnerships with long-standing customers. We seek to differentiate ourselves from competitors and prevent price competition.

The Company believes that our main competitors are companies that provide long-term services for leading brands in the consumer electronics market. These companies often have good relations with customers, highly competitive products, and the skills and capacity required for developing new products that lead the market. Our main competitors for various products include major manufacturers such as Unimicron Technology, Suzhou Dongshan Precision Manufacturing, Shennan Circuits, TTM, WUS Printed Circuit (Kunshan), Victory Giant Technology, Compeq, Tripod Technology, Mektec, Kinwong, AT&S, Gold Circuit Electronics Ltd., HannStar Board, and Samsung Electro-Mechanics, etc.

The Company focuses on a market with high levels of competition and change. It is particularly susceptible to the impact of rapid technological changes, evolving industry standards, continuous decrease in average prices, and high product replacement rate. Future competition will continue to intensify and the competition will not only come from existing competitors but may also come from other companies that enter our existing or future markets. Their solutions may be cheaper, perform better, or have more ideal functions than the Company's products. Consumer electronics PCB suppliers compete on the following competitive niches:

- Technology R&D and execution
- Product development roadmap
- System integration level
- Reliability
- Compliance to industrial standards
- Product quality, performance, and functions
- Price

- Market time
- Market position and reputation
- Intellectual property rights
- Customer service and support

Based on the aforementioned standards, the Company retains favorable conditions for competition However, the Company's future competitive capacity is determined by whether we can establish, design, and launch new products that meet or foresee customers' demand for next-generation products and applications. In addition, the Company's competitive position will also be determined by whether we can continue to attract and retain talents and whether we can securely protect the Company's intellectual property rights. These are key factors to the Company's continuous growth and success.

(III) Overview of Technology and R&D

1. Technology level and R&D for operations

The Company upholds rigorous production management, basic scientific research, and high-quality technical services to provide high reliability, high performance, and high output for products that satisfy the demands of first-rate international companies.

Meanwhile, the Company is committed to providing comprehensive printed circuit boards (PCB) and semiconductor-related products and services for industry-leading customers. With the advancement of digital technologies such as artificial intelligence (including edge AI), communication technologies (5G/6G MoU), big data, cloud-edge-terminal computing, blockchain, and the global strategy on carbon neutrality, artificial intelligence applications and digital transformations have become new driving forces behind industry developments. The scope of related product areas has also expanded. From traditional communication electronic products, consumer electronics, and computer products to today's popular new energy vehicles (including smart cockpits/ADAS), AI servers (including edge nodes), wearable devices, AR/VR/spatial computing devices, low-altitude economy aircraft, humanoid robots and other products, ZDT has successfully opened up a new blue ocean for the PCB industry. However, in response to the customized requirements of different end products for PCBs and semiconductors, ZDT will provide "One ZDT" - one-stop solutions for customers, which include product research and development, design, manufacturing, and sales. In addition to the strong ability to provide comprehensive PCB products and services for different customers, the Company is also recognized by world-class manufacturers for our advanced process technology and excellent quality service.

The Company's R&D team not only has extensive practical experience in HLC and semiconductor technology, but also has expertise in 5G/6G communication, AI/Edge AI, advanced packaging and other related fields. We are able to develop high-end products that meet both customer needs and market trends, such as Flexible Printed Circuit Board (FPC), High-Density Interconnect (HDI), High Layer Count (HLC), Substrate-like PCB (SLP), Rigid-Flex PCB, modules, IC substrates (Subs) and other automotive PCB-related products. At the same time, our development is actively moving towards technological innovation and digital R&D: In production, we integrate AI technology to optimize smart manufacturing processes and implement full AI-based production line inspection. In development, we regularly collaborate with industry-leading and innovative cloud, management, and endpoint clients to develop solutions that align with mainstream market trends and meet customized demands. Moreover, we focus on outlining technology roadmap to continuously improve the Company's equipment and process capacity and create unique products and leading technologies, thereby improving customer satisfaction and our competitiveness in the market.

2. R&D expenses in the most recent year and as of the date of this annual report

   The Company's R&D expense in 2025: NT$11,807,096 thousand, accounting for 6.47% of revenue.

   R&D expenses as of March 31, 2026: NT$ 3,575,930 thousand, accounting for 8.78% of revenue.

3. Specific results of technology and R&D
   (1) Development of high-speed signal transmission solutions for USB modules
   (2) Development of high-density, high-reliability multilayer flexible PCB interconnect technology
   (3) Development of multi-layer flexible PCB (FPC) for millimeter wave RF communication modules
   (4) Development of new-generation fine pitch flexible circuit boards for camera modules
   (5) Development of next-generation high dynamic bending high-frequency transmission FPC
   (6) Development of next-generation thin FPC technology
   (7) Development of FPC for multifunctional wireless charging module
   (8) Development of high-reliability automotive FPC
   (9) Development of new FPC for energy storage
   (10) Development of high-speed transmission FPC module product development
   (11) Development of high-shield-performance automotive FPC
   (12) Development of energy-efficient FPC for camera module
   (13) Development of high-bandwidth FPC product
   (14) Development of ultra-thin copper microvia forming and interconnection technology
   (15) Development of next-generation FPC small-pitch packaging interconnect technology
   (16) R&D and commercialization of green and low-carbon FPC clearance technology
   (17) R&D on EMI and SUS grounding clearance technology in ultra-thin FPC structure
   (18) R&D of laser straight hole plating technology for cavity dual-layer FPC structure
   (19) Development of HDI process for high-reliability small pads
   (20) Development of selective electroplating VOP process HDI technology
   (21) Development of low Earth orbit satellite HDI product
   (22) Development of cavity bottom exposed solder mask HDI product
   (23) Development of R-F transmission technology product
   (24) Development of processing technology for HDI high-frequency consumer electronics
   (25) Development of thick copper HDI consumer electronics
   (26) Development of thin LED sensor HDI products
   (27) Development of micro-blind via hole for high-end HDI mainboard structure
   (28) Development of high-heat dissipation, thick-copper fine circuit advanced HDI technology
   (29) Development of dedicated equipment for third-generation substrate-like PCB
   (30) Development of 1.6T optical module products
   (31) Development of plasma 3D mesh structure
   (32) Development of high-end HDI technology for camera module's passive embedded component
   (33) Development of high-precision embedded component technology
   (34) Development of advanced HDI technology for open-cover area wiring layout

(35) Development of high-end RPCB products with MOSFET embedded SiC
(36) Development of TLPS High-End RPCB technology for multilayer thick PCB
(37) R&D on the impact of TLPS on transmission loss in high-order RPCB
(38) Development of high-multilayer N M TPU product
(39) Development of high-multilayer PU mid-plane product
(40) Development of high-multilayer PU switch product
(41) Development of GPU OAM module for HDI multilayer PCB
(42) Development of multi-layer Teflon, mixed-voltage high layer count high-speed products
(43) Development of high layer count ladder golden finger product technology
(44) Development of embedded copper block capacitator product
(45) Development of 3nm process thin embedded fine line product
(46) Development of laser microvia substrate
(47) Development of high copper thickness heat dissipation embedded substrate
(48) Development of ultra-low undercut processing technology
(49) Development of high copper pillar structural substrates
(50) Development of high-precision substrates
(51) Development of FCBGA substrates with embedded passive components
(52) Development of coreless FCBGA substrates
(53) Development of copper pillar structural FCBGA substrates
(54) Development of FCBGA substrates using domestically produced alternative materials

(IV) Long and short-term development strategies and plans

1. Short-term development strategies and plans

(1) R&D strategies and plans

The Company's mission is "developing technology, benefiting humanity, protecting the environment, and making the world a better place". We uphold the core values of "Integrity, Responsibility, Innovation, Excellence, and Altruism", and continuously develop advanced process technologies and high-performance multifunctional product technologies that meet product development trends. Driven by digitalization and smart transformations, we are expanding our diversified product line to enhance our competitive advantage and lead the industry.

With the advancement of artificial intelligence, 6G communications, multi-dimensional micro-displays, new energy, foldable displays, and third and fourth generation semiconductor technologies, automotive electronics, consumer electronics, network base stations, optical communications, low-orbit satellites, AI servers, high-bandwidth memory (HBM), energy storage, robotics, smart healthcare, wearable devices, brain-computer interface and other fields are undergoing rapid iteration. These new driving forces will lead the future development of the industry.

Therefore, the Company's short-term R&D plan will be focused on developing technologies related to the rapidly growing markets. The Company is also actively deploying and developing technologies in markets with future growth potential, such as chip substrates for artificial intelligence, large-size high-layer substrate technologies, and other technologies for products benefiting from AI development.

(2) Production strategies and plans

The Company shall continue to expand production capacity in all plants based on customer requirements and the plants shall also focus on the product types and customers established in the plans. Product development and production strategies shall be established for each plant based on the Company's annual sales strategy. We shall focus on both purchasing high-end production equipment in response to product upgrade and expanding new capacity based on customer demand and orders. We added investment plans for Shenzhen, Huai'an, and Qinhuangdao plants in China and campuses in Kaohsiung and Taoyuan, Taiwan, Chennai, India, Changwat Prachinburi, Thailand, and the investments shall be executed in accordance with the plans as well as market and order status in the next quarter.

(3) Operating and financial strategies and plans

A. Maintain suitable short-term liquidity funding levels to meet business requirements and secure company operations.

B. Due to fluctuations in exchange rates, the existing parts are integrated with future predictions. The Company adopts hedging transactions or financial products according to market information to avoid the risk of exchange rate fluctuations and reduce the impact of uncertainty.

C. Adopt unified price negotiation and centralized procurement for equipment, construction, raw materials, and consumables of each plant to effectively reduce overall operating costs

2. Long-term development strategies and plans

(1) R&D strategies and plans

Continuous innovation is the driving force for a company's growth. Through close collaboration with third parties, the Company can comprehensively improve in various aspects, from new products, new technologies, new materials, new processes, to new equipment, and establish a forward-looking generic technology to provide customers with new products that have new features and new applications that are green and environmentally friendly. In long-term development, digitalization and intelligence will become the core driving forces for corporate growth, helping to develop a next generation of high-performance products. In addition, the Company has established a development platform for cooperation between industry, government, academia, and research institutions, as well as a technology research and development center. We actively collaborate with well-known universities and research institutes in both sides and regions of the Taiwan Strait to jointly research and create forward-looking technologies with "new models". We hope to integrate existing technologies with the upstream, midstream, and downstream industries while expanding the depth and breadth of existing technologies, in order to achieve the goal of independent development of key technologies. As of December 31, 2025, the Company has partnered with many renowned universities, including National Tsinghua University, National Cheng Kung University, National Taiwan University of Science and Technology, Chung Yuan Christian University, Yuan Ze University, Hebei University of Technology, Northeastern University Qinhuangdao Branch, Tianjin Sino-German University of Applied Sciences, Hebei University of Science and Technology, Yanshan University, Southeast University, Purple Mountain Laboratories, and Shenzhen Huazhong University of Science and Technology Research Institute. The Company also places great emphasis on long-term cooperation with customers. In order to meet their long-term needs, the Company has established a dedicated unit that is committed to investing and executing technology, while strengthening the Company's key core technologies. This creates shared benefits and interests for both the Company and our customers, thereby achieving synergies on both ends.

(2) Production strategies and plans

A. Maintain long-term partnerships with strategic partners and jointly develop new materials, new equipment, and new technologies. Proceed with joint development of process with special functions and strengthen the development automation equipment to lower production cost and develop high-quality and high-functionality products.

B. Select long-term strategic partners for non-core processes and leverage the capacity of partners for single specialized processes to increase production efficiency, lower cost, improve yield, and enhance overall competitiveness.

C. Establish two R&D centers in Taiwan and China and continue to improve the capacity for developing new technologies and maintain leading advantages in high-end products and technologies.

(3) Future Research and Development (R&D) Plans and the R&D expenses expected to be invested

"Leading industry technology and surpassing customer expectations" has always been the vision behind ZDT's technology research and development. Amid the global wave of digitalization, the Company will continue to expand our R&D resources with a focus on the integration of digitalization and AI technologies. We aim to provide customers with industry-leading innovative technologies and accelerate the establishment of long-term partnerships with new customers. In addition, by building trend-leading unique core technologies, we are capable of developing next-generation high-end products with potential. Furthermore, the Company will continue to collaborate with industry, government, academia, and research institutions, actively integrate internal and external resources, and build and strengthen R&D capabilities, thereby enabling the Company to have long-term competitive advantages.

Future development projects include:

As for our development plan for PCB and semiconductor related products, the Company will continue to follow the strategy of the 12 point principle and develop high-end technologies with "four highs and four transformations", and introduce them in forward-looking fields, including smart phones, tablets, wearable devices, communications, networks, automotive electronics, servers, base stations, and medical devices.

➢ 12 point approach: Light (light-weight), thin (thin design), short (short procedures), small (small footprint), high (high frequency/high speed/high heat dissipation), low (low pollution/low cost/low power consumption), multiple (multi-functional and multi-layer), fast (fast development and production), precision (low tolerance), beauty (aesthetically appealing), refined (refined circuits), and smart (intelligence).

➢ Four highs and four transformations: High reliability, high density, high frequency and speed, and high heat dissipation and functionalization, thickness reduction, integration, and low carbonization.

The Company's expected R&D expense will account for around 7% of revenue in 2026.

(4) Operation and finance strategies and plans

A. Uphold the core values of "Integrity, Responsibility, Innovation, Excellence, and Altruism" to build world-class business management capabilities, recruit talents, and achieve world-class performance in R&D, production, markets, marketing, and operation management.

B. Strengthen environmental protection and industrial safety risk management and implement services and corporate ideals for speed, equal quality, technology, efficiency, cost, and added value.

C. Develop the Company's comprehensive PCB industrial platform and jointly develop new products, new technologies, new equipment, new materials, and new processes with the Company's partners in production technology, equipment, and raw materials as well as professional research institutions. Provide brand companies and professional electronics OEM companies with high-quality and cost-effective PCB design, development, manufacturing, and sales services.

D. Plan long-term fundraising activities and implement suitable adjustments to long-term liability ratios.

E. Control suitable financial leverages based on the Company's operations and growth while retaining sufficient cash reserves to respond to future growth needs.

II. Market, Production and Sales Overview

(I) Market analysis

1. Sales regions for major products

Unit: NT$ thousand

Sales Regions	2024		2025	
	Amount	Percentage	Amount	Percentage
U.S.A.	131,931,450	76.85%	136,511,451	74.79%
China	22,015,718	12.82%	27,812,420	15.24%
Taiwan	8,593,759	5.01%	8,517,177	4.67%
Singapore	1,681,023	0.98%	2,639,750	1.44%
Other	7,441,895	4.34%	7,040,822	3.86%
Total	171,663,845	100.00%	182,521,620	100.00%

Note: Geographical information on the Group's revenue is shown based on the countries of customers.

2. Market share

Based on the revenue rankings of global PCB companies in 2025, the Company has been the world's largest PCB plant since 2017. However, our market share accounts for 6.9%, which demonstrates the high level of competition in this market. The Company has an exceedingly high demand for product process technology and a wide range of applications. We have leveraged our technical advantages and explored sectors such as mobile phones, tablets, notebook computers, wearable devices, game consoles, servers/storage devices, Internet communications, and automotive electronics.

3. Future market supply/demand and growth

In terms of the concentration of the industry, there are more than 2,000 PCB manufacturers across the world with close to 1,000 in China where the overall output in the circuit board industry is rapidly increasing. As environmental protection legislation in all countries grow stricter and the demand for circuits grows increasingly refined, it has become apparent that there are fewer large-scale companies with the capacity for providing high-tech and high-quality products while meeting requirements in environmental protection legislation. According to Prismark statistics, the top 30 PCB companies accounted for 56.4% of the revenue in the industry in 2013. The proportion reached 69.5% in 2025, demonstrating a visible trend toward consolidation and survival of the largest companies.

As global economy gains steady growth, consumers' purchasing power for electronics products also strengthened and emerging countries' demand for electronics products also increased. Coupled with development in applications for new technologies, the scale of the PCB market is expected to continue growth. According to Prismark's forecast in March 2026, the global PCB market scale will grow at a compound annual growth rate of 6.6% from 2026 to 2029 and will reach US$116.0 billion in 2029. The outlook of the PCB industry remains optimistic in the next few years.

4. Competitive edge

The industry is a basic industry in the electronics sector and it provides key components for all electronics systems and products. The industry provides functions for mounting and connecting electronics components that ensure the operations of system products. The Company's competitive niches include the following:

A. Establishment of a one-stop supply platform for brand companies with entire product lines for various PCBs.

The Company designs, develops, manufactures, and sell PCBs with different materials, electrical components, and functional designs. We have distinct production processes and mass production management methods. The Company has accumulated years of patents, technologies, and professional know-how to fully understand and satisfy customer demands and to provide specific customers with rapid design, development, sample production, and ramp-up services within a short time. We assist customers in shortening product launch schedule and take the initiative on the market. We help customers by building a successful operation model of Time to Market + Time to Volume + Time to Money / Market share.

The Company has invested massive amounts of resources in various PCB engineering R&D and process development. We can therefore cooperate with companies and provide system brands companies with up-to-date and high-quality products. We shall continue to expand based on our past records. Most popular electronics products on the market in a given year use products provided by the Company to our customers. We help system brand companies achieve success with their products on the global market. We take the lead in industry trends and significantly reduce product launch time. The Company also plans to use our advantage of the proximity of our plants to customers and develop specific new technologies, materials, and equipment for specific customers in order to expand product portfolio and satisfy customer demands for one-stop procurement. We believe that, compared to competitors, we are a professional global company with product design, development, manufacturing, and sales expertise and our comprehensive product capacity will help maintain solid and long-term strategic partnerships with system brand companies.

B. Maintain solid and close business partnerships with leading global brand customers and electronics OEMs.

The Company's main customers are all well-known international companies, electronics OEMs, and innovators in advanced technologies. By cooperating with customers in joint product research and development, the Company continues to strengthen and refine our technology platform. We also leverage the Company's expertise in R&D and focus on developing technologies and enhancing engineering services to satisfy customer demands and gain knowledge of market trends and business opportunities for new products.

C. Direct purchase orders and participation in design and development of brand customers (JDVM/JDSM)

The Company's main orders are issued directly by major electronics system brands or main electronics OEM companies across the world. The Company participates in the Early Involvement phase for product design and ensure that all mass production after products is launched to satisfy customer demands. We thus form close partnerships with major electronics system brands or main electronics OEM companies across the world and establish lasting and stable business alliances. With regard to competitors, most companies either lack the capacity for providing independent OEM services to global brand customers or leading OEM companies or they may have insufficient engineering service capacity or lack the flexibility or production capacity that customers need. Therefore, many companies obtain orders from agents and only position themselves as production plants. The customer relations and prices in this business model are controlled by the agent. The manufacturers are only the production plants which have no significant added value and are highly replaceable. Order cancellations and bankruptcy are common issues.

D. Experienced operations and management team with capacity for consecutive years of high-speed growth

Our management team has extensive experience in the industry and the executives of main product business units have practical management experience. An operations and management team with capacity for implementation is the Company's key to success. After the holding company was established in 2006, we successfully focused on the main customers and assisted the customers in promoting its products across the world in 2007. The operations and management team then formulated strategies to expand operations and product development and to establish new plants. They led the Company's rapid expansion while improving core engineering and technology capacity. We later became the main supplier of various PCBs used by global leading mobile phones, laptop computers, tablet computers, game consoles, digital cameras, and digital books. Under the professional leadership of the operations and management team, the Company's revenue surpassed NT$100 billion for the first time in 2017 and we became the world's largest PCB supplier.

Since the establishment of the Company, we have recruited many engineers with good academic backgrounds and extensive experience in the industry. We organized diverse operations and management teams and grew from a medium-sized company to a large professional company with a full product line and comprehensive capacity that conducts businesses across the world.

E. Cross-strait cooperation strengthens competitive advantages

As traditional products mature, the Company has concentrated on high-end products for new product development in recent years. We use automation to replace labor cost which has risen continuously in China. We also continue to optimize the product portfolio and use engineering development capacity as our core competency to provide customers with product designs and innovation to grasp business opportunities on the market. The Company actively uses high-quality human resources and engineering technology to develop high-end PCB products and focuses on the Company's technical development roadmap with the aim of helping customers maintain leading positions in technology and R&D capacity.

Our subsidiaries in China integrate engineering and R&D resources of the plants and focus on related technology that can be used for customers' future mass production to improve product performance as well as production efficiency and yield. Engineering units focus on improvements for process and replacement of raw materials/consumables in the production process of current products. They aim to reduce production cost, improve yield, and provide customers with more advantages in production in terms of cost and flexibility. The effective cross-strait cooperation model encompasses the technology development required for the Company's development growth in all stages and effectively builds comprehensive product development capabilities.

5. Favorable and adverse factors for long-term growth and response strategy

   A. Favorable factors

      (A) Stable industrial development

      The wide range of applications for PCBs, rapid expansion in smart devices in recent years, increase in the scale of online communication industries due to continuous growth in the cloud computing market, and applications for automotive electronics and IoT have contributed to forecasts of steady growth in the global consumer electronics product, computer, communications, automobile, and semiconductor industries. Industries related to these industries therefore maintained stable growth. According to Prismark's data, the global PCB industry is expected to experience a compound annual growth rate of 6.6% from 2026 to 2029, indicating stable growth in the market.

      The Company's product strategy centers on providing high-quality and comprehensive PCB products and we adjust our product portfolio based on industrial development trends at all times. We also integrate R&D and order acceptance in Taiwan and allocate production capacity in China to facilitate flexible orders and production and maintain optimal competitive advantages.

      (B) Comprehensive development in the industry with comprehensive production bases in key economic areas in China

      Related operators in the PCB industry are concentrated in Taoyuan in Northern Taiwan and they have formed comprehensive supply chains in the Yangtze Delta in East China and Pearl River Delta in South China where upstream and downstream plants and various suppliers congregate and accumulate a significant amount of competitive strengths. Bohai Economic Rim recently became a highlight in economic growth in China. Industrial clusters quickly formed and the most prominent clusters included the "Five Points One Line" stretching from Beijing and Tianjin to Liaoning.

      The Company has established large-scale production bases in key economic development areas in China including Pearl River Delta in South China, Yangtze Delta in East China, Beijing, Tianjin, and Hebei. In recent years, we also added production plants in Taoyuan, Taiwan and Kaohsiung, Taiwan, Thailand, and India. We aim to closely meet the needs of our customers by providing, consistent high-speed, technically efficient, cost-effective, value-added, environmentally friendly, and industrial safety PCB design, development, manufacturing, and sales services. The Company differentiated itself from competitors by implementing comprehensive development in Taiwan, South China, East China, North China, Southeast Asia, and India economic regions to provide customers with convenient, diverse, flexible, and customized manufacturing services.

      (C) Grasp opportunities based on optimistic outlook for the consumption market in China

The Chinese market is the world's most important, vibrant market with the most rapid growth. The high efficiency of the Chinese government, comprehensive infrastructure, and high-quality human resources make China a key target for global brands and give birth to Chinese brands. As the Company is one of the few companies with product design, development, manufacturing, and sales capacity, it naturally became an important partner for Chinese mobile phone brands. In addition, opportunities in the Chinese consumption market can also be found in the information and computer sector and telecommunications sector which help the Company's development.

(D) A sound management system

The Company's operations and management system have evolved over the years and we have formed a sound operation and management style that upholds strict management systems and cost control with the aim of achieving reasonable cost control, optimal resources allocation, and stable quality.

The Company obtains stable sources of raw material supply and price bargaining powers by integrating the Company's resources. Our management system and performance have received recognition from customers and we have established a good reputation in Taiwan and abroad to increase the Company's business expansion capacity. Business performance of top companies across the world relies on a foundation of corporate management skills in order to achieve sustainability. The Company's management teams adopted "Technological development for the benefit of mankind; protect the environment and make the Earth a better place" as the Company's motto.

B. Unfavorable factors and the response measures

(A) Rise of environmental protection awareness in China leads to increase in operators' green expenditures

In recent years, China's enhancement of environmental protection legislation and law enforcement shows high levels of focus on environmental protection issues and it also implements stricter penalties on violations of environmental protection regulations. The requirements for energy efficiency and consumption reduction in businesses have become mandatory indicators. The policy of integrating economic development with environmental protection will have profound impact on the PCB industry. Certain small and medium-sized manufacturers or plants that do not comply with environmental protection regulations will be forced to reduce production or cease operations.

<u>Response measures</u>

The Company actively introduced high-performance, low-pollution environmental protection equipment and advanced innovative green technology to improve wastewater recycling rate, reduce waste production, and promote green upgrade in process optimization. The departments have actively implemented Zhen Ding's Seven Greens KPI goals for green innovation, green procurement, green production, green operations, green services, green renewable resources, and green life. Our efforts not only meet global trends and Chinese environmental protection regulations but also fulfill our corporate social responsibilities. Sufficient wastewater to supply production expansion shall be obtained from the new parks to ensure favorable conditions for the Company’s sustainable growth.

(B) Homogeneous products and price wars threaten industry development

Domestic PCB manufacturers are affected by development trends in the upstream electronics industry and they have highly concentrated product applications on information and communication and consumer products. The industrial cluster effect also contributed to gradual reductions in production capacity and technical entry barriers, leading to an increase in the number of competitors in the industry. During periods of economic downturn or slowdown in growth, PCB operators face tightened profit margins and fall into the trap of price wars which cause difficulties in company operations and increase risks of operations.

Response measures

The Company rates and classifies target customers and allocates resources to main customers. We also actively pursue target customers and use high quality and outstanding services to replace price wars. In addition, we also enter markets for new applications and develop products with high margins. Despite the long learning curve, the relatively high technical entry barriers lead to fewer competitors, reduce downward pressure on prices, and maintain stable profits for companies.

The Company allocates production capacity, implements division of labor between plants, adjusts production capacity for different customers, and forms strategic alliances with suppliers and customers to diversify operations and disperse operational risks. The Company is a comprehensive PCB supplier and is thus able to implement flexible adjustments in our product portfolio strategy. In terms of high-end products, we cooperate with customers for joint development to understand development trends for future products and we leverage our advantages in mass production, technology, and abundant supply of materials to maintain strong and stable business relations with customers.

In addition, we strengthen strategic partnerships with upstream raw material suppliers to effectively reduce cost on raw materials and maintain product competitiveness. Measures such as enhancing automation of production equipment, improving employees' overall qualifications, and training workers with multiple skills help improve productivity per capita and maintain the Company's overall competitiveness.

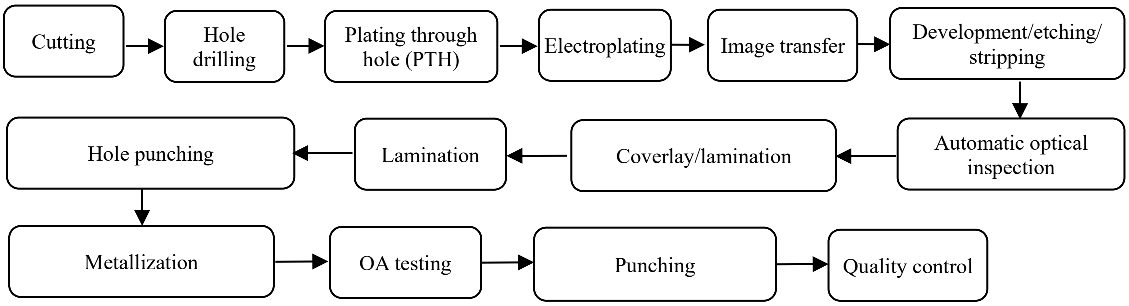
(II) Usage and Manufacturing Processes of Main Products

1. Major applications of main products

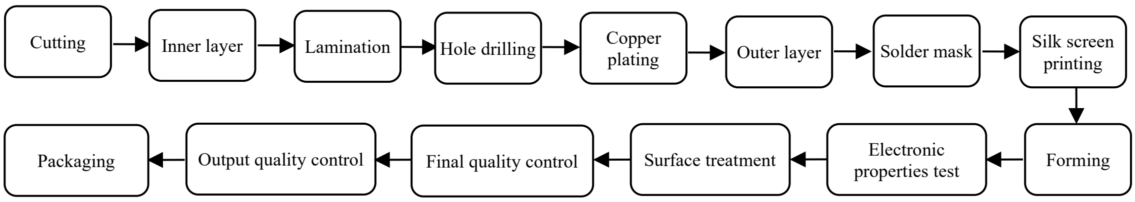
Main Products	Characteristics	Important Applications
Rigid PCBs	Inflexible, wide range of thickness, high-current capacity	Automotive electronics, servers/storage devices, desktop computers, laptop computers, monitors, hard drives, TVs, game consoles, etc.
Flexible PCBs	Flexible, bendable, light-weight, thin	Wearable devices, mobile phones, tablet computers, notebook computers, handheld game consoles, touch panels, camera lenses, etc.
High-density Interconnect PCB	Small, high-density circuit distribution, high transmission efficiency	Wearable devices, mobile phones, tablet computers, ultra-thin notebook computers, smart speakers, servers/storage, memory modules, etc.
IC Substrate	Lighter and more compact to mainly act as a carrier for IC.	Application processors, baseband chips, power management chips, NFC chips, RF chips, graphics chips, power amplifiers, flash memory, MEMS, etc.

2. PCB production process

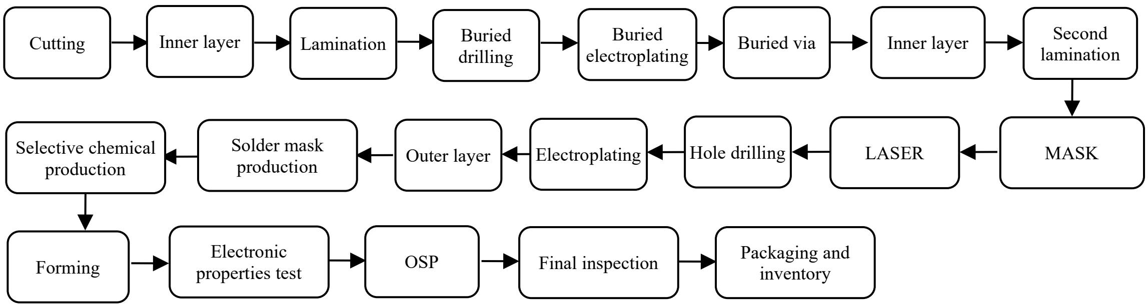
A. Flexible PCB production process



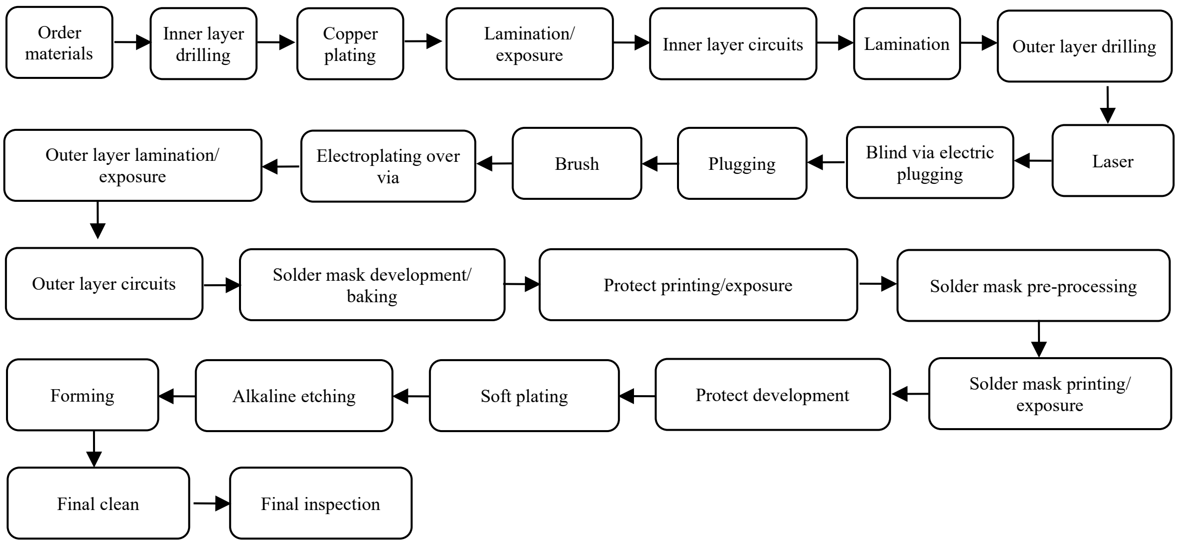
B. Rigid PCB production process



C. High-density interconnect PCB production process



D. IC Substrate production process



(III) Supply Status of Main Materials

Key raw materials	Major supplier	Supply status
Copper-clad laminates	Elite Material, DuPont, Taiflex, and Resonac	Good
Chemical Products	Amend and JCU	Good
Electronics Components	Apple and QORVO	Good

(IV) Names of customers who accounted for more than 10% of the purchases (sales) in any of the last two years, and purchases/sales amount and percentage, with explanations of the increase/decrease of such purchases (sales)

1. Names of suppliers who accounted for more than 10% of the purchases of the Company in the last two years, and the ratio to total purchases:

Unit: US$

Item	2024				2025			
	Name	Amount	Ratio on Total Annual Net Purchase (%)	Relationship with the Issuer	Name	Amount	Ratio on Total Annual Net Purchase (%)	Relationship with the Issuer
1	Supplier H	354,178,334	11.51	None	Supplier H	246,959,168	7.35	None
2	Other	2,722,532,241	88.49	None	Other	3,114,572,866	92.65	None
	Net Purchase	3,076,710,575	100.00	—	Net Purchase	3,361,532,034	100.00	—

Note: Where procurement acquired from a supplier exceed 10% of total procurement for the most recent two years, the name of the said supplier, procurement value, and proportion of the procurement shall be disclosed. However, contractual terms dictate that the name of such a supplier or trading partner cannot be disclosed if the said supplier or trading partner is an individual and unrelated party, and codes may be used to replace the names instead.

2. Names of customers who accounted for more than 10% of the sales in the most recent two years, and sales as a percentage of total sales

Unit: NT$ thousand

Item	2024				2025			
	Name	Amount	Ratio on Total Net Sales (%)	Relationship with the Issuer	Name	Amount	Ratio on Total Net Sales (%)	Relationship with the Issuer
1	Customer X	129,857,683	75.60	None	Customer X	136,067,699	74.55	None
2	Other	41,806,162	24.40	—	Other	46,453,921	25.45	—
	Net Sales	171,663,845	100.00	—	Net Sales	182,521,620	100.00	—

III. Information of Employees in the Most Recent Two Years as of the Publication Date of the Annual Report

Unit: People; years; age

Year		December 31, 2024	December 31, 2025	March 31, 2026
Number of Employees	Direct Labor	33,154	35,583	32,118
	Indirect Labor	14,987	16,525	22,912
	Total	48,141	52,108	55,030
Average Age		32.0	32.3	32.3
Average Years of Services		4.0	4.1	4.0
Education Background Distribution	Doctorate	25	28	29
	Master	560	744	784
	Bachelor	8,450	9,772	10,184
	College	14,903	16,422	17,267
	Senior High School and Below	24,203	25,142	26,766

Note: Numbers above represent the number of in-service employees.

IV. Expenditure on Environmental Protection

(I) List the losses suffered due to environmental pollution in the most recent fiscal year up to the publication date of the Annual Report, and disclose the estimated amount for current and possible future occurrences, and response measures. If the amount cannot be reasonably estimated, clarify the reason:

The Company has not been subject to any significant fines (NT$1 million or more) imposed by competent authorities for violations of laws or regulations.

In 2025 and up to the date of publication of the Annual Report, there were 2 violations related to environmental protection, leading to a total of NT$277 thousand in fines paid. The following is a summary of the types of violations:

Unit: NT$ thousand

Company	Incident Description	Amount of Penalties	Improvements and Future Response Measures
Subsidiary companies Boardtek Electronics Corporation	A fire occurred at the Company's subsidiary on January 5, 2025. During the firefighting efforts, the fire department generated a large amount of wastewater. Although water pump trucks were dispatched to pump the wastewater back, the instantaneous water discharge was too large to be completely collected. This wastewater continued to flow through the storm drain (number RD04) into the storm drain of the Guanyin Industrial Park, Ministry of Economic Affairs, violating the Water Pollution Control Act. Ruling dated February 11, 2025, No. 30-114-020010	77	Water pump trucks were dispatched to pump back the wastewater and prevent overflow.
Subsidiary companies STSP Branch,	The subsidiary failed to complete the application for the personnel change of Class B air pollution control in a timely manner, violating the Air	200	1. Immediately submit a supplementary application for Class B air pollution

Company	Incident Description	Amount of Penalties	Improvements and Future Response Measures
Garuda Technology Co., Ltd.	Pollution Control Act. Ruling dated May 20, 2025, No.: 20-114-050023		control personnel to the Environmental Protection Bureau for registration and review. 2. If there are any personnel changes, an application for personnel change must be submitted to the Environmental Protection Bureau 15 days in advance, as required.

(II) Response measures

The rise in environmental awareness in recent years has promoted members of the society to scrutinize corporates' environmental efforts. China has implemented increasingly strict control over the emission of pollutants. Therefore, we are actively developing energy saving, chemically treated water reducing, emission reducing, and water recycling technologies. Please refer to the Company's past environmental protection investments and expenditures.

The Company's environmental protection measures are as follows:

1. Focus on environmental protection laws and international standards

   The Company strictly adheres to regulatory requirements for environmental assessment applications and related environmental protection facilities our investments. We obtained emissions licenses after qualifying in acceptance inspections performed by environmental protection authorities. All operations meet requirements in environmental protection regulations. In addition, we have introduced and executed ISO14001 environmental management systems across all plants. We strictly abide by the laws, regulations, directives, and requirements of customers related to hazardous material reduction in the environment in our management to provide products that meet environmental protection regulations. In addition, we established the "Supplier (Contractor) Management System", "Supplier Corporate Social Responsibility Management Regulations", and "Supplier Conflict Minerals Management Regulations" to extend our environmental protection ideals to the supply chain and establish partnerships with suppliers for joint management. We require companies to abide and commit to such regulations. In 2025, 100% of suppliers have signed the commitments, ensuring all operations meet related environmental protection laws and international regulations.

   In 2025, the Company conducted annual audits on the quality and hazardous substances of 214 suppliers, of which 142 suppliers passed the assessment. An additional 72 suppliers were conditionally approved for the assessment. The main areas for improvement for these conditionally approved suppliers included failure to follow the required on-site management procedures, unclear material zoning, and an imperfect product traceability management mechanism.

   Laws and regulations related to hazardous materials: The number of substances added to the 35th Substances of Very High Concern (SVHC) candidate list in REACH regulations have now reached 251 substances, including 42 in new customer regulations, and 159 substances in revised regulations. We exchange opinions on and communicate the appropriateness of what we require from our customers. If a technology is feasible, we implement control using the strictest standard and keep our hazardous substance control documents up-to-date. If there are technical limitations, we will assess the standards and offer reasonable suggestions to our customers.

Conflict minerals refer to minerals mined in areas of armed conflict or under conditions that violate human rights, specifically precious metal minerals mined by the Democratic Republic of the Congo and adjoining countries. Conflict minerals include gold (Au), tin (Sn), tantalum (Ta), tungsten (Wu), and Cobalt (Co), and are mainly used in electronic parts. In response to global control measures for conflict minerals, the Company has incorporated conflict minerals into its supplier management policies, and proposed policies, objectives and management practices to meet international trends and customer requirements.

<table>
<tr><th>Conflict Mineral Management Policy</th><th>Conflict Mineral Management Objectives</th></tr>
<tr><td>• We promise that as a part of our responsible mineral procurement, the smelters we purchase from must be RMI (Responsible Minerals Initiative) compliant smelters or smelters approved by their clients.
• The Company promises to follow the OECD due diligence guidelines to conduct due diligence on its supply chain.
• The Company promises to not directly or indirectly purchase conflict minerals that directly or indirectly finance armed conflict groups.
• The Company shall not purchase qualified minerals from the Democratic Republic of the Congo (Au) and adjoining countries.
• Suppliers shall impose the same conflict mineral management requirements on their upstream suppliers.</td><td>The Company continues to promote supply chain improvement as required by laws and customers in order to eliminate the use of conflict minerals in its supply chain.</td></tr>
<tr><td colspan="2">Conflict Mineral Management Practices
• When selecting suppliers whose materials may involve conflict minerals, the Company shall prioritize those who can provide 100% traceable mineral sources. Use the CMRT (Conflict Minerals Report Template) and EMRT (Extended Minerals Reporting Template) to investigate conflict minerals. We conduct investigations on special minerals requested by customers, such as: Surveys of rare earth elements, rare elements, zinc, aluminum, etc., are conducted using AMRT (Additional Minerals Reporting Template). At the same time, suppliers are regularly evaluated to ensure they always comply with the Company's conflict minerals management policy.
• Use the list of qualified smelters as requested by customers and provided on the RMI website. If an unqualified smelter has been identified, the Company shall request for a response plan from the supplier.
• Require suppliers to impose the same conflict mineral management on their upstream suppliers.
• Educate and train employees and suppliers to raise their awareness on conflict mineral issues.
• Require suppliers to sign a Declaration of Conflict-Free Minerals.</td></tr>
</table>

2. Develop independent pollution prevention and resource recycling technologies

As our production process consumes large amounts of water, electricity, and chemicals, the wastewater we produce in the process have complicated characteristics and our waste resources can be recycled and reused. The Company thus established a department to take charge of environmental protection and to manage and develop our own energy conservation, emissions reduction, pollution prevention, and resource recycling technologies and management systems. Wastewater is divided into 25 categories of sources based on their characteristics and difference in concentration. The Company also planned and designed wastewater treatment and recycling systems. The investee companies' current wastewater effluent standards far exceed government regulations for emissions. We recycled 13,218 million liters of water in 2025.

The Company's water usage in the past two years is as follows:

	2024	2025
Total Water Consumption	15,751 million liters	17,425 million liters
Water Intensity	0.0918 million liters/ million NTD	0.0955 million liters/ million NTD
Decrease in water intensity percentage	17%	Note 3
Amount of recycled water	11,908 million liters	13,218 million liters
Wastewater recycling rate	50.1%	50.6%
Wastewater Recycling Target	50%	50%

Note:
1. Waste water recycling rate = Water recycled for reuse ÷ (Water recycled for reuse + Total wastewater discharge) ×100%.
2. Water intensity = Annual water intake volume (million liters)/ZDT's annual consolidated revenue (million NTD). Reduction percentage is based on water intensity of 0.1314 million liters/NT$ million in 2013.
3. The Company's water intensity increased by 4% in 2025, mainly due to the addition of the Prachinburi site in Thailand and increased production capacity.
4. The Company's main parks have continuously passed the Alliance for Water Stewardship (AWS) platinum certification. Please refer to page 171 of the Annual Report for more information.

In terms of waste recycling, we categorized waste into more than 65 categories based on the source and product type. We established a dedicated R&D team to develop new resource recycling technologies to increase the value of resources. In 2025, the total weight of waste removed from the sites was 98,697 tons, and the percentage of waste recycled was 93.5%, fulfilling the target (note). The waste is sorted by type. Hazardous industrial waste totaled 56,891 tons and general industrial waste totaled 41,805 tons.

Note: The target for the proportion of waste recycled in 2025 is 90%.

The statistics on the weights of hazardous industrial waste and general industrial waste in the most recent 2 years are as follows:

	2024	2025
Total weight of corporate waste removed	91,763 tons	98,697 tons
Weight of hazardous corporate waste	52,354 tons	56,891 tons
Weight of general corporate waste	39,409 tons	41,805 tons
Percentage of recycled waste	92%	93.5%

Note:

1. The total weight of waste refers to the total weight of corporate waste removed, including hazardous and general corporate waste categorized according to legal planning requirements.
2. Percentage of waste recycled = total amount of waste recycled ÷ total amount of business waste; The percentage of waste recycled is equivalent to the waste recycling rate, excluding the quantity of waste disposed through incineration (energy conversion). At the Qinhuangdao, Huai'an, and Shenzhen Campuses, the waste liquids reused or reduced internally include: etching waste liquid, micro-etching waste liquid (copper-containing), nickel-containing waste liquid, gold-containing waste liquid, palladium-containing waste liquid, and silver-containing waste liquid. In 2025, the resource recovery rate was calculated in accordance with the UL 2799 definition, incorporating the waste liquids that were recycled and reduced internally (103,522.18 metric tons) at the Qinhuangdao, Huai'an, and Shenzhen Campuses, to fully reflect the in-plant recycling efforts. Percentage of waste recycled in 2025 = (total amount of in-house waste recycled + total amount of recycled waste transported) ÷ (total amount of in-house waste recycled + total amount of waste transported).
3. In 2024, the Leading Shenzhen and Qinhuangdao campuses and the Kaohsiung campus were added, and in 2025, the Prachinburi campus in Thailand was added.
4. The Company's main parks have continuously passed the UL 2799 Zero Waste to Landfill Platinum-level certification. Please refer to page 171 of the Annual Report for more information.

3. Create the "Zhen Ding Seven Greens" platform and let green culture take root

   Corporate development is centered around "people". We actively implemented the aforementioned environmental protection and energy conservation measures and we have always been focused on educating employees and cultivating their environmental protection awareness and habits. Therefore, the Company organizes an environmental protection and energy conservation month promotion event with participation from all employees from April 22 to June 5 each year. We also interact with the government, communities, schools, and other companies in the industrial parks of our subsidiaries and share our environmental protection and energy conservation experience and achievements.

   In addition, the Company proposed the "Zhen Ding Seven Greens" concept in 2008 and established a platform to guide employees in all aspects of production and life to achieve green innovation, green procurement, green production, green operations, green services, green renewable resources, and green life. We carefully analyzed and examined methods and practices for improving energy conservation, carbon emissions reduction, efficiency, consumption reduction, greenery, and recycling and implemented in our daily lives and work. We aim to cultivate habits in hopes of creating a unique green corporate culture for the Company and plant the seeds for the most valuable intangible assets.

4. Respond to global climate change and actively promote energy conservation and carbon emissions reduction

   Since 2007, the Company has been conducting regular ISO 14064 greenhouse gas inventories and obtaining verification certificates from external auditing organizations to monitor our carbon emissions at all times. In 2025, the Company's main production parks have all obtained ISO14064-1 greenhouse gas emissions certification. The carbon intensity of Scope 1 & 2 emissions in 2025 was 2.20 tons of CO_2e/million NTD, representing a 77.5% decrease compared to 2013. (Note: Carbon reduction goals: Decrease Scope 1 & 2 carbon intensity by 40% by 2025 compared to 2013.)

The Company's greenhouse gas emissions in the past two years are as follows:

Item	2024	2025
Inventory Period	From January 1, 2024 to December 31, 2024	From January 1, 2025 to December 31, 2025
Scope of Inventory	The greenhouse gas verification method is operational control. Inventories and verifications on all consolidated entities included in the Zhen Ding Tech. Group have been copmleted for the past two years.	
Greenhouse Gas Inventory	Direct: 109,237 tons of CO_2e Indirect: 401,904 tons of CO_2e Other Indirect Emissions: 56,624 tons of CO_2e	Direct: 98,907 tons of CO_2e Indirect: 301,957 tons of CO_2e Other Indirect Emissions: 35,266 tons of CO_2e
6 types of Greenhouse Gas Inventory	CO_2: 493,865 tons CH_4: 2,599 tons N_2O: 41 tons HFC: 10,383 tons PFC_s: 60,672 tons SF_6: 205 tons NF_3: 0 tons	CO_2: 371,416 tons CH_4: 2,604 tons N_2O: 43 tons HFC: 12,951 tons PFC_s: 45,012 tons SF_6: 205 tons NF_3: 0 tons
Carbon emission intensity	2.98 tCO_2e/million NTD	2.20 tCO_2e/million NTD

Note:
1. Our greenhouse gas emissions have passed third-party verification in accordance with ISO-14064-1.
2. Carbon emission intensity = Scope 1 and 2 carbon emissions/ZDT's annual consolidated revenue.

Starting from 2010, our subsidiaries simultaneously began voluntary clean production reviews and converted the Company environmental protection ideals from traditional governance at the end-points to energy conservation and carbon emissions reduction at the source. The Company has completed ISO 50001 Energy Management Systems certification in all main campuses as early as 2017, and all main campuses continued to pass ISO 50001 Energy Management System reviews and certification in 2025. In the future, we will continue to improve our energy management methodology and standards.

In 2025, Zhen Ding and its subsidiaries achieved total annual carbon reductions of 767,235 tons, representing a 32.3% increase compared to 2024. The reductions were primarily driven by the four key initiatives of heat recovery, equipment energy conservation, self-installed solar power, and procurement of green electricity. Among these, equipment energy conservation (including process optimization projects and the adoption of advanced energy-saving equipment) delivered 35,653 tons of carbon reductions, self-installed solar power contributed 3,340 tons, purchased green electricity accounted for 724,230 tons, and heat recovery initiatives introduced in 2025 reduced emissions by 4,012 tons. The Company also actively participates in the Carbon Disclosure Project (CDP) as we continue to learn from advanced carbon management initiatives from foreign countries. We also use this platform to share our experience in reducing carbon emissions. In 2025, the Company received A's, the highest rating, in the Water Safety Rating and Climate Change Rating of CDP.

To effectively manage the impact of climate change, we carried out management and information disclosure in accordance with the recommendations of the Task Force on

Climate-Related Financial Disclosures (TCFD).

5. Major energy-saving and carbon reduction items in 2025

Item	Item description	Energy saving performance
Heat recovery	At the Qinhuangdao Campus, a water-source heat pump is installed on the factory rooftop and an air-source heat pump is used in the residential area to capture and concentrate waste heat from air compressors, chillers, and ambient air, reducing natural gas consumption by 1,566,000 m^3 annually.	Carbon reduction of 4,012 tons/year
Facility energy saving	The newly constructed plants use IE4 or higher and Grade 1 energy efficiency motors. Compared with IE3 motors, this can achieve energy savings of over 10%, with an annual carbon reduction of approximately 12,375.5 metric tons. Through the water source heat pump, the heat can be recycled from the air compressor and ice machine, replacing the heat needed to create steam for the production water intake and air conditioning unit. The heat recycling can reduce the natural gas use of the boilers and carbon emissions. The annual carbon reduction amounts to around 11,879 .1metric tons. FFU optimizes carbon reduction by 2,416 tons.	Carbon reduction of 35,635 tons/year
Self-owned solar power generation	Huai'an First Park: Installed capacity of 2.1MW(self-generated for self-use); Huai'an Second Park: Installed capacity of 2.4MW(self-generated for self-use); The installed solar energy capacity of the Shenzhen Campus is 0.57MW(self-generated for self-use). Hong Qi Sheng Precision Electronics newly built a generation capacity of 11.18MW, and the Kaohsiung plant has also built a capacity of 1.65MW, reaching an estimated annual power generation of 11,555 MWh.	Carbon reduction of 3,340 tons/year
Purchased green electricity	Utilization of green power to reduce GHG emission	Carbon reduction of 724,230 tons/year

Note: Annual carbon reduction = Electricity consumption * Carbon emission factor. The carbon emission factors are the emission factors used for the greenhouse gas inventories of the plant.

In addition, the Company actively participates in the Shenzhen carbon emission trading system and cooperates with carbon emission trading surveys in China and other active regions in Asia. We continue to enhance carbon asset management and operations through cooperation with the government.

6. Fulfill corporate social responsibilities and purchase environmental liability insurance

The Company is committed to innovation and improvements in energy conservation and carbon emissions reduction technologies to improve environmental protection and provide additional commitments and protection of the environment and related parties. Our subsidiaries have purchased independent environmental liability insurance policies since 2013 and the Company's insurance amount in 2025 was 174 MNTD to ensure the independent insurance of each plant and to increase the overall liability insurance of the Group, as we seek to fulfill corporate social responsibilities.

(III) Current pollution prevention and material capital expenditure on environmental protection anticipated for the next year

1. Current pollution prevention

All plants have retained legal and comprehensive reviews and emissions permits and certificates for environmental protection operations in the most recent year and as of the publication date of the Annual Report. All environmental protection tasks have been effectively implemented in a stable manner without any material environmental protection. Therefore, there has been no negative impact on the Company's earnings, competitive position and capital spending.

Currently, the Company's main parks are all located in China, where the environmental protection authorities have increasingly tightened control over the total amount of pollutant emissions. Therefore, the Company continues to improve environmental protection measures and actively develops energy conservation, carbon emissions reduction, wastewater recycling, and waste reduction technologies to reduce the Company's emissions and waste and to provide greater room for development in the Company's future expansion.

The Company has won the trust and support of various local governments and customers based on our outstanding performance in environmental protection tasks and active participation in government policies and green activities. We have also obtained green awards issued by the government and customers and created more favorable foundations for additional environmental resources for the future and corporate sustainable development.

Awards at Each Sites for Environmental Protection and Energy Conservation over the Past Two Years

<table>
<tr><th>Year</th><th>Award</th><th>Manufacturing Sites</th></tr>
<tr><td rowspan="6">2025</td><td>Certificate of Scientific and Technology Achievements Evaluation - Leading Domestic Standard</td><td rowspan="4">Shenzhen Avary Park</td></tr>
<tr><td>2024 Green Manufacturing and Excellent Environmental Protection Circuit Board Company in Guangdong Province</td></tr>
<tr><td>Environmental Integrity Enterprise</td></tr>
<tr><td>Green supply chain management enterprise</td></tr>
<tr><td>Public Notice of the List of Enterprises on the Positive List of Huai'an City in 2025</td><td>Huai'an Manufacturing Campus I</td></tr>
<tr><td>Public Notice of the List of Enterprises on the Positive List of Huai'an City in 2025</td><td>Huai'an Manufacturing Campus II</td></tr>
<tr><td rowspan="5">2024</td><td>Green supply chain management enterprise</td><td rowspan="3">Shenzhen Avary Park</td></tr>
<tr><td>2023 Green Manufacturing and Excellent Environmental Protection Circuit Board Company in Guangdong Province</td></tr>
<tr><td>2024 Shenzhen Environmental Protection Credit Rating - Green Enterprise</td></tr>
<tr><td>Qinhuangdao City Standardized Management of Hazardous Waste "Training and Practice Base"</td><td>Qinhuangdao Hong Qi Sheng Park</td></tr>
<tr><td>Model Environmental Protection Enterprise of Huai'an City in 2024</td><td>Huai'an Manufacturing Campus I</td></tr>
</table>

Year	Award	Manufacturing Sites
	Model Environmental Protection Enterprise of Huai'an City in 2024	Huai'an Manufacturing Campus II
	Carbon Peak and Carbon Neutrality Pilot Site in Jiangsu Province	

2. Material capital expenditure on environmental protection anticipated for the next year:

   Material capital expenditure on environmental protection anticipated in the next year consists mainly of construction conducted in response to future expansion of production in plants, stricter environmental protection regulations, and production capacity expansion. They also include capital expenditures for continuous improvements such as recycling various wastewater and waste resources and energy conservation and carbon emissions reduction. Material capital expenditure on environmental protection anticipated for the next year:

Unit: NT$ thousand

Subsidiaries and their locations	Capital Expenditure Item	2026	2027	2028
Avary (Shenzhen)	Pollution prevention equipment and construction	870	700	300
	Energy conservation improvement equipment and construction	-	-	-
Leading (Shenzhen)	Pollution prevention equipment and construction	24,700	14,800	9,100
	Energy conservation improvement equipment and construction	-	-	-
Hong Heng Sheng (Huai'an Comprehensive Bonded Zone)	Pollution prevention equipment and construction	3,190	45,713	800
	Energy conservation improvement equipment and construction	-	-	-
Qing Ding Precision Electronics (Huai'an Industrial Park)	Pollution prevention equipment and construction	-	9,145	30,378
	Energy conservation improvement equipment and construction	-	-	-
Hong Qi Sheng (Qinhuangdao)	Pollution prevention equipment and construction	35,574	1,200	-
	Energy conservation improvement equipment and construction	2,951	-	-
Garuda Technology (Kaohsiung)	Pollution prevention equipment and construction	23,636	57,073	-
	Energy conservation improvement equipment and construction	1,951	-	-
Peng Shen (Thailand)	Energy conservation improvement equipment and construction	-	-	219,200
Total		92,872	128,631	259,778

V. Labor-Management Relations

(I) List various employee benefit plans, continuing education, training, retirement systems, and the state of implementation as well as various employee–employer agreements and measures for protecting employee rights and the interests of the Company:

1. Employee Benefits

   The employee welfare measures for the Company's employees in Taiwan include the National Health Insurance, Labor Insurance, and labor pension systems required by the Labor Standards Act of the Republic of China. We also provide employees with group insurance to protect their related benefits. The Company's group insurance in Taiwan includes a certain amount of term life insurance, accident insurance, hospitalization and medical insurance, cancer insurance, accident injury medical insurance, and occupational hazards insurance. In addition, employees' family members can also purchase the Company's group insurance with lower insurance premiums. Employees in China are required by law to contribute to social insurance (including pension, medical care, work injury, maternity, and unemployment insurance) and housing provident fund. In addition, the Company provides group commercial insurance for employees of grade 4 or above, including life insurance, accident insurance, major illness insurance, outpatient and inpatient insurance, hospitalization allowance, etc. Family members of key personnel can also join the Company's group insurance at a lower premium, and the Company provides annual health examinations for employees.

   Employees are entitled to various benefits, in addition to special leave (statutory holidays, paid annual leave, marriage leave, bereavement leave, maternity leave, and paternity leave), retirement benefits, labor insurance, health insurance, and employee insurance (including endowment, medical care, work-related injury, maternity, and unemployment insurance) and housing provident fund according to relevant labor laws and regulations in each operating location. The Company also provides promotion and salary adjustment opportunities annually to reward outstanding performance of employees and issues production incentives, year-end bonuses based on the company's operational performance. We also offer other relevant welfare measures to ensure the well-being of our employees and protect their rights and interests in the workplace. Other related welfare measures are also implemented.

2. Employees' education and training status

   The Company believes that matching talent with suitable positions can enable employees to assist the Company in creating higher value. Therefore, we are committed to the two aspects of learning and talent development, allowing employees in management or technical positions to receive good development according to their individual characteristics and expertise. At each stage of development, employees can find corresponding training courses to meet their growth needs. To enhance the managerial capabilities of our various levels of supervisors, we have introduced a large number of courses corresponding to different levels. We encourage employees to engage in self-directed learning and to grow together with the Company.

   Talent is the most precious asset of the Company, and the growth of the Company is dependent on the learning and development of employees. Therefore, the Company's training system is centered around the company's strategic development, with the goal of becoming a learning organization. We actively promote self-learning and on-the-job training for our employees in their professional development. Internal training courses are as follows: Propose annual training needs survey -> Fill out needs surveys -> Formulate the annual education and training plan -> Submit for approval -> Formulate the monthly education and training plan -> Implement education and training -> Student participation -> Effectiveness review.

- Encourage multi-skilled workers and establish a talent training system

  In response to the rapid changes in the global environment and to satisfy the different needs of manufacturing units and customers, the Company established a talent training system and designed education and training contents for corresponding job levels and departments to effectively integrate internal resources while systematically fostering all types of professionals required for organizational operations and development.

  To this end, in 2025, the Company formulated educational plans for employees to encourage employees to choose different learning resources and learning methods according to their own needs, and introduced various management courses to improve the core competencies of managers at different levels. ZDT aims to provide solid and systematic support for managers at all levels and training for different management functions. The average student satisfaction score exceeded 96 points.

- Respect gender equality and provide equality education and training
  In terms of gender equality in training, we follow the principle of gender equality and provide specialized training for all levels and job functions. The total number of employees who received the required training in 2025 was 52,108, of which the number of female employees who received training reached 17,738 persons, accounting for 34%. Courses related to other professional fields and quality management, such as AI applications and quality control, are open to all employees, and participation in training is based on individual needs.

  In 2025, the average learning hours per employee was 93.2 hours [total learning hours / average annual workforce (average number of employees at the end of each month)].

- Promote self-learning and the E-Learning platform

  The Company introduced the online learning platform, Ding Sheng E-Learning College. It provides diverse learning and channels for various learning and development projects that meet organizational needs. Through the use and promotion of the internal learning platform, and the hybrid teaching method that combines the online and offline, ZDT encourages employees to use their spare time to study. The Company also adopts the method of promoting learning through examinations to strengthen employees' learning efficiency and cultivate independent study habits.

  At the same time, to encourage active participation among employees, we welcome employees to share their knowledge and upload shared courses. Up to now, most of our employees have become accustomed to the use and learning through the Ding Sheng E-Learning College learning platform. In 2025, a total of 8,054 internally developed courses were made available on the platform for employees, with the learning rate reaching 93%.

3. Succession plan for important management

The Company adopts a rotating CEO system to train its successors. Executive meetings with the Chairman of the board, the president, and various department heads are held regularly to discuss and select teams of potential successors from top-level management, plan the paths of development, and review schedules. Training methods include courses and online training course for improving leadership and business combat ability. The training model is divided into management ability, professional ability, overseas engagement, CMBA, language learning, and personal development plan. Key talents are assigned important tasks and rotated to other job roles to increase their training experience and accelerate their personal development. These people are given priority to fill relevant job vacancies.

Since the launch of the key talent development program, members including the chairman, president, and vice presidents of the Group attend weekly meetings to provide resolutions on management talent recruitment, job promotions, overseas business trips, and career development plans and confirm whether such resolutions are executed. The president of the Company and various excellent-performing vice presidents of the Group are also included for consideration as the potential successor of members of the Board of Directors.

The Company advances the successor training program and remains committed to improving the internal work environment. We provide reasonable remuneration and promotion system to strengthen the connection between the performance of senior management and the Company and reduce the risks of turnover of senior managerial officers and other important employees.

4. Retirement system and the status of implementation

To take care of employees' post-retirement lives and to enhance the spirit of service during their employment, the Company has established employee retirement programs according to the Labor Standards Act and Labor Pension Act to ensure employees in Taiwan receive a fixed pension fund.

For employees under the old labor retirement system, the Company has established retirement and pension management regulations in accordance with the Labor Standards Act. The Company also established the Supervisory Committee of the Labor Retirement Reserve in accordance with regulations. The labor retirement reserve fund is appropriated each month in accordance with the "Regulations for the Allocation and Management of the Workers' Retirement Reserve Funds" to the Committee's dedicated account in the Central Trust of China and managed by the Committee. Since July 1, 2005, in conjunction with the implementation of the "new system" stipulated in the Labor Pension Act, for employees who were covered by the Labor Standards Act and opt for the new system or employees who commence their job after the new system is implemented, their seniority shall be calculated by the defined contribution plan. The Company shall pay pension by allocating 6% of the employee's monthly salary to the personal labor pension account established for each employee. Employees may also choose to allocate 0% to 6% of their monthly salary to their personal pension account; once employees meet the legal retirement age prescribed by the government, they may apply for monthly pension payments or a lump-sum pension payment from the government.

The Company's subsidiaries in China set aside pension insurance based on the mandatory ratio in accordance with the retirement and pension system required by the government of the People's Republic of China. All pension funds of current and retired employees are organized and managed by local governments.

5. Protection measures for agreements between the employer and employees and all employee rights

   The successful fulfillment of the Company's operation targets relies on employees' dedication and contributions. Therefore, the Company has always focused on cultivating a harmonious relationship between labor and management. The Company upholds the ideals of creating mutual prosperity to take care of employees and we designed salary, benefit, and training policies for employees' interest and providing personal work satisfaction and a good work environment. Both labor and management work hard to pursue growth for the Company.

   The Company's internal control system and management regulations clarified the duties and interest of employees on all levels in all departments. We also specified Work Rules in the Employee Handbook to protect their rights and interests. We established the Employee Welfare Committee to organize various employee activities. We also provide incentives in the form of rewards, salary adjustments, bonuses, and promotions based on performance evaluations.

   The Company's subsidiaries in Taiwan established labor meeting systems in accordance with laws and they convene labor-management meetings each quarter to facilitate bidirectional communication and coordination on the Company's recent and future policies and form consensus. Employees can also use the Company's employee opinion box, digital platform, and other grievance channels to propose recommendations and feedback to the Human Resources Department or senior managers to maintain good relations and protect employees' legal rights.

   The Company's main sites for operations are provided with social welfare funds that correspond to the social security and welfare system required for each site to protect employees' rights and interests in work.

6. Human Rights and Employee Policy, and Employee Code of Conduct

   (1) Human Rights and Employee Policy

   The Company believes that “talent” is the key to corporate development. Therefore, the Company always insists on upholding the core values of “Integrity, Responsibility, Innovation, Excellence, and Altruism” and actively develops a tolerant, diverse, and inclusive workplace and a system for cultivating, hiring, and retaining talents. From cooperative education to the development of various expertise, general knowledge, management, and talents, we offer a comprehensive range of training and fostering programs to make our employees competent enough to grow and develop together with the company.

   As of December 31, 2025, the total number of full-time employees in the Company is 34,038 males and 17,435 females. The number of non-formal (contracted) employees is 332 males and 303 females. All employees of the Company are full-time employees. The Company has employed 221 persons with disabilities. The most common types of non-employee workers in the Company are construction workers and non-regular project contract workers, such as equipment maintenance, renovation projects, and some regular contract workers such as security guards, cleaners, restaurant and landscaping workers. The work of non-employee workers is planned and executed differently according to different projects. The total work hours of non-employee workers in 2025 was approximately 7,484 person/years.

   Note: The calculation of the number of non-employee workers is estimated based on the total work hours, expressed in person-years (assuming 246 working days and 8 work hours per day in 2025).

Category	Group	Male		Female		Subtotal of groups and the ratio	
		Number of people	Percentage (%)	Number of people	Percentage (%)	Total	Percentage (%)
Nationality	China	32,420	94.3	16,385	92.4	48,805	93.7
	Taiwan	1,083	3.2	495	2.8	1,578	3.0
	India	280	0.8	271	1.5	551	1.1
	Thailand	223	0.7	247	1.4	470	0.9
	Other Southeast Asian countries (Note 1)	355	1.0	337	1.9	692	1.3
	Other countries (Note 2)	9	0.0	3	0.0	12	0.0
Total		34,370	100.00	17,738	100.00	52,108	100.00

Note 1: Other Southeast Asian countries include: The Philippines, Indonesia, Vietnam, Myanmar, Cambodia, and Malaysia.
Note 2: Other countries include: North Korea, South Korea, Japan, USA, New Zealand, and Germany.

(2) Employee Code of Conduct

The Company has established the "Employee Code of Conduct", "Code of Ethical Conduct", "Procedures for Handling Material Information", and related regulations for compliance by all employees in order establish good conduct for employees, encourage compliance with ethical standards, and provide employees with a deeper understanding of the Company's moral standards. The "Employee Code of Conduct" is described as follows:

A. New employee guide: The guide allows new employees to quickly learn about the Company's environment and operations of related attendance systems after reporting for duties.

B. Employee Handbook: The Work Rules are specified in the Employee Handbook as well as the Ding Sheng e-learning platform for employees' reference and compliance to protect their rights and interests. The main chapters contain the following items:

Item	Description	Item	Description
A	Working hours, leave, and holidays	J	Business travel
B	Extended unpaid leave and reinstatement	K	Discharge, layoff, and resignation
C	Attendance management	L	Retirement
D	Salary	M	Occupational injuries, illnesses, and compensation
E	Overtime work	N	Industrial safety and sanitation
F	Rewards and penalties	O	Communication between labor and management
G	Performance evaluation	P	Sexual harassment prevention
H	Benefits	Q	Confidentiality regulations, etc.
I	Education and training		

C. Employment Agreement: The Agreement specifies terms the employee must abide by after negotiations between labor and management to protect the interests of both parties. The main terms are as follows:

Item	Description	Item	Description
A	Terms of services	F	Information security
B	Intellectual property right ownership	G	Integrity and self-disciplinary clause
C	Non-infringement guarantee	H	Non-compete clause
D	Confidentiality	I	Avoidance of conflicts of interest, etc.
E	External communication		

(II) List the losses suffered due to labor disputes in the most recent fiscal year up to the publication date of the Annual Report, and disclose the estimated amount for current and possible future occurrences, and response measures. If the amount cannot be reasonably estimated, clarify the reason: The Company has always enjoyed a harmonious relationship between labor and management and there are no labor disputes or losses in the most recent year and up to the publication date of the Annual Report.

VI. Cyber Security Management

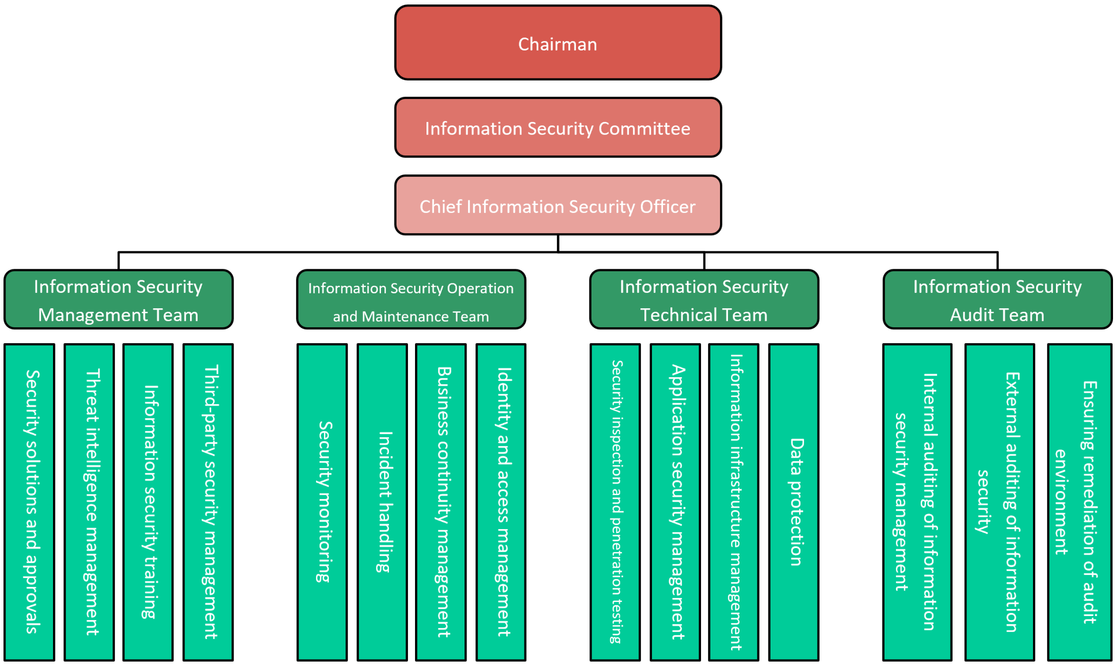
(I) Status of resources for information security risk management structure, information security policies, specific management solutions, and resources invested in information security management:

1. Information security risk management framework

To effectively implement its information security management policy, the Company has established a dedicated Information Security Department in addition to its existing Information Technology Department, which is responsible for system infrastructure. The Chief Information Security Officer serves as the highest authority overseeing the Group's IT security. The Information Security Department is organized into four specialized teams: the Information Security Team, Information Security Maintenance Team, Information Security Technology Team, and Information Security Audit Team, which are all staffed by dedicated Information Security Department personnel. Additionally, an Information Security Governance Task Force has been formed, with each department assigning representatives to serve as members responsible for communicating and enforcing information security policies, thereby ensuring the Company's operations remain stable.

To expand and implement information security management, the Company established the Information Security Committee in 2021, which is chaired by the Chief Information Security Officer and responsible for overseeing information security management. The Committee reports directly to the Chairman of the Board. It is composed of senior management members and holds quarterly meetings to establish and review information security goals, policies, and procedures.

At the same time, the Company established the Audit and Risk Committee under the Board of Directors. It is responsible for overseeing and guiding the Group's management strategies and planning objectives related to information security.



2. Information security policy

   Our information security strategy is focused on three dimensions of information security governance, compliance, and technology to provide comprehensive protection of information security at the institutional to technical level and individual to organizational level. To strengthen information security management, the Company not only plans network frameworks by using the most rigorous IT requirements, but also establishes an information security policy, which states: "When maintaining the confidentiality, integrity and availability of the Company's information to avoid situations in which human negligence and deliberate sabotage lead to improper use, leakage, tampering, damage, and loss of assets, or situations in which assets are unavailable due to natural disasters, thereby affecting the business continuity and compromising the company's interests." The Company controls the likelihood of information security incidents by employing information security policies, contingency mechanisms, and IT infrastructure.

   Information security for product design and manufacturing. The Company manufactures PCBs and not end products, therefore it is not applicable.

3. Information security risk management

   The Company actively plans and deploys information security measures and constantly improves the information security environment to reduce information security risks. In terms of management, the Company develops management regulations covering the aspects of policy development, organizational responsibilities, personnel safety, document control, asset management, communications and operational management, interview control, physical environment, system development and maintenance, business continuity management, information security event management, and compliance. In terms of technology, the Company has installed firewalls, intrusion detection system, email security system, operating system automatic detection and update, anti-virus systems, network access control system, security monitoring system, and vulnerability scanning system. At the end of every year, the Information Security Committee conducts reviews on the status of information security operations, risk control, and event corrections and uses the results to control and reduce information security risks. The Company organizes internal reviews and management reviews at least once a year, but not more than 12 months apart, to check the presence or absence of information security risks and to adopt corrective and preventive measures in a timely manner to ensure the continuous operation of its businesses.

4. Employee information security training

   Personnel training is focused on educating new employees on the importance of information security. Information security education and training has been established in the knowledge management system and new employees must complete the courses within the specified time Regularly conduct social engineering drills throughout the Company to improve information security awareness among employees. Promotional videos are shown on the company's large electronic billboards. The plants also posted information security promotional posters, and the company's monthly publication included information security knowledge. The Company aims to use diversified methods to convey the company's information security regulations and concepts. In order to strengthen the information security response capabilities and establish a comprehensive defense consisting of all staff, the Company has formulated security incident management procedures. Employees can follow these procedures to report incidents, accelerating the early warning, monitoring, and notification of information security incidents, and improve the information security incident response capabilities. Clearly stipulate information security rewards and penalties system in the Employee Handbook.

   In 2025, a total of 75,752 hours of information security training courses were provided to a total of 383,202 people. In order to prevent cyberattacks and collect network postures, an average of 10,817 cyberattacks and 92,732 malicious emails are blocked each month to prevent malicious behavior from causing company losses.

5. Impact of on the Company's finance and specific management measures

Information security management type	Related operations
System accessibility	Monitoring system and network availability The remote data recovery system ensures the complete restoration of data Regularly rehearse the data recovery process for disasters Data response measures for service interruptions
External threats	Malicious virus and software attack detection and data loss prevention Computer vulnerability detection and update
Access management	Settings management for personnel accounts and access Regularly review accounts and permissions for necessary operations Access management for important server rooms
Access control	Restrict data and file access Data access records Important data is encrypted according to the rules

- Sixteen information security management meetings were convened by the Company in 2025 to review the information security policies of each unit and their implementation status. No dangerous information security incidents occurred in the year. No information security incidents or customer information security violations leading to fines occurred between 2023 and 2025.

- 28 back up drills were organized this year. where
  - A total of 8 main back up equipment switching, and 20 back up data recovery

tests were carried out in Shenzhen, Huai'an, Qinhuangdao, Kaohsiung, Thailand, and India.

- The initial issue date for ISO27001 certification was May 8, 2020, valid until May 8, 2026.
  - The re-review approval date for Avary Holding (Shenzhen, Huai'an, Qinhuangdao, Kaohsiung) certification was May 9, 2025.
  - The re-review approval date for Leading Interconnect Semiconductor Technology (Shenzhen and Qinhuangdao) certification was September 30, 2025.

6. Information and communication technology (ICT) equipment security management

   The IT equipment carried by control personnel when entering server rooms, production lines, and restricted areas shall be controlled according to access permissions for the networks, computers, operating systems, and applications of different units in the Company. The Company has stipulated business continuity management procedures. We classify the different systems and established business continuity management mechanisms to ensure that operations are not interrupted. Back up recovery drills are conducted at least once every 6 months to ensure the quick restoration of operations during security incidents or disasters. This will reduce risk and minimize the losses caused by incidents and disasters.

7. Network and anti-virus management

   In order to prevent cyberattacks and the collection of posture, the Company has established firewalls, defense systems, email filtering systems, and anti-virus protection systems. External information security experts were engaged to perform penetration testing, social engineering drills, and other information security assessments, in order to establish a safe work environment and ensure sustainable management. From 2023 to 2025, there were no violations of information security related laws and regulations and information security incidents. The Company did not report of any customer complaints as a result of privacy infringement or loss of customer information.

8. Confidential customer information protection

   The Information Security Committee was officially established in 2021 under the Chairman. It holds Information Security Committee work meetings every quarter and Information Security Governance Implementation Team exchange meetings every month. Through the Information Security Governance Implementation Team, information security management, review guidelines, and directions are conveyed to the entire company, and information security policies and management are adjusted. The Chief Information Security Officer is responsible for supervising information security management operations, and each department-level unit nominates officers to promote and implement information security policies. On May 8, 2020, the Company successfully passed the annual review conducted by an external verification organization and received a certificate of compliance. This was done to establish a safe and reliable information operating environment and protect the Company's computer data, systems, equipment and network security, based on the three ICT security principles of "confidentiality, integrity and availability" in order to protect the non-repudiation, verification and accountability of the overall information assets.

   In order to ensure the confidentiality of business secrets of the Company and customers, the data is managed by grades and categories, the information of products and customers is properly communicated, a special security area is set up for customer secrets, and access to the network, computers and personnel is controlled. The Company specifies items to be managed for information security, including personnel training, information equipment security management, network and anti-virus management.

(II) In the most recent year, and as of the printing date of the annual report, if the damages, possible effects, and response measures of major information security incidents cannot be reasonably estimated, the reason for being unable to provide a reasonable estimation should be explained: The Company has not suffered any loss or impact due to information and communication security incidents.

VII. Important Contracts

No.	Nature of the Contract	Counterpart	Commencement Date/Expiration Date	Main Content	Restrictive Terms
1	Sales	Company CB	Commencing on September 26, 2025 Long-term	Framework Agreement	Confidentiality
2	Sales	Company CC	Commencing on July 31, 2025 Long-term	Framework Agreement	Confidentiality
3	Sales	Company CD	From January 15, 2025 to December 31, 2027	Framework Agreement	Confidentiality
4	Sales	Company CE	From January 15, 2025 to December 31, 2027	Framework Agreement	Confidentiality
5	Sales	Company CF	From December 25, 2024 to December 24, 2026	Framework Agreement	Confidentiality

CHAPTER 6. Review and Analysis of Financial Position and Financial Performance and Risk Issues

I. Financial Conditions

Unit: NT$ thousand; %

Item \ Year	2024	2025	Difference	
			Amount	%
Current assets	132,508,624	127,641,143	-4,867,481	-3.67%
Property, plant and equipment	110,172,595	123,736,834	13,564,239	12.31%
Intangible assets	2,096,679	2,709,656	612,977	29.24%
Other non-current assets	2,046,938	3,432,624	1,385,686	67.70%
Total assets	265,993,292	280,043,010	14,049,718	5.28%
Current liabilities	69,204,250	72,821,167	3,616,917	5.23%
Non-current liabilities	44,765,432	36,509,191	-8,256,241	-18.44%
Total liabilities	113,969,682	109,330,358	-4,639,324	-4.07%
Capital	9,566,525	10,705,659	1,139,134	11.91%
Capital reserve	40,540,212	52,902,489	12,362,277	30.49%
Retained earnings	59,158,398	61,549,278	2,390,880	4.04%
Other equity	-189,408	-1,123,670	-934,262	493.25%
Treasury stock	-257,489	-52,202	205,287	-79.73%
Total equity	152,023,610	170,712,652	18,689,042	12.29%

Explanation of material changes: (changes in the amount of more than 10% and more than 1% of the total assets of the current year)

(1) Property, plant and equipment: Invested in plant expansions and machinery and equipment procurements to meet production capacity increase requirements for long-term development.
(2) Non-current liabilities: Mainly attributable to the decrease in long-term borrowings.
(3) Capital reserve: Mainly attributable to the conversion of convertible bonds

Source: CPA-audited Consolidated Financial Report for 2024 to 2025

II. Financial Performance

Unit: NT$ thousand; %

Item \ Year	2024	2025	Variation: Amount	Variation: Proportion of change (%)
Operating revenue	171,663,845	182,521,620	10,857,775	6.33%
Operating costs	-139,203,083	-146,385,216	-7,182,133	5.16%
Gross profit	32,460,762	36,136,404	3,675,642	11.32%
Operating expenses	-20,875,126	-22,204,825	-1,329,699	6.37%
Operating profit (loss)	11,585,636	13,931,579	2,345,943	20.25%
Non-operating income and expenses	3,459,339	131,105	-3,328,234	-96.21%
Net profit before tax	15,044,975	14,062,684	-982,291	-6.53%
Net profit of this period	13,096,478	10,605,107	-2,491,371	-19.02%
Comprehensive income or loss (net value after tax) in this period	6,987,527	-544,983	-7,532,510	-107.80%
Total combined income for this period	20,084,005	10,060,124	-10,023,881	-49.91%

Explanation of material changes: (changes in the amount of more than 10% and more than 1% of the total assets of the current year)

(1) Gross profit: Mainly due to increase in revenue resulting from the Company's continued development of PCB applications and markets in various sectors.
(2) Non-operating income and expenses: Mainly attributable to the changes in foreign exchange gains and losses.
(3) Comprehensive income or loss (net value after tax) in this period: Mainly attributable to the decrease in translation differences in financial statements of overseas operations.
(4) Total combined income for this period: Same as explanation for (1) operating margin, (2) non-operating income and expenses, and (7) comprehensive income or loss (net value after tax) in this period.

Source: CPA-audited Consolidated Financial Report for 2024 to 2025.

III. Cash Flow

(I) Analysis of cash flow changes over the most recent fiscal year

Unit: NT$ thousand; %

Item \ Year	2024	2025	Increase (decrease) amount	Percentage of change (%)
Operating activities	30,384,822	27,616,511	-2,768,311	-9.11%
Investing activities	-8,146,896	-31,960,001	-23,813,105	292.30%
Financing activities	-7,150,610	-1,865,305	5,285,305	-73.91%

Analysis of changes:

(1) Decrease in net cash inflow from operating activities: Mainly due to the growth in business operations, the increase in accounts receivable and payable which are not due, and increased inventory.
(2) Increase in net cash outflow from investing activities: Mainly due to the amount spent on additional plants and equipment purchases for long-term development.
(3) Increase in net cash inflow from financing activities: Mainly due to the Company's repayment of syndicated bank loans and the net increase in short-term borrowings to meet operational growth needs.

Source: CPA-audited Consolidated Financial Report for 2024 to 2025.

(II) Cash liquidity analysis for the following year:

Unit: NT$ thousand

Cash balance at beginning of the period	Estimated net cash flow from operating activities in the entire year	Estimated net cash flow from financing and investing activities in the entire year	Cash surplus (inadequacy) amount	Remedial measures for cash inadequacy	
				Investment plan	Financial plan
71,116,372	47,886,695	-40,861,901	78,141,166	—	—

IV. Impact of Major Capital Expenditures on Corporate Finances and Business for the Most Recent Year: None.

V. Investment Policy for the Most Recent Fiscal Year, the Main Reasons for the Profits/Losses Generated Thereby, the Plan for Improving Profitability, and Investment Plans for the Coming Year

(I) The Company's investment policy

The Company currently focuses on investments in related PCB industries and does not engage in investment in other businesses. The Company's related departments execute investments based on the "investment cycle" in the internal control system and the "Procedures for the Acquisition or Disposal of Assets". Long-term investment strategies are focused on bolstering the core competitiveness of our main business activities, strengthening technological capability and meeting customers' overall requirements.

(II) Main reasons for gains or losses in the investments in other businesses in the most recent year:

Unit: NT$ thousand

Investments in other businesses	Profit or loss in the most recent period	Explanation
Monterey Park	9,746,364	Mainly attributed to recognition of profit or loss from investment in investees
Zhen Ding Technology Co., Ltd.	215,565	Mainly attributable to profits from service revenue
BoardTek Electronics Corp.	- 1,902,771	Mainly attributed to adjustment of product structure
ZDT Singapore	97,934	Mainly attributed to recognition of profit or loss from investment in investees
Coppertone	10,127,328	Mainly attributed to recognition of profit or loss from investment in investees
Mayco	10,128,468	Mainly attributed to recognition of profit or loss from investment in investees
Pacific Fair	898,130	Mainly attributed to recognition of profit or loss from investment in investees
FAT Holdings	2,876	Mainly profits from interest income
Leading HK	30,527	Mainly attributed to the recognition of losses from investments

Investments in other businesses	Profit or loss in the most recent period	Explanation
Garuda HK	- 695,993	Mainly due to operational expenditures.
Avary Singapore	-1,286,872	Mainly attributed to recognition of profit or loss from investment in investees
Avary India	- 391,121	Mainly attributed to the developments in the early stages
Garuda Technology Taiwan	- 1,247,590	Mainly attributed to the increase in initial expenses incurred during the establishment of the new factory
ZDT India	-28	Mainly routine management expenditures
ZDT Developer India	24,064	Mainly profits from interest income
Peng Shen Thailand	-714,374	Mainly attributed to the developments in the early stages
Leading Interconnect Semiconductor	-250,867	Mainly attributed to recognition of profit or loss from investment in investees
GAEEA	34,730	Mainly attributed to recognition of profit or loss from investment in investees
BRAI Technology	-349,473	Mainly attributed to the developments in the early stages
Avary Holding (Shenzhen)	11,698,234	Mainly attributed to growth in revenue
Fu Bo Industrial (Shenzhen)	26,200	Mainly attributed to profits from leases
Hong Qi Sheng (Qinhuangdao)	4,563,972	Mainly attributed to growth in revenue
Hong Heng Sheng Precision Electronics Technology (Huai'an)	478,343	Mainly attributed to growth in revenue
Qing Ding Precision Electronics (Huai'an)	4,152,781	Mainly attributed to growth in revenue
Kui Sheng (Shenzhen)	11,810	Mainly attributed to profits from processing services
Jiawei Industry (Huai'an)	1,184	Mainly profits from interest income
Avary Investment (Shenzhen)	34,847	Mainly attributed to the recognition of losses from investments
Zhan Yang (Dongguan)	-16,703	Mainly attributed to adjustment of product structure
Leading (Shenzhen)	- 1,166,473	Mainly attributed to adjustment of product structure
Leading (Qinhuangdao)	- 12,964	Mainly attributed to adjustment of product structure
Avary Property Management (Shenzhen)	-2,553	Mainly routine management expenditures
Avary Investment partners	-	Mainly routine management expenditures

Investments in other businesses	Profit or loss in the most recent period	Explanation
Huaian Cheng Xin	-271	Mainly attributed to the developments in the early stages
Yaoding (Shenzhen)	34,437	Mainly attributable to profits from environmental protection and energy conservation
Yaoding (Huai'an)	6,405	Mainly attributable to profits from environmental protection and energy conservation
Yaoding (Qinhuangdao)	15,107	Mainly attributable to profits from environmental protection and energy conservation
Wuxi Huayang	15,771	Mainly attributed to growth in revenue
Jiangsu Turnsor	-8	Mainly routine management expenditures
Wuxi Yongyang	46	Mainly attributable to profits from other revenue

(III) Investment plans for the next year:

The Company shall investment plans for the next year shall consist of investment in subsidiaries in China or other regions. They shall be processed based on customers' orders and demands in accordance with related investment evaluation and decision-making procedures.

VI. Risk Management, Analysis, and Assessment of the Most Recent Year as of the Publication Date of the Annual Report

(I) Risk management policies

(1) To strengthen the Company’s risk governance and enhance the effectiveness of functional committees, the Board of Directors has established the “Audit and Risk Committee,” which assists the Board in promoting risk management and corporate governance. It is required to report the implementation status to the Board at least once a year to ensure stable business operations and support the Company’s pursuit of sustainable development goals.

Four major risk management aspects are defined according to the risk management policies: operational, strategic, financial, and hazard event aspects. Control implementation plans for the fourteen risk factors are formulated through internal and external environment analyses. Through risk identification, assessment, control, and supervision processes, the scope of each risk is clearly understood, and daily rolling management is carried out using measures such as PDCA (Plan, Do, Check, Act).

To achieve the goal of corporate sustainable development, the Company analyzes the impacts and challenges that the Company may face in the course of its operations. It must continue to pay attention to the threats to enterprises posed by changes in the international political and economic situation, as well as the risks brought about by false and fabricated information. According to the Global Risks Report released by the World Economic Forum on January 14, 2026, among the top ten emerging risks in the past two years, the shifting international political and economic landscape poses a significant threat to corporate sustainability. These risks include issues such as international armed conflicts, social polarization, inequality, and involuntary migration. In addition, the risk posed by misinformation and disinformation cannot be ignored. This is defined as the widespread and persistent spread of false information (whether intentional or unintentional), which has a huge impact on public opinion. This leads to the distrust of facts and authority, and involves falsification, impersonation, and manipulation. These risks remind us that we should be more cautious in responding to various challenges in the ever-changing global landscape.

The 2025 risk management implementation results were reported to the Board of Directors and Audit and Risk Committee on March 12, 2026.

(2) Risk management framework

A. The Audit and Risk Committee is established under the Board of Directors and is composed of all independent directors. The committee oversees risk management mechanisms to fully handle the risks faced by the Company.

B. Under the Audit and Risk Management Committee, the Risk Management Executive Task Force is established, composed of the highest executives of each business unit, with the Head of Chairman's Office serving as the convener, to assist and supervise the implementation of risk management activities in each department. The Task Force also helps the Board of Directors promote risk management and enhance corporate governance to fulfill the purpose of risk management.

C. The Risk Management Working Group is established under the Risk Management Executive Task Force. It is responsible for reporting the Company's risk management policies, assisting each business unit in executing risk management-related operations, and compiling implementation reports to the Risk Management Executive Task Force.

(3) Duties of risk management

A. **Board of Directors:** Approve risk management policies, procedures, and frameworks; Ensure alignment of operational strategies with risk management.

B. **Audit and Risk Management Committee:**

- Review risk management policies, procedures, and frameworks according to the risk management decisions of the Board of Directors.
- Review the implementation of risk management, propose necessary improvement suggestions, and regularly review its applicability and implementation performance. Oversee risk management mechanisms to fully handle the risks faced by the Company and report to the Board of Directors at least once a year.

C. **Roles and Responsibilities of Business Units:**

- Identify, analyze, evaluate, and respond to risks within their units, establishing crisis management mechanisms when necessary;
- Ensure the effective implementation of risk management and related control procedures of their respective units to comply with risk management policies and assist and supervise the execution of risk management activities of each department.
- Regularly report risk management information to the risk management promotion and implementation units.

D. **Risk Management Executive Task Force:**

- Develop risk appetite (tolerance levels) and establish qualitative and quantitative measurement standards;
- Analyze and identify sources and categories of company risks, periodically reviewing their applicability;

- Consolidate and report on the implementation of risk management activities;
- Assist in supervising risk management activities across departments;
- Coordinate cross-departmental interaction and communication in risk management operations;
- Implement risk management decisions made by the Company;
- Plan relevant risk management training to enhance overall risk awareness and culture.

(4) Risk management procedure

In order to strengthen the risk management functions, the Company's risk management is based on risk identification, risk assessment, risk control, risk supervision, and communication. The Company clearly understands the scope of all risks and continues to effectively improve and control the risk factors through CAPDCA. This will decrease the probability and severity of losses caused by the risks. To comply with the principles of sustainable development and fulfill our responsibilities as global citizens, we refer to the emerging risk issues facing the Company in terms of operational impacts and challenges as proposed by economic forums worldwide. We review potential operational impacts and challenges that the Company may face in the medium to long term, identifying and implementing appropriate regulatory measures early on to effectively manage risks and respond promptly:

A. **Risk identification (Internal and external environment analysis):**

We conduct internal and external environmental analyses and risk identification based on operational factors such as environmental, social, and corporate governance considerations. Operational, strategic, financial, and hazard event aspects are defined according to the Company's risk management policies. Control and implementation plans have been formulated for 14 major risk factors. We utilize rolling management practices including risk identification, assessment, control, supervision, and communication to address various risks. The categories of risk factors include:

Operations	1. **Market risk:** Includes changes in market trends, shifts in product demand, fluctuations in raw material prices, and risks associated with customer and supply chain performance.
	2. **Regional risks:** Examines the impact of changes in local political and economic conditions on company operations at various locations.
	3. **Information security risk:** Focuses on the operation, maintenance, and management of information security software and hardware, as well as employee education and awareness.
	4. **Supply chain risk:** Addresses imbalances in the supply chain caused by environmental changes, and changes in domestic and international political and economic conditions.
	5. **Quality process risks:** Involves the prevention and response to operational issues related to product, material, manufacturing, and packaging quality management.
	6. **Industrial security risk:** Addresses hazards in the work environment, including accidents, fires, explosions, chemical spills, and other forms of environmental pollution.
	7. **Human resources risks:** Involves issues related to labor management, employee environment, and welfare.

	8. **Risks related to intellectual property rights:** Focuses on risks and response measures related to intellectual property rights and the impact of changes in domestic and international policies and laws on the Company.
Strategy	1. **Strategic risk:** Considers the impact of the Company's development direction, products, pricing, technology positioning, and supply chain management on its operations.
	2. **Risks of business ethics:** Examines compliance with legal regulations, environmental and community responsibilities, protection of company data and assets, prevention of bribery, money laundering, and unfair competition.
Finances	1. **Investment risk:** Evaluates the internal and external environment of various investments, their benefits, and investment management.
	2. **Finance and tax risks:** Reviews the impact of changes in financial and tax policies in different regions and international financial situations on company interests and events.
Hazardous Events	1. **Natural disaster risks:** Addresses the prevention and response capabilities for various natural disasters such as typhoons, heavy rain, earthquakes, lightning strikes, fires, explosions, epidemics, and infectious diseases (e.g., COVID-19, SARS, avian flu), high temperatures, and heatwaves.
	2. **Environmental risk:** Considers the long-term impact of natural environmental changes on the Company and the measures taken to address them, including carbon neutrality and climate change.

B. **Risk assessment:**

The subsidiaries of the Company have all implemented the "Risk and Opportunity Management Procedures". Each functional unit identifies the potential risk factors they may face, which can be conducted using methods such as "Failure Mode & Effect Analysis (FMEA)" and "SWOT analysis". Additionally, they may establish their own identification and evaluation criteria to identify and assess different risk projects and risk levels, subsequently implementing appropriate controls. Based on risk assessment, three characteristic indices - "severity," "frequency," and "detectability" - are summarized to express the likelihood and impact of risk occurrence, serving as the basis for prioritizing risk control and selecting response measures.

C. **Risk control:**

- For daily operational risks of each business unit, rolling CAPDCA (Check-Action-Plan-Do-Check-Action) risk control is conducted by each business unit.
- For significant crisis events across departments or plants, risk assessment is conducted across departments or plants. The convener of the Risk Management Executive Group or their designated person is responsible for directing and coordinating, identifying feasible strategies for preventing crisis events, and developing crisis handling procedures and recovery plans based on the crisis event.
- After assessing and summarizing risks, each functional unit monitors business risks under its jurisdiction, proposes appropriate response strategies, and provides Risk Management Executive Group with risk and response measures for review and tracking.

D. **Risk monitoring:**

For the above categories, periodic rolling reviews are conducted to comprehensively record the results of risk management implementation to gauge the effectiveness of risk management plans and related control operations. The Risk Management Working Group is required to submit annual plans and implementation status to the Risk Management Executive Task Force and hold at least two meetings per year to report and explain the implementation results to the Audit and Risk Committee. Internal auditors periodically and irregularly review the implementation of risk management procedures and controls and report to the Board of Directors based on various risk levels.

(5) Implementation of education and training on risk management in 2025

To strengthen the risk management culture, annual risk management-related education and training are implemented, requiring the participation of all employees, including board members. Regular and irregular courses related to internal and external risk management scopes are held each year. These courses are included in the annual performance evaluations for employees and supervisors. The aim is to embed risk awareness into daily operations and life education, effectively enhancing the promotion and execution of risk management activities. In 2025, the Company's education and training on risk management totaled 51,381 hours, the 271 participants included members of the Board of Directors, the Risk Management Executive Task Force, the Risk Management Working Group, and seed trainers, with a total of 5,664 training hours, and seed instructors as follows:

	Training: 0-25 hours	**Training: 26-50 hours**	**Training: 51-100 hours**	**Training: Over 100 hours**
Independent Director	**3 persons**	**0 person**	**0 person**	**0 person**
Responsible personnel	**194 persons**	**46 persons**	**23 persons**	**5 persons**

(6) Awards and Highlights in 2025

- In August 2025, the subsidiary, Avary Holding (Shenzhen) Co., Limited, applied for the inagural term of "Integrity and Compliance Innovation Projects" organized by the Guangzhou Guangdong-Hong Kong-Macao Greater Bay Area Federation for Enterprise Compliance and Anti-Corruption, and was awarded in September of the same year. Passed the initial audit for ISO 37301 Compliance Management Systems certification in August 2025.
- In 2025, the Company held its first in-person Risk Management Master Class. A total of three sessions were held, and senior and middle-level executives and risk management seed instructors from various units were brought together to learn relevant knowledge. These seminars were participated by more than 1,922 persons.

(7) Follow-up on the eight monitoring indicators set in the 2024 audit results: According to the analysis results of the 2024 risk matrix, there are 8 risk items that fall within the set indicator monitoring areas. The status of follow up and implementation in 2025 is as follows:

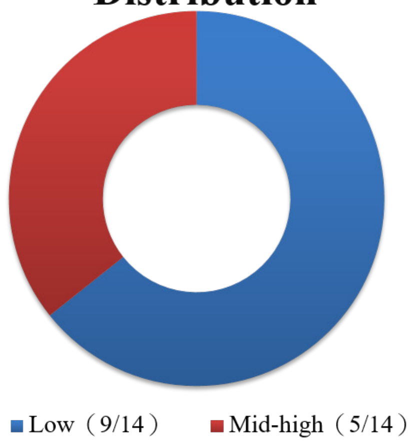
Risk items	Risk factors	Risk management policies	Reporting of set monitoring indicators
Technical data or customer data lost/stolen	Information security risk	Operations	The Company has established an "Information Security Management Policy" and set three key information security management objectives: 1. Information equipment security management; 2. Network and anti-virus management; 3. Employee information and communication security training. The Company has established an Information Security Committee and conducts regular information security audits and inspections. We conduct regular internal and external audits of our information security management system according to ISO 27001 standards every year. Every year, major equipment switching drills and backup data restoration drills are conducted in each campus. In 2025, a total of 75,752 hours of information security training courses were provided to a total of 383,202 people. In order to prevent cyberattacks and collect network postures, an average of 10,817 cyberattacks and 92,732 malicious emails are blocked each month to prevent malicious behavior from causing company losses. Over the past five years, there were no violations of information security related laws and regulations, nor did any information security incident occur. In addition, the Company did not receive any customer complaints as a result of privacy infringement or loss of customer information.
Supplier information security risk management	Supply chain risk	Operations	
Risks related to national policies, import/export, and customs changes	Supply chain risk	Operations	The Company's Operations Department regularly tracks relevant policies of government departments at home and abroad (such as the Customs Tariff Commission of the State Council and the General Administration of Customs in Mainland China), lists the key policy provisions and assesses the impact of the policies on the Company. After the responsible units formulate response strategies, they will conduct internal communication and implementation within the Company from time to time (at least once a year). In 2025, approximately 20 import and export and customs-related policies were internally communicated.
Fire, explosion, chemical injury	Industrial security risk	Operations	The Company has formulated and continuously revised standard operating procedures (SOPs) such as the "Fire Emergency Response Operation Procedures" and the "Chemical Accident Emergency Response Operation Procedures." The Industrial Safety Department is responsible for organizing and establishing a fire emergency response team, as well as in charge of fire training and practice drills of the personnel of each functional group of the fire emergency response team.
Tax policies and expiring tax incentives	Finance and tax risks	Finances	The Company has set up a tax organization that reviews local tax regulations regularly and conducts monthly reviews of tax policies. We have long collaborated with external tax information agencies

Risk items	Risk factors	Risk management policies	Reporting of set monitoring indicators
			to enhance our tax expertise through their professional services. Carefully assess the tax implications of all major transactions and decisions.
Interest rates, exchange rate fluctuations, inflation, etc.	Finance and tax risks	Finances	Closely monitor international and local macroeconomic indicators and policies, and pay attention to changes in interest rates, exchange rates, and inflation to respond accordingly. Conduct financial derivatives business for hedging purposes, including forward foreign exchange contracts, foreign exchange swap transactions and interest rate swaps, as well as structured products based on the preceding financial derivatives, so as to avoid the risks of exchange rate and interest rate fluctuations. At the same time, the Company only transacts with large financial institutions that have legal qualifications in order to avoid potential credit risks that may arise.
Carbon neutral roadmap	Environmental risk	Hazardous Events	The Company actively promotes carbon neutrality goals by steadily reducing carbon emissions through process optimization, self-built solar power generation, purchasing green electricity, and developing energy storage. We will deepen supply chain management and product responsibility, promote green procurement and the application of recycled metals, and work with suppliers and customers to develop low-carbon products and innovative solutions. Rating from the CDP Climate Change Questionnaire has upgradeed to A level. The Company published our first TCFD Report in 2025 and we are committed to achieving a 30% reduction in carbon emissions through green energy by 2030.
Climate change response	Environmental risk	Hazardous Events	

(8) Summary of the 2025 implementation results

2025 Risk Management Overview

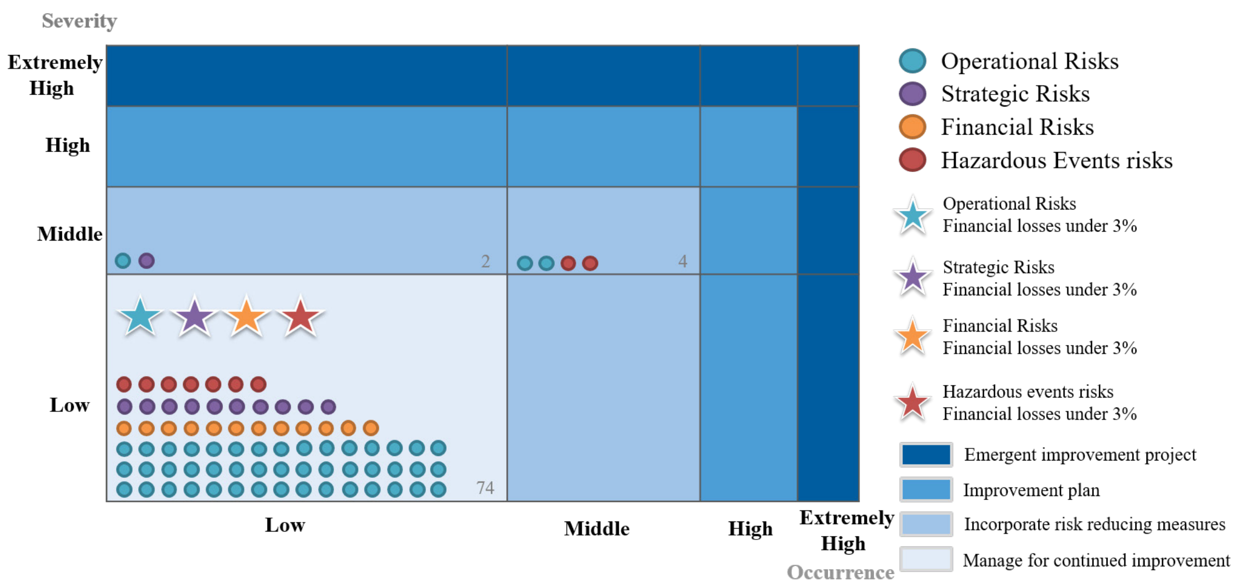
2025 Risk Level Distribution



Risk Pillars	Risks Factors	Risks Level
Operational	Market risks	Low
	Regional risks	Low
	Information security risks	Mid
	Supply chain risks	Mid
	Quality process risks	Low
	Occupational health and safety risks	Mid
	Human resource risks	Low
	Intellectual property risks	Low
Strategic	Strategic risks	Mid
	Business ethics risks	Low
Financial	Investment risks	Low
	Financial and tax regulatory risks	Low
Hazardous Events	Natural disaster risks	Low
	Environmental risks	Mid
Total		80

※The risk distribution ratio and risk level are assessed in combination across three dimensions: severity, frequency, and detectability.

2025 Risk Assessment Matrix



※ The Risk Assessment Matrix is illustrated based on severity and occurrence aspects.

In 2025, the Company conducted risk identification and assessment in accordance with the ISO 31000:2018 Risk Management - Principles and Guidelines, and assessed our overall risk level as low. A risk matrix chart was created based on the assessment of risk occurrence rate and severity (low, medium, high, or very high). Based on the results, four key response measures were formulated, including: (1) immediate improvement projects, (2) submission of improvement plans, (3) setting indicator monitoring, and (4) maintaining rolling supervision. Analysis of the 2025 risk control matrix indicates that most assessed risk items remained under ongoing rolling supervision. Some medium-level risks were assigned to individual business units for monitoring and mitigation to reduce potential impacts. Risk items requiring indicator-based monitoring will continue to be tracked and reported throughout 2026. To further understand the financial impact of each risk item, an estimate of potential financial losses was quantified based on the previous year's revenue. The aggregated results showed that the potential financial loss risk controlled within the Company after checking the four major risk aspects in 2025 was within 3%.

(9) Tracking of emerging risks in the medium to long term in 2025

To achieve the goal of corporate sustainable development, the Company analyzes the impacts and challenges that the Group may face in the course of its operations. We will continue to pay attention to the threats to enterprises posed by changes in the international political and economic situation, as well as the risks brought about by false and fabricated information. According to the Global Risks Report released by the World Economic Forum on January 14, 2026, among the top ten emerging risks in the past two years, the shifting international political and economic landscape poses a significant threat to corporate sustainability. These risks include issues such as international armed conflicts, social polarization, inequality, and involuntary migration. In addition, the risk posed by misinformation and disinformation cannot be ignored. This is defined as the widespread and persistent spread of false information (whether intentional or unintentional), which has a huge impact on public opinion. This leads to the distrust of facts and authority, and involves falsification, impersonation, and manipulation. These risks remind us that we should be more cautious in responding to various challenges in the ever-changing global landscape.

1. Threat of international political and economic situation changes to the Company

Description of risk	Potential impact on the Company	Control the implementation plan	Implementation status
According to the Global Risks Report, the global trade landscape is facing structural adjustments. The United Nations predicts that global trade growth will slow to 2.2% in 2026. Uncertainties surrounding US tariff policies continue to impact global supply chains, and persistently high effective tariff rates have led to a significant increase in cross-border trade costs. The trend for multilateralism is evidently receding, with 68% of respondents expecting the world to present a multipolar or fragmented order over the next decade. The frequency of changes in regional trade barriers and investment regulations is accelerating, further exacerbating market uncertainties. In the high-tech sector, the control over technology in core industries such as semiconductors and artificial intelligence continues to expand, covering not only end products but also key materials, process equipment and algorithms, putting continuous pressure on the global business layout and technological iteration of the technology	The impact of international political and economic situations on the entire chain of the Company's operations is mainly reflected in four dimensions: • **Intensified pressure on the supply chain resilience:** Protectionist policies have led to increased tariff costs and more complicated customs clearance procedures. The restructuring of supply chains resulting from regional trade agreements brings additional migration costs. • **Constraints on market expansion and profit margins:** The slowdown in global trade growth has led to a contraction in end-market demand. Coupled with the full implementation of the global alternative minimum tax (AMT) system, the Company not only faces obstacles in increasing market share in overseas markets, but our profit margin is also negatively affected. • **Increased investment and financing risks:** In a multipolar world order, overseas investment projects face greater policy uncertaint Exchange rate fluctuations and	**1. Building internal resilience:** • Diversify the supply chain to reduce the impact of protectionism, the cost of imports and exports, and enhance supply stability. • Strengthen financial risk management and diversify investments to reduce exchange rate and investment risks, and use financial instruments to hedge against risks. • Optimize global production capacity allocation to improve capacity utilization and market responsiveness. • Regularly convene meetings of the Audit and Risk Committee to review changes in international dynamics and promptly adjust and develop response strategies. **2. Co-building the external ecosystem:** • Achieve a quicker understanding of the changes in the international political and economic situation through cooperation with various stakeholders, further aligning the Company's strategies with the current situation. • Deepen strategic partnership with core customers and suppliers, jointly	**1. Building internal resilience:** • Enhance our competitiveness by increasing industry-academia-research collaborations. In 2025, we partnered with 23 universities and institutions to engage in industry-academia research projects. • Increased investment in in-house R&D of technology has led to 230 new patents being granted in 2025, up 12.3% compared to 2024. • All supply chain screening has followed the "Second Source principle" to avoid over reliance on a single source and prevent supplier disruptions. • In 2025, we held 23 Management Committee meetings and 30 Capital Expenditure Review Committee meetings to regularly review capital expenditures and avoid over-investment. • The global production capacity layout has been further optimized, and the second phase of our Thailand production base has been completed and put into operation. • In striving to achieve digital transition with the philosophy of "using digital intelligence as the

<table>
<tr><th>Description of risk</th><th>Potential impact on the Company</th><th>Control the implementation plan</th><th>Implementation status</th></tr>
<tr><td>manufacturing industry.
These risks, when combined, pose a severe test to the resilience of the global supply chain and make it more difficult for companies to make decisions regarding cross-regional operations, investment planning, and resource allocation.</td><td>rising international financing costs have further increased the difficulty of fund allocation and put financial structures to the test.
• Technological R&D and industrial upgrading face difficulties: Technology controls in the high-tech sector have led to restrictions on the licensing of core technologies and the procurement of key equipment. The fragmentation of global technology standards is putting pressure on industrial upgrade.</td><td>build a risk-resistant supply chain alliance to share policy information, co-develop alternative solutions, and enhance the overall resilience of the industrial chain.</td><td>guiding principle for the purpose of renewal," we established the Zhen Ding Digital Transformation Innovation Accelerator to promote cross-departmental cooperation and innovative thinking, so as to cultivate a new generation of Zhen Ding talents and succession teams.
2. Co-building the external ecosystem:
• Actively seek for political and economic analysis reports, and participate in international political and economic seminars and local industry association roundtables to exchange insights.
• Establish industry-academia alliances with local high schools to develop human resources.</td></tr>
</table>

2. Misinformation and disinformation

<table>
<tr><th>Description of risk</th><th>Potential impact on the Company</th><th>Control the implementation plan</th><th>Implementation status</th></tr>
<tr><td>With the large-scale application of generative AI technology, the risks of misinformation and fabricated information have risen to become a core short-term technological risk globally. The speed of dissemination, scope of impact, and difficulty of identification of misinformation and disinformation have all</td><td>The potential impact of misinformation and fabricated information on companies is mainly reflected in four aspects:
• Damaged brand reputation and market trust: AI-generated misinformation spreads rapidly online, potentially triggering panic among consumers</td><td>1. Strengthen internal control:
• Strengthen employee training in information security and counterfeit detection capabilities, incorporate AI-based fake news identification and phishing email prevention into information security training, and conduct</td><td>1. Strengthen internal control:
• Organize monthly information security meetings to promote information security awareness.
• In 2025, a total of 75,752 hours of information security training courses were provided to a total of 383,202 people. In order to prevent cyberattacks and</td></tr>
</table>

Description of risk	Potential impact on the Company	Control the implementation plan	Implementation status
increased exponentially. Large-scale modeling technology can generate highly realistic multimodal content such as text, images, audio, and video. The general public can hardly distinguish between real and fake content without professional tools. Moreover, its fast generation speed and low production cost have lead to increasingly diversified fraud scenarios, including frequent violations and illegal events such as AI face-swapping fraud, fake product defect videos, and falsification of financial data. Such risks are sudden and contagious. And if not dealt with promptly, they can quickly trigger market panic and a crisis of trust among stakeholders.	and investors, leading to stock price fluctuations. If not addressed promptly, it could result in long-term damage to brand reputation. • **Declining operational efficiency and decision-making quality:** False demand data in the supply chain can lead to erroneous production planning, resulting in overcapacity or shortages. Internal market analysis reports may mislead business decisions and lead to errors in market planning. • **Data security and production security risks:** False data in industrial control systems can lead to product quality problems or even production safety incidents. Employees clicking on AI-generated phishing emails could lead to the leakage of confidential internal data. • **Increased compliance costs and legal risks:** Relevant regulations require companies to bear liability for the content they publish and the conduct of their employees. In case mismanagement leads to failure to fulfill labeling obligations or dissemination of false information, they may face	regular drills to improve employees' ability to identify and respond to highly realistic fake information. • Suspicious emails are filtered through anti-spam mechanisms to keep employees from opening the emails and causing data leak. • Reduce the possibility of information and data leakage by strictly control the use of electronic devices and the Internet. **2. External collaboration and coordination:** • The spokesperson unit establishes a contingency team to respond immediately to false or fabricated information to prevent further deterioration. • The legal department prepares for relevant litigation in advance to reduce the losses and impact caused by false information. • Promote the concepts of ethical management to enhance stakeholders' ability to judge information. • Establish a good reputation and credibility to prevent and reduce the impact of false information on the Company.	collect network postures, an average of 10,817 cyberattacks and 92,732 malicious emails are blocked each month to prevent malicious behavior from causing company losses. • The Company has implemented a public opinion monitoring system, which automatically detects and collects false information about the Company and its subsidiaries, which is then processed by our staff. • Employees' office equipment is strictly controlled, and except for approved standardized equipment, the installation and use of unauthorized software is prohibited. In addition, to enhance employees' awareness of information security, a reward and punishment system has been enacted in the employee handbook. • The Company did not receive reports of misinformation or disinformation incidents in 2025 from the competent authority. **2. External collaboration and coordination:** • We will actively maintain the Company's official website, and release

Description of risk	Potential impact on the Company	Control the implementation plan	Implementation status
	administrative penalties.		news and information disclosures comprehensively and promptly to both enhance the trust from the public and stakeholder in the Company's information and enhance their ability to identify fake information. • A Brand Strategy Division was established to coordinate the Company's social media accounts and to establish a social media information release review mechanism in order to ensure the authenticity and consistency of information announced to the public. • We have off-site backup for both hardware and software, and conduct two disaster relief and backup/restore drills every year to prepare for contingencies. • Courses to promote the concepts of ethical management for stakeholders are held from time to time (at least once every year).

(II) The Impacts of interest rates, exchange rate fluctuation and inflation situation on the Company's profit and loss, and the future response measures:

(1) Impact of changes to interest rate on the Company's profit or loss and response measures:

Over the past year, the monetary policies of major central banks around the world have begun to shift from "coordination" to "differentiation". After initiating rate cuts in 2024, the U.S. Federal Reserve (Fed) adopted a more cautious wait-and-see approach, and did not lower the U.S. Fed Funds Target Rate again until September 2025, bringing total rate cuts for the year to 0.75%. The European Central Bank adopted a series of rate cuts in the first half of last year as part of an accommodative policy stance, but shifted to maintaining unchanged rates in the second half. It has paused rate cuts four consecutive times and maintained base rates at current levels. On the other hand, the Bank of England adopted a continued easing stance, cutting its base rate multiple times during 2025, bringing it to its lowest level in two years. The most significant turning point was when the Bank of Japan announced a 0.25% rate hike last year, bringing an end to its long-standing negative interest rate policy and triggering significant volatility in Yen interest rates. The different monetary policy choices among major economies reflect differences in their current economic growth and inflation conditions, and have also contributed to increased volatility in the overall interest rate market.

The RMB interest rate policy has continued its moderately accommodative and easing trajectory. In May 2025, rate cuts and reserve requirement ratio reductions were announced, along with corresponding adjustments to the one-year and five-year Loan Prime Rates (LPR) to 3.10% and 3.50%, respectively, supporting a steady decline in overall RMB interest rates. Overall, the supply and demand of RMB is stable, and there has been no significant change compared to past policies.

Taiwan’s Central Bank has consistently emphasized a prudent monetary policy, with base interest rates remaining on hold, aiming to balance economic growth with inflation stability. However, it continues to enforce stringent selective credit controls, maintaining a tight regulatory approach toward the real estate market. Driven by strong economic growth supported by Taiwan’s electronics industry and a relatively moderate inflation outlook, the policy stance is comparatively more mildly tightening than that of other major central banks.

Overall, the interest rate environment in 2025 was affected to varying degrees by different countries implementing targeted control policies based on their respective economic conditions and inflation levels.

(a) Impact on the Company's profit/loss:

The Company's net interest income in 2025 amounted to NT$337,288 thousand. The Company has generated positive operating cash inflows due to stable and continuous operational growth. Coupled with the fact that its primary receivable currency is the U.S. dollar and interest rates remain at relatively high levels, this has supported the Company’s overall interest income. However, due to the decline in U.S. dollar and RMB interest rates throughout the year, both interest income and interest expense decreased simultaneously, resulting in a decrease of NT$227,576 thousand in net interest income in 2025 compared to the previous year.

It is anticipated that in 2026, due to escalating international geopolitical conflicts, central banks around the world will maintain a cautious wait-and-see monetary policy approach to respond to the risks. Major international financial institutions predict that the U.S. dollar may delay its interest rate cut schedule and expected magnitude, and the European Central Bank and the Bank of Japan are also expected to keep their base interest rates unchanged. Meanwhile, given the historically stable monetary policies of both China and Taiwan, the overall interest rate market is expected to stabilize. The Company expects to maintain positive operating profitability, and interest rate fluctuations are not anticipated to have a material impact on its operations.

(b) Future response measures:

To meet the long-term funding needs of operational growth for the future, the

Company will continue to raise long-term loans to lock in financing costs in advance to support the continued business growth. We will also use good operating performance and credit to negotiate preferential interest rates with financial institutions to maintain the overall cost of funds.

(2) The effects of exchange rate and inflation on company profits or loss and response measures:

In 2025, impacted by new U.S. tariff protection policies, market concerns over expansionary fiscal policy, and declining U.S. interest rates, the U.S. Dollar Index shifted from its previously strong high to a downward trend. Following the inauguration of the new U.S. president in January last year, the announcement of additional trade tariffs triggered significant global economic impacts and raised concerns about inflation. As the United States gradually renegotiated and entered into new trade agreements with various countries, market concerns over global economic uncertainty have also begun to ease. In the second half of 2025, the policies of tax cuts and increased fiscal deficits of the U.S. have once again triggered market concerns about the stability of the U.S. dollar. Over the entire year, impacted by changes in U.S. policies, the U.S. dollar depreciated against major currencies, resulting in a partial impact on the Company’s profit and loss.

In contrast to the rapid decline of the U.S. Dollar Index, China’s strong export performance provided support. Following the easing of U.S.-China trade tensions after bilateral talks in May last year, the USD/CNY exchange rate moved lower, driving the strong appreciation of the RMB. Particularly in the second half of the year, changes in expectations for U.S. rate cuts led the USD/CNY exchange rate to fall below the 7.00 level by year-end, marking the largest appreciation adjustment in the RMB in the past two years.

According to an IMF report, global inflation has continued to decline, from 5.8% in 2024 to 4.1% in 2025. This indicates that the inflationary pressures previously driven by the pandemic and energy price fluctuations have gradually eased. However, the pace of disinflation varies across countries, with advanced economies moving closer to policy targets, while emerging economies continue to face relatively higher inflationary pressures. Overall, inflation is moderate and controllable, and is on a stable downward trend. However, due to the impact of recent geopolitical events, there may be short-term volatility pressures.

A. Impact on the Company's profit/loss:

The Company's main operating currencies include USD and RMB. Due to the fluctuations of the USD against RMB exchange rate in 2025, there were certain exchange rate impacts. However, the company adopts a focus on the business and a conservative and stable financial policy, and has not engaged in high-risk and high-leverage speculative transactions, and it is expected that significant market risks should not arise.

B. Future response measures:

To evade the risks of exchange rate fluctuations, the Company adopts hedging on the basis of receivable and payable foreign currency positions for its operations in derivative products. We also offset assets and liabilities to reduce exposure and the impact of exchange rate risks.

(III) Policies, main causes of gain or loss and future response measures with respect to high-risk, high-leveraged investments, lending or endorsement guarantees, and derivatives transactions:

The Company has established the "Procedures for Acquisition and Disposal of Assets", "Procedures for Lending to Others", "Procedures for Making Endorsements and Guarantees", and "Procedures for Engaging in Transactions of Derivative Products" as the basis for the Company and its subsidiaries' related actions.

Except for endorsements, guarantees, and loans between the Company and subsidiaries and between subsidiaries, there are no endorsements, guarantees, or loans between the Company and other companies. The aforementioned endorsements, guarantees, and loans have been processed in accordance with related operating procedures and do not affect consolidated profit and loss. The Company has always focused on operations in its main business and does not involve itself in other high-risk industries. We also base our finance policy on the principles of stability and conservatism and we do not engage in high-risk high-leverage investments or transactions. The level of related risks should be considered as limited.

The Company's derivative commodity trading strategy is primarily aimed at reducing the exchange rate risk arising from the appreciation of the Chinese yuan (RMB). The impact on profit and loss is limited, as these activities are solely aimed at hedging based on existing exposure positions. Therefore, any unrealized gains or losses can be offset against foreign currency positions recorded outside the accounts, resulting in no significant impact.

(IV) Future Research and Development (R&D) Plans and the R&D expenses expected to be invested:

Please refer to page 116 of the Annual Report for more information.

(V) The impacts of changes of important domestic and foreign policies and laws on the Company, and the response measures:

The Company is registered in the Cayman Islands ("Cayman") and operates primarily in China, Hong Kong, Thailand, India, the British Virgin Islands ("BVI"), and Taiwan. The Cayman Islands primarily engage in financial services as their main economic activity, while China is currently one of the world's major economies. The Company's business operations are carried out in accordance with important domestic and foreign policies, laws, and regulations. We also pay close attention to important domestic and foreign political development trends changes in laws to quickly respond to changes in the market environment and take appropriate response measures. In recent years, jurisdictions such as the Cayman Islands and the British Virgin Islands have introduced new regulations requiring companies established in these jurisdictions to have genuine economic substance. Despite the Cayman Islands releasing the "Economic Substance Guidance Notes v.2.0" in April 2019 and the British Virgin Islands officially issuing their economic substance regulations on October 9, 2019, companies such as Zhen Ding Technology Holding and FAT Holdings (registered in the Cayman Islands), Montery Park, and Coppertone Enterprises (registered in the BVI) do not conduct substantial economic activities in these jurisdictions. Therefore, the implementation of economic substance requirements is not expected to have a significant impact on the financial operations of these companies. Furthermore, there have been no significant events affecting financial operations due to important policy releases or legal changes in China, Hong Kong, Thailand, India, and Taiwan.

The Company's important customers and suppliers are mostly located in Asia. Due to special political conditions in certain Asian countries such as the divided Korea, special international political relations between Mainland China and Taiwan, and Hong Kong's status as a Special Administrative Region of China, the business operations of the Company's customers and the Company's own business operations may be affected by the political, economic, and legal environment in countries in Asia. In the most recent year and as of the publication date of the Annual Report, the Company's finances and businesses have not been affected by major changes in policies and laws of domestic or foreign governments. Any change in government policies, taxation, economic conditions, or interest rate in any region or any political, diplomatic, or social incident that affects the Company's customer may affect the business operations of the Company.

(VI) Impacts of technological changes (including information security risks) and industry changes on company finances and response measures:

As technical requirements for consumer electronics products continue to increase, the Company pays close attention to market trends and evaluates their impact on the Company's operations. The Company's important customers are mostly leading companies in global consumer electronics products and we maintain close partnerships.

The Company attaches great importance to information and communication security management, and has built a complete governance structure and protection system to effectively prevent financial losses, business interruptions, and compliance penalties caused by security incidents. No related adverse events have occurred in recent years, and the Company's financial operations and operating performance have not been negatively affected.

In terms of organizational governance, the Company has established an Information Security Department, which is coordinated and managed by the Chief Information Security Officer. At the same time, an Information Security Committee has been established, with management executives serving as its members, and the Audit and Risk Committee is responsible for its supervision and guidance. This forms a multi-level information security governance mechanism, thereby ensuring the effective implementation of policies and management measures. At the systematic level, with information confidentiality, integrity, and availability as the core, we have formulated comprehensive management standards, and continued to maintain the ISO 27001 certification. In addition, the Kaohsiung plant has been included in the certification scope in 2025 to further improve the compliance management system.

In terms of technical protection, we deploy systems such as firewalls, intrusion detection, email security, vulnerability scanning, and security monitoring to routinely intercept network attacks and malicious emails and strengthen defense against external threats. At the same time, we have established off-site backup, system restoration, and primary/backup switching mechanisms, and conduct backup drills regularly to ensure system availability and data recoverability, and avoid operational shutdowns due to system interruptions or data damage. The Company conducts internal audits and management reviews annually, and also commissions external experts to conduct penetration tests to continuously review and optimize risk control measures.

In terms of personnel management, we implemented information security training for new employees, conducted social engineering drills and diversified advocacy throughout the Company, established an incident reporting and reward/punishment system, and enhanced the awareness of all employees regarding protection.

In the most recent year and as of the publication date of the Annual Report, the Company's finances and businesses have not been negatively affected by changes in technologies or industries.

(VII) Impact of changes to corporate image on corporate crisis management and response measures:

Holding true to our core values of "Integrity, Responsibility, Innovation, Excellence, and Altruism," we actively strengthen internal management to improve quality and efficiency. We also continue to recruit outstanding talents to serve the Company and cultivate the capabilities of our management team. As of the printing date of the prospectus, there were no need for crisis management resulting from change of corporate image.

In addition, the Company has received multiple environmental recognition awards across various provinces in China, including “Blue Enterprise,” “Green Card Enterprise,” “Green Environmental Protection Demonstration Enterprise,” “Water Conservation Construction Award,” “Green Supply Chain Management Enterprise,” “Advanced Unit in Environmental Protection,” “Green Factory” under Green Manufacturing, and “Water-Saving Enterprise.” The Company has also been awarded an “A” rating by the Carbon Disclosure Project (CDP) for both climate change management and water security management. Through a professional evaluation by the China National Resources Recycling Association, the Company was awarded the “Zero Waste Supply Chain” award and obtained a Scientific and Technological Achievement Evaluation Certificate, further strengthening its corporate image and culture.

As of the publication date of the Annual Report, there were no need for crisis management resulting from change of corporate image.

(VIII) Expected benefits and potential risks of merger and acquisition and response measures: Enhance our independent process capacity and reduce cost in response to product transformation. There are currently no potential risks of mergers or acquisitions.

(IX) The expected benefits and potential risks of capacity expansion and response measures:

(1) Expected benefits: Production began in expanded plants which have contributed to revenue.

(2) Possible risks and response measures: We continue to strengthen and improve the Company's management efficiency, optimize product structure, and maintain competitiveness. We also carefully and rigorously evaluate market supply and demand and future orders to reduce risks and lower the impact of future uncertainties.

(X) Risks associated with over-concentration in purchase or sale and response measures:

(1) Concentrated purchases:

The PCB industry is a mature industry with numerous upstream suppliers and abundant resource supply. The Company has dispersed sources of materials and there is currently no risk of concentrated purchases.

(2) Concentrated sales:

The Company is a professional PCB manufacturer and PCBs are used in a wide range of applications. International brand customers are mainly concerned about the system assembly and manufacturing strategies for PCB supply. Our main customers include large-scale international electronic manufacturing services (EMS), original design/equipment manufacturer (ODM/OEM) designated by brand customers, and assembly plants of brand customers. The Company works closely with brand customers and we also maintain close partnerships with EMS and ODM/OEM manufacturers. However, more than 60% of our current operating revenue derives from designated production and manufacturing by international brand customers.

International brand manufacturers have increasingly outsourced their production to professional contract manufacturers in recent years, so there should be no risk of concentrated sales.

(XI) The impacts and risks arising from a major quantity of shares belonging to directors or shareholders holding greater than a 10 percent stake in the company is transferred or changes hands and the response measures: In the most recent year and as of the publication date of the Annual Report, there was no impact on the Company as a result of change of any major shareholder with more than 10% ownership interest or of large transfer/exchange of equity.

(XII) Impact of change of management rights on the Company, associated risk and response measures: In the most recent year and as of the publication date of the Annual Report, there was not impact of change of management rights on the Company.

(XIII) Results of litigation or non-litigation events with material impact on the interests of shareholders or stock price:

The Company was not involved in litigation or non-litigation events that generated major impacts on shareholder equity or share value in the most recent year as of the publication date of the Annual Report.

(XIV) Other significant matters and response measures: None.

VII. Other Important Issues: None

CHAPTER 7. Corporate Sustainable Development

To uphold its sustainable development philosophy and align with international trends, the Company has actively promoted and strengthened its corporate governance mechanisms for sustainable operations. To achieve its sustainability goals, the Board of Directors approved the “Corporate Sustainable Development Committee Charter” on December 28, 2021, and established the “Sustainability Committee” as the highest-level body overseeing the Group’s sustainable development. To further enhance the functions and responsibilities of the functional committees, on December 26, 2024, the Board of Directors approved the merger of the Nominating Committee with the Sustainability Committee, and duties related to reviewing corporate governance were added. The new name of the committee is the Corporate Governance, Sustainability and Nominating Committee (hereinafter referred to as “the Committee”). For the duties of the Committee and professional qualifications and experience of its members, please refer to pages 41 to 42 of the Annual Report.

A ESG Execution Committee has been established under the Committee, with the Chairman serving as its chair. It is responsible for overseeing the four main execution groups composed of internal senior teams, and works together with the Chief Sustainability Officer to formulate the Company’s sustainability management policies and specific implementation objectives. The “Sustainability Office,” established by the Company on September 1, 2025, is responsible for identifying the sustainability topics to be managed by the four main execution groups, evaluating sustainability performance, disclosing related results, and assisting with the affairs of the quarterly ESG Execution Committee meetings. At least once a year, it reports the annual implementation status to the Committee and the Board of Directors.

The Company has issued a sustainability report every year since 2016. The 2019 report has been issued by PricewaterhouseCoopers, Taiwan and issued after the report to the Board of Directors.

The Company took on the mission of "Technological development for the benefit of mankind; protect the environment and make the Earth a better place" and we have remained committed to building a corporate culture. We also use our core values in the industry to promote activities related to sustainable development and have achieved results in ethical management, environmental energy conservation, employee care, and social participation. We hope to achieve sustainable development while protecting the interests of all stakeholders and become a role model in the PCB industry. Specific results are as follows:

I. Pollution prevention

(I) Wastewater treatment

1. Wastewater from production is categorized into over 20 categories based on the product process and characteristics of pollutants. We collect wastewater for processing or recycling.
2. Based on the characteristics of wastewater, we adopted unique designs that include ten major processing systems with high-efficiency processing equipment, three-dimensional distribution of processing units for multiple phases, and a smart central control system.
3. Each wastewater treatment plant is equipped with a professional water quality laboratory for designated personnel to review the water quality in the wastewater treatment system.
4. Each wastewater effluent outlet is equipped with an online water quality/water volume monitoring device which is linked to environmental protection agencies for comprehensive 24-hour monitoring. A series of protection measures is implemented to ensure 100% compliance with wastewater effluent standards.

(II) Exhaust gas treatment

1. The exhaust gas from all production lines is divided into over 4 categories based on the contents of pollutants for sorting and processing.
2. Regular outsourced inspections ensure emissions concentration to be compliant with legal standards and even far lower than requirements in national standards.

(III) Waste disposal

1. Divided into two major types based on the properties of waste: Hazardous industrial waste and general industrial waste.
2. Waste are sorted and collected at the sources on the production line.
3. Resources are fully recycled to create value. Waste that cannot be recycled is contracted to external licensed professional contractors for processing.

II. Energy conservation and carbon reduction

(I) Energy conservation design in plant building

We studied the local environment and original landform to introduce green building concepts for the entire park based on characteristics of the natural environment.

(II) Adoption of advanced equipment for environmental protection and energy conservation

We use production line equipment provided by the world's top three manufacturers and we prioritize the use of low-energy consumption and low-pollution equipment. We develop various energy-saving and water-saving solutions with manufacturers and strictly monitor and control all resource consumption in regular production.

(III) Certified clean production process

In accordance with environmental regulations and standards issued by the competent authorities in the locations of the Group’s campuses, the Company has formulated management standards for its processes based on the "Guidelines for Clean Production Assessment System for Printed Circuit Board Industry (PCB Manufacturing)" and the "Cleaner Production Promotion Law". The Company implements dual-channel control from the source to the end, effectively promoting clean production. Each factory actively conducts clean production audits. By promoting various clean production initiatives, the

Company not only saves material consumption but also effectively reduces production costs, enhancing its green competitiveness. Proactively undergoing reviews and continuously striving for improvement, the Company has passed clean production audits and obtained certification.

(IV) Carbon emissions inventory and management

The Company has actively inventoried greenhouse gas emissions for multiple years and passed third-party accreditation.

The Company has continuously improved the energy efficiency of equipment to achieve the short-, mid, and long-term carbon reduction targets of the Company. In 2015, the Company's subsidiaries adopted the ISO 50001 Energy Management System for main production's campuses, which have been established and certified for all sites as of 2017. We have implemented systematic optimization for energy management and control and continuously improved energy consumption efficiency to fulfill our responsibilities in energy conservation and carbon reduction and protecting the Earth.

Since 2007, we have periodically conducted annual GHG inventories in accordance with the ISO 14064-1 standard, and obtained third-party verification certificates. The scope of the inventories includes all subsidiaries of the Company. In 2025, the ISO14064-1 GHG external certification attainment rate was 100% for all plants. In 2025, the combined Scope 1 and Scope 2 greenhouse gas emissions from the Company's major production locations was 400,864 tons CO_2e, with a carbon intensity of 2.20 tons CO_2e/million NTD. This represents a 77.5% decrease compared to 2013.In the future, the Company will continue to expand solar power generation, develop renewable energy projects, increase the use of green electricity, and reduce carbon emissions.

(V) Launch of renewable energy projects

To alleviate climate change trends, the Company is actively studying low carbon development strategies and is fully considering the architectural features of the plants. The Company plans to maximize the utility of the outdoor areas, and has installed solar panels on the roofs of buildings and in parking lots.

As of 2025, the Company has a self-built solar power generation capacity of 5.07 MW, with an annual electricity output of 6,237 MWh, resulting in a reduction of approximately 3,340 tons of carbon emissions； Hong Qi Sheng Precision Electronics built a generation capacity of 11.18MW, and the Kaohsiung plant also built a capacity of 1.65MW, reaching an estimated annual power generation of 11,555 MWh. In the future, the Company will continue working towards 100% renewable energy usage. The Company continues to expand its installed solar power capacity and seek additional renewable energy partners, making strategic plans to maximize the use of renewable energy and striving toward the achievement of carbon neutrality.

(VI) Forest conservation and ecological protection

Established a good ecological and environmental system to respond to climate change effects.

In January 2022, the Company voluntarily signed a 3-year cooperation agreement with the Taiwan Forestry Bureau for the "Reforestation Project of Native Tropical Plants and Removal of Invasive Species in the Hengchun Peninsula". The aim is to restore the original tropical plant ecosystem and the rich ecological chain, and to protect the biodiversity of the Hengchun Peninsula. As of December 31, 2025, the Hengchun Peninsula project has completed the removal of invasive river tamarind and planting of approximately 30,000 native trees over an area of approximately 12 hectares. In 2025, the Company continued paying attention and preservation of native tree species. In 2025, at the India Campus, reclaimed water was used for planting approximately 580 trees in compliance with local regulations. The Company collaborated with Chung Hua University on the "Revitalizing Xinpu: Green Symbiosis through Planting Trees of Hope and Lighting Lamps of Happiness" project. As of the end of May 2025, 637 new native trees and shrubs have been planted, promoting local economic activities.

(VII) Environmental Conservation and Energy-saving Month event

Since 2007, the Company has been organizing Environmental Conservation and Energy-saving Month event for 18 consecutive years. This annual event takes place from April 22 (Earth Day) to June 5 (World Environment Day). We collaborate with local government units, primary and secondary schools, and environmental organizations to organize over 209 fun and educational green activities across various parks and regions. Participants include company employees, members of the community, government officials, school organizations, and environmental groups. In 2025, a total of 290 thousand individuals participated in these activities. Through various internal and external awareness activities, we attempt to raise people's environmental awareness and take actions to realize ZDT's unique new green value.

(VIII) Promote energy conservation and carbon reductions to create a carbon asset surplus

The main production sites of the Company have all passed the certification of environmental safety and health related management systems, and the certification rate is 100%.

The certifications include ISO 14001 Environmental Management System, ISO 14064-1 Greenhouse Gas Monitoring, ISO 50001 Energy Management System, and Cleaner Production Audit in China. We also closely follow the trends of international environmental protection development, actively introducing latest international environmental management system standards and obtaining certifications, such as: certification for zero-landfill in waste processing (UL 2799 Zero Waste to Landfill), certification for AWS sustainable water management.

(IX) Environmental safety and health management system certifications of major manufacturing sites

Site (region/legal person) certification/ validation	Taiwan		China						India	Thailand
	Guanyin	Kaohsiung	Shenzhen		Huai'an		Qinhuangdao		Chennai	Prachinburi
	BoardTek	Avary	Avary	Leading	Hong Heng Sheng	Qing Ding	Hong Qi Sheng	Leading	Avary	Peng Shen
Quality Management System (ISO 9001: 2015)	V	V	V	V	V	V	V	V	V	V
Environmental Management System (ISO 14001: 2015)	V	V	V	V	V	V	V	V	V	V
GHG Inventory (ISO 14064-1: 2018)	V	V	V	V	V	V	V	V	V	-
Business Continuity Management System (ISO 22301: 2019)	V	-	V	V	V	V	V	V	-	-
Information Security Management (ISO/IEC 27001: 2013)	-	V	V	V	V	V	V	V	-	-
Risk Management System (ISO 31000: 2018)	V	V	V	V	V	V	V	V	V	V

Site (region/legal person) certification/ validation	Taiwan		China						India	Thailand
	Guanyin	Kaohsiung	Shenzhen		Huai'an		Qinhuangdao		Chennai	Prachinburi
	BoardTek	Avary	Avary	Leading	Hong Heng Sheng	Qing Ding	Hong Qi Sheng	Leading	Avary	Peng Shen
Corporate Compliance Management System (ISO 37301: 2021)	-	-	V	-	-	-	-	-	-	-
Occupational Health and Safety Management System (ISO 45001: 2018)	V	V	V	V	V	V	V	V	V	V
Energy Management System (ISO 50001: 2018)	-	-	V	V	V	V	V	V	-	-
Hazardous Substance Process Management System (QC 080000: 2017)	V	V	V	V	V	V	V	V	-	V
International Standard for Automotive Quality Management Systems (IATF 16949: 2016)	V	-	V	V	V	V	V	V	-	-
Quality Management System for the Telecommunications Industry (TL 9000-H R6.3/R5.7)	V	-	-	-	-	-	V	-	-	-
RBA Validated Audit Process(VAP)	-	-	V	-	V	V	V	-	-	-
Alliance for Water Stewardship (AWS)	-	-	Platinum grade	-	Platinum grade	Platinum grade	Platinum grade	-	-	-
Zero Waste (UL2799 Zero Waste to Landfill)	-	-	Platinum grade	-	Platinum grade	Platinum grade	Platinum grade	-	-	-
Aerospace Quality System (AS 9100)	V	-	-	-	-	-	-	-	-	-
Medical Device Quality Management System (ISO 13485)	-	V	-	-	-	-	-	-	-	-
Intellectual Property Management System (GB/T29490-2023)	-	-	V	V	-	V	V	V	-	-

Note: Leading (Shenzhen Campus) obtained ISO 14067 product carbon footprint certification for a packaging substrate in 2025. As of the end of 2025, the Group has cumulatively obtained eight ISO 14067 product carbon footprint verification statements.

(X) The major plants that have received environmental management system certification are as follows

Manufacturing Sites \ Name of certification / Start and end dates	ISO 14001	ISO 50001	ISO 14064-1
Shenzhen Avary Park	2025.03.09-2028.03.08	2025.11.25-2028.11.24	2025.01.01-2025.12.31
Shenzhen Leading Park	2023.06.09-2026.06.08	2024.04.19-2027.04.18	2025.01.01-2025.12.31
Huai'an Manufacturing Campus I	2023.04.20-2026.05.08	2023.08.02-2026.08.01	2025.01.01-2025.12.31
Huai'an Manufacturing Campus II	2025.03.09-2028.03.08	2023.09.06-2026.09.20	2025.01.01-2025.12.31
Huai'an Manufacturing Campus III	-	2023.09.06-2026.09.20	2025.01.01-2025.12.31
Qinhuangdao Hong Qi Sheng Park	2024.07.31-2027.07.30	2023.12.29-2026.12.28	2025.01.01-2025.12.31

Manufacturing Sites \ Start and end dates \ Name of certification	ISO 14001	ISO 50001	ISO 14064-1
Qinhuangdao Leading Park	2023.07.07-2026.07.06	2024.01.22-2027.01.21	2025.01.01-2025.12.31
Taoyuan Park	2023.08.13-2026.07.26	-	2025.01.01-2025.12.31
Kaohsiung Campus	2024.10.23-2027.10.23	-	2025.01.01-2025.12.31
India Campus	2024.04.10-2027.04.10	-	2025.01.01-2025.12.31
Thailand Campus	2025.10.27-2028.10.26	-	-

III. Recycling

(I) PCB production requires massive amounts of water. Our plants have introduced high-performance wastewater recycling equipment to process wastewater for use based on the requirements of water usage sites. Water is recycled for reuse in production, environmental cleaning, and irrigation. The total amount of water reused in 2025 was 13,218 million liters, resulting in a water reuse rate of 50.6% and an overall plant water reuse rate of 43.1%.

(II) The Company established a waste resource management unit to implement waste sorting and management. We established a dedicated R&D team to develop new resource recycling technologies to increase the value of resources. In 2025, the total weight of waste removed from the sites was 98,697 tons, and the percentage of waste recycled was 93.5%, an 7.6% increase compared to 2024, keeping the 13th consecutive year of achieving the goal of waste recycled rate exceeding 90% annually.

IV. Green Culture

The Company promotes the "Seven Greens" initiative, focusing on seven aspects: green innovation, green procurement, green production, green logistics, green services, green recycling, and green living. This comprehensive approach guides employees to examine and analyze every aspect of their work and daily lives, promoting green practices in energy efficiency, waste reduction, pollution control, and productivity enhancement. Using methodologies such as CAPDCA and brainstorming, we integrate these principles into our daily routines and work processes, gradually instilling a habit among all employees. This creates a unique green corporate culture, fostering intangible assets of immense value.

Our Environmental Conservation and Energy Saving Department's professional management team collaborates with all units to advance various green projects. These projects encompass energy conservation, water conservation, and waste reduction, optimizing processes from production inception to the end of the production line, covering five major categories: energy conservation, water conservation, waste gas management, and waste management. We implemented water conservation and chemical reductions in the manufacturing sites. By implementing detailed source management and introducing new green technologies, we clearly stipulated requirements for responsible management departments and for stipulating KPI requirements that will help the Company to minimize its environmental impact and simultaneously achieve the objectives of energy performance improvement and green recycling. In addition, The Company pays considerable attention to the impact of climate change on its business operations. In addition to taking actions for energy conservation and carbon reduction, we expanded the scope of the following activities to achieve greenhouse gas reduction:

(I) We inventoried the greenhouse gas emissions of our major suppliers, guided them on establishing ISO systems, and increased the depth of suppliers' green management to enhance the Company's green influence.

(II) We have actively participated in the Climate Change and Water Security assessments conducted by the CDP. Through this engagement, we not only learn from leading international enterprises about carbon and water management practices but also disseminate our green development philosophy and performance to the world.

(III) We have implemented the TCFD governance framework and management practices

(IV) while utilizing the SBTi methodology to assess and set carbon reduction targets.

V. Occupational health and safety

The Company is committed to providing a safe and healthy working environment for employees and contractors. We continuously improve occupational health and safety performance by implementing the ISO 45001 Occupational Health and Safety Management System. This system covers 100% of workers, activities, and workplaces. Moreover, all campuses have obtained external certification for ISO 45001:2018, ensuring compliance with regulatory and other requirements for both employees and contractors.

In 2025, the combined total of Safety Committee members across all sites was 357, with employee representatives accounting for 78% (278 people). The Safety Committee fosters a collective awareness of safety management, with senior executives actively participating to demonstrate the Company's commitment to safety. Monthly meetings are held to facilitate the dissemination of safety regulations, review safety incidents, improve safety management, and promote communication among different sites.

The activities and achievements in 2025 are as follows:

Implementation	Major activities	Major achievements
Fire drills and emergency response	Semi-annual fire emergency evacuation drills are conducted in all campuses of the Company	A total of 110 factory-level fire evacuation drills were held throughout the year, enhancing employee awareness and response capabilities in emergencies
Work environment monitoring	• Annual professional third-party assessment of occupational hazard factors • Quarterly internal noise level test	• Results showed that primary physical hazards included noise, high temperature, and X-ray exposure, while chemical hazards included Acid fog, ammonia water, methanol, nitrogen oxide, dust, etc. • Non-compliance with regulatory requirements was addressed through technical and management measures to protect employee safety
Employee health check-ups	Pre-employment, on-the-job, and post-employment occupational health check-ups for employees	A total of 22,856 health check-ups for employees in positions exposed to occupational hazards were conducted during the year.
Channels for Filing Complaints	Established channels for employees to voice concerns regarding unfair treatment	Complaints can be submitted through the control center, WeChat mini-program Ding Ding, suggestion boxes, opinion/complaint boxes and the Chairman/Union/Party mailbox
Prevention of infectious diseases	Enhanced control procedures and measures for infectious diseases	Established an emergency organizational framework for infectious diseases, promoted disease awareness, and stockpiled protective supplies

Implementation	Major activities	Major achievements
Employee education and training	• Quarterly assessments on must-know safety knowledge • Safety Month and Fire Safety Month activities held in June and November, respectively	• In total, 196,416 employees completed the evaluation during the year, for a participation and pass rate of 100% • 24 safety events organized across all China sites throughout the year
Contractor safety training	All contractor personnel required to undergo annual safety training and obtain qualification certificates	Throughout the year, 15,340 construction workers and 3,247 safety officers received safety training and certification upon entry to the premises for contracted work

VI. Employee Care - Zhen Ding's Six Loves

The Company encourages employees to embody the concept of love from within and expand it outwardly through a concentric circle, encompassing "Love Yourself," "Love Family," "Love Colleagues," "Love Company," "Love Life," and "Love the Earth." Our events throughout the year revolved around the "Six Loves" theme so that employees could participate and demonstrate their commitment to the society. Through the "Six Loves" initiative, we promote care for employees and the construction of a harmonious home. Meanwhile, channels such as the monthly magazine "Ding Shen Monthly" and the radio program "Joyful Sounds of ZDT" are utilized to highlight and spread the love exhibited by our employees. This injects a continuous sense of inspiration and encouragement, fostering a strong sense of identification with the Company and enhancing both the inner and outer lives of our employees. It also strengthens their connection to the Company. In 2025, a total of 7,630 "Six Loves" activities were held, with 951,514 participants. Overall, this represents an increase of 351,734 participations compared to the previous year, with growth mainly concentrated in employee welfare activities and care programs. These efforts have effectively enhanced employees' sense of belonging and well-being, demonstrating that the power of love within Zhen Ding continues to grow and expand.

(I) Love Yourself: The Company encourages employees to learn to love themselves and pay attention to their health. We organize relaxing and fun activities that enable employees to relax their body and mind, de-stress, and improve their spiritual wellness. At the same time, a series of professional, technical, and management courses are planned to help employees enhance their skills and substance, elevating their personal charm and style.

In 2025, a total of 26 “Love Yourself” activities were held, including women-focused seminars, the Zhen Ding Cup tug-of-war competition, and a hiking event at the Thailand Campus, totaling 5,387 participants.

(II) Love Family: To create a caring, happy family atmosphere at Zhen Ding, and increase employees' wellbeing and sense of belonging, the Company organized events at all campuses, such as matchmaking events, parent-child trips, family open day, and couple activities, as means of building a platform that surrounds employees with the love of their families, friends, and partners.

In 2025, a total of 18 “Love Family” activities were held, including emergency response knowledge sessions, Family Open Day events, and youth networking activities, totaling 877 participants.

(III) Love Colleagues: The Company provides employees with comprehensive care from visits to production lines, employee seminars, hotline assistance, and birthday celebrations for employees to strengthen positive relations among employees, thank employees for their hard work, and strengthen the establishment of a team culture. The Company encourages interactions and communications between employees to boost team cohesion and solidarity.

In 2025, a total of 3,626 “Love Colleagues” activities were held, including the King Pro e-sports tournament, totaling 541,805 participants.

(IV) Love the Company: The Company provides employees with a stage to realize their personal values in life. We encourage employees to integrate their own growth in the Company's development. The Company's development history and representative buildings enable employees to reap the results of their labor and share the glory of the Company’s success. We organize various reward and incentive activities to inspire employees' passion for their jobs and careers and encourage employees of Zhen Ding.

In 2025, a total of 416 “Love the Company” activities were held, including fun sports events and corporate culture knowledge competitions, totaling 228,556 participants.

(V) Love Life: The Company has built a movie theater, dance and yoga room, gym facility, and other integrated multi-functional cultural venues coupled with a wide range of activities (e.g., gym check-in, amateur club activities, sports competitions, themed parties, pottery, and floral design courses) to satisfy employees' different needs and help them to lead healthier and better lives.

In 2025, a total of 3,508 “Love Life” activities were held, including jump rope competitions, totaling 169,117 participants.

(VI) Love the Earth: The Company organizes events during the Environmental Protection Month, environmental protection education in schools and local communities, resource recycling exhibitions, and green hikes to promote a green corporate culture, fulfill our environmental missions, and make the earth a more beautiful place through our actions.

In 2025, a total of 36 “Love the Earth” activities were held, including environmental knowledge quizzes, eco-innovation workshops, and study tours, totaling 5,772 participants.

VII. Social Engagement - Zhen Ding's Six Assistances

The lyrics of the song "Let the World See" by Zhen Ding include the lines: "We strive for perfection, seek glory, to let the world see; Putting people first, integrity is essential, striving for excellence, leading the way all along." Our corporate spirit is centered around people. Through volunteering, we engage in six main themes: "Help the Elderly," "Help the Weak," "Help the Disabled," "Help Education," "Help the Environment," and "Help Cleanliness." These initiatives aim to convey our corporate culture and express our responsibility to society while actualizing the concept of "benefiting humanity". Guided by this spirit, we adhere to a steady and solid approach. Through the efforts of Zhen Ding employees, we aim to continually improve the environment, society, and the planet. In 2025, a total of 123 "Six Helps" activities were organized, with 21,475 participants and 1,335 volunteers contributing a total of 4,448 hours of service. The total amount invested in social welfare was NT$59,749 thousand.

(I) Help the Elderly: The Company regularly organizes visits to elderly people who live alone. Employees provide volunteer services in retirement homes to improve employees' gratitude and awareness for respecting their elders, and provide the elderly with love and care.

In 2025, a total of 10 elderly care events were organized, including the visits to nursing homes and plaza dance competition, with 1,878 participants.

(II) Help the Weak: The Company sponsors children's homes and provides care to environmental health workers, and lead employees to care for and spend time with disadvantaged groups in society. We organize volunteer service teams and use our actions to implement the volunteer's spirit of "sacrifice, love, helping others, and progress".

In 2025, a total of 9 “Help the Weak” activities were organized, including visits to rehabilitation centers for children with disabilities, outreach activities for sanitation workers, and donations to Yunlang Primary School in Yunnan, totaling 1,169 participants.

(III) Help the Disabled: The Company provides disabled people with jobs to help them become self-reliant and fulfill their own goals. We also regularly visit care facilities to express care and support, further realizing the Company's value of "benefiting people" and fulfilling its social responsibility.

In 2025, a total of 10 “Help the Disabled” activities were organized, including sharing sessions by outstanding people with disabilities, outreach visits to comprehensive service centers for persons with disabilities, and home visits to families of children with disabilities, totaling 458 participants.

(IV) Help Studies: The Company encourages our employees to provide different volunteering services, such as collecting funds to set up a library, donating books and other learning materials to help children to broaden their horizon and expand their knowledge base. At the same time, we have helped to improve the teaching environment and sponsored financially-disadvantaged college students to help them grow and become successful. Zhen Ding has established a long-term support mechanism to enable more underprivileged students with excellent academic performance to complete their education.

In 2025, a total of 10 “Help Education” activities were organized, including intangible cultural heritage programs on campus, visits to underprivileged families, and traditional calligraphy experiences, totaling 570 participants.

(V) Help Transportation: We promote transportation safety and increase pedestrians' awareness of traffic laws to construct a civilized and orderly transportation environment. We encourage compliance with traffic laws and civilized driving. We provide citizens and environment sanitation workers with drinking water and we distribute environmentally friendly bags to fulfill our low-carbon environmental protection ideals and show how much the Company cares.

In 2025, a total of 6 “Help Transportation” activities were organized, including the annual “Ten Thousand Steps Charity Walk,” totaling 6,476 participations.

(VI) Help Cleanliness: We take action to demonstrate the importance of environmental health and protect the health of the environment around our manufacturing sites, in order to foster environmental awareness in employees. Volunteers spend their rest time cleaning beaches and parks, transforming their care for the environment into actions in their daily lives, and putting into practice the concept of loving the earth.

In 2025, a total of 78 “Help Cleanliness” activities were organized, including cleanliness education courses, cleanliness quizzes, and project evaluation activities, totaling 10,924 participants.

VIII. Talent Education and Development

The Company supports education with the hope of providing students with learning resources and practical opportunities through sponsorship or industry-academia cooperation. By addressing disparities in educational resources and promoting the growth of young talent, Zhen Ding aims to develop the professional skills and qualities of young people and contribute to the long-term development of both the company and society by creating a talent reserve. Through a dual approach of public welfare education and industry-academia cooperation, Zhen Ding is establishing a new mutually beneficial model for talent development.

(I) Public Welfare for Supporting Education

1. Sponsoring the construction of financially-disadvantaged elementary schools and caring for elementary students:

   For many years, the Company has regularly donated to elementary schools in disadvantaged and rural areas, helping schools ensure they have the equipment they need. We organized school opening talks, provided school opening gift packages and Chinese New Year gifts, donated chairs, tables, books, and winter suppliers, and established reading corners in underprivileged schools. At the same time, classes on traffic safety and green campus activities were held for the students, and interactive games were used to help them broaden their horizons. Volunteers regularly visited the families of disadvantaged students in mountainous areas to care for the growth environment for students and inspiring them to focus on their studies. As of 2025, the Company has helped 36 elementary schools, benefiting more than 28 thousand elementary school students.

2. Respond to the high school and vocational talent development plan:

   Starting from 2021, the Company has partnered with the Department of Education of Taoyuan City Government to support the technical and vocational talent cultivation program. We have established a student scholarship program with the Department of Education to reward outstanding students who are registered in Taoyuan City. In 2025, a total of 587 students received scholarships, including technical and vocational scholarships, assistance scholarships, and exceptional performance awards. The total amount awarded was NT$6.18 million. It was the fifth year of the scholarship program, with the total scholarships awarded amounting to NT$29.12 million, benefiting excellent high school and vocational students in Taoyuan City.

3. Sponsoring financially-disadvantaged university students with outstanding academic performance:

   For many years, the Company has provided financial aid to academically excellent and financially disadvantaged students to complete their four-year university education. The Company also regularly interacts with these students to show our care and concern for their growth and learning progress. We have sponsored disadvantaged students in 17 schools and 2 regions (Ziyang, Shaanxi and Daliangshan, Sichuan). From 2019 to 2025, a total of 705 students were sponsored, including 246 students in 2025.

(II) Industry-Academia Cooperation

"Talent" is the basis for competitiveness. To promote industry-academic cooperation and make use of schools' existing resources, the Company encourages young learners to focus on relevant academic research and technological innovation. In 2025, a total of 19 industry-academia collaborative technology development projects were carried out in partnership with 23 universities. Cumulative expenditures totaled NT$31.01 million for the year. From 2015 to 2025, the total investment in industry-academia research projects amounted to NT$195.66 million.

1. Establishing the Elite Training Scholarship:

   To encourage young students to focus on academic research and technological innovation, no new master’s students were admitted in 2025. From 2015 to 2025, support was given to a total of 36 people, with cumulative scholarships and grants disbursed amounting to NT$11.31 million to date.

2. Established the LINK Industry-Academia Empowerment Scholarship with the Department of Economic Development of Taoyuan City Government:

In 2025, in collaboration with the Taoyuan City Government Department of Economic Development, the Company participated in the “Taoyuan LINK Industry-Academia Talent Development Platform Scholarship” program to provide scholarships for local students, enabling them to focus on their studies and transition seamlessly into employment with the Company after graduation. A total of 19 students were admitted across two cohorts. The program is planned to expand to universities and colleges in southern Taiwan in 2026.

3. Zhen Ding Tech. - National Tsing Hua University Joint Research Center (established in July 2020; five-year plan)

   Focusing on "PCB Smart Manufacturing and Advanced Process Technology Research and Development", Zhen Ding integrates relevant research resources to concentrate on the development of cutting-edge technologies such as smart manufacturing, advanced processes, and advanced materials, as well as interdisciplinary applied research with commercial potential.

4. Zhen Ding Tech. Group and YZU Joint Research and Development Center for Big Data (established in April 2021; five-year plan)

   The aim is to enhance Taiwan's overall PCB manufacturing technology development and talent cultivation advantages, and encourage Taiwan's PCB industry to move towards a higher level of smart manufacturing. At the same time, we aim to cultivate engineers with research capabilities in big data computing and artificial intelligence systems. By jointly executing the projects, the company closely integrates the expertise of YZU professors with the Company's industry experience, achieving the goal of applying learned knowledge directly to practical use, thereby unifying learning and application.

5. Two-way exchange of talents between industry and academia

   In 2025, we invited six academic experts to deliver a series of 27 lectures, benefiting 3,203 employees. These sessions enhanced the practical application of academic theory. At the same time, we encouraged outstanding internal talents to share their industry experience at universities, promoting exchange between industry practice and academic theory. A total of eight universities participated, with 28 sessions conducted, benefiting 1,083 university students.

6. Signed Memoranda of Understanding with Thai higher education institutions to promote talent and technology exchange

   In 2025, we signed Memoranda of Understanding (MOUs) with Prachinburi Technical College, Asian Institute of Technology (AIT), and Chiang Rai Rajabhat University to establish long-term industry-academia collaboration mechanisms. The collaboration focuses on three key areas: talent development, technological cooperation, and industry-academia connections. Through internships, scholarships, and joint research projects, it aims to cultivate local engineering and management talent, advance key technologies such as AI, smart manufacturing, and green materials, and build a highly resilient and sustainable PCB and semiconductor ecosystem.

IX. Community Support and Care

As a member of society, the Company has the responsibility and obligation to help disadvantaged groups in the community, improve their living conditions, and enhance the overall well-being of the community. Giving back to society by participating in community assistance creates social recognition and trust, improving the business environment where the company is located and attracting more investors and business partners. Serving the community also provides employees with a sense of belonging and pride, enhancing their job satisfaction and loyalty to the company.

At the same time, participating in community assistance can also provide employees with more learning and development opportunities, improving their personal abilities.

The Company supports and cares for the community through the following activities, and uses this as a form of public welfare.

(I) Community sponsorship projects:

Various projects in the community are supported through material and cash donations, such as comforting impoverished elderly (Help the Elderly), orphanages, impoverished households (Help the Weak), and caring for mentally and physically challenged individuals in care facilities (Help the Disabled), aimed at improving the quality of life for community residents.

(II) Provide volunteers:

Employees are sent to provide volunteer services to the community, such as providing daily care for the elderly, providing assistance to disadvantaged families, and providing teaching support to schools.

(III) Organize community learning activities:

Various community environmental protection, traffic safety, and health education activities have been organized to enhance the knowledge and awareness of community residents.

(IV) My Piece of Land:

Recognizing the importance of environmental conservation and sustainable operation, the Company is committed to continuous improvement in environmental protection efforts, striving to uphold natural ecology and establish itself as a green enterprise model. For the 14th year, the Group continues to promote rice adoption, supporting over 20 hectares of eco-friendly rice paddies and watching over the cultivation of 53,000 kilograms of rice with local farmers. The adopted rice paddies are cultivated using non-toxic farming methods, known as "natural farming", and the resulting non-toxic rice does not cause soil or environmental pollution, contributing to a healthier ecology. In 2025, we continued to cooperate with local rice farmers in Daxi and further expanded the initiative to the Baihe area of Tainan. We established contracted farming relationships with local small farmers and combined resources from the north and south to support local environmentally friendly farming. Through the “My Piece of Land” volunteer day activity, we encourage employees and their spouse to contribute to Taiwan with concrete actions. We aim to realize our sustainable commitment to local farming and social good. Furthermore, the Company also donates a portion of the rice harvested to charity organizations in need to fulfill our social responsibilities.

(V) Walk for Health - Tree Planting Walk:

In order to implement ESG to create a healthy workplace and contribute to environmental protection, employees have been encouraged to exchange their walking step count for tree planting points since 2024. After accumulating enough tree planting points, they will be able to adopt trees that the Kaohsiung City Tree Planting Association will plant and nurture. The initiative allows employees to improve their health by walking, while reducing their carbon emissions to protect the environment. In 2025, a total of 479 employees participated, reducing carbon emissions by 42,622.9 kg, planting 27 trees, and accumulating 300,161,436 steps, which is equivalent to circling Taiwan 217 and a half times.

(VI) Zhen Ding for Farmers Project:

Through the ESG Promotion - Zhen Ding for Farmers Project, we purchased over 70,000 Meizhou pomelos to support the concept of helping and benefiting farmers. The project helped address local farmers’ sales challenges, effectively increased their income, and strengthened the livelihood security of farmers and their families. This project showcases the vitality of local specialty agriculture, actively promotes rural economic development, and demonstrates the Company's commitment to ESG social responsibility through concrete actions.

X. Strategic Partners

The Company has always been happy to share our experience with strategic partners and learn from each other in research and innovation. We prosper with suppliers, professional institutions, and other strategic partners and share the results of our work. The Company firmly believes that business management is not a zero-sum game but it is about coexistence and joint prosperity with strategic partners. We hope to form alliances with strategic partners to jointly innovate and develop core technologies (new products, new technologies, new equipment, new materials and new processes) and share the results. The Company also hopes that our high-quality circuit boards can be widely adopted in products of end-customers for the benefit of consumers and society. This constitutes the fulfillment of "Technological development for the benefit of mankind" (one of the Company's missions).

XI. Identity of Stakeholders, Issues of Concern, and Communication Channels

The Company identifies and discusses stakeholder groups closely related to its operations in economic, environmental, and social aspects through work meetings of the Sustainability Executive Committee. We have identified six major stakeholder groups for the Company based on dependency, responsibility, influence, diverse perspectives, focus, and the Company's actual operations: Employees, customers, suppliers, investors, competent authorities, and society.

The Company identified and confirmed 21 sustainability topics of concern to stakeholders through the following four steps:

(I) Collecting related sustainable topics

With the assistance of external experts and following discussions internally, we followed global sustainability standards and guidelines (GRI guidelines, RBA, SDGs, SASB, TCFD, UN Global Compact) and took into consideration sustainability assessment organizations (CDP, Global S&P Corporate Sustainability Assessment (CSA), MSCI, Corporate Governance Assessment), industry characteristics, and practices of benchmark enterprises. We also collected and included stakeholder expectations based on the external stakeholder level of concern questionnaire previously distributed. Ultimately, based on the Company's overall operating environment and risk-related development strategies, a total of 21 sustainability topics were identified across the four key aspects of governance, environment, society, and products.

(II) Evaluating the dual materiality of sustainability topics

Based on the requirements of GRI 3: Material Topics 2021 under the GRI Standards, Zhen Ding conducts evaluations from two perspectives. Firstly, we consider whether the Company's operations will have significant actual or potential positive or negative impacts (impact materiality) on the environment, economy, or society (including human rights) from an inside-out perspective. Secondly, from an outside-in perspective, we assess whether there are opportunities and risks in society and the environment that could have significant actual or potential material financial impacts on Zhen Ding (the potential impact of short-, mid-, and long-term sustainability topics on cost, revenue, and residual risk level). This approach enables us to assess the scale and likelihood of both positive and negative impacts of sustainability topics.

(III) Rank Material Topics in Order of Priority and Confirm Material Topics

In collaboration with external experts, the Company reviewed and analyzed the impact of each topic on both the Company and its stakeholders, with relevant departments confirming their completeness. In addition to introducing “Chemical Safety Management,” “Tax Governance” was incorporated into “Regulatory Compliance”; “Sustainable Supply Chain Management” and “Supplier Sustainability Management” were merged into “Sustainable Supply Chain Management”; “Green Products,” “Intellectual Property Management,” and “Innovation and R&D” were combined into “Green Product and Innovation Management”; and “Climate Action” and “Energy Management” were integrated into “Climate and Energy.” In terms of talent development, in response to our global deployment, the development and cultivation of international talent will be a key focus. Accordingly, the original topic of “Employee Diversity and Equal Opportunity” has been revised to “Diversity and Inclusion” and elevated from a general topic to a material topic. Upon confirmation, 14 material topics and 7 general topics were identified. Further assessment was conducted to determine the impact scope, boundaries, and collection periods for each material topic, with a focus on presenting relevant information and performance.

(IV) Inspection and review

The ESG Execution Committee meets regularly to review and audit the company's economic, social and environmental sustainability plans and performance to ensure that the information is not inappropriately or improperly presented. The Committee reports annually to the Board of Directors to confirm the communication with stakeholders. The materiality assessment results are approved by the Chairman. In addition to understanding the company’s progress in sustainable management, any deficiencies are also reviewed and included in the company’s annual management goals, in order to formulate management strategies for each department.

Complaint channel for the stakeholders of the Company:

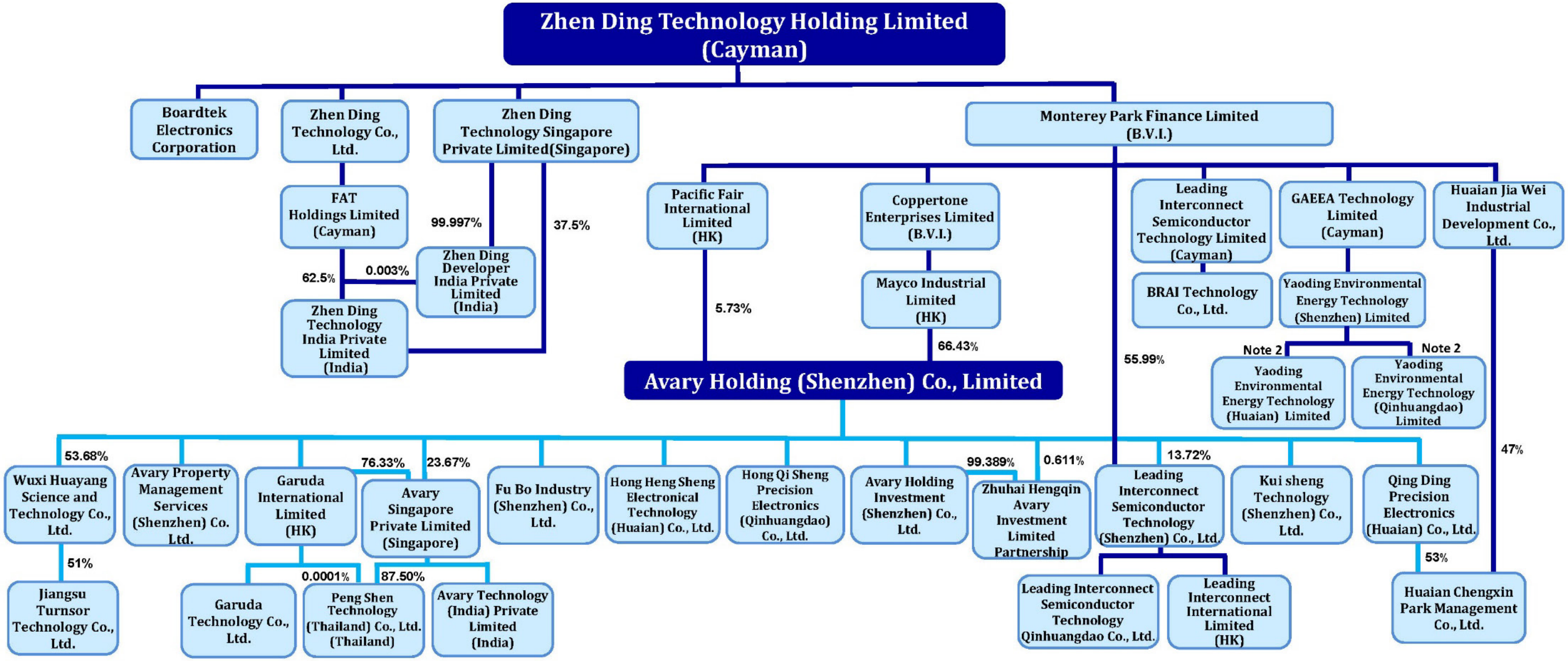
Stakeholder	Contact Person	
Competent authority	Manager Huang	Email: zdt@zdtco.com
Investor	Manager Ling's	Email: zdt-ir@zdtco.com
Suppliers	Manager Liu's	Email: zdt@zdtco.com
Society	Manager Lee's	Email: zdt-hr@zdtco.com
Customer	Deputy Manager Lee's	Email: zdt@zdtco.com
Employees	Manager Lee's	Email: zdt-hr@zdtco.com

CHAPTER 8. SPECIAL NOTES

I. Information on Affiliates

(I) Consolidated business report of affiliates

1. Organization structure of affiliated companies — Reference date: 2025.12.31



Note 1： Unless otherwise specified, the holding structure is 100% owned.
Note 2： It is still in the preparatory stage and no actual funds have been invested.

2. Basic information of the various affiliated enterprises

December 31, 2025

Name of affiliated companies	Date of establishment	Address	Capital	Principal business or core products
Zhen Ding Technology Co., Ltd.	1978.09.02	No.6, Lane 28, Sanho Road, Sanshi Village, Dayuan District, Taoyuan City, Taiwan, R.O.C.	NT$125,488 thousand	Design, development, and sales of electronics products
Garuda Technology Co., Ltd.	2016.12.28	8F, No. 8, Baoqiang Road, Xindian District, New Taipei City, Taiwan	NT$ 4,525,000 thousand	Sales of PCB products
Boardtek Electronics Corporation	1987.06.08	No. 16, Jingjian 1st Road, Guanyin Industrial Park, Guanyin District, Taoyuan City, Taiwan	NT$2,159,185 thousand	Design, development, manufacturing, and sales of PCB products
BRAI Technology Co., Ltd.	2025.03.31	No.6, Lane 28, Sanho Road, Sanshi Village, Dayuan District, Taoyuan City, Taiwan, R.O.C.	NT$ 2,000,000 thousand	Design, development, manufacturing, and sales of PCB products
Monterey Park Finance Limited	1998.10.22	Vistra Corporate Services Centre, Wickhams Cay II, Road Town, Tortola, VG1110, British Virgin Islands	US$976,250 thousand	Investment holding
Coppertone Enterprises Limited	1998.12.28	Vistra Corporate Services Centre, Wickhams Cay II, Road Town, Tortola, VG1110, British Virgin Islands	US$102,786 thousand	Investment holding
FAT Holdings Limited	1999.03.01	P.O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1 - 1205, Cayman Islands	US$5 thousand	Investment holding
Pacific Fair International Limited	2007.11.23	Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong	HK$2,133,300 thousand	Investment holding
Mayco Industrial Limited	2007.11.14	Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong	HK$9,321,842 thousand	Investment holding
Leading Interconnect International Limited	2016.07.06	Suite 1222, 12/F., Leighton Centre, 77 Leighton Road, Causeway Bay, Hong Kong	HK$1	Sales of electronics products
Garuda International Limited	2016.08.30	Unit B,26/F.,CKK Commercial Centre,289 Hennessy Road, WanChai, Hong Kong	HK$460,200 thousand	Sales of PCB products
Avary Singapore Private Limited	2019.03.18	9 Raffles Place, #26-01, Republic Plaza, Singapore (048619)	US$270,990 thousand	Holding company

Name of affiliated companies	Date of establishment	Address	Capital	Principal business or core products
Zhen Ding Technology Singapore Private Limited	2020.09.30	9 Raffles Place, #26-01, Republic Plaza,Singapore (048619)	US$30,000 thousand	Holding company
Avary Technology (India) Private Limited	2019.06.17	No.28, Padur Road, Kuthambakkam Village, Poonamalle Taluk, Thiruvallur District, Tamil Nadu 600124, India	INR 4,576,465 thousand	Design, development, manufacturing, and sales of PCB products
Zhen Ding Technology India Private Limited	2021.02.08	Unit No.01, 3rd Floor, No.27 Kamaraj Colony, 3rd Street, Kodambakkam, Chennai, TN 600024, India	INR 100 thousand	Design, development, manufacturing, and sales of PCB products
Zhen Ding Developer India Private Limited	2021.02.25	Unit No.02, 3rd Floor, No.27 Kamaraj Colony, 3rd Street, Kodambakkam, Chennai, TN 600024, India	INR 2,100,100 thousand	Leasing company
Peng Shen Technology (Thailand) Co.,Ltd.	2023.09.15	288 Moo 5, Nonsi Sub-district, Kabin Buri District, Prachin Buri Province 25110, Thailand	TH$8,000,000 thousand	Design, development, manufacturing, and sales of PCB products
Leading Interconnect Semiconductor Technology Limited	2024.09.24	P. O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1 - 1205 Cayman Islands	US$61,240 thousand	Investment holding
GAEEA Technology Limited	2025.03.06	P. O. Box 31119 Grand Pavilion, Hibiscus Way, 802 West Bay Road, Grand Cayman, KY1 - 1205 Cayman Islands	US$2,200 thousand	Environmental protection and energy conservation services
Avary Holding (Shenzhen) Co., Limited	1999.04.29	27F, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province	RMB 2,318,051 thousand	Design, development, manufacturing, and sales of PCB products
Fu Bo Industry (Shenzhen) Co., Ltd.	1998.08.03	Room 003, 2F, Building A16, AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China	RMB 110,070 thousand	Leasing of owned property
Kui Sheng Technology (Shenzhen) Co., Ltd.	2017.03.28	AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China	RMB 20,000 thousand	Design, development, manufacturing, and sales of PCB products
Avary Holding Investment (Shenzhen) Co., Ltd.	2020.01.19	Office 501, AVARY Park, Songluo Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China	RMB 622,056 thousand	Investing in production businesses, project investments, corporate management consulting, and economic

Name of affiliated companies	Date of establishment	Address	Capital	Principal business or core products
				information consulting services (excluding recruitment agency services, insurance, securities, financial business, and other restricted items)
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	2019.08.26	SL11, No. 8, Langdong Road, Yanchuan Community, Yanluo Subdistrict, Bao'an District, Shenzhen, Guangdong Province, China	US$110,131 thousand	General Business Scope: Sales of self-manufactured products and proved related technological and after-sales services, lease of owned properties, wholesale of electronic products, import and export of electronic products and related services. Approved Business Scope: Research, development, and production of IC packaging substrate, materials for IC only, system-level packaging substrate, and solder ball bump.
Avary Property Management Service (Shenzhen) Co., Ltd.	2021.12.20	1F, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province	RMB 5,000 thousand	Property management. Parking lot services; Consolidate business entity management services; Corporate image planning; Etiquette services; Conference and exhibition services; Building cleaning services; Hotel management; Domestic trade agency; Park greenification construction; City greenification management.
Yaoding Environmental Energy Technology (Shenzhen) Limited	2024.09.19	604, Building A, Pengding Age Building, No. 2038, Haixiu Rd., Haibing Community, Xin'an Subdistrict, Bao'an District, Shenzhen, Guangdong Province	RMB 14,000 thousand	Water pollution control and environmental consulting services

Name of affiliated companies	Date of establishment	Address	Capital	Principal business or core products
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	2006.12.06	No.168, Fushikang Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China (within the Comprehensive Bonded Zone)	RMB 1,926,487 thousand	Design, development, manufacturing, and sales of PCB products
Qing Ding Precision Electronics (Huaian) Co., Ltd.	2014.06.23	No. 8, Pengding Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China	RMB 3,401,522 thousand	Design, development, manufacturing, and sales of PCB products
Huaian Jia Wei Industrial Development Co., Ltd.	2018.07.05	Room A306, Building 2, No. 111, Yingbin Avenue, Huai'an Economic and Technological Development Zone, Jiangsu Province, China	US$28,000 thousand	Manufacturing and sales of building materials, furniture, and hardware tools; Sales of decorative materials; Business information consulting; Food and beverage management; Food and beverage services
Huaian ChengXin Park Management Co., Ltd.	2024.09.14	No. 8, Pengding Road, Huai'an Economic and Technological Development Zone, Jiangsu Province, China	RMB 285,000 thousand	Approved items: Real estate development and management. Accommodations services. Food and beverage services General items: Campus management services. Property management. Food and beverage management
Yaoding Environmental Energy Technology (Huaian) Limited	2024.12.12	No. 5, Kaixiang Rd., Nanmachang St., Huai'an Economic and Technological Development Zone, Jiangsu Province, China	-	Hazardous waste management and water pollution control
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	2007.01.25	No.18, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Hebei Province, China	RMB 2,338,456 thousand	Design, development, manufacturing, and sales of PCB products
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	2021.03.29	No.18-8, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Hebei, China	RMB 500,000 thousand	The technological development, technical services, manufacturing, and sales of integrated circuit materials, systems in package, redistribution layer materials, ball grid array substrates and

Name of affiliated companies	Date of establishment	Address	Capital	Principal business or core products
				materials, real-time programmable grid array substrates and materials, chip scale package substrates and materials, multi-chip component substrates and materials, integrated circuit package substrates, embedded component substrates and materials, solder bump substrates, and new electronic components and equipment; Leasing of owned housing; Wholesale of electronics products; Import/export of cargo and technology.
Yaoding Environmental Energy Technology (Qinhuangdao) Limited	2024.12.17	Room 202, Building QA11, No.18, Tengfei Road, Qinhuangdao Economic and Technological Development Zone, Qinhuangdao, Hebei Province, China	-	Water pollution control and environmental consulting services
Zhuhai Hengqin Avary Investment Limited Partnership	2020.11.10	Room 105, No. 6, Baohua Road, Hengqin New District, Zhuhai	RMB 16,417 thousand	General items: Technology intermediary services. Engage in investment activities with self-owned funds. Information consulting services (excluding licensed information consulting services)
Wuxi Huayang Science and Technology Co., Ltd.	2002.10.31	No. 089, Area C, Wuxi Yangming High & New Technology Industrial park,Wuxi,Jiangsu, China	RMB 52,350 thousand	Research, development, production, and sales of automotive parts and integrated circuits
Jiangsu Turnsor Technology Co., Ltd.	2023.09.14	No. 128 Liangdong Road, Yangming Street, Liangxi District, Wuxi City, Jiangsu, China	RMB 16,000 thousand	Production and sales of electronic components

3. Information of common shareholders who are presumed to have controlling and subordinate relationship: None.
4. Status of operation for various affiliated companies:

December 31, 2025; Unit: various currencies

Name of affiliated companies	Currency	Capital	Total assets	Total liabilities	Net worth	Operating revenue	Operating income	Current profit and loss	Earnings per share
Zhen Ding Technology Co., Ltd.	NTD	125,488,000	2,750,357,163	590,259,042	2,160,098,121	285,780,346	169,300,447	215,564,586	17.17
Garuda Technology Co., Ltd.	NTD	4,525,000,000	17,496,759,320	15,093,858,312	2,402,901,008	9,990,234,161	(1,205,453,230)	(1,727,272,992)	(3.00)
Boardtek Electronics Corporation	NTD	2,159,184,530	4,213,971,156	5,506,707,393	(1,292,736,237)	1,752,041,370	(1,217,913,527)	(1,844,281,209)	(8.23)
BRAI Technology Co., Ltd.	NTD	2,000,000,000	3,747,312,831	1,994,942,523	1,752,370,308	117,843	(240,395,242)	(349,472,603)	(1.24)
Monterey Park Finance Limited	USD	976,250,000	4,169,793,774	131,437	4,169,662,337	-	(25,314)	315,484,509	0.32
Coppertone Enterprises Limited	USD	102,785,806	3,484,005,922	-	3,484,005,922	-	(4,845)	327,276,715	3.18
FAT Holdings Limited	USD	5,000	4,289,191	-	4,289,191	-	(24,505)	93,956	18.79
Pacific Fair International Limited	USD	273,500,000	566,891,575	2,442,943	564,448,632	-	(4,684)	28,895,129	-
Mayco Industrial Limited	USD	1,195,107,940	3,495,742,785	11,775,781	3,483,967,003	-	(6,022)	327,281,555	-
Leading Interconnect International Limited	USD	0.13	(1,735,112)	3,063,949	(4,799,061)	-	(17,571)	1,513,596	-
Garuda International Limited	USD	59,000,000	1,635,816,454	1,425,997,023	209,819,431	5,605,230,485	32,257,774	(19,935,918)	-
Avary Singapore Private Limited	USD	270,989,537	148,509,345	-	148,509,345	-	(16,172)	(57,719,150)	-
Zhen Ding Technology Singapore Private Limited	USD	30,000,000	31,685,854	-	31,685,854	-	(5,852)	3,183,405	-
Avary Technology (India) Private Limited	INR	4,576,465,100	4,731,377,708	8,789,424,782	(4,058,047,075)	1,375,946,077	(1,140,758,823)	(1,837,615,038)	-
Zhen Ding Technology India Private Limited	INR	100,000	-	1,553,235	(1,553,235)	-	(74,900)	(74,900)	-
Zhen Ding Developer India Private Limited	INR	2,100,100,000	2,222,853,431	50,006,132	2,172,847,299	-	(6,202,454)	65,952,188	-
Peng Shen Technology (Thailand) Co.,Ltd.	THB	8,000,000,000	10,617,024,881	3,878,254,747	6,738,770,134	35,480,140	(1,145,021,310)	(1,189,698,072)	(14.87)
Leading Interconnect Semiconductor Technology Limited	USD	61,240,359	56,121,251	-	56,121,251	-	(15)	(8,186,654)	-
GAEEA Technology Limited	USD	2,200,000	3,332,546	-	3,332,546	-	-	1,106,739	-
Avary Holding (Shenzhen) Co., Limited	RMB	2,318,051,016	38,452,387,555	4,457,310,422	33,995,077,133	17,201,009,974	1,095,028,172	3,737,306,864	-
Fu Bo Industry (Shenzhen) Co., Ltd.	RMB	110,069,974	162,599,003	1,415,676	161,183,326	-	(16,152,890)	8,308,830	-

Name of affiliated companies	Currency	Capital	Total assets	Total liabilities	Net worth	Operating revenue	Operating income	Current profit and loss	Earnings per share
Kui Sheng Technology (Shenzhen) Co., Ltd.	RMB	20,000,000	113,673,841	60,131,286	53,542,554	271,603,070	3,366,350	3,753,896	-
Avary Holding Investment (Shenzhen) Co., Ltd.	RMB	622,056,000	844,620,103	51,553,194	793,066,909	-	(49,833)	13,817,598	-
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	RMB	737,655,639	6,364,024,118	5,238,265,483	1,125,758,635	988,509,444	(187,880,586)	(399,256,568)	-
Avary Property Management Service (Shenzhen) Co., Ltd.	RMB	5,000,000	10,323,690	4,060,876	6,262,814	-	(19,213,549)	(840,683)	-
Yaoding Environmental Energy Technology (Shenzhen) Limited	RMB	14,000,000	42,894,671	20,918,047	21,976,624	26,592,397	4,029,571	7,976,624	-
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	RMB	1,926,487,130	2,657,073,944	1,399,489,075	1,257,584,869	1,985,637,520	182,954,102	155,387,410	-
Qing Ding Precision Electronics (Huaian) Co., Ltd.	RMB	3,401,522,136	13,023,422,518	3,794,305,972	9,229,116,546	14,022,051,402	1,451,701,876	1,327,916,217	-
Huaian Jia Wei Industrial Development Co., Ltd.	RMB	163,187,510	164,014,959	154,993	163,859,966	-	(580,898)	235,428	-
Huaian ChengXin Park Management Co., Ltd.	RMB	285,000,000	356,106,599	14,370,746	341,735,853	-	(445,639)	(73,727)	-
Yaoding Environmental Energy Technology (Huaian) Limited	RMB	-	45,256,422	43,822,203	1,434,219	45,527,428	1,510,507	1,434,219	-
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	RMB	2,338,456,231	8,995,965,021	2,109,814,851	6,886,150,170	9,742,515,232	1,584,128,204	1,458,536,393	-
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	RMB	500,000,000	2,774,851,802	1,840,744,729	934,107,073	1,661,481,111	19,619,148	(2,891,007)	-
Yaoding Environmental Energy Technology (Qinhuangdao) Limited	RMB	-	29,090,559	25,563,119	3,527,440	105,506,333	4,670,140	3,527,440	-
Zhuhai Hengqin Avary Investment Limited Partnership	RMB	16,417,200	38,871,828	5,948,938	32,922,890	-	(4,004)	(3,951)	-
Wuxi Huayang Science and Technology Co., Ltd.	RMB	52,349,912	533,550,803	121,956,397	411,594,406	48,699,516	9,764,622	9,157,716	-
Jiangsu Turnsor Technology Co., Ltd.	RMB	16,000,000	17,567,903	7,297,302	10,270,601	868,376	(6,374)	(17,602)	-

5. Information of directors, supervisors and general managers in all affiliated companies:

December 31, 2025

<table>
<tr><th rowspan="2">Name of affiliated companies</th><th rowspan="2">Title</th><th rowspan="2">Name or representative</th><th colspan="2">Number of shares held</th></tr>
<tr><th>Number of shares</th><th>Shareholding percentage (%)</th></tr>
<tr><td rowspan="4">Zhen Ding Technology Co., Ltd.</td><td>Chairman</td><td>Zhen Ding Technology Holding Limited - Chang-Fang Shen</td><td rowspan="4">12,548,800</td><td rowspan="4">100%</td></tr>
<tr><td>Director</td><td>Zhen Ding Technology Holding Limited - Te-Wang Hsiao</td></tr>
<tr><td>Director</td><td>Zhen Ding Technology Holding Limited - Wei-Chen Yang</td></tr>
<tr><td>Supervisor</td><td>Zhen Ding Technology Holding Limited - Che-Hung Yu</td></tr>
<tr><td rowspan="4">Garuda Technology Co., Ltd.</td><td>Chairman</td><td>Garuda International Limited - Wei-Chen Yang</td><td rowspan="4">452,500,000</td><td rowspan="4">100%</td></tr>
<tr><td>Director</td><td>Garuda International Limited - Te-Wang Hsiao</td></tr>
<tr><td>Director</td><td>Garuda International Limited - I-Hung Lin</td></tr>
<tr><td>Supervisor</td><td>Garuda International Limited - Che-Hung Yu</td></tr>
<tr><td rowspan="4">Boardtek Electronics Corporation</td><td>Chairman</td><td>Zhen Ding Technology Holding Limited - Jing-Hsien Hsieh</td><td rowspan="4">215,918,453</td><td rowspan="4">100%</td></tr>
<tr><td>Director</td><td>Zhen Ding Technology Holding Limited - Mei-Yu Huang</td></tr>
<tr><td>Director</td><td>Zhen Ding Technology Holding Limited - Mei-Chih Yen</td></tr>
<tr><td>Supervisor</td><td>Zhen Ding Technology Holding Limited - Eddie Chiang</td></tr>
<tr><td>BRAI Technology Co., Ltd.</td><td>Chairman</td><td>Leading Interconnect Semiconductor Technology Limited - Jing-Kuan Liu</td><td>200,000,000</td><td>100%</td></tr>
<tr><td>Monterey Park Finance Limited</td><td>Director</td><td>Chang-Fang Shen</td><td>-</td><td>-</td></tr>
<tr><td>Coppertone Enterprises Limited</td><td>Director</td><td>Chang-Fang Shen</td><td>-</td><td>-</td></tr>
<tr><td>FAT Holdings Limited</td><td>Director</td><td>Chang-Fang Shen</td><td>-</td><td>-</td></tr>
<tr><td>Pacific Fair International Limited</td><td>Director</td><td>Chang-Fang Shen</td><td>-</td><td>-</td></tr>
<tr><td>Mayco Industrial Limited</td><td>Director</td><td>Chang-Fang Shen</td><td>-</td><td>-</td></tr>
<tr><td>Leading Interconnect International Limited</td><td>Director</td><td>Ting-Chuan Lee</td><td>-</td><td>-</td></tr>
<tr><td>Garuda International Limited</td><td>Director</td><td>Te-Wang Hsiao</td><td>-</td><td>-</td></tr>
<tr><td rowspan="2">Avary Singapore Private Limited</td><td>Director</td><td>Te-Wang Hsiao</td><td rowspan="2">-</td><td rowspan="2">-</td></tr>
<tr><td>Director</td><td>Kai-Guo Wu</td></tr>
<tr><td rowspan="2">Zhen Ding Technology Singapore Private Limited</td><td>Director</td><td>Eddie Chiang</td><td rowspan="2">-</td><td rowspan="2">-</td></tr>
<tr><td>Director</td><td>Shih-Chieh Lin</td></tr>
</table>

Name of affiliated companies	Title	Name or representative	Number of shares held	
			Number of shares	Shareholding percentage (%)
Avary Technology (India) Private Limited	Director	Yen-Kung Li	-	-
	Director	Zi-Yi Zhuang		
	Director	Ying-Chieh Huang		
Zhen Ding Technology India Private Limited	Director	Yen-Kung Li	-	-
	Director	Zi-Yi Zhuang		
	Director	Ying-Chieh Huang		
Zhen Ding Developer India Private Limited	Director	Yen-Kung Li	-	-
	Director	Zi-Yi Zhuang		
	Director	Ying-Chieh Huang		
Peng Shen Technology (Thailand) Co.,Ltd.	Chairman	Te-Wang Hsiao	-	-
	Director	I-Hung Lin		
	Director	Guo-Qian Kao		
	Director	Rui Ma		
	Director	Vichai Kulsomphob		
Leading Interconnect Semiconductor Technology Limited	Director	Ting-Chuan Lee	-	-
GAEEA Technology Limited	Director	Zhi-Feng Huang	-	-
Avary Holding (Shenzhen) Co., Limited	Chairman	Chang-Fang Shen	7,650,620	0.33%
	Director	Che-Hung Yu	-	-
	Director	Chung-Hsing Huang	-	-
	Director	Chien-Chun Chang	-	-
	Director	Ye-Lin Chang	-	-
	Director	Hsueh-Che Wei	-	-
	Director	I-Hung Lin	638,466	0.03%
	Director	Cheng-En Ko	-	-
	Director	Chun-Na Miao	196,238	0.01%
Fu Bo Industry (Shenzhen) Co., Ltd.	Director	Hong-Fu Sun	-	-
	Supervisor	Hao-Hsu Li		
Kui Sheng Technology (Shenzhen) Co., Ltd.	Executive Director	Chih-Hsing Wang	-	-
	Supervisor	Chun-Mei Chen		
Avary Holding Investment (Shenzhen) Co., Ltd.	Director	Te-Wang Hsiao	-	-
	Supervisor	Zhou Hong		
Leading Interconnect Semiconductor Technology (Shenzhen) Co., Ltd.	Executive Director	Ting-Chuan Lee	-	-
	Supervisor	Yuan-Shen Wang		

Name of affiliated companies	Title	Name or representative	Number of shares held	
			Number of shares	Shareholding percentage (%)
Avary Property Management Service (Shenzhen) Co., Ltd.	Executive Director	Te-Wang Hsiao	-	-
	Supervisor	Zhi-Chuan Liu		
Yaoding Environmental Energy Technology (Shenzhen) Co., Ltd.	Director	Zhi-Feng Huang	-	-
Hong Heng Sheng Electronical Technology (Huaian) Co., Ltd.	Chairman	I-Hung Lin	-	-
	Director	Fang-Hsien Hsu		
	Director	Wei-Chung Lin		
	Supervisor	Shi-Jie Cui		
Qing Ding Precision Electronics (Huaian) Co., Ltd..	Chairman	I-Hung Lin	-	-
	Director	Geng-Min Ji		
	Director	Wei-Chung Lin		
	Supervisor	Ben-Fu Liao		
Huaian Jia Wei Industrial Development Co., Ltd.	Executive Director	Eddie Chiang	-	-
	Supervisor	Pang-Chi Liu		
Huaian ChengXin Park Management Co., Ltd.	Executive Director	Zhi-Feng Huang	-	-
	Supervisor	Hsien-Chun Peng		
Yaoding Environmental Energy Technology (Huai'an) Co., Ltd.	Executive Director	Zhi-Feng Huang	-	-
Hong Qi Sheng Precision Electronics (Qinhuangdao) Co., Ltd.	Chairman	Fang-Hsien Hsu	-	-
	Director	An-Zhi Lo		
	Director	Jian-Jun Guo		
	Supervisor	Li-Qun Fan		
Leading Interconnect Semiconductor Technology Qinhuangdao Co., Ltd.	Executive Director	Ting-Chuan Lee	-	-
	Supervisor	Yuan-Shen Wang		
Yaoding Environmental Energy Technology (Qinhuangdao) Limited	Director	Zhi-Feng Huang	-	-
Zhuhai Hengqin Avary Investment Limited Partnership	Appointed Representative	Te-Wang Hsiao	-	-
Wuxi Huayang Science and Technology Co., Ltd.	Chairman	I-Hung Lin	-	-
	Vice Chairman	Rong-Hui Zhu	18,600,000	26.59%
	Director	Chi-Lun Chien	-	-
	Director	Lei Chang	-	-
	Director	Rong-Can Hsu	9,000,000	12.87%
	Supervisor	Kun-Da He	-	-

<table>
<tr><th rowspan="2">Name of affiliated companies</th><th rowspan="2">Title</th><th rowspan="2">Name or representative</th><th colspan="2">Number of shares held</th></tr>
<tr><th>Number of shares</th><th>Shareholding percentage (%)</th></tr>
<tr><td rowspan="6">Jiangsu Turnsor Technology Co., Ltd.</td><td>Executive Director</td><td>Chang-Fei Gu</td><td rowspan="6">-</td><td rowspan="6">-</td></tr>
<tr><td>Director</td><td>Hong-Tao Qu</td></tr>
<tr><td>Director</td><td>Rong-Hui Zhu</td></tr>
<tr><td>Director</td><td>Liang Liu</td></tr>
<tr><td>Director</td><td>Hua-Cai Pan</td></tr>
<tr><td>Supervisor</td><td>Tao Chang</td></tr>
</table>

(II) Consolidated Financial Statement of Affiliates: For details, please refer to the Company's 2025 consolidated financial statements on the Market Observation Post System.

(III) Affiliated Company Consolidated Financial Report Statement: Not applicable.

II. Private Placement of Securities of the Most Recent Year as of the Publication Date of the Annual Report: None.

III. Other Necessary Supplemental Information: None.

IV. Events with Major Impacts on Shareholder Equity or Share Value Described in Subparagraph 2, Paragraph 3, Article 36 of the Securities and Exchange Act in the Most Recent Year as of the Publication Date of the Annual Report: None.

V. Explanation of Material Differences Between the Company's Articles of Association and Protection of Shareholders' Equity Required by the Laws of the Republic of China:

According to the "Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Incorporation" announced by the Taiwan Stock Exchange Corporation on February 4, 2026, certain items are not applicable under the laws of the Cayman Islands. Therefore, the reasons for the differences between the aforementioned checklist and the Company's Articles of Association are detailed in the table below (the revisions to the "Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Incorporation" announced on February 4, 2026, have all been incorporated into the proposed amendments to the Articles of Association for discussion at the 2026 Annual General Shareholders' Meeting):

<table>
<tr><th>Important Matters Concerning the Protection of Shareholders' Equity</th><th>Provisions of the Company Act or Securities and Exchange Act</th><th>Provisions Contained in the Articles of Association and Reasons for Differences</th></tr>
<tr><td colspan="3">B. Procedure for Convening a Shareholders' Meeting or Method of Adopting Resolutions</td></tr>
<tr><td>1. A General Shareholders' Meeting should be convened at least once a year. It should be held within six months following the end of each fiscal year. Shareholders' meetings shall be convened by the Board of Directors.
2. The Articles of Association shall stipulate that shareholders' meetings can be convened through video conferencing or other methods announced by the competent authority of the R.O.C. However, in the event of natural disasters, incidents, or other force majeure, the competent authority under</td><td>1. Article 170 of the Company Act
2. Article 172-2 of the Company Act
3. Article 172-1 of the Company Act
4. Paragraphs 1 and 2, Article 173 and Article 173-1 of the Company Act
5. Article 172 of the Company Act and Articles 26-1 and 43-6 of the</td><td>The Companies Law of the Cayman Islands does not stipulate that shareholders must obtain the approval of the authority of the Cayman Islands in order to convene an extraordinary shareholders' meeting independently. Therefore, Article 17.2 of the Articles of Association does not specify that shareholders shall obtain approval of the competent authority before convening an extraordinary shareholders' meeting independently. If shareholders convene an extraordinary shareholders' meeting independently outside the territory of the Republic of China, it requires no approval</td></tr>
</table>

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
the Company Act of the Republic of China may announce that companies are allowed to hold meetings via video conferencing or other announced methods within a specified period, without such provisions stipulated in the Articles of Association. 3. In case a shareholders' meeting is proceeded via video conferencing, then the shareholders taking part in such a video conference shall be deemed to have attended the meeting in person. 4. Regarding the convening of general shareholders' meetings via video conferencing, the conditions, operating procedures, and other matters for compliance should comply with the securities regulations of the Republic of China. 5. Physical shareholders' meetings shall be convened by the Company within the territory of the Republic of China. If a physical shareholders' meeting is convened outside the territory of the Republic of China, it shall be resolved by the Board of Directors or permitted by the competent authority and then reported to the stock exchange for approval within two days. 6. Shareholders holding more than 1% of the Company's outstanding shares are entitled to propose, in writing or electronically, agenda items for discussion in general shareholders meetings. Unless the proposal is not within the scope of resolutions by general shareholders' meetings, the proposing shareholder holds less than one percent of shares, the proposal is submitted outside the announcement period, the content exceeds 300 words, or it includes more than one proposal, the Board of Directors shall include it as an agenda item. If the purpose of the proposal is to urge the Company to promote public interests or fulfill its social responsibilities, the Board may accept such proposal to be discussed in general meeting. 7. Shareholders who have continuously held 3% or more of the total number of outstanding shares for a period of one year or longer may, by filing a written proposal setting forth therein the subjects for discussion and the reasons, request the Board of Directors to call a special meeting of shareholders. If the Board of Directors fails to send a notice of	Securities and Exchange Act	from the authority of the Cayman Islands. Therefore, Article 18.5 of the Articles of Association only specifies that prior approval of Taiwan Stock Exchange shall be obtained rather than that "it shall be permitted by the regulator and then reported to the stock exchange for approval within two days" as required in by the Important Matters Concerning the Protection of Shareholders' Equity.

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
shareholders' meeting within 15 days after the request is made, the shareholders may convene the meeting with the approval of the competent authority. 8. Any shareholder who holds more than half of the total issued shares for more than three consecutive months may convene an extraordinary shareholders' meeting themselves. The calculation of a shareholder's shareholding period and number of shares shall be based on their shareholding at the time of book closure. 9. Notice of the convening of an annual shareholders' meeting shall be given to each shareholder at least 30 days in advance; notice of the convening of an extraordinary shareholders' meeting shall be given to each shareholder at least 15 days in advance. The reasons for convening a shareholders meeting shall be specified in the meeting notice. With the consent of the addressee, the meeting notice may be given in electronic form. 10. The following matters shall be stated in the reasons for convening a general shareholders' meeting, with a summary of the major content to be discussed, and shall not be proposed as an extemporary motion: The essential contents may be posted on the website designated by the competent authority in charge of securities affairs or the company, and such website shall be indicated in the above notice: (1) Appointment or discharge of directors. (2) Changes to constitution; (3) capital deduction, (4) Application to terminate the public offering. (5) Dissolution, merger, share swap, and spin-off of the company. (6) Entering into, amending, or terminating contracts related to the lease of the entire business, commissioning of business operations, or regular joint operation with others. (7) Transferring of the whole or any essential part of the business or assets of the Company. (8) Assuming the whole business or assets of another person, which has a material effect on the Company's operation. (9) Private placement of any equity-related securities.		

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
(10)Permission for directors to engage in activities restricted by non-compete clauses. (11)Resolve on the distribution of stock and cash dividends through the issuance of new shares, in all or in part. (12)Distributing the legal reserve and capital reserve derived from share premiums or endowments to shareholders by issuing new shares or in cash.		
1. When a company convenes a general shareholders' meeting, it should include electronic means as one of the ways for exercising voting rights. 2. When the Company exercises the voting rights by correspondence or electronic means, the method of exercise shall be specified in the shareholders meeting notice. A shareholder exercising voting rights by correspondence or electronic means will be deemed to have attended the meeting in person. but to have waived his/her rights with respect to the extraordinary motions and amendments to original proposals of that meeting. 3. Shareholders who exercise their voting rights in writing or electronically must submit their decisions to the Company at least two days before the shareholders' meeting. In the event where there are duplicate submissions, the earliest submission shall be taken into record. This is not applicable for manifestation of intentions prior to statement revocation. 4. After a shareholder has exercised voting rights by correspondence or electronic means, in the event the shareholder intends to attend the shareholders meeting in person, a written declaration of intent to retract the voting rights already exercised under the preceding paragraph shall be made known to the Company, by the same means by which the voting rights were exercised, 2 business days before the date of the shareholders meeting. If the notice of retraction is submitted after that time, the voting rights already exercised by correspondence or electronic means shall prevail. 5. In the event that a shareholder exercises their voting power by way of a written ballot or electronic transmission and has also authorized a proxy to attend a general meeting, the voting power	Article 177-1 of the Company Act Article 177-2 of the Company Act	According to the lawyers in the Cayman Islands, the Companies Law of the Cayman Islands does not specify that a shareholder who exercises his/her voting power by correspondence or electronic means shall be deemed to have attended the said shareholders' meeting in person; in addition, lawyers in the Cayman Islands have not found any relevant cases. Therefore, the Articles of Association specifies that a shareholder who exercises his/her voting power by correspondence or electronic means shall be deemed to have authorized the Chairman to exercise his/her voting power at the shareholders' meeting and that the voting power which the Chairman is authorized to exercise shall not be subject to the provision that the number of voting power represented shall not exceed 3% of the voting rights of the total shares issued. Article 24.4 of the Company's Articles of Association stipulates that "When a shareholder exercises the voting right by correspondence or electronic means at a shareholders' meeting according to the aforesaid provision, he/she shall be deemed to appoint the Chairman as a proxy to exercise the voting right at the shareholders' meeting as instructed by the shareholder by correspondence or electronic means. This is different from the provision that "a shareholder exercising voting rights by correspondence or electronic means will be deemed to have attended the meeting in person", as prescribed in the Important Matters Concerning the Protection of Shareholders' Equity. In addition, Article 25.3 of the Company's Articles of Association stipulates that such a voting right which the Chairman of the shareholders' meeting has on behalf of the shareholder shall not be subject to the provision that the number of voting power represented shall not exceed 3% of the voting rights of the total shares issued.

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
exercised by the proxy at the general meeting shall prevail.		
For the following motions that relate to major equity of the shareholders, the resolution shall be adopted by a majority of the shareholders present who represent two-thirds or more of the total number of its outstanding shares. In the event the total number of shares represented by the shareholders present at a shareholders‘ meeting is not sufficient to meet the criteria specified in the preceding paragraph, the resolution to be made thereto may be adopted by two-thirds or more of the attending shareholders who represent a majority of the total outstanding shares of the Company: 1. Enter into, amend or terminate any contract for lease of the Company‘s business in whole, or for entrusted business, or for regular joint operation with another party, transfer the whole or any essential part of its business or assets, or accept the transfer of the entirety of a business or asset from another party, in which the transfer has a great bearing on the business operation of the Company. 2. Changes to constitution 3. Resolve at the preferred shareholders' meeting on an amendment to the Articles of Association that prejudices the rights of preferred shareholders. 4. Resolve on the distribution of stock and cash dividends through the issuance of new shares, in all or in part. 5. Resolve on the liquidation, merger or divestment of the Company. 6. Share swap	1. Article 185 of the Company Act 2. Article 277 of the Company Act 3. Article 159 of the Company Act 4. Article 240 of the Company Act 5. Article 316 of the Company Act 6. Article 29 of the Business Mergers and Acquisitions Act	1. Regarding the resolutions at a shareholders' meeting, in addition to the ordinary resolution and supermajority resolution under the laws of the Republic of China, Article 1.1 of the Company’s Articles of Association defines the special resolution under the Companies Law of the Cayman Islands. According to the definition, the special resolution means a resolution passed at a general meeting of the Company by a majority of at least two-thirds of the votes cast by shareholders (who, being entitled to do so, vote in person or by their proxies), and the notice of the meeting has legally stated that the resolution will be passed through a special resolution; however, the Company's Articles of Association may specify a higher percentage and stipulate that matters subject to a special resolution may be passed by different percentages (but not less than two-thirds). Certain matters subject to a supermajority resolution in the Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Association are subject to a special resolution in the Articles of Association under the Companies Law of the Cayman Islands (refer to Point 2 below). Because these differences arise from the Companies Law of the Cayman Islands, and the Company's Articles of Association have already listed matters subject to a supermajority resolution in the Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Association in matters subject to a supermajority resolution and those subject to a special resolution separately, this shall have a limited impact on the shareholders' equity. 2. According to the Companies Law of the Cayman Islands, the following matters shall be passed by a special resolution: (1) Amendment to the Articles of Association: According to the laws of the Cayman Islands, any amendments to the Articles of Association shall be passed by a special resolution prescribed in the Companies Law of the Cayman Islands. As a result, the threshold of a resolution on any amendments to the Articles of Association as set forth in Article 11.3 of the Articles of Association is not changed into a

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
		supermajority resolution in accordance with the Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Association. Furthermore, according to Article 12 of the Articles of Association, if any amendments or changes to the Articles of Association may prejudice the preferential rights of any class of shares, such amendments or changes shall be passed by a special resolution under the Companies Law of the Cayman Islands, and shall also be passed by a special resolution under the Companies Law of the Cayman Islands at a separate meeting of shareholders of that class of shares. (2) Dissolution: According to the laws of the Cayman Islands, if a company is voluntarily liquidated and dissolved because it is unable to repay its debts due, its dissolution shall be adopted by a resolution at a shareholders' meeting; however, if a company is voluntarily liquidated and dissolved for reasons other than the above, its dissolution shall be adopted by a special resolution in accordance with the Companies Law of the Cayman Islands. Therefore, the threshold of a resolution on the voluntary liquidation and dissolution of the Company as set forth in Article 11.5 of the Articles of Association is not changed into a supermajority resolution in accordance with the Checklist of Shareholders Rights Protection with respect to Foreign Issuer's Place of Association. (3) Merger: Because the Companies Law of the Cayman Islands has a mandatory requirement for voting on the "mergers defined by the laws of the Cayman Islands", Subparagraph (b), Article 11.4 of the Articles of Association specifies that "mergers" (except for "acquisitions and/or mergers under the Companies Law of the Cayman Islands that shall be passed by a special resolution) shall be passed by a supermajority resolution. The aforementioned differences are caused by different regulations provided by the laws of the Cayman Islands. Although the Company only requires an ordinary resolution to proceed

Important Matters Concerning the Protection of Shareholders' Equity	Provisions of the Company Act or Securities and Exchange Act	Provisions Contained in the Articles of Association and Reasons for Differences
		when "it is voluntarily liquidated and dissolved because it is unable to repay its debts due," this shall be regarded as more favorable to shareholders, and is only applicable in certain circumstances. This shall have a limited impact on the shareholders' equity.
1. The Articles of Association shall stipulate that the distribution of earnings or make-up of deficit may be proposed at the end of each quarter or halfway through the fiscal year. 2. The proposal of earnings distribution or make-up of deficit for the first three quarters or first half of the fiscal year, together with the business report and financial statements, shall be forwarded to the Audit Committee for their auditing, and afterwards be submitted to the Board of Directors for approval. 3. A company distributing earnings in accordance with the provision of the preceding paragraph shall estimate and reserve the taxes and dues to be paid, the losses to be covered and the legal reserve to be set aside. Where such legal reserve amounts to the total paid-in capital, this provision shall not apply. 4. A company shall distribute earnings in the form of new shares to be issued by the company in accordance with the provision of Paragraph 2 by a resolution adopted by a majority of the shareholders present who represent two-thirds or more of the total number of its outstanding shares of the company. In the event the total number of shares represented by the shareholders present at a shareholders‘ meeting is not sufficient to meet the criteria specified in the preceding paragraph, the resolution to be made thereto may be adopted by two-thirds or more of the attending shareholders who represent a majority of the total outstanding shares of the Company Earnings to be distributed in cash will be distributed based on the resolutions of the Board of Directors. 5. Earnings distribution or make up of deficit by a company in accordance with the provisions of the preceding four paragraphs shall be made based on the financial statements audited or reviewed by a CPA.	Article 228-1 of the Company Act	According to the lawyers in the Cayman Islands, because the Company does not intend to handle distribution of earnings or make-up of deficit at the end of each quarter or halfway through the fiscal year, amendments to the Articles of Association do not include rules on the distribution of earnings or make-up of deficit at the end of each quarter or halfway through the fiscal year.

臻鼎科技控股
Zhen Ding Tech. Holding

Zhen Ding Technology Holding Limited

Chairman: Chang-Fang Shen

臻鼎科技控股股份有限公司

Zhen Ding Technology Holding Limited

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